

Bandhan Bank Ltd. (BANDHANBNK)

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Call: Jul 2022

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July 27, 2022

BSE Limited

Dept. of Corporate Services

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai - 400001

BSE Scrip Code: 541153 National Stock Exchange of India Limited

The Listing Department

Exchange Plaza,

Sandra Kurla Complex,

Mumbai - 400051

NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub: Transcript of the Earnings Call on the Unaudited Financial Results of the Bank for the quarter (Q1) ended June 30, 2022 - the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI LODR')

In continuation to our letter Ref. No. BBL/125/2022-23 dated July 22, 2022 and pursuant to the provisions of Regulation 30 and other applicable provisions of SEBI LODR, we hereby submit the transcript of the Earnings Call hosted by Bandhan Bank Limited (the 'Bank') on Friday, July 22, 2022, on the Unaudited Financial Results of the Bank, for the quarter (Q1) ended June 30, 2022. Further, the same has also been uploaded on the website of the Bank and can be assessed at the following link:

[https://bandhanbank.com/sites/default/files/2022-07/Bandhan%20Bank-Earnings-22Jul-2022 0.pdf](https://bandhanbank.com/sites/default/files/2022-07/Bandhan%20Bank-Earnings-22Jul-2022%20.pdf).

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhanbank.com.

Thanking you.

YOLfS faithfully,

for Bandhan Bank Limited

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~ L (3AYV)\~r Indranil Banerjee ef ~

Company Secretary

Encl.: As above

Registered Office: DN 32, Sector V, Salt Lake City, Kolkata - 700091

Bandhan Bank

"Bandhan Bank Q1 FY-23 Earnings Conference Call"

July 22, 2022

Bandhan Bank

MANAGEMENT: MR. CHANDRA SHEKHAR GHOSH -MANAGING
DIRECTOR AND CEO

MR. SUNIL SAMDANI - CHIEF FINANCIAL OFFICER

MR. KAMAL BATRA- HEAD (ASSETS)

MR. SURESH IYER - HOUSING FINANCE (HEAD)

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Moderator: Ladies and gentlemen, good day and welcome to the Bandhan Bank Q1 FY 2023 Earnings Conference Call. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ritesh Mehta from Bandhan Bank. Thank you and over to you sir.

Ritesh Mehta: Thank you Renju. Good evening, everyone and thanks for joining this call. It is a pleasure to welcome you all to discuss Bandhan Bank's business and financial performance for the quarter ending June 2022. We will take this opportunity to update you on the recent development in the industry and Bandhan Bank during the quarter.

To discuss all this in detail, we have with us our Founder, Managing Director and CEO - Mr. Chandra Shekhar Ghosh and Chief Financial Officer (CFO) - Mr. Sunil Samdani, our Head

Assets - Mr. Kamal Batra, our Housing Finance Head - Mr. Suresh Iyer.

Now, I would like to request our MD and CEO - Mr. Chandra Shekhar Ghosh to brief you all about Bank operational and financial performance along with the developments for the quarter ending June 2022. Over to you, sir.

Chandra Shekhar Ghosh: Thank you, Ritesh. Good afternoon and Namaskar to all of you and thank you for your time to joining today. I hope all of you and your loved ones are safe and healthy. I am pleased to state that the April to June 2022 quarter has been a balanced quarter for the Bank. I will take you through the key figures.

Quarter 1 of the financial year is the lean period for the financial services industry and therefore the quarter-to-quarter comparison shows a minor dip. It is no different for us, for that I am trying to keep this the figure compared to the days of the first quarter of the last year to this year first quarter. The overall advances have shown 20.28% growth year-on-year and a marginal decline in the 2.71 % percent quarter-on-quarter why is it a decline, primarily due to the quarter-on-quarter decline because of microcredit book decline is at 6.8% which is the seasonality of the Bank and second point on that there is a flood in Assam, these are the two cause and third cause has coming on that because of the RBI have the new regulation has come and impacted on that effected from April 1st 2022, so that one and half months delay. So that is the three points have been given based decline of based to quarter-on-quarter growth of micro funds.

So, if we look at loan growth other than micro credit it will be the 4.3% growth on quarter-on-quarter basis. The very good point I have been mentioned in here the 27% percent of the year on-year growth has come to our housing vertical. This is a very big achievement have been done and then you have seen at the last three quarters based the vertical have been growing very good

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and it has been big help asked to increase the secured loan of the Bank and with this the vertical 4.5% growth have been given this quarter-on-quarter basis. Even in a muted quarter, we have managed to show good growth in the housing finance book. We are planning to grow with a more than that growth in this financial year and future.

The retail loan book other than housing finance book consisting of personal loan, gold loan, two wheeler loan and auto loan has grown 61% year-on-year and 9.1% quarter-on-quarter, that is also the second focus of the Bank to grow in future.

The commercial Banking vertical consisting mainly NBFC, SEL and the SMA loan with 81 % year-on-year growth with is the quarter-on-quarter growth has come 3 .2%. So, these are the other than microcredit these are three verticals have the future growth will come to the Bank which can be diversified the Bank portfolio across all verticals which we are projected strategically. The growth of this segment is welcome sign for the Bank as this is in line with the Bank's portfolio diversification agenda.

The first quarter of the current financial year saw economy growth revived strongly as many businesses returned to normalcy given the significant increase in the confident among the population of managing COVID. We are happy to see signs of strong demand for credit in the most of the business in the first quarter due to the implementation of the new regulation, growth in microcredit little bit this muted.

Coming to this, the liabilities' part, our deposit has grown 20.33% year-on-year and CASA also have been grown 21 % year-on-year. The CASA ratio has come 43.2% which is 160 basis point higher than the last quarter. The retail deposit is our focus, which is a 78.4% in this quarter which was in earlier quarter 77.23%. So liabilities growth also has come very good, strong and given a focus on that will be continue our retail deposit and CASA deposit in future to manage our advance growth.

Along with the business growth in advance and deposits, we have also seen very encouraging collection efficiency trend during the quarter. The overall collection efficiency of the Bank has come 97% in quarter 1, if I come to this the microcredit excluding NP A and restructuring overall EEB collection efficiency is at 98% which is very normal collection efficiency. West Bengal is at 98%, Assam is at 95% and rest of India 98%. If I go to this including restructuring loan excluding NPA, overall EEB collection efficiency 94%, West Bengal 94%, rest of India 96%, Assam 78%, which means from that the flood is little bit impact has come to the collection efficiency. Microcredit loan that has been dispersed after the second wave of COVID, till June 2022, 99% of our customer are paying back.

Our NP A is just less than 2% in that portfolio which shows that the loans given after the COVID second wave are mostly standard and are as per our usual Pre- COVID experience that is there when given the strength of the Bank, the future our growth of this microcredit will not like to

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again any of this, the critical position on that. With the people's livelihood coming on track, we have observed eagerness amongst our customer to standardize their accounts in order to continue to enjoy the benefit of formal credit by maintaining a healthy credit record. We have seen strong collection efficiency despite the flood in Assam.

For the first quarter, our growth NP A ratio stood at 7.25% which was in the last year, first quarter 8.18%, net NP A has come 1.92% which was in last year first quarter was at 3.29%. We will see that in the business growth customer confidence, credit demand and we have the confidence on that, we would like to continue our net NPA less than this amount which is 1.92. We are more than covered in terms of our provision, total provision of the Bank as on cumulatively as on quarter 1 financial year 2023, is Rs.8847 crores compared to Rs.8197 crores in the last quarter. This makes our PCR at 75% but if it is a PCR with proforma includes it is in 101 %.

Bank has not taken any restructuring in this quarter and we have also not feel that it is needed in the future and there is no write-off, we have done this quarter. During the quarter 1 the Bank has seen improvement in the gross net and the net NP A level compared to the quarter 1 of the last year but on a sequential basis, we have seen some increase in the NP A figure mainly due to three causes one is restructure loan, though the restructure customer 57% are paying and if I roll because of the delay disbursement and the Assam flood. Bank has seen total phase slippage Rs.1125 crores which was lower than the last quarter which was the Rs.1365 crores.

Within our fresh slippage in the EEB segment was Rs.908 crores in the quarter 1 versus Rs.1181 crores in the last quarter. Most of the fresh NP A which we are seeing in this quarter are the ones to whom we have lent during the COVID period. Many of our customer have been paying regularly and have nearly regularized their overdue account but until the entire overdue amount is not recorded, they cannot be categorized as a non-NP A customer.

Finally, in the first quarter, we have seen that 73% of our NP A customer are paying and 57% of our restructured customer are paying which given that the confidence to us the gross and net NP A future will be come down, no fresh slippage happened very big way on that. It is only the matter of time because customers are paying, these two types of customers, they are paying not in full all, they are paying the partial installment so that there is a swing on that some of the bucket of their rate but their interaction with us, we have seen that they have given the confidence to us, they will take some time but repay the full amount on that.

With the business growth and improvement in the collection, we have seen our profit growth has come 138% year-on-year which in this quarter has come Rs.887 crores against the net profit of the last year in the same quarter Rs.373 crores.

Our net interest income has shown a growth of 19% year-on-year. It has increased the Rs.2514 crores in Q1 FY23 from Rs. 2114 in Q1 FY22. Our net interest margin for the current quarter is 8% which is the range of our expectation.

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Total credit cost for the quarter financial year 2023 is 2.7% compared to the last year first quarter 7.2%. I like to mention in here the credit cost and NP A percentage has given the confidence to ask the will be like to continue in this the record in this financial year.

Coming to this outlook for the rest of the year, as you all know, we are seeing the economic activity picking up and business coming back to normal across the country. The Bank has a focus is on that the business growth in this financial year which is after the pre-pandemic situation and credit cost and NP A has stabilized and diversification is our core area we are like to continue to do it so that housing, retail other than housing and SME we also like to continue to grow on that. All these together, we see that this quarter, we have added 6 lakhs new customer. So, Bank is growing not only that the existing portfolio growing, that is also new customer adding and then our liability and asset both are making growth on that.

I wish you and your family all the very best. Please take care and stay safe. Thank you for all of you to listen me and you have the question, you can. Thank you.

Moderator: Thank you sir. Now we will have an opening remark from our CFO, Mr. Sunil Samdani, over to you sir.

Sunil Samdani: Thank you Ritesh. Good evening ladies and gentlemen, I will take this opportunity to run you through few slides of our presentation.

Starting with Slide no 5 we talked EEB collection efficiency. Here, we are talking about collection efficiency excluding the restructured portfolio to make is like-to-like and comparable it with the previous quarter. As it is visible for the month and for the quarter, West Bengal and rest of India, the collection efficiency stands at 98% and Assam for the quarter is 95% but for the month of June is 93%. Assam has been impacted by floods in the month of June and hence the June collection efficiency is lower. We are seeing an improvement there starting July and we hope that by September, we will reach to pre-flood level as far as the Assam collection efficiency growth. If we talk about the share, the paying customer, the customer paying profile 94% of our

customer paid their full installment, 1 % are not paying and 5% are paying part installments. The similar numbers including restructuring is available it is on the same logic. I will not read the same. I will go to the Slide #7, here we talk about NP A customers and restructured customers' payment pattern, how are they behaving. As far as NP A customers go 73% of the customers continue to pay, either in part or in full and 27% of the customers do not pay, those who are already in the NP A bucket, which is a healthy sign which makes the recovery from NP A will continue happen, the recovery and upgrades. Now coming to the restructure customer's paying pattern about 57% of the customers have paid part installments in the quarter and about 43% of the customer have not paid their installments.

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Slide #8, we talk about the DPD movement, here you will see the increase in DPD that is largely because of the restructured customers demand getting generated from April onwards and the impact of Assam floods in the earlier bucket. Other than the restructuring impact, the DPD movement has been less than 0.3 to 0.4 basis point in each of these buckets.

Now coming to Slide #9, here we talk about the stress pool and the coverage analysis, what we have seen is the total stress pool which the way we calculate here which is the restructured NP A, SMA1 and SMA2 for which EEB portfolio stands at 121 billion and against that we have provision.

Now before we get into the coverage, let me explain this pool of 121 billion, you will see the restructured amount at 21.4 that is because half of the restructured customer's the demand has started and those customer are either in current or SMA buckets or the NP A buckets. Accordingly, what we show here as restructuring is only those customers which will come out of restructuring in the current quarter. Those who have already come out their positioning is on the respective SMA buckets or the current buckets. Now as against this 121 billion, we have a provision of 76 billion so the coverage on the provision has improved by 3% quarter-on-quarter, we have taken the extra provision of Rs.335 crores this quarter which is over and above required provision to improve the coverage. So, of the total provisioning line item of Rs. 640 crores that we have for the quarter. Rs.335 crores is the additional provision over and above the required provision that we take.

The CGFMU recovery stands at Rs.25 crores, the first claim we will make in the first week of October and that claim will be roughly in the range of Rs.1150 crores to Rs.1200 crores and the estimated recovery, we expect going forward to be 25 billion. Recoveries as you all know, for us, the second half is more focused on the recovery. The recoveries in the second half is much higher than the first half. So, we are confident of this recovery going forward as well. And of course, the diversification side which Mr. Ghosh had already spoken about so I will not take much of your time.

Thank you very much for your patient hearing, happy to take questions.

Ritesh: Thank you sir, we will now take question and answer. Over to Renju.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Sameer Bhise from JM Financials. Please go ahead, sir.

Sameer Bhise:

Sunil Samdani: Hi, thank you for the opportunity, just a few questions primarily on the other income bit, is there any NP A mangled to lower other income during this quarter?

The other income is lower primarily because of two reasons, one is on the treasury portfolio in the previous year same quarter I am comparing it with Q1 of FY 2022 because Q4 clearly is not

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comparable because disbursement in Q4 is almost four times of Q 1. So, the processing fee is very high in Q4. So, the better comparison is Q 1 of FY 2022. So. there is in Q1, we had booked a profit on sale of investment of Rs.174 crores. This is the movement from HTM to AFS that we do once in a year. So that change has not happened this financial year due to adverse wheel curve movement and secondly the mark to market provision that we do in Q1 of FY 2022, there was a reversal of mark to market provision of Rs.86 crores. So effectively in Q1 there was a Rs.270 crores income on the treasury book, whether it is on sale of investments or mark to market against that there is mark to market provision or loss that we have done of Rs.79 crores, this quarter. So, that is effectively Rs.330 crores movement if we compare last year same quarter to this quarter. The second piece is on the PSLC income, this quarter our PSLC income is lower by almost Rs.130 crores compared to last year same quarter that is because we have not sold PSLC this quarter particularly on the Agri portfolio, where we are awaiting a clearance from the regulator. The moment we get that in the second half probably, you will see an uptick in the PSLC portfolio

as well. So, these are the two main reasons.

Sameer Bhise:

Sunil Samdani:

Sameer Bhise:

Sunil Samdani:

Sameer Bhise:

Sunil Samdani:

Sameer Bhise: Okay, by just talking about PSLC, in the annual report also mentions that there is change in the recognition of priorities sector loans. Could you please elaborate because the outstanding PSL eligible loans have come down on a year-on-year basis, so that will be helpful.

This pertains to you know in FY 2019-2020, the RBI had an observation that we do not have the land records for our Agri portfolio. So clearly bulk of our Agri portfolio comes from microfinance customers which are landless labors. So, in such a scenario, there is no question, of having a land record. So accordingly, we had represented to RBI, explaining the positions as to why we cannot have the land record here. But since this was an observation in the 2019-2020 report for which there was a demand raised to deposit the funds in RIDF in Q4 of last financial year. So accordingly, we had deposited the RIDF there. In 2021 and 2022, there is no such requirements.

But the assessment is complete for 2022?

We are yet to receive, the final report but the assessment is complete and we do not expect that to come in for FY 2022.

Okay and just one final thing, if we look at the DPD movement in this, 61 to 90 buckets, West Bengal shows a quite a bit of a jump, is it primarily the restructured book of that state or is there something else to it.

No, in the restructured book, excluding restructured book, the movement is less than 20 basis point.

Okay and just one final thing. Do you think there is a case for revisiting the credit cost expectations that you had put out in previous quarter around 200-225 basis points?

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Sunil Samdani:

Sameer Bhise: We have kept it at 2.5% and we continue to keep it at 2.5%.

Okay. Thank you and all the best.

Moderator: Thank you. Next question is from the line of Adarsh Parasrampuria from CLSA. Please go ahead, sir.

Adarsh Parasrampuria:

Sunil Samdani:

Adarsh Parasrampuria:

Sunil Samdani:

Adarsh Parasrampuria:

Sunil Samdani:

Adarsh Parasrampuria:

Sunil Samdani:

Adarsh Parasrampuria:

Sunil Samdani:

Adarsh Parasrampuria: Hi, thanks. Sunil, just dwelling a little in the PSL part when we go through the annual report it is the FY 2022 PSL loans which seem to have compliant loan seem to have dropped from 88% to 58% or some percentage. Just wanted to understand, does this have a bearing on how the Banks PSL income would be because your stock of PSL compliant loans as marked for FY 2022 is down. So just trying to understand if this can be an issue for our PSLC income.

There are two things here, we have conservatively not considered the piece of Agri tool which is the non-allied Agri part as it is. Based on the RBI observation of 2019-2020, once we have the clarity on that and if it is on the positive line which we expect then this pool can go up and accordingly, we can look at PSLC income. But at this stage, we will not be able to confirm from either these.

And just to clarify, your FY 2021 and 2022 PSLC income was how much?

For my FY 2022 PSLC income was about Rs.650 crores.

Got it and if it is adverse, like large part of this goes away or how does it work or you can still get a material part of this?

So, about Rs.150-200 crores is what we can look at.

Okay. Your income, so you might lose about Rs. 400 crores to Rs.500 crores, is it?

Yes, that is the worst-case scenario.

Got it Sunil. And now coming to the DPD movement the Rs.2100 crores of restructured book that is something that starts to service the debt in this quarter or how is it?

Yes, that will start this quarter.

So, it seemingly, when you look through the numbers majority of restructured books found its way into the DPD buckets and there is restructured book which still is not servicing. Two questions here, one is that going by the same experience most of it could be DPD and some of this DPD is late state, so your NP As will likely rise to Q 1 and Q2 as some of this goes along. So, I just wanted to understand if we should have ideally provided more, you seem comfortable because you will get those guarantee related recoveries that are expected.

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Chandra Shekhar Ghosh: If I say one point and then Sunil can be add on that, beginning on that our structured loan it is Rs. 7,400 crores and we are now balance has come Rs. 4,600 crores. So more or less it is Rs. 3,500 crores which, more than around 50% of the loan recovered and customer are paying on that. And second point on that, those are outstanding are pending. There is a 57% of that of the restructured customer are paying. And their payment in Assam are given as a because of they have given a partial amount, so that automatically they are going to movement to the different DPD need redone credit for running their business and it has been started the business from the second quarter which is before the festival and that is the hope on that they will be returned back. This is my confidence on my customer.

Sunil Samdani: Thank you sir. So, specifically to your point as sir mentioned, these are part paying customers, hence the DPD bucket. We can see them moving the DPD bucket. But on the provisioning side I think we are adequately provided. On my entire restructured book, I have an 80% coverage already provided for. And I have a position where 53% of the customers are paying and to top it up, we have the guarantee cover which is over and above this. So, on the whole I think we are adequately more than adequately provided. Hence, we are sticking to our credit cost guidelines.

Adarsh Parasrampuria:

Sunil Samdani:

Adarsh Parasrampuria: Got it sir, my last question is on the operational changes done to comply with RBI's norms right in terms of how you underwrite. Can you just walkthrough what all changes are required are we fully done and now it is back to disbursements as usual or what were the changes?

Yes, the changes were broadly on the household income and you know identification and recording and calculation of FOIR. So, which we used to as part of individual lending customers. Which was roughly 20%-25% of our network. Now we have to do for 100% of our network.

Which is the household income calculation and the FOIR calculation. So that training for the entire network has happened and that is why the first 30-40 days of the quarter, the disbursements were muted and now we are back to normal both on disbursement with the new guidelines.

Got it Sunil, this has been helpful, thanks.

Moderator: Thank you. Ladies and gentlemen in order to ensure that the management is able to address questions from all participants in the conference, please limit your questions to two per participant. Should you have a follow up question, we would request you to rejoin the queue. And the next question is from the line of Kunal Shah from ICICI Securities. Please go ahead, sir.

Kunal Shah: Yes, first question on restructured pool, if you can just share the movement of this restructured pool. So Rs. 4,900 crores becoming Rs. 2,100 crores. So, this Rs. 2,700 crores how much is recovered, how much is flowing into say NPA, SMA2, SMAI. So, the question where I am coming from just wants to sense how much is the incremental stress into this entire pool because of Assam flood and how is because of restructure.

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Sunil Samdani:

Kunal Shah:

Sunil Samdani:

Kunal Shah:

Sunil Samdani: So, let me first give you the numbers, my total restructured pool outstanding whether it is part of the DPD or scale part of restructuring is Rs. 4,661 crores. Of these Rs. 4,661 crores, so Rs. 4,900 crores have become Rs. 4,661 crores, which means we collected about 300 crores this quarter from the restructured pool. Of these Rs. 4,661 crores, we have Rs. 2,141 crores which is still in the moratorium and 2,520, we have customers which have moved buckets. They will be either part of SMA0, 1 or 2. So on the whole, if you see about 70% of the customers are part of SMAI, 2 or NP A. But that is because of the part paying nature, though 57% of the customers are paying, we will have these customers move buckets.

Sure, so fair to assume that overall stress pool is going up by Rs.200 odd crores and Rs.300

crores is something which we have recovered from or restructured. So, net-net the increase is only Rs.500 odd crores in the stress pool including the Assam impact.

Yes, that is fair way to look at.

Okay, so maybe wherever Assam, we have seen delays that could be already pertaining to either the delinquent book or restructured pool that would have also got impacted to that extent. And again, Assam there would be flow through which will largely come in Q2 because it would have not maybe that DPD buckets would have not got over. So then again in Q2, we could actually see, the real pain coming from Assam. So would that be a fair assumption.

No, we in fact expect things to normalize by the end of Q2 as far Assam goes. So, we are expecting collection efficiency of back to 97% mark, where we were by the end of Q4. So, it will not be fair to assume that the June month behavior or the July month, the one-month behavior because that was the month when we had floods. That behavior will continue throughout.

Chandra Shekhar Ghosh: If you see that Kunal, the Assam collection efficiency is 95% other than restructuring loan in June. So, in that sense if you see that the flood has been started in May and up to June so that is one side, we see that impact. But July onwards it will be again coming back on that.

Kunal Shah:

Sunil Samdani: Okay, and one last question on this CGFMU, I think last time, you highlighted that we will start the process in this fiscal end, we expected recovery in first half but I think now you said like you will be applying in October, so why this delay and maybe we should see some delayed recovery with respect to that of 25 or maybe Rs.2500 odd crores which we are expecting here.

No, there is no delay, the process of CGFMU is a process claimed only once a year, and they process claim basis the NPA which has happened six months back, so if I claim, let's say, I could have done the claim in Q1 itself but then I would have got the NP A which was NP A as on September 31st or December and not as on March 31st. So my eligible amount to claim would have reduced, so put it shortly if I claim it on October 1", right which is when I can claim the entire NP A of March 31st, 2022 I could claim as around Rs.1200 crores, Rs.1150 to Rs.1200

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crores, but if I have to claim it today, the claim would have not been more than Rs.500 to Rs.550 crores, so that is why we took that call that we will make this claim in the first of October or the first week of October to have the full benefit of Rs.1100-Rs.1200 crores for the year because we can claim only once a year.

Kunal Shah: Sure, got it. Thanks, and all the best.

Moderator: Thank you. Next question is from the line of Sourav from JP Morgan. Please go ahead, sir.

Sourav: Sir did I get this right but on slide 9 that the overall collection is 300 crores and you are suggesting Rs.2500 crores for next two quarter?

Sunil Samdani:

Sourav:

Sunil Samdani:

Sourav:

Sunil Samdani:

Sourav:

Sunil Samdani: Yes, so we expect that because if you look at the seasonality and historical trends also with every quarter our collection in absolute amount as well as in percentage terms improve with the Q2 is better than Q1, Q3 is better than Q2 and Q4 of course is the best for us. So, as we move to the second half the collections should improve materially and that is why we say that we should be able to recover.

Okay and secondly on this interest rate hike as you know there are lot of microfinance companies have taken these hikes and I remember you also took one but has it started going through your EEB book now.

As of now we have not decided on any further hikes we had taken one in September 21 so we will continuously monitor our cost of funds and if there is a need, we may look at it.

Okay and this one last thing sir, on your borrowings have gone up sharply this quarter and deposits have gone down can you just explain what's happening there?

So, see in this quarter we have the RIDF requirement which was there, that was partly done in Q4 and partly in Q1 of this year, in April of this year right and hence for meeting that RIDF requirement, we have taken the borrowings and borrowing for us is cheaper because it is refinancing and it comes at a cheaper cost than the bulk deposits because there is no CRR and large requirements there.

And sir, your outlook for loan growth this year should be in the 20% ballpark?

Yes.

Sourav: Okay. Thank you, sir.

Moderator: Thank you, Next question is from the line of Sameer Bhise from JM Financial. Please go ahead,

sir.

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Sameer Bhise:

Sunil Samdani:

Sourav:

Sunil Samdani:

Sourav:

Moderator:

Param Subramanian:

Sunil Samdani:

Param Subramanian: Yes, thanks for the follow up opportunity just one question, Sunil sir can you provide the break up of slippages across business lines?

Yes, thanks for asking that question because that's the one big positive that we see in this quarter.

The overall slippages for the quarter was Rs.1125 crores this number was Rs.1365 crores in Q4.

So, the gross slippages have come down quarter-on-quarter and more importantly of these Rs.1125 crores the slippages from restructured customer is about Rs. 315 crores, so excluding restructured customers, my slippages quarter-on-quarter have reduced by half from Rs.1365 crores to about Rs.750 crores.

Okay and this finally of the balanced restructured portfolio, when do you think the entire portfolio comes out of moratorium?

By September everything will be out of moratorium.

September, okay. Thank you. Thank you so much.

Thank you. Next question is from the line of Param Subramanian from Macquarie. Please go, ahead sir.

Yes, hi thank you for the opportunity. My first question, Sunil, we are budgeting for in terms of recoveries from this stress pool of 25 billion which was the same as what we were doing before but if I am looking at the collections including the arrears that seems to have come off, pretty sharply so any outlook, do you think this number as in there is scope for little reduction over here, your thoughts on that?

No, not really because you know as I explained that recoveries for us is also seasonal in a sense the recovery amount is lowest in the first quarter it increases as the quarter progress. So historically if you see last 20 years Q4 has the highest recovery and Q1 is the lowest recovery. So, we are confident that this year will be no different and now that the pandemic is behind us, we do not see a challenge here.

Sure. Okay thanks for that and also on the new MFI norms has it impacted the ticket size of your disbursement, could you give some color on what your ticket size of disbursement is currently and has this norm of you know 50% EMI cap, you know 50% of household income has it impacted the ticket size of your disbursements in anyway.

Chandra Shekhar Ghosh: I will take that point, last two years, we are practicing on that those are very seasoned customer and very good business we are graduated them to this individual as MSME so bigger ticket size are shifted in there. So, in that sense we are not find out of that because of new role it has come to our help on that to reduce the ticket size. So, who are eligible for that loan as the graduated loan their income of the household is more than 3 lakhs. So, that would be like to more help us

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from that to not making on that but after that if you see that my group loan which is that called the EEB other than that the individual loan their ticket size has come Rs. 39,819.

Param Subramanian:

Sunil Samdani:

Param Subramanian:

Sunil Samdani:

Param Subramanian:

Sunil Samdani:

Param Subramanian:

Sunil Samdani:

Param Subramanian:

Moderator:

Abhishek Murarka: Okay sir and what would it be as in this Rs. 39,819 what was it ifl can get a sense of what it was probably a year or so ago?

It will not be a like-to-like comparison because now we have an individual loan or we call it

small business and Agri loans which is separate and group loan is separate.

Okay the higher ticket customers have migrated to individual and that's why you are saying the income is more than 3 lakhs. Is that the right understanding?

Correct.

Okay, got it and Sunil there is one last data point if you could just share the restructured portfolios played between West Bengal, Assam and rest of India since you have the SMA numbers, NPA numbers in that split between West Bengal, Assam, rest of India, you could share for the restructuring as well that is my last question, thank you.

Just a minute. So, my total restructured book whether they are part of restructuring or part of SMA those who have moved out, those whose demands have started is Rs.4661 crores as I mentioned of which West Bengal, Rs.3123 crores and Assam is Rs.1502 crores.

Assam is?

Rs.1502 crores

Okay. Thanks Sunil. Thank you, team and all the best.

Thank you. Next question is from the line of Abhishek Murarka from HSBC. Please go ahead, sir.

Hi sir thanks for taking my question. Sir just one clarification, I required in this Assam Relief Scheme, I think the portfolio eligible for this was around 35 billion or so last year. What is the update here, is there any progress or any allocation that would have come to you?

Chandra Shekhar Ghosh: If you see that in the Assam government has given that Rs.1700 crores as on today with the customer are regular and so that it is not in an all customers are demand we have. Second point is that there is in category 2 and 3 which is overdue and NP A customers the government in the last budget has been allocated Rs.1500 crores now and they have said that if further need they will be again given on that. So that Rs.1500 crores that is in tentative time was in this quarter but because of the flood has come it has been deferred and maybe the next quarter it will be counted.

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Abhishek Murarka:

Sunil Samdani:

Abhishek Murarka:

Sunil Samdani:

Abhishek Murarka:

Sunil Samdani:

Abhishek Murarka:

Sunil Samdani:

Abhishek Murarka:

Moderator:

Anand Dama:

Sunil Samdani:

Anand Dama:

Sunil Samdani: Okay, so the outstanding portfolio now there is about Rs.1700 crores, is it?

This claim is as of March 21st, so it has nothing to do with current outstanding the eligibility is of the earlier day.

Okay and just a few data keeping questions so can you share the movement of NP As as in the write-offs and recovery upgrade as well.

Yes, so as I mentioned the slippages including slippages from restructured pool stands at Rs.1125 crores, the recovery and upgrade is Rs.538 crores. So, the net addition to NP A is Rs.588 crores, there is no write-off during the quarter.

Okay and finally just a state-wise break-up of the restructured MFI so you gave out overall restructured break up just the MFI Rs. 2140 crores if you can give a state-wise break-up.

Rs.2140 crores is the restructured portfolio which will come out of restructuring in Q2. In addition to that what has already come out in Q1 those customers are part of DPD. So, the total restructured pool is one which is yet in restructuring as of June 30th and the one which has come out of restructuring as I mentioned was Rs.4661 crores and I have already shared the top two state which is 90% of it.

Okay. So, just the EEB you would not have West Bengal and Assam, how much that split would be?

Yes, as I mentioned of this Rs.4661 crores of EEB structuring book, Rs.2140 crores

Okay. Got it. Sorry, clear now. Thanks those were my questions.

Thank you. Next question is from the line of Anand Dama from Emkay Global. Please go ahead, sir.

Yes, thank you sir. First of all, in case of Assam, we talked about the SMA pool but have we done 100% billing in Assam or the billing is still incomplete?

When you see billing means, the demand, once we will come out of restructuring, the demand has been started again on April 1 " now.

No but for the standard pool would you have done basically the entire billing for this quarter or because of the floods and all, you would not have raised demand and because of which that may reflect even into SMA pool.

We have not stopped any demand even for a day.

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Anand Dama:

Sunil Samdani:

Anand Dama:

Sunil Samdani:

Anand Dama:

Sunil Samdani:

Anand Dama:

Sunil Samdani:

Anand Dama:

Sunil Samdani:

Moderator:

Karthik Chellappa: Okay, we have not done that and what is the situation over there, the floods have receded, the meeting have again started or like how do you see no collection standing out over next 2-3 quarter.

The meetings have started happening, the collection for July is better than June and we expect by December we should be back to normal.

Okay and when you say normal means that there will be still some stress which will flow into the SMA pool barring what we had seen at this point of time or the current SMA pool is still to come down?

No, it should come down because as those customers who have already flown once the repayment starts the impact of floods goes away, even the stress pool should reduce. Because if our collection efficiency improves from 93% to 96%-97%. The overall outstanding will also reduce.

And sir, is there is any scope of because of this flood kind of natural disaster being there, as far as to the government or basically RBI could allow you to do further restructuring in Assam specifically.

That is a possibility if they notify that is as a natural calamity then there is an option to Bank to avail the benefit

Okay and that basically, state government has to notify that is a natural disaster or the central government.

The state govt. has to recommend and then the SLBC will notify.

Okay sir. And sir, lastly your staff cost is quarter-on-quarter higher. Is there any one-off over there or like this is a new normal that we are going to see?

Quarter-on-quarter is higher because we continued to recruit people in our non-micro segment. We had increase people in our micro-segment previous year, as we had to do the door-door collection. We are strengthening our retail and commercial banking finance, where the growth coming in, that will be the next growth driver and also the impact of premix.

Thank you. Next question is from the line of Karthik Chellappa from Buena Vista Fund Management. Please go ahead, sir.

Good evening, thank you very much for the opportunity, sir. Just two questions from my side.

Firstly, if we look at the various buckets whether 1 to 30 and specifically 60 to 90 as well as NPL. West Bengal has seen a far higher increase than the rest of India. Although in your opening

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comments you mentioned that it is because of the restructured pools spilling over. Are there any specific factors at play in West Bengal which is making the ratio inferior at least to rest of India.

Sunil Samdani:

Karthik Chellappa:

Suresh Iyer:

Karthik Chellappa:

Suresh Iyer:

Sunil Samdani: Not really, because the restructuring was more and we have already shared the number. So, with restructured portfolio is more in West Bengal and Assam and the flow to DPD will also be higher

on those states. And the reason, they are part of DPD buckets because they are paying part installments.

Ok got it. The second question in on the housing portfolio despite the growth starting to revive, the NP A ratio still seems to be sticky at 3.4%- 3.5%, why do you think that is the case and can I also have the restructured number for the mortgage book separately.

So, the housing book actually because the recovery efforts could particularly in terms of the SARF AESI have been initiated only for September 2021 when the Supreme Court embargo came out that you cannot take any coercive action. So, the impact is now getting visible and we should see some improvement going forward. So actually, we have seen some turnaround in the kind of books but as the restructured pool also keeps coming out and some more things keep getting added. So overall there is not much of an improvement which is seen right now but the impact of the recovery effort that are being initiated are kind of getting visible and we should see some improvement going forward. So that is in terms of the portfolio. Second question as regards to restructured pool so we have a total restructured pool in the housing portfolio which is about 1,171 the entire portfolio has come out of the moratorium period because the last pool actually got over in March. So now the entire pool is out of the moratorium and the EMI have started commencing and there again there has been a little bit of gap in terms of collection which again will be covered in the coming month because after 18 months' gap when you are again going back to the customer. There is slight difficult in coming back into the mode or habit of coming to a payment every month. So, that is what is the issue.

So, the restructured balance per se is zero but it is either sitting in NPA or SMAI or 2 bucket or they have started to pay, is it?

Yes, they have started. So those who have started paying there are also huge amounts of regular customers also but yes there are some cases which continue to be in the SMAI, 2 and few in the NP A bucket also. But all of them, the EMI has commenced and the last second branch that had also been given which was for 12 months have also got over and have the EMIs have started commencing from April onwards.

So, Karthik let me give you a sense of restructured book of housing. Everything is out of moratorium as of March 31st 2022 and of that it is less than 4% which has slipped to NP A of the total restructured pool. 80% is still in SMA0 or current and the balance 10% is in SMAI or 2.

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Karthik Chellappa:

Sunil Samdani:

Karthik Chellappa:

Sunil Samdani:

Karthik Chellappa:

Sunil Samdani:

Karthik, Chellappa:

Sunil Samdani:

Karthik Chellappa:

Moderator:

Mayank Gulgulia:

Sunil Samdani:

Mayank Gulgulia:

Sunil Samdani:

Mayank Gulgulia: So strictly speaking out of the Rs.530 crores which was the fourth quarter balance in the housing book only 10% is either SMA 1 or 2, the balance is either into NP A or has been collected, right?

No which number are we looking at?

At the end of the fourth quarter last year. The restructured book under housing was it something like 5.3 billion?

Correct.

And that you are saying right now 10% of that which is basically 530 million or so is still in SMAI or 2 whereas the balance either is current or some of it has slipped into NP A, right?

So, 5% has slipped into NP A, rest is current.

Okay, rest is current and 10% is basically is still in SMAI or 2, okay.

Yes.

Okay, this is very clear. Thank you very much Sunil and wish you and team all the very best for the remaining quarters, that is all from my side.

Thank you. The next question is from the line of Mayank Gulgulia from SBI Life. Please go ahead, sir.

Hi sir, just follow up question on CGTMSE. So, like we will be making the application in the month of October when they will be receiving the confirm there.

Typically, in two months' time. So, in Q3, we should have it in place.

Okay, and one follow up on Assam guarantee scheme, you share previously that Rs.1500 crores was supposed to come in this quarter which might have deferred from next quarter, this is for Rs.1500 crores for Bandhan Bank or for entire MFI vendor?

So, what Assam government what we hear and this of course is from the media reports right so there it says that, Rs.1500 crores have already been allocated for the delinquent bucket. So, there are three categories zero DPD which is over, second is delinquent, third is NP A. So, this Rs.1500 crores is the for the delinquent bucket which they have culled out from their bucket and that is for the entire delinquent bucket and this was to start in Q2 but because of floods, we understand that they will do it in Q3 now.

And what is our share in that Rs.1500 crores.

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Sunil Samdani:

Mayank Gulgulia:

Moderator:

Jai:

Sunil Samdani:

Jai:

Sunil Samdani:

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Sunil Samdani:

Jai:

Sunil Samdani:

Jai:

Sunil Samdani:

Jai:

Sunil Samdani: It is about 60% should be our share, very difficult to quantify exactly but since our market share then was 60% and we should assume 60% here as well.

Okay that was helpful. Thanks a lot.

Thank you. Next question is from the line of Jai from B&K Securities. Please go ahead, sir.

Hi sir, thanks for the opportunity, most of the question have been answered, I just wanted to get the total restructuring number at Bank level if you can provide that.

For the total restructuring outstanding today as on June 30th is Rs.5800 crores.

Which is broadly unchanged, right because the last quarter was also Rs.5890 crores something.

No, unless we are comparing EEB to total because every quarter we recover 5% of the restructured pool.

Okay, because the number I have for the last quarter was Rs.5890 crores if you can share the last quarter if you have that, otherwise.

About Rs.6150 crores.

The second question is sir on provisions, so total provisions at Bank level if I see from gross minus net NP A is around Rs.5200 crores and what is the over and above provisions which are not flowing into the PCR at Bank level.

The overall provision that we carry is about Rs.8900 odd crores.

Okay but a part of this would be such provisions which are 100% provided. See you are given Rs.7600 crores provisions and EEB portfolio. This includes specific plus non-specific everything, right?

Yes, other than the regular standard of provision.

Right and the total provision is Rs.18900 crores at the Bank level specific, non-specific. And last two things sir. Actually, one is if you have the ECLGS number handy for the Bank outstanding or disbursed whichever way and if you also have the write-offs for EEB for FY 2022, this quarter it was nil and the write number for 2022.

For in 2022, we did Rs.3225 odd crores.

Jai: For EEB, right?

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Sunil Samdani:

Jai:

Sunil Samdani:

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Sunil Samdani:

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Sunil Samdani:

Jai:

Moderator:

Manish Shukla: Yes, Rs.3243 crores.

Sure.

And what was your next question.

Sorry sir, ECLGS number outstanding

I do not have it handy, I will check and come back.

And sir just to double check sir, the total provisions is Rs.8900 crores of which 52 billion is specific at Bank level. So, around Rs.3700 crores is non-specific provisions, Is this right?

You can say that but I will have to check how whether we have allocated to a particular because we normally have allocated some provisions to restructure customers as well.

Right and what is the provisions against let's say Rs. 5800 crores. I think you mentioned some PCR on RSA also.

Yes, so my restructured book of Rs.4661 which is the EEB which 90% of the restructured book against that I have a 75% coverage.

Sure, I think that tiles up then okay great. And last thing sir, on opex, there is a clear acceleration in the opex growth at a time when of course the revenue has been slowing down so how should one look at opex growth for the full year, let's say.

No, we are looking at a full year growth of 20% so clearly, we do not see a scenario where the revenue is going down and the opex will go up. There is always a timing difference once you introduce the increment immediately next quarter gets impacted and for us the growth comes in the second half. Our opex to assets continues to be in that range of 2.8% that has not gone up. And it should not go down it will go up also, right? This is what should happen.

Yes, it will not directionally it will come down as my portfolio gets built which typically happens in the second half

Sure, understood sir. Yes, that is all from my side.

Thank you. Next question is from the line of Manish Shukla from Axis Capital. Please go ahead.

Good evening and thank you for the opportunity, just taking for the opex question forward as the business mix evolve towards a target over the next three years, how do you see the opex to assets trending?

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Sunil Samdani:

Manish Shukla:

Sunil Samdani:

Manish Shukla:

Sunil Samdani:

Manish Shukla:

Moderator:

Praful Kumar: No, if you talk about three years, we see opex to assets at 2.5% to 2.6%.

Okay, alright, the second question is on net interest margin now you have the dynamic of changing business mix as well rising cost of funds environment. So how should we think of our steady set on normalized margin for you.

No, see net interest margin depends on the interest rate environment going forward. It depends on how the interest rate moves, how much the deposit cost moves and how much we are able to pass it on to the customer. But broadly, we are looking at in this range of 8% +/- 20 basis point. Okay sir despite the rising rate environment and change in asset makes you think you can hold on to the current level of margins as the mix changes, we do not see margins trending downwards.

If we talk about FY 2023, yes, longer term clearly the trajectory will be lower but FY 2023, yes.

Okay understood. Thank you. Those were my questions.

Thank you. The next question is from the line of Praful Kumar from Dymon Asia. Please go ahead, sir.

Sir couple of basic questions, one Bandhan is known for its extremely loyal customer base. Over the last couple of years there was lot of turmoil. What has been the customer attrition at the Bank level in terms of customers that we lost over the last two years?

Chandra Shekhar Ghosh: Customer lost is a normally we are lost in year-on-year basis to 9% normal time and out of that

in the 5% are, we have rejected, 4% they are rejected because of the age or they not like to take the loan further. So, this is a normal point of the customer curve.

Praful Kumar:

Sunil Samdani:

Praful Kumar: That is a normal consideration but sir now you have a significant book that was under MORAT, there was a significant that is restructured and in that period these customers being now very high on cashflows would need more funds. So how does it happen then in terms of how they fulfill their needs in terms of money requirement.

No, as far as we are concern, we have given them moratorium restructuring, that is the best we can do and our policy is one loan so unless the loan gets cleared, we do not offer further loans, Correct that is what I was trying to understand. Since it is restructured it is an NP A and they will need more cashflow. So generally, there has to be customer attrition which logically has to be much higher in such scenario because they will go to somebody else to borrow and we cannot talk it up in terms of our loans because it is either NP A or moratorium or restructured.

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Sunil Samdani:

Praful Kumar:

Sunil Samdani:

Praful Kumar:

Moderator:

Nitin Aggarwal:

Sunil Samdani:

Moderator:

Param Subramanian:

Sunil Samdani:

Param Subramanian:

Sunil Samdani: So that is one way to look at, the other way to look at, which is what, we are seeing is the customer takes more time to repay. They are under NPA, 73% of them pay which means they are paying part installments. Similarly, is the case for restructuring. So, they will take longer to repay their loan and once they clear their loans. They will be eligible for the new loan.

Sir, my question is once they start partly repayments can we give them more loans or they have to clear up certain threshold before we disburse them or top-up the loans, how it works?

We do not do top-up loans and we have a policy of one loan. Unless they clear, the loans, we do not allow them fresh loans.

Got it. Alright sir. Thank you, sir.

Thank you. Next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead, sir.

Hi thanks for the opportunity, sir most of my questions has been answered but just one clarification around the credit cost which you talked about that you are keeping the estimated broadly unchanged for FY 2023. So how confident, we are on this because if we look at like our SMA numbers have doubled on a sequential basis. So, what gives you the confidence to keep the credit cost which is almost unchanged.

No, as I mentioned my coverage on restructured and gross NPA is more than 75%. And on top of that I have the CGFMU guarantee and there is probability on the Assam Relief Scheme Funds as well. And the way to look, if 73% of my NP A, customers are paying, 57% of my restructuring customers are paying, we are confidence of recovery from these customers as well. So, with all of this. I think we are fairly confident that for the full financial year, we should be in that range.

Thank you. Next question is from the line of Param Subramanian from Macquarie. Please go ahead.

Yes, hi thank you for the follow up, just one data query the RIDF bonds that you have outstanding, so in the annual report you are showing as Rs. 33,000 crores, what is it currently since you said in Q1 also you made incrementally some RIDF investments and what is the margin impact that we are seeing in this quarter because of that.

So, the current outstanding is Rs.5632 crores, and the margin impact on NIMs because of RIDF is about 20-25 basis point.

20-30 basis point okay got it.

20-25 bps.

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Param Subramanian:

Moderator:

Rushikesh Bhise: Got it. Okay. Thanks Sunil. Thanks for that.

Thank you. The next question is from the line of Rushikesh Bhise from MoneyWorks4me.

Please go head, sir.

Well, thank you for giving me an opportunity for this but I think most of my questions have been answered.

Moderator: Thank you. As there are no further questions on behalf of Bandhan Bank that concludes this conference. Thank you for joining us and you may now disconnect your line.

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Call: Oct 2022

Ref. No.: BBL/245/2022 -23

October 31, 2022

BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400001
BSE Scrip Code: 541153 National Stock Exchange of India Limited
The Listing Department
Exchange Plaza,
Bandra Kurla Complex,
Mumbai – 400051
NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub: Transcript of the Earnings Call on the Unaudited Financial Results of the Bank for the quarter (Q2) and half -year ended September 30, 2022 – the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI LODR')

In continuation to our letter bearing Ref. No.: BBL/238/2022 -23 dated October 28, 2022 and pursuant to the provisions of Regulation 30 and other applicable provisions of SEBI LODR, we hereby submit the transcript of the Earnings Call hosted by Bandhan Bank Limited (the ' Bank ') on Friday, October 28, 2022, on the Unaudited Financial Results of the Bank, for the quarter (Q2) and half -year ended September 30, 2022. Further, the same has also been uploaded on the website of the Bank and can be assessed at the following link:
<https://bandhanbank.com/sites/default/files/2022-10/Q2YF23-Concall-Transcript-28Oct2022.pdf> .

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhanbank.com .

Thanking you.

Yours faithfully,
for Bandhan Bank Limited

Indranil Banerjee
Company Secretary

Encl. : As above
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"Bandhan Bank Limited
Q2 FY '23 Earnings Conference Call "
October 28, 2022

MANAGEMENT : MR. CHANDRA SHEKHAR GHOSH - FOUNDER -
MANAGING DIRECTOR AND CHIEF EXECUTIVE
OFFICER - BANDHAN BANK LIMITED
MR. SUNIL SAMDANI - CHIEF FINANCIAL OFFICER -

BANDHAN BANK LIMITED
MR. SHANTANU SENGUPTA - HEAD RETAIL BANKING -
BANDHAN BANK LIMITED
MR. KAMAL BATRA - HEAD RETAIL ASSETS -
BANDHAN BANK LIMITED
MR. SURESH IYER - HOUSING FINANCE HEAD -
BANDHAN BANK LIMITED

Bandhan Bank Limited
October 28, 2022

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Operator: Ladies and gentlemen, good day, and welcome to the Bandhan Bank Limited Q2 FY '23 Conference Call. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikash Mundhra. Thank you, and over to you, sir.

Vikash Mundhra: Thank you, Mike. Good evening, everyone, and thanks for joining the conference call. I wish you all a very happy and prosperous Diwali. It's our pleasure to welcome you all to discuss Bandhan Bank's business and financial performance for the quarter ending September 2022. We will take this opportunity to update you on the recent developments in the industry and Bandhan Bank during the quarter.

To discuss all this in detail, I've got with me our Founder, Managing Director and CEO, Mr. Chandra Shekhar Ghosh; our Chief Financial Officer, Mr. Sunil Samdani; Head Retail Banking, Mr. Shantanu Sengupta; Head Retail Assets, Mr. Kamal Batra; Housing Finance Head, Mr. Suresh Iyer; and myself, Vikash Mundhra, Head of Investor Relations.

Now I would like to request our Founder, MD and CEO, Mr. Chandra Shekhar Ghosh to brief you all about our bank's operation and financial performance, along with the developments for the quarter ending September 2022. Over to you, sir.

Chandra Shekhar Ghosh: Thank you, Vikash. First on behalf of Bandhan, I extend it to you and your loved ones best wishes on the festive season, Diwali. I thank you all for joining us this afternoon. This is the second quarter of this financial year, we are trying to explain our bank performance. I am pleased to state that, the July to September quarter of this financial year has been yet another quarter of good growth for the bank. This year's festive season started early and we have seen the effect of the sales in the previous quarter, not only for the bank, but for the entire financial services. As a result, credit growth for the bank has been encouraging.

The overall advances recorded a 22% growth for the year. The significant growth for the bank has come from the retail segment, including housing and MSME. However, including the write-offs, the advance growth will be 17.4% and total advances, INR 95,835 crores. The housing finance book has registered a growth of about 32% year-on-year and 5% quarter-on-quarter. We have seen that as a very good demand for housing loans across the country. We are planning to grow our housing book by more than 20% year-on-year.

The retail loan book other than the housing finance book, consisting of personal loan, gold loan, two-wheeler loan and auto loan, has grown by 111% year-on-year and 19.5% quarter-on-quarter. The commercial banking vertical consisting mainly NBFC, SEL and SME loan with 96.2% growth year-on-year and 15.4% quarter-on-quarter.

One important point I would like to highlight that, when we look at the loan book growth other than microcredit book, we have seen a growth of 52%, which is very encouraging for the bank. The growth in this segment is a welcome sign for the bank as this is in line with the bank's portfolio diversification agenda and also in line with the trend of increase in business with the onset of the festive season.

We are confident that quarter 3, like each year will continue to further peak our business growth. As I stated earlier, the second quarter of the current financial year coincides with the festive season and have seen stable momentum in economic growth as many businesses returned to normalcy, given the significant increase in the confidence among the population of managing COVID.

Bandhan Bank Limited
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We are happy to see sign of strong demand for credit in most of the business in the second quarter. However, in line with our diversification agenda and further strengthening of the credit

underwriting standards, we have seen some de-growth in the microcredit business. During the quarter in review, deposit has grown 21.3% year-on-year, amount was INR 99,366 crores. In line with our aim of building a robust and granular retail deposit franchise, our CASA deposit has grown 11% year-on-year to INR 40,520 crore and the CASA ratio is at a healthy 40.8%. The retail to total deposit ratio stands at 74%. There is a slight dip in the CASA ratio as we have seen a shift of deposits from savings to FDs due to an increase in deposit rates in the last two quarters. A few numbers show strong momentum in our portfolio diversification agenda, which I've mentioned in here. The share of housing loan book of the total growth of the loan increased to 27% from 24% year-on-year. The share of group loan to our total loan book has come down in -- 40% from 57%, which is called as a microcredit loan. Our share of commercial banking loans has grown from 9% to 15% in the total loan book year-on-year.

Along with the business growth in advances and deposits, we have also seen very encouraging collection efficiency trends during the quarter. We have seen a good improvement in the overall collection efficiency, which is 98%. The collection efficiency for microcredit, vertical, excluding restructure and NPA, improved substantially to 98% from 86% in the quarter 2 of the last year.

With people's livelihood coming back on-track, we have observed that there was an eagerness amongst our customers to standardize their accounts in order to continue to enjoy the benefit for formal credit by maintaining a healthy credit record. We have seen the strong collection efficiency despite the spillover effect of the Assam flood and the current inflation. Our collection efficiency excluding restructuring in Assam for EEB customers has increased from 95% to 96% and in West Bengal remain the same, 98%.

With business growth and improvement in collections, we have seen our net profit for the quarter at INR 209 crores against a net loss of more than INR 3,000 crores in quarter 2 financial year '22, which was due to higher accelerated provisions you know that. Our net interest income has shown a growth of 13% year on year. It has increased to INR 2,193 crores in quarter 2 financial year '23 from INR 1,935 crores in quarter 2 financial year '22.

Our net interest margin for the current quarter is about 7%, which is slightly lower from our comfort range of 7.5% to 8%, it is largely on account of one-off interest reversal during the quarter. We are sure we'll get in our comfort range very soon. Our gross NPA stood at 7.2% versus 10.8% in the previous year same quarter and our net NPA stood at 1.86% versus 3.04% in the previous year.

During quarter 2, the bank has seen improvement in the gross and net level compared to quarter 2 of the last year as well on sequential basis. However here we have to keep in mind few facts before coming to a conclusion. First one, majority of the slippage during the quarter have come from the account of restructure, which has happened during the pandemic period. Also in the last 2 quarters, we have not done any fresh restructuring.

With the initial trend and report from the ground, we are confident that quarter 3 and quarter 4 will see good improvement in performance of the bank across the all verticals, especially in microcredit. Many of our customers have been paying regularly and have nearly regularized their overdue account. But until the entire overdue amount is recorded, they cannot be categorized as non-NPA customer.

In the second quarter, 66% was NPA customers and 62% of our restructured customer paid their dues to us either in part or in full. From the recovery perspective, we have seen total recovery and upgradation for this quarter is INR 529 crores. We are engaging with our customers on a regular basis to encourage them to ensure timely payment and recovery, whenever needed.

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We are confident that it is only a matter of time, before these customers regularize their accounts fully after which we expect to see a significant drop in the gross NPA in the next couple of quarters. This makes our -- another comfort is where the PCR has come as a 76%, which was increased from 75% of the last quarter. Bank has done write-offs of INR 3,539 crores in this quarter.

Coming to the outlook for the rest of the year. As you all know, we are seeing the economic activity picking up and business coming back to the normal across the country. Bandhan has always had an ear to the ground given its distribution reach and we have observed that our customers' business have been gaining traction once again. We remain confident that this will have a positive impact on our business operations.

As the festive season continues, we remain highly optimistic about the pickup in demand from all quarters. We expect to grow our advances and deposits by 20% to 25% year-on-year, with our focus remaining strong on the retail segment. With our continued efforts in diversification, investment in technology, people and processes the Bandhan growth story remains strong and

promising. We have added about 8 lakh new customers in this quarter and also plan to open more 550 branches in this fiscal year. This will lead to fresh demand creation in the coming quarter.

I wish you and your family all the very best. Please take care and stay safe. Thank you. I invite Sunil Samdani, he would like to add some points with me. Thank you to all of you.

Sunil Samdani : Good evening, everyone. Wishing you all a very Happy Diwali and a prosperous new year. I'll take this opportunity to explain a few slides that we have presented in our investor presentation. Starting with Slide number five, the collection efficiency. A few things to observe here, while Assam, we have shown an improvement here quarter-on-quarter and we see this trend continuing. So hopefully in next quarter, we'll see Assam collection efficiency to be no different than the rest of the country's collection efficiency. At an overall level, it stands at 97% for the month of September and for the quarter, it is 98%. This drop of 1% in September is largely on account of floods that we saw in various states in the month of August and we see that impact going away starting October.

In terms of customer paying profile, it continues to be healthy at 94%. customers continue to pay in full. 5%, the partial payment and 1% is nonpayment. But of course, these all customer base excludes the NPA customers and the restructured customers. Including restructuring, the collection efficiency, excluding NPA, is at 95%, which is an increase of 1%. If we compare it with June and for the quarter, it is 96%, an increase of 2% if we compare it with June quarter and this increase is largely contributed by the increase in collection efficiency from the state of Assam.

So now we are at a trend where we will see all our core geographies, as well as rest of India to perform in line across all the geographies and the states in the country. Our share of receivables continues to be stable at 92% full paying customers, 6% part-paying customers and 2% nonpaying customers.

I think the next slide, which is the Slide number seven, requires some explanation because I have been receiving a lot of queries on the part-paying and the nonpaying customers. When we say that 62% of the customers pay then why is it that we see these flows into the DPD bucket? So this 62% or 66% customers, whether it's restructured or NPA, are paying -- this is on the basis of customer

count who have paid us in part or full. Now when we say part-paying customers, clearly, these customers don't pay the full installments. So what we would want to now present to you is in value terms, how does it look like? If I have to jot down the list of all my customers and mark against them what is the percentage of installments they are paying
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against their demand, the average, including the nonpaying customers, for my NPA and restructured customer base, works out to 25%.

So that's including the nonpaying customer of 34% or 38%, as the case may be. So between paying, nonpaying, all customers part-paying and nonpaying customer base, the average recovery that we are making is 25% of the installment amount.

Now coming to the DPD, right. While we have taken a INR 3,539 crore write-off, there would be a question that why we see the percentages in the DPD bucket remaining stagnant or flat. Now two reasons here. One is, of course, these are percentages and not the absolute amount. So on an absolute amount basis, there is a INR 900 crore reduction. But since our EEB book, which includes the group and individual together, has come down, the percentage looks higher. And secondly, the second tranche of restructuring, which came out of restructuring starting 1st July, which was shown as standard 0 DPD customers as part of restructuring. They have also flown, which is about INR 2,500 crores. So adjusting for that and write-off, at an overall level, we are still seeing an improvement.

Now coming to the Slide number 9, which is the stress pool coverage analysis that we present every quarter. Now the stress pool has come down largely because of the write-offs that we have taken and for that, we have utilized also some part of our provisioning that we have created. But we still continue to remain very confident that the coverage and the recoveries that we are expecting, we should be able to meet the entire stress pool.

Now what is also important here to understand on the stress pool is when the restructured customers become NPA, the requirement of provisioning goes up. And that is where our provisioning, on one hand we've utilized it for the write-offs, but we need to create it more for the NPA customers.

The second important aspect is; you might have noticed that we have reduced the recovery estimate from INR 25 billion to INR 15 billion. Now two parts here, two things that I want to mention here. One of course, we are going a little conservative here. We don't want to peak a situation where we have to defend the number which is lower than what we projected. So we've

gone with a number which we are more than 100% confident of recovering it and if these things go right the way it went in Q4, there could be an upside there.

And the second aspect is we have tightened our credit norms for our – and what we are saying today is that we will not extend loan to our customers who are in NPA category in near future.

So, what essentially it means is, it also will have a small impact on our collections, right? But the reason we have to take this call is we have to set that discipline right.

What we are observing, that despite giving moratorium and restructuring, we've observed a small portion of our customers, where we believe that they have the ability to pay but still there is a question mark on the willingness. Now while we can expect the ability issue, clearly, willingness is something that we would not expect and we have to bring back that credit culture which is what we were so proud of. And accordingly, what we have decided is we have to tighten those norms. We have to give a clear messaging to those customers because we don't want these 2%, 3% of customers spoiling the entire group discipline and the behavior. So the messaging from our side is, if after giving you all the opportunities, if we don't see the re-

coveries coming in, we

will not be extending you a fresh loan. Because of this change in credit norms, we are seeing -- we are budgeting it a small reduction in the recovery, and that's why this reduction in the number.

Now CGFMU recovery of INR 25 billion. So as we mentioned earlier, this comes in two parts, one which we have applied in the month of October. So that amount is about INR 950 crores that we expect to receive in the month of November. By November end is something that we expect this amount to come in.

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As per the claim, we had filed the claim of about INR 1,390 crores based on the first loss and the 25% retention. This number has been calculated. The other adjustment that has happened in this number is INR 95 crores of recovery that we have made since March '22 from these NPA pools. So to that extent, the recovery has come down. So we had estimated a number of INR 1,000 to INR 1,100 crores. Since we have already recovered INR 95 crores from this customer, now the exact number that we have filed and as per the system download we have got from the CGFMU, the eligible amount is around INR 950 crores. So that is the number we are expecting it in the month of November.

The balance cream we should be placing it in the first quarter of the next financial year, if we see slippages, and as we see that in this quarter that there has been a INR 200 crore more slippages than what we had anticipated, that number of INR 1,500 crores, what is left for the next quarter, can also go up. So the maximum we can claim is INR 3,000 crores. What we are -- but we are still conservatively budgeting it at INR 25 billion and not INR 30 billion.

I hope you will have more questions. Happy to answer them. Thank you very much.

Moderator: Thank you. We will now begin the question -and-answer session. Participants who wish to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, will wait for a moment while the question queue assembles.

We have the first question from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Sir my first question is on the retail asset growth. So obviously it has been growing well and it grew well this quarter and but competition in this segment is also very intense and you are a relatively new player. What has been your strategy all this while? What has been driving this growth?

Sunil Samdani : Kamal, you want to take that?

Kamal Batra : Yes, sure. Thank you, Sunil. I am, I just like to tell you, we have a large franchise. And frankly, at the level that we are and the growth rates, so we can frankly show a lot more growth with the already existing franchise. So I have 1,200 branches, another 4,500 banking units. So all put together, all of these customers and many of them, even if I am able to tap single-digit percentage of these customers, that gives me enough fuel for growth for many coming quarters.

Mahrukh Adajania : Sir, got it. But my question was, is there any geographic concentration? Or because you're always a very strong brand in the east, so...

Kamal Batra : So ma'am, if I can tell you this, of course, what you said is absolutely right, that we are a very large brand in the east. But I can tell you broadly, right now, only 1/3 of my retail assets come from the whole east put together, which will be all the states of the east. And I have almost like the rest of the portfolio is split equally between the three parts of rest of India, North, South and West. Because if you see, on the micro finance business, we have a lot of business on this side of the country.

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But if you see also we have a lot of ass

et businesses, and housing finance customers who are there on the west side. And so we are very conscious. Anyway, the bank is working a lot on the geographical diversification so we are, in fact, very conscious, and I have like between 30% to 32% of retail portfolio in East and rest is spread 1/3, 1/3, 1/3 in rest three parts of India

Mahrukh Adajania: And what would be your slippage for the quarter?

Kamal Batra : Slippages for retail assets? Overall slippage is...

Mahrukh Adajania : No, the total slippage for the bank of which if you can call out the EEB figures separately.

Kamal Batra: Yes, I'll go back to Sunil. Sunil, over to you.

Sunil Samdani: Let me take that. The total gross slippages for the bank is INR 3,954 crores, of which EEB slippages is INR 3,624 crores. Total recoveries and upgrades is INR 530 crores, of which EEB is INR 360 crores. And write-off we've done is only for the EEB portion, which is INR 3,539 crores.

Moderator: Thank you , participants who wishes to ask a question may press star and one on their touchtone telephone We have the next question from the line of Karthik Chellappa from Buena Vista Fund Management.

Karthik Chellappa: And Diwali wishes to the management team. I have three questions. The first one is given your outlook on collections and improvement in the NPA ratios, what is the kind of credit costs you are expecting for FY '23?

Sunil Samdani: So Karthik, we were guiding for a credit cost of 2.5%. But given that we have reduced our recovery number from INR 25 billion to INR 15 billion, we now look at -- and this is for a reason, because we don't want years coming to have a more than normalized level of NPAs and slippages, so we have increased our credit cost guidance to 3% with a plus or minus of 15 basis points.

Karthik Chellappa: 3% plus or minus of 15 basis points. Second question, Sunil, is if I just look at the various buckets, the 1 to 30, 31 to 60, 61 to 90 and the NPA for the rest of India, almost all the buckets have seen a sequential deterioration of various magnitude. Which are the principal regions which are contributing to the slippage? And could you give your thoughts on how do you see that playing out in the second half?

Sunil Samdani: So two things, Karthik. When we look at the slippages number, there are two factors which has impacted the slippages. One is the portfolio coming out of restructuring. That is one reason. And the other reason, particularly in the early bucket, is the flood season that we had gone in the Q2 of this financial year.

So as the portfolio which came out of restructuring and the second restructuring -- we had two parts of restructuring, one came out in the April month and the other came out in July. The R2

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restructuring had a reasonably good share comparatively than the R1 restructuring of the rest of India. And that is where we see some slippages in rest of India as well.

Karthik Chellappa: And when you spoke about the flood, Sunil, apart from Assam and rest of India, which were the other regions impacted by the floods?

Sunil Samdani: So we had floods in for some parts in Bihar and MP.

Karthik Chellappa: Last question from my side is, if I look at the mortgage book, sequentially also the NPA ratio has gone up. And in absolute terms, the NPA has also gone up by about 13 -, 14-odd percent, which looks pretty high. Whereas most of the other HFCs are actually, showing some improvement. So could you please comment on what is driving this?

Sunil Samdani: You're talking about the housing book?

Karthik Chellappa: Yes, the housing book sequential NPA amount, both in absolute terms and percentage terms, seems to have gone up.

Sunil Samdani : So housing book, we had a onetime adjustment of INR 62 crores for a technical reason, and that is why this has gone up. And we expect this INR 62 crores to be reversed

in next 2 quarters.

Suresh, you are there on the call?

Suresh Srinivasan Iyer: Yes.

Sunil Samdani: Could you please elaborate that.

Suresh Srinivasan Iyer: Yes. So basically, the INR 62 crores is mainly on account of a small system-related issue where, for some reason, the tenure of the loan has increased because -- at the time of prepayment. So this was mainly not the fault of this thing because -- mainly on the prepayment made by the customer. So because of that, as per the technical norms of the RBI guidelines, this tantamount

to restructuring, although it was not at the restructuring for a default customer. And on the contrary, it was a prepayment.

But technically, as it was mentioned, it is to be treated as it is. So we have taken that as a -- on a very conservative side on the -- we have taken it and shown it as an NPA, which obviously, since the accounts are regular and they are continuing to perform, will come out of it automatically because they are performing accounts.

Karthik Chellappa: So this was actually a prepayment, but you have actually classified it as an NPA. What was the logic? It seems a bit unusual.

Suresh Srinivasan Iyer: Yes. So basically, in terms of tenure, you cannot give a tenure increase to the customer, it tantamounts to a restructuring. So on the face of it, it is a prepayment, but the customer wanted a reduction in the EMI. And since the system control was for some -- was not there, the system allowed a lower EMI to be accepted, which resulted in a tenure increase beyond the original

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tenure. So that, on a technical side, as per RBI guidelines, will tantamount to a restructuring, although the accounts are such performing accounts.

Moderator: Thank you. We have the next question from the line of Kunal Shah from ICICI Securities.

Kunal Shah: Yes. So when we look at it in terms of the slippages, even outside of the restructured pool, that seems to be much on the higher side. So INR 3,900 and maybe INR 3,600 for EEB. And when we look at maybe the disclosure which is there in terms of the slippage from restructure, that's hardly 35% of the restructured pool.

So still, it seems to be much on the higher side. So one could be Assam, but otherwise, what are the factors which are really impacting that? And what should be the steady-state slippage levels given this kind of a collection efficiency which we have currently at around about 97 -odd percent?

Sunil Samdani: So Kunal, the slippages, as you mentioned, is higher. One reason is because of the customers coming out of restructuring, right? And if you see, our customers in EEB segment came out of restructuring into transit. What came out of restructuring after 31st March did not slip fully into NPA on 30th June because there was an element of part payment and 90 days DPD was not there.

So similarly, the customers which came out of restructuring on first of July, there is a portion which is still standing in 60 to 90 bucket, which we expect it to flow during the Q3.

Kunal Shah: Yes. No, I'm just saying outside of restructuring, so when we look at the disclosure, out of INR 7,000 -odd crores, almost maybe INR 2,500 odd crores have slipped into NPL over a two-quarter period. So still, there seems to be like unusually high slippage of INR 1,500, INR 1,600 -odd crores in this quarter.

Sunil Samdani: So I will have to do, because I'm not too sure from where you're looking at this number of INR 1,500 crores of gross slippages outside restructuring.

Kunal Shah: Sir, total is INR 3,600 crore. And if you can just highlight in terms of how much was from the restructuring. EEB, I'm talking about EEB, yes.

Sunil Samdani: Wait for a minute. Yes. So if I understand your question right, you want, out of the slippages, what portion or what amount is non-restructured?

Kunal Shah: Yes.

Sunil Samdani: So that is about

INR 1,200 crores.

Kunal Shah: That is INR 1,200 crores. Okay. So that's still running at the run rate of more than -- sir, INR 1,200 crores, okay, in a particular quarter, so that is, again, a very high proportion, looking at INR 58,000 -odd crores, that is still a much higher run rate, more than 8 -odd percent. So just wanted to see in terms of what is the scope of improvement in this steady-state slippage number

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as well? Because overall, when we look at -- in terms of the collection efficiency, that is 97 -odd percent which is lower than the peers, yes.

Sunil Samdani: Right. So again, as I said, two things here. You have two-pronged questions. One is what is the steady-state slippages that we expect outside restructuring customers. So that number, according to us, should be in that range of INR 700 crores to INR 800 crores, right? And we are talking about the gross slippages, not the net slippages.

Now why this number -- your second question was?

Kunal Shah: No, sir, I was just saying that's the steady-state number, yes. Okay.

Sunil Samdani: So that's the steady-state number that we should look at. If I'm guiding for 2.5% credit cost, so

net of recovery, that will lead me to that number.

Kunal Shah: And secondly, in terms of the development with respect to PSLC. So now what happens with respect to the pool which was classified in '21, '22? Any observations which have been there maybe post if any audit would have taken place. And was there any further increase in the RIDF pool?

Sunil Samdani: So my RIDF pool, that too first thing is, whatever they have disqualified for the '19, '20 that's the only disqualification. For next year, there is no further disqualifications.

Now your second question with respect to RIDF, we have deposited further INR 685 crores in RIDF during the quarter. And this number now stands at INR 6,400 -odd crores. And the terminal number, ultimately, we have to deposit INR 7,000 crores into RIDF, as we mentioned this earlier as well. So INR 600 crores is more we should expect.

Kunal Shah: Sure. And this disqualification is very clear, that now it will not happen for the '21, '22 balance sheet for sure.

Sunil Samdani: For that, we have the confirmation from these. There is no doubt there.

Kunal Shah: Sure. And one last question on wholesale deposits. So what was the reason for going so aggressive in terms of mobilizing the wholesale deposits as such? Otherwise, I think growth was not any which ways so high. And CASA accretion is still continuing. So if you can just highlight in terms of what led to this kind of a strategy?

Sunil Samdani: So see, the bulk deposit was higher this quarter for two counts. One is we had to deposit this RIDF money this quarter. There was a repayment of refinance this quarter of about INR 1,500 crores. So both put together, we had to replace this and we chose to do it with the bulk deposits.

Kunal Shah: Okay. So that's the reason INR 5,000 -odd crores net increase.

Sunil Samdani: Yes. So you see my borrowings have come down and bulk deposits have gone up.

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Moderator: Thank you. Participants who wish to ask a question may press star and one on your touchtone telephone. We have the next question from the line of Jai Mundhra from B&K Securities. Please go ahead.

Jai Mundhra: A couple of questions. If you can share what is the...

Moderator: Mr. Mundhra, if you could kindly come closer to the mic or off the speaker phone. We are unable to hear you very clearly.

Jai Mundhra: If you can share the restructuring outstanding number outside EEB, if there is any restructuring stock?

Sunil Samdani: There is INR 180 crores which is still under restructuring. Otherwise, while there are customers outstanding, but they are out of restructuring, which means the normal de

mand is getting generated.

Jai Mundhra: This is non -EEB portion, is it?

Sunil Samdani: This INR 180 crores is non -EEB, yes.

Jai Mundhra: Right. And sir, on your slide five, so collection efficiency in non -restructuring book is now 98%. If you can -- so two questions here. This 98%, how should we look at it going forward? Is there any scope for further improvement? Or you think this is like a new normal? Of course, you mentioned that Assam may see a bit of an inch up. But on an overall basis, 98%, how should we look at this number?

Chandra Shekhar Ghosh: If you see that the collection efficiency is it some seasonalities there. First two quarters, it is always a normal time also, may come back, this is 97%, 98%. The next two -- last two quarters, it has come 98%, 99%. So this is a seasonality, not in exceptional or anything on that. So I hope that in the next two quarters, it will become to a little bit better position.

Jai Mundhra: Sure. And just because -- so collection efficiency hopefully will improve in non -restructuring book. Is there any number outstanding in EEB, which is still restructured though they have been moved to SMA -1, 2, but I think this does not include restructuring at all. So what is the quantum of restructuring EEB book outstanding as of 2Q? I mean it would make things...

Sunil Samdani: Restructuring, there is no customer which are still in restructuring as far as EEB book goes. That number I already mentioned, outside EEB. As far as EEB goes, there is nothing outstanding on restructuring. And whatever these customers are, they are either in current or DPD bucket or NPA bucket, depending upon the payments they have made.

Jai Mundhra: Right. So from next quarter, the collection efficiency should be one number. I mean there's no -- there would not be any concept of restructuring and outside restructuring collection efficiency?

Sunil Samdani: That's right. That's correct.

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Jai Mundhra: Right. And the last question, sir. If you can quantify what is the total specific provisions is I think, is there. But what is the non-PCR provisions that you are holding at the bank level? And of course, the -- excluding the regulatory standard asset provisioning?

Sunil Samdani: Excluding regulatory standard asset provisioning, what we are carrying today is about INR 1,150 crores.

Jai Mundhra: So this INR 1,150 crores is on top of specific provisions of some INR 5,300 crores, roughly?

Chandra Shekhar Ghosh: We also can we add the recovery we are expecting from the CGFMU, though it is not in a provision amount, but it is a realizable amount. So that is another INR 2,500 crores.

Jai Mundhra: Correct. So just to get this correct, so the total specific provision is around INR 5,200 crores. And then on top of that, we have INR 1,150 which is on top of specific provisions.

Sunil Samdani: Yes.

Moderator: Thank you. Participants who wish to ask a question may press star and one on your touchtone telephone. We have the next question from the line of Saurabh from JPMorgan. Please go ahead.

Saurabh: Sir, the first is, what will be the impact of this interest reversal on your NIM for the quarter?

Sunil Samdani: The interest reversal amount for the quarter is INR 298 crores, and the impact of NIM is about 80-82 basis points.

Saurabh: Okay. Got it. Secondly, just credit cost guidance, Sunil, which you've given 3% plus minus 15 basis points. That's incremental or for the full year fiscal '23?

Sunil Samdani: For the full year.

Saurabh: So basically INR 2,800 crores - 2,900 crores of which you have done INR 1,800 crores in the first half. Is that the right way to think about it?

Sunil Samdani: No, I don't want to quantify that number. But yes, we can do the math that overall number too, which is same...

Saurabh: Okay. And sir, the write-off policy from here on, would you

have a write-off policy that will

write off loans at 180 days? Or will it just be like half year? I mean, how should we think about your write-offs pattern?

Sunil Samdani: So currently, we've written off all customers with DPD above 180 days.

Saurabh: Okay. And that will continue? So 180 days should be the incremental write-off policy or...

Sunil Samdani: Yes.

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Saurabh: Okay, I understand. And any color you can give on this October number? How has October trended? What's the September end?

Sunil Samdani: In terms of collections?

Saurabh: Collections and disbursement, of course?

Sunil Samdani: So on both the sides, we see an improvement, whether it's disbursement or collection. But of course, we will have to compare it like -to-like this October versus last October.

Saurabh: And how would that trend be, sir?

Sunil Samdani: So the trend is improving.

Saurabh: Even versus last year?

Sunil Samdani: On the disbursement side. And on the collection side, it's a better than September.

Chandra Shekhar Ghosh: Keep in mind that the work-day in October is lower than any month because of the long vacation in the festival.

Moderator: Thank you. Participants who wish to ask a question may press star and one on your touchtone telephone. We have the next question from the line of Karthik Chellappa from Buena Vista.

Karthik Chellappa: Just two clarifications. When you said the gross slippage on a steady state is about INR 700 crores to INR 800 crores, is that a quarterly number?

Sunil Samdani: Yes.

Karthik Chellappa: Okay. The second one is, when you actually revised down the estimated recovery from INR 2,500 crores to INR 1,500 crore, Sunil also made a comment that you have tightened some underwriting standards and you no longer lend to a customer who's already NPA or where you sense that there is not a willingness to pay. Could you just elaborate on what exactly the change in the underwriting standard is?

Sunil Samdani: Earlier, if NPA customer repays the loan, we used to extend a fresh loan to them. So now what we are saying is, if an NPA customer repays the loan, they will not be immediately eligible unless we are satisfied on the willingness aspect of it, the discipline aspects of that customer.

Karthik Chellappa: And so, that results in a INR 1,000 crores reduction in your collections. Is it because otherwise, that person who maybe would have part paid the loan, taken another loan from you and then repaid the original loan. So that portion is basically INR 1,000 crores. That's what you're factoring in, in your revised guidance, right?

Sunil Samdani: So it's a mix of both. One is this. And the other is, again, as I said, the same applicability is for

the restructured loan moving into NPA and then coming back. And as I said, the INR 1,000
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crores reduction, we've been a little conservative. But now that we put that number, we want to stick, we would want to attribute it to this.

Kamal Batra: I think Sunil, just a little clarification. Sorry. I want to just come in. The point that is being made is that the customer who paid is full outstanding, not part outstanding fee. Earlier also, if a customer came and paid, cleared his full loan, then he would possibly become eligible, where we've tightened the norm. There was never a situation where he came and part paid and he got a fresh loan.

Karthik Chellappa: Just one more clarification on the claim amount that you have made under CGFMU. So the claim that you made was about INR 1,390 crores, of which you were able to recover INR 900 crores and -- sorry, you were able to recover something, I think, INR 950 -odd crores, right? That is what you expect to receive from the government. What explains the gap between the claim that you have made and what you're actually getting?

etting?

Sunil Samdani: No. So if you go through the scheme, so actually, the scheme says that the first 3% loss has to be borne by the lending entity. And for anything above 3%, 75%, we will pay. There is the recovery we do it ourselves. So if I have recovered some money on our own, to that extent, I file a lower claim and I show it has already recovered from that formula and I file a lower claim. So that number of INR 1,050 crores which ideally should have been claimed or rather receivable is INR 950 crores is because I have myself recovered INR 95 crores.

Karthik Chellappa: So INR 1,390 crores is the amount of which you have already recovered INR 95 crores of the balance what you get as INR 950 crores represents about 72% of the claim amount. So that's the arithmetic, right?

Sunil Samdani: Yes.

Moderator: We have the next question from the line of Nilanjan from Nomura.

Nilanjan Karfa: A couple of questions have already been answered. But just on the previous question from Karthik. So what happens to the balance amount? I mean, in case we are able to recover, after getting a repayment from CGFMU, are we allowed to retain it or we need to share it out?

Sunil Samdani: The extent of -- for first loss, we will be, anything in excess of that, will have to be refunded or returned to the CGFMU.

Nilanjan Karfa: Sorry, how does the math work on that? Not very clear, sorry.

Sunil Samdani: So to the extent of the first loss which I have borne, I can retain that money. Any recovery beyond that has to be refunded to CGFMU.

Nilanjan Karfa: And another question somebody has asked, the total pool of provision. So the specific provision is roughly makes about INR 5,200 -odd crores. On top of that, you mentioned INR 1,150 crores as provisions outside regulatory asset provision.

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Sunil Samdani: Yes.

Nilanjan Karfa: What is the regulatory asset provision? So I just wanted to make, some total of...

Sunil Samdani: Standard asset provisioning required.

Nilanjan Karfa: Which is how much at this point?

Sunil Samdani: As per regulation, that number is INR 249 crores.

Nilanjan Karfa: So INR 249 crores, INR 1,150 crores and INR 5,200 crores, roughly. That's the total.

Sunil Samdani: Right.

Nilanjan Karfa: And a quick final question. How is the sort of EEB growth looking like in the days to come or in the quarters to come post the changes that have happened in the first quarter?

Sunil Samdani: So historically, if you see, the second half of the year has always been growth quarter or the growth half for us, particularly in EEB, right? Because this is where we see bulk of the growth for the year comes in. The seasonality that plays out in this business is, Q1, you see a portfolio going down. Q2, you see the portfolio going back to the March level. And the entire growth for the year comes in H2. So now that we are in the business end of the financial year, we expect this growth to continue. But the only difference here is that there is a 10% of our customer base which are NPA which we will not extend fresh loans. So historically, if I have grown at 20%, 25%, I should expect a 3% to 4% reduction in that growth. So typically, about 16% to 18% is what we should look at, at this point of time because of this tightening of credit now.

Nilanjan Karfa: And Sunil, very quickly, last one. Are you seeing a propensity for higher ticket size demand as well even from customers who are 100% on time?

Sunil Samdani: Yes. There is a demand. Demand is not an issue. As we said that we've seen those 2%, 3% of the customers where we saw the willingness issue, and that is what we want to correct. For the rest of the portfolio, there is a good demand and we expect good growth there.

Moderator: We have the next question from the line of Dhaval Gala from Aditya Birla Sun Life.

Dhaval Gala: Happy Diwali to the entire

team. Sir, a couple of questions. One, outlook on loan growth with revised underwriting standards. Do you think that growth could see some pressure in current financial year? Also, if you could update on the new MFI norms for NBFC MFI companies on income assessment. How do we stand on the same, if at all, that rules apply?

Moderator: Dhaval, sorry to interrupt, but your question was not very clear. If you can come closer to the mic.

Dhaval Gala: I'm actually, I'm on the handset. Should I repeat my question number one?

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Sunil Samdani: Yes, Dhaval, you're much better now. If you can repeat.

Dhaval Gala: Sorry. So question number one is, Sunil, outlook on the loan growth with revised underwriting standards. Also, basically, we mentioned that we want to emphasize more on non-EEB book over the period of next three years. How are we seeing that growth? And I come back on my second question.

Chandra Shekhar Ghosh: So first a question on that, Dhaval, that is the growth will not compromise, which I saw that in the demand. Yes, Sunil mentioned about it 2% to 3% maybe, not go. But otherwise also, the credit is growing very good. 52% YoY credit growth is coming from the non-microcredit, which is one.

Second is in microcredit growth actually is coming to this fourth quarter, third and fourth. So third quarter, October, is not coming much more because of a lot of the vacation in that time. They're standard and the harvesting will start in November. And that will be like to help on that if the credit growth is coming on that. That symptom, already it has been shown on that. So that it will become.

Next point, if you recall on that the last year, last quarter, if you've seen that how the growth has come, very much big way. And that time was that after tendering the first fourth quarter we have been seeing that. And in that sense, in that this year also, fourth quarter and third quarter will come to this, the growth which is more than normal on that. This is one.

Second point, we've seen that a very good amount of new customers we have added. We see that every month, we add nearly 2 lakhs of new customers added for new loan. So that is also helping us to help us to growth of the credit. So credit growth quarter, we say that we are conservatively making some strengthen of underwriting for NPA customer, not the normal customer.

Had another point we saw that, micro credit is a behavioral credit. So when they are getting that in the last two years and no discipline is there because of the group meeting is not happened, but gradually, they are coming to the group meeting. And now it has been also showing on that because they are not getting the loan immediately closer to NPA customer, so people, the behavioral also coming to positive now gradually. It will take some time, maybe this quarter last or next quarter full. That will be also helped on that to growth will be coming from the micro credit point of view.

Dhaval Gala: Sir, just to understand the new MFI norms of income assessments, does that impact us?

Chandra Shekhar Ghosh: No, it has been now, if you see that the income assessment has been -- system already been done in the first quarter. In first quarter, little bit has been slow on that discussion. But this quarter, they are habituated on that, how it can be like to calculate it. And we have the two products. One product is a microcredit in a group. An other product we have is the SBAL, Small Business and Agri Loan. So who are not eligible because of the income is it more than 3 lakhs in a family income, they are getting that the assessment by the SBAL product and getting the loan from SBAL with the same interest rate on that. So this is our advantage of that.

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Dhaval Gala: Sir, second question was around little medium-term colle

ction efficiency and the way one looks

at our asset quality and therefore our returns. Very clearly, maybe we are normalizing this year because we had COVID 1, COVID 2 and also floods. So three years we had different impacts. Assuming from here on, we do not have any impacts, and we've also tightened our underwriting, what should we say steady-state slippages in the next financial year? And as per our earlier

conversations, do March quarter, do you expect everything to normalize?

Chandra Shekhar Ghosh: I feel that. And it has been brought back the confidence from the field on this. And customer point of view also, we saw that there is an -- they are also returning back on that way. So that is the reason. If you see that is 98% is the best collection efficiency. Even the normal time also, we are seeing that in the first two quarter 98%. Last two quarters is normally in the last quarter, it has come to 98.5% to 99%, depending on geographical location on that.

Sunil Samdani: So in terms of slippages that you ask, if I have to differently answer it, the steady -state credit cost that we look at for the next financial year should be around 1 80 basis points thereabout.

Dhaval Gala: But that should be normal, Sunil? For medium term, next few years, should that be the number which one should be considering? Or there would be scope for improvement?

Sunil Samdani: No, that. For now, we should look at that number.

Dhaval Gala: And Sunil, just to understand more purely your basis numbers. The more and more you have a mix change tilting towards what our guidance is for FY '25 in terms of loan book, what type of return ratios one bank should be able to clock? And in general, what is the scope of improvement in margins from current levels? I'm talking about except for the interest reversals. So steady -state margins and steady -state return ratios?

Sunil Samdani: So Dhaval, the way it works, think about at most 60%, 65% of our book is a fixed rate loans, while we have increased the lending rates and we continue to do that, the impact of that will be felt only in the next financial year, right? So that is one aspect. The second aspect is that, as you mentioned, there won't be such large reversals of interest income as the slippages would be lower. So that should also aid. So on a steady -state basis, we are looking at the NIMs around 8% with 10 basis, 20 basis point here and there. And then in terms of ROE, we are looking at 20%, 21% ROE is on a steady -state basis.

Moderator: We have the next question from the line of Param Subramanian from Macquarie.

Param . Subramanian: My first question is on whether the RBI risk -based supervision, has it been completed for the year FY '22 and have there been any observations on that? If you could throw some light on that, Sunil?

Sunil Samdani: So the supervision for the FY '22 is completed. Observations will always be there in RBI report, but nothing to report what we are required to report statutorily.

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Param. Subramanian: Sunil, a follow -up question. Now the outlook on the MFI growth, the EEB business growth, I picked up that you were saying loan growth should be 16% to 18%, if I'm not wrong? Is this more a near -term sort of loan growth? And does this pick up from here going forward, in your view? Is this more because of the change in the underwriting norm being a near -term impact? Because we are used to seeing Bandhan Bank growing this business at a much higher level. And this is a business that is the core of our DNA. So yes, if you could throw some color on that?

Sunil Samdani: Yes, so you're right, to some extent. If you see the near -term side, on a steady -state longer -term guidance, we would still be in that range of 18%, 20% around.

Param. Subramanian: This is for the enterprise business and 24% to 25% for the overall business? That's the right u

nderstanding is?

Sunil Samdani: Yes.

Param. Subramanian: Sunil, if I could follow up another question. So the retail deposits, so it comes as in -- the growth is sort of soft over there. So 10% Y -o-Y, even on a percentage basis, retail deposits will have 75%.

Sunil Samdani: So you are right that retail deposits particularly look through that quarter -on-quarter. That's about 1% growth. But that's more to do with our requirements and the resulting interest rates that we offer to our customers. And as we see the asset growth happening in the second half of the financial year, we would see the deposit growth also growing in line. So we should see that traction on the deposit present.

Moderator: Mr. Param can you hear us? It appears that Mr. Param is no longer connected. We will move on to the next question from the line of Nitin Aggarwal from Motilal Oswal.

Nitin Kumar Aggarwal: With respect to the large slippages that you are witnessing in the restructured pool, I just want to know -- am I audible? Am I audible?

Sunil Samdani: Yes. We lost you for a second. But you are audible now.

Nitin Kumar Aggarwal: Okay. So first question is like in respect to the slippages that you are witnessing the restructured pool, I would just want to understand how difficult it is for these delinquent borrowers to again borrow from some other players in the industry. I'm asking it because like Bandhan has a very dominant position in the Northeast, with very competitive interest rates, but it seems like that this is not a factor for these borrowers and they have decided not to pay. So how easy or difficult it is for them to come back?

Sunil Samdani: No, it's not that simple, Nitin. We have to appreciate that this pandemic did have an impact on

bottom of the pyramid more than any other segment, right? And with that being the assumption, we would have expected close to 10% kind of a fallout because of this. The reason we are seeing two basis, three basis points higher is because of that disciplined break, what Mr. Ghosh was talking about. This is a business which works on a very tight discipline. And because of those

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two years where the group meetings were not met regularly, it is our responsibility to ensure that if we have to grow this business at 20% plus year-on-year, we bring back that discipline. So that's precisely the reason we've been motivating, and as you've seen a higher level, slightly higher level of these customers.

And the third and an important point is. We, as an organization only strengthens our credit processes. We still continue to be a one-loan policy lender. When we have restructured these customers, we have done a restructuring for six months and not to the maximum extent possible of two years. Whatever money we received during the restructuring period, we reduced the principal, and we did not show it as an advanced installment. If we had -- that was an accounting option available to us, but we chose to reduce their principal which will reduce their interest burden. So if I had shown it as an advanced receivable, probably my delinquency position would have looked better today because I would have been adjusting against those receipts. Ultimately, I have achieved 1/3rd of the total outstanding from those customers during till date. So I could have shown all of that as an advance and we would not have been talking about these numbers today.

So the point is, the reason we are seeing a slightly elevated level is, one, the reflection of pandemic on the bottom of the pyramid. Two, while we have supported them with moratorium and restructuring, we are not diluting and we don't intend to dilute our credit norms. Discipline for us is very important because it is a business which we want to be in. It is our core business, and we want to grow this business. And we had to set these processes right before

we again push

up the peddle in coming years.

Nitin Kumar Aggarwal: So my question is also around like will these borrowers be able to come back to the industry and borrow from some other MFI players?

Sunil Samdani: So as I said, as far as we are concerned, we will not lend them immediately till we are confident about their credit culture. And once only we are confident we will look at them. So in the immediate-term or near-term, at least from our side, they will not be eligible.

Nitin Kumar Aggarwal: And Sunil, any update on the Assam relief scheme or even the range of amount that you can recover through this because this has been an uncertain figure in our stress pool coverage analysis for some time. So how are we looking at this? Any hopes of recovery there?

Sunil Samdani: So Assam government has started the repayment process for the delinquent and delinquent customers. And they had done it already for the zero DPD customers. But as a lender, it doesn't count in recovery because they were anyway zero DPD customers. So now they are starting the process of the delinquent customers. So we should see on an average about INR 50 crores to INR 70 crores for the next two months, three months.

Hopefully, in three months' time, we would be in a better position to tell you what is the amount that we have received.

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Nitin Kumar Aggarwal: And lastly, just to reconfirm on the credit cost, which is vested in the vicinity of 3 based on 15 basis points. So for the first half, now we have already done close to INR 1,900 -odd crores. So does it imply that we are looking at around INR 1,100 crores over the second half now? So it like broadly as you look at things...?

Sunil Samdani: So this is the third time you want to put a number, you want to hear a number from me. But as I said, it won't be very different from what you are saying. It depends on what is my closing balance sheet as on that date. So the variation here could be INR 100 crores, INR 200 crores, not more than that.

Moderator: Thank you. Participants and rest of guys, I request you to kindly restrict your questions two per participant. We have the next question from the line of Manish Shukla from Axis Capital.

Manish B. Shukla: Just going back to the tightening of credit underwriting standards, just for the sake of clarification. If I understand it right, if there is a customer who's NPA, when he's come back and made the full payment. Earlier, you were willing to give that customer a new loan. Now you would probably wait for some time. Is that understanding correct?

Chandra Shekhar Ghosh: That's right.

Manish B. Shukla: And what would have been the gap earlier? And what would be the gap now? Gap between the customer fully paying the NPA amount, what's the new role? What was that gap earlier? And what is it likely to be now?

Sunil Samdani: So earlier, we used to lend them in about within 7 days. Now we are saying that we will wait for months.

Manish B. Shukla: And this change is already reflected in Q2 disbursements? Or this is incremental from Q3?

Sunil Samdani: Already reflected.

Moderator: We have the next form the line of Jai Mundhra from B&K Securities.

Jai Mundhra: On your MFI book, if I were to just calculate the GNPA percentage, INR 5,000 crores GNPA on roughly INR 53,000 crores of my EEB loans, it would be around 9%, 9.5%.

Sunil Samdani: Jai, you're not very clear, not audible. You have to be a little louder, please.

Jai Mundhra: Yes. So I'm saying, sir, if you can bifurcate the GNPA percentage in EEB between group loans and individual loans, because there seems a very divergent growth trend in these two subsectors within the EEB. If there is there any material difference in the GNPA behavior in these two books?

Sunil Samdani: We have not disclosed this number separately. But I can tell you that the individual

book is much

better performing, and the NPA level would be 1/3rd or even lower.

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Jai Mundhra: So is this like on a percentage basis because it looks like the growth has been even in that range, right? So the group loan have been degrowing and the individual book is growing by like 100% Y-o-Y. So in general also, without adjusting for the base also, the delinquency would be materially different. Is that the right way to understand?

Sunil Samdani: Yes. Because individual loans don't have that benefit of restructuring and the vintage is there. It's not that they were under restructuring and it's very recent that they've come out, so that benefit is not there which is available to group loans.

Moderator: Thank you. That was the last question. I'd now like to hand it over to the management for closing comments.

Sunil Samdani: Thank you very much. Thank you, ladies and gentlemen. Thank you for your time.

Chandra Shekhar Ghosh: Thank you.

Moderator: On behalf of Bandhan Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2023

Ref. No.: BBL/368/2022 -23

January 24, 2023

BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400001
BSE Scrip Code: 541153 National Stock Exchange of India Limited
The Listing Department
Exchange Plaza,
Bandra Kurla Complex,
Mumbai – 400051
NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub: Transcript of the Earnings Call on the Unaudited Financial Results of the Bank for the quarter (Q 3) and nine months ended December 31, 2022 – the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI LODR')

In continuation to our letter bearing Ref. No.: BBL/ 362/2022 -23 dated January 20, 2023 and pursuant to the provisions of Regulation 30 and other applicable provisions of SEBI LODR, we hereby submit the transcript of the Earnings Call hosted by Bandhan Bank Limited (the 'Bank') on Friday, January 20, 2023, on the Unaudited Financial Results of the Bank, for the quarter (Q 3) and nine months ended December 31, 2022. Further, the same has also been uploaded on the website of the Bank and can be accessed at the following link:
<https://bandhanbank.com/sites/default/files/2023-01/Earnings-Call-Transcript.pdf>

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhanbank.com.

Thanking you.

Yours faithfully,
for Bandhan Bank Limited

Indranil Banerjee
Company Secretary

Encl. : As above

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"Bandhan Bank Limited Q3 FY-23 Earnings
Conference Call"

January 20, 2023

MANAGEMENT : MR. CHANDRA SHEKHAR GHOSH – FOUNDER ,
MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER ,
BANDHAN BANK LIMITED
MR. SUNIL SAMDANI – CHIEF FINANCIAL OFFICER ,
BANDHAN BANK LIMITED

MR. SHANTANU SENGUPTA – HEAD (RETAIL BANKING), BANDHAN BANK LIMITED
MR. SURESH IYER – HOUSING FINANCE HEAD, BANDHAN BANK LIMITED
MR. SUBHASH SAMANT – HEAD (HIGH VALUE HOUSING FINANCE), BANDHAN BANK LIMITED
MR. SURESH CHANDRAN – HEAD (COMMERCIAL BANKING), BANDHAN BANK LIMITED
MR. HIRAK JOSHI – HEAD (RETAIL LENDING), BANDHAN BANK LIMITED
MR. VIKASH MUNDHRA – HEAD (INVESTOR RELATIONS), BANDHAN BANK LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Bandhan Bank Limited Q3 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikash Mundhra. Thank you and over to you, sir.

Vikash Mundhra: Thank you Inba. Good evening everyone and a warm welcome to all the participants. It's our pleasure to welcome you all to discuss Bandhan Bank's business and financial performance for the quarter ending December 2022. We will take this opportunity to update you on the recent developments in the industry as well as on Bandhan Bank during the quarter.

To discuss all this in detail I've got with us Founder, Managing Director and CEO – Mr. Chandra Shekhar Ghosh; our Chief Financial Officer – Mr. Sunil Samdani; Head (Retail Banking) – Mr. Shantanu Sengupta; Head (Housing Finance) – Mr. Suresh Iyer; Head (High Value Housing Finance) – Mr. Subhash Samant; Head (Commercial Banking) – Mr. Suresh Chandran; Head (Retail Lending) – Mr. Hirak Joshi and myself Vikash Mundhra – Head of Investor Relations. Now, I would like to request our Founder, MD and CEO Mr. Chandra Shekhar Ghosh to brief you all about our Bank operation and financial performance, along with developments for the quarter ending December 2022. Over to you sir.

Chandra Shekhar Ghosh: Good evening and Namaskar to all of you. Firstly, on behalf of Bandhan, I extend it to you and your loved ones best wishes for the New Year 2023. I am pleased to state that, the September quarter, September to December quarter of this financial year has been on expected lines rather it is slightly better than expectation. It has been yet another quarter of a decent business growth trajectory. The first half of the financial year was not as expected, we have to see more unexpected shocks in terms of NPAs specially in the microcredit book, specially in restructure books.

The bounce back in the economy is visible across businesses and among consumer sentiment. We have seen good festive buying by all section of the society. As a result, credit growth of the Bank has been encouraging. For the first time in the history of the Bank, it has crossed two lakh crore in business. The overall advances recorded a 14% year-on-year growth in Q3FY 23. The significant growth for the Bank has come from the retail segment including housing and MSME. However, including the write off the advance growth will be 11% YoY. The housing finance book has registered a growth of about 28% YoY and 4% QoQ. We have seen good demand for housing loans across the country and we are planning to grow our housing book by more than 25% YoY. The retail loan book other than the housing finance book, consisting of personal loan, gold loan, two wheeler loan and auto loan has grown by 133% YoY and 22% QoQ. The commercial banking vertical consisting mainly of NBF C, SEL is a small enterprise loan and SME with 87% growth YoY and 12% growth in QoQ.

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One important point I would like to highlight is that, when we look at loan book growth, other than the EEB loan book, we have seen a growth of 48% YoY which is very encouraging for the Bank. The growth in these segments is a welcome sign for the Bank as this is in line with the Bank's portfolio diversification agenda and also in line with the trend of increasing business with the onset of the festive season. We are confident that Q4, like each year will continue to further trigger business growth. As I stated earlier,

the second and third quarter of the current financial year coincides with the festive seasons, and has seen stable momentum in economic

growth, as many businesses return to normalcy, given the significant increase in the confidence among the population of managing COVID. We are happy to see signs of strong demand for credit in most of the business in the third quarter, including the EEB.

During the quarter in review deposits have grown 21% YoY, we are looking to build a robust and granular deposit franchise however, during the quarter the Bank has seen the movement of deposits from customers maintaining savings balance above two crores to bulk deposits. The same has been classified as a bulk term deposits. Also due to the festive season, we have seen some impact of consumption on the deposit base. As a result, our CASA deposits have seen a big growth of 3% YoY to Rs.37,212 crores and a CASA ratio is still at a healthy 36.4%. The retail to total deposit ratio stands at 69%. We do not expect any further movement from savings account to the bulk deposits. So, we will definitely see improvement in CASA deposits from Q4 onwards. A few numbers shows a strong momentum in our portfolio diversification agenda. The share of housing loan book to total loan book has increased from 24% to 27% year-on-year. The share of group loans to our total loan book has come down from 52% to 37%. Our share of commercial loans has grown up 22% to 33% in the total loan book year-on-year. Along with the business growth in advance and the deposits we have also seen very encouraging collection efficiency trends during the quarter. We have seen good improvement in the overall collection efficiency. For the Bank overall collection efficiency excluding NPA stood at 98% in the month of December up from 93% in the month of December of the preceding year and 97% in September month of this financial year.

The collection efficiency for the month of December in the EEB which is called the microcredit vertical excluding NPA improved 98% from 97% in December for the financial year 2022. Even while comparing to September month, we have seen the collection efficiency improving from 95% to 98% in microcredit. With people's livelihoods coming back on track, we have observed an eagerness among our customers to standardize their accounts in order to continue to enjoy the benefit of formal credit by maintaining a healthy credit record. Our collection efficiency in Assam and West Bengal for EEB customers has improved significantly over the last quarter. It remains at 96% in Assam compared to the September '22 at 87%. And West Bengal it is now 98.4% which was 95% in September '22. An important point here is to note that our collection efficiency in West Bengal is higher than our national average. Bank has also received a sum of Rs 917 crores as a part of C GFMU, recovery from the government. We expect another up to Rs.1700 crores to come as a recovery in the H1FY24.

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This quarter Bank has also sold written off loans Rs.8897 crores at an aggregate value of Rs.801 crores out of that Rs.387 crores has been issued as Security Receipts. The rest of Rs.414 crores has been reflected in the P&L of the Bank. Our net profit for the quarter at Rs.291 crore against a net profit of Rs.859 crores in the last financial year same quarter. Our net interest income has shown a minor dip of 2% YoY. It has come down Rs.2081 crores in Q3FY23 from Rs.2125 crores in Q3FY22. This is mainly because the higher reversal of interest income and also increase the cost of funds. Our net interest margin for the current quarter is 6.5% compared to the 7% last quarter, even after the dip we are still amongst the highest in the industry. But, I would like to mention a few points here.

First point is that, we have a high interest rate by nearly 2.5% in the last few months

on advance,

Secondly, this quarter we have also set up a separate team of current account mobilization till now it is working is very good with the branch network. Thirdly, we expect lower interest reversal from next quarter onwards. The impact of all these things will be seen as an improvement in NIM from the next quarter onwards. We'll also consider further rate hikes if required. Total credit cost for the quarter was at a 6.4% compared to 3.7% in the previous year, and 5.3% in the last quarter. This is largely due to the increase in provision coverage on the total stress book during the quarter.

Our gross NPA stood at 7.2% versus 10.8% in the previous year, but our net NPA stood at 1.9% versus the 3% in the previous year. During Q3, the gross and net NPA ratio has remained flat compared to the sequential basis. However, here we have to keep in mind that the majority of the slippage in during the quarter are from already declared stress pool. We are also using data science and analytics for the purpose of NPA management and recovery and also the business growth. It has already shown positive results for the Bank. With the initial trends and reports from the growth, we are confident that Q4 will see good improvement in the performance of the Bank. We have also seen improvement in our DPD book across buckets which gives us confidence that the worst in terms of slippage is over.

Many of our customers have been paying regularly and are showing their intent to regularize their overdue account. But until the entire overdue amount is recorded they cannot be categorized as a non-NPA customer. In the third quarter number of full paying customer have increased from

88% to 92% , amount wise it is a 92% to 96% . If it is go to this the number of non -paying customers have decreased from 6% to 5% quarter -on-quarter. But if I say that the amount wise it is coming non -paying customer 2% to 1%, which have been shows to the Bank on that the customer is coming to this regularized there account and future credit growth and quality will be better . From the recovery perspective, we have seen that the total recovery and up -gradation for this quarter is Rs.622 crores . We are engaging with our customers on a regular basis to encourage them to ensure timely payment and recovery wherever needed. We are confident that it is only a matter of time before this customer regularize their account fully , after which we expected to see a significant drop in the gross NPA in the next couple of quarters. The Bank has also seen the total fresh slippage has come down by Rs 700 crores from the last quarter which is this

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quarter has been slippage Rs.3265 crores in the last quarter it was a Rs.3954 crores , the majority of the slippage is from the already disclosed stress pool of COVID . Within this our slippage in the EEB segment was Rs.2846 crore in the quarter which was in the last quarter Rs.3624 crores which is Rs.800 crores down .

We have made provision of Rs.1542 crores including NPA and the standard asset provisions in this quarter . We are more than covered in terms of our provisions, the total provision of the Bank stands at Rs.6257 crores . We have seen 1% increase in our PCR at 75.4% which has increased from 74.4% in the last year . Bank has done a write off of Rs.2533 crores in this quarter .

Coming to the outlook for the last quarter. As you all know, we are seeing economic activity picking up and the business coming back to the normal across the country. Bandhan has always had an ear to the ground given ease to the distribution reach and we have observed that our customers businesses have been gaining traction once again . We remain confident that this will have a positive impact on our business operations. We have started a new stream such as a commercial vehicle lending , loans against property for business.

We have been also started the government business operations in the Bank , among others this will add further revenue streams over the next few quarters. We also go live on our IT transformation project in the next financial year first half. We expect to grow our advances and deposits by 22% to 25% CAGR forward FY25 with our focus remaining strong on the retail segment and diversification . With our continuous effort in diversification, investment in technology, people and processes, the Bandhan growth stories remain strong and promising. We have added about 9.4 lakhs new customer in last quarter. It is also showing that how business is growing. I wish you, your family and all the very best. Please take care , stay safe. Thank you to all of you.

Vikash Mundhra: Thank you sir. Now , I would like to request our CFO – Mr. Sunil Samdani to give you more details on financial parameters during the quarter. Over to you sir.

Sunil Samdani: Thank you Vikash. Good evening everyone. First of all, let me take this opportunity to wish you all a very Happy New Year. While Mr. Ghosh has mentioned most of the highlights of the quarter, I just want to particularly focus on few aspects, which I think is important for everyone to understand what went in this quarter. Let me start with the asset quality, particularly on the EEB side. This was the quarter where we have seen the slippages from the restructure pool happening and as per our estimate and the guidance which we had given on the 1st of December, we are pleased to inform that we have done better than that across all accounts , whether it is NPA, whether it is stress pool and the provision coverage ratio around that, and this I'm talking without considering the write off effect. So, on a like -to-like basis, we have been better by two to three billion across all the sides, whether it's NPA , stress pool and the provision coverage. Secondly, I would want to highlight slide five of our presentation. There it is pleasing to see that our collection efficiency excluding NPA customers have gone back to the pre -COVID level. This improvement is across pan India, including our core geographies of West Bengal and Assam. So, while West Bengal stands at 98% for the month of December, Assam has improved

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substantially from 87 % to 96 % and rest of India at 98%. What is more important is the customer behavior and the paying profile. We now have a situation where 96% of our EEB customers pay full in installments, which means 3% of them are partial paying installments and 1% is non -paying installments. So, this gives a comfort that the flow going forward , in stress pool, will be contained , because it's only these 4% of the customers within which there are part paying, the forward flows will be visible.

On slide six, there is another important messaging is the improvement on our delinquency buckets. It is heartening to see that across all buckets, we have seen an improvement. And even if I don't consider the benefit of write off, we have seen a three billion reduction in the overdue

pool. What this gives us an assurance is, that the flow forward have stopped and there has been an improvement or rather rollback from the delinquent customer base. So, this gives us the confidence that going forward, we should see a much lower slippage in-line with our guidance. Lastly, on slide seven, here we typically guide the reader on the stress pool that we have on our EEB portfolio which got build on account of pandemic and how are we addressing them. It is heartening again to see that at the end of September 22, we had a stress pool of Rs 95 billion against that we had a provision of Rs 53 bn and a CGFMU expected recovery of Rs 25 bn, which effectively means 82% of our stress pool was covered, and the rest we have to work on the recovery side. Now this ratio of 82% has improved

to 88% as on December 22. Of the total stress book of Rs 76 billion, we now have a book provision of Rs 50 bn. So, what is important here is, while my stress book has gone down from Rs 95 bn to Rs 76 billion my provision is consistent from Rs 53 billion to Rs 50 billion, which means we have not utilized our provisions fully. We've continuously created buffers and strengthened and given our experience of the CGFMU recovery and the slippage that we have seen from the portfolio which is covered under CGFMU, we now expect another Rs 17 billion to come in the first half of the next financial year. So, with Rs 50 billion of provisioning and Rs 17 billion of the CGFMU expected recovery, we've almost covered 88% of the total stress pool. As always we are not considering the Assam relief scheme, which is an added positive as and when it comes.

What is also important here to mention is, on the new side if I have to talk optically, you may see that our NIMs have come down quarter-on-quarter from 7% to 6.5%. But that has largely to do with the large slippage into NPA that we've seen in the month of October and November. If we look at December month, the NIMs have already improved to 7.3% and as the re-pricing of the interest rate increase that we have taken over the last three months, factor then kicks in we should see a further improvement here.

On the slippages side, as envisaged we have seen a lower slippage quarter-on-quarter the numbers have already been discussed by Mr. Ghosh so I will not repeat them. And that gives us the confidence given the lower DPD pool and the improvement in collection efficiency and the paying profile of the customers. We expect slippage in Q4 to be materially lower, in-line with

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our expectations. And hopefully, on a steady state what we have guided it should come in-line with that. I know you will still have few questions, happy to take them. Thank you.

Moderator: Thank you very much sir. Ladies and gentlemen we will now begin the question-and-answer session. Our first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Sir, so if you could give us a color on what does steady state SMA pool would be like a completely normalized SMA pool on the EEB side, that's my first question and I have a few more.

Sunil Samdani: So, there again steady state is all depend on the environment. But if you talk about pre COVID levels, that's where we used to have a gross NPA of about 1.5% and another delinquent pool the stress pool that we call it of about 3%. In the new scheme of things, we say that the steady state credit cost or rather the collection efficiency for the microfinance or the EEB business should be taken as 98% instead of 99%. So, you can add another percentage points to a steady state that we used to have historically.

Mahrukh Adajania: Okay, make sense. And my other question is on the new ECL norm, how would they impact you, would the re, are you filing any more grants with the RBI already and any sense you can give on it, what would be the impact between IGAAP and IndAS.

Sunil Samdani: So, as far as banks goes, these Indian banks have been submitting the pro forma in their financials which includes the ECL calculation as well to RBI on a quarterly basis for the last two years.

So, we keep filing on a quarterly basis the IndAS financials and if we take that as a reference, there is no material difference between the provisions that we carry and the provisions that we are required to make under the ECL provisioning norms. This of course, is based on the IndAS definition of ECL. So, if there is a tweak to that definition, which RBI brings in, in their final recommendation that needs to be factored, but if you go by the standard IndAS way of calculation ECL there is no difference.

Mahrukh Adajania:

Okay, got it. And sir would that be lifetime ECL or just like say two, three year model, any idea?

Sunil Samdani: So, here as far as IndAS goes which we take last seven years that's our lifetime span and the experience and basis that we file it with the RBI. But more importantly, if it's a factor of your probability of the default and the provisions that you carry in your book. Since we've always been carrying adequate provisions in our book, even if I have to take a seven year or a three year precedence, or the average, I don't think that will have a material impact on or rather any impact on our ECL or provisioning requirement.

Mahrukh Adajania: Got it. And just one last question your outlook on deposit growth for FY 24, given that there is a lot of competitive intensity is increasing in deposit taking, so your outlook on deposit growth and margin for next year ?
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Sunil Samdani: I'll request, Mr. Shantanu Sengupta to take this question.

Shantanu Sengupta: Yes, sure thank you Sunil . Good evening and thank you and thank you for the question and wishing all of you a very Happy New Year. The question on deposit outlook is, we are quite optimistic given despite the fact that we see intensity in terms of competition, because of few reasons one, the focus for the Bank has been to grow our organic book and as we move forward the granular book is growing steadily. So, that's one comfort that we have. We've also invested a lot of effort in terms of creating some new initiatives for the Bank , we are expanding our branch network, we are investing in digital. So, we are seeing opportunities that carve out as triggers of growth going forward. So, to answer your question, our outlook for deposit growth remains positive.

Sunil Samdani: And just to add on the deposit rate side, today till December quarter our rates on TDs were in line with the rates offered by other Bank . And we believe with a 25 basis point premium, it should not be a problem to garner deposits for our growth that we are looking and going forward .

Moderator: Thank you. We'll take our next question from the line of Krishnan ASV from HDFC Securities . Please go ahead.

Krishnan ASV: I just wanted to understand you made an announcement around the fact that people who have been in default, don't get money back and until they are able to completely pay back and then there is a certain sunset clause , etc. I just want you to understand , is it possible for you to share any disclosures around the fact that money is not going back to these borrowers account, just to create more confidence among stakeholders, is there anything that the Bank can do to demonstrate that this money is not being given back to the same , it's not that this money is coming back because we have given new money to clear your loan ?

Sunil Samdani: So, Krishnan firstly, let me clarify that we don't give a new loan unless the earlier loan is repaid. So, it's never a case that we offer a loan with an earlier loan outstanding, or the customer is still delinquent. So, that's point number one. Point number two , our change in credit norms was that after the customer repays the earlier loan, if the customer has flown into NPA, despite repaying the earlier loan, we would still wait for 90 days, and only then give them a fresh loan. This was because as we mentioned in the previous call, we don't want customers to be opportunist, because they want a new loan they come and repay us but during the tenor they were not disciplined and move to NPA. So, it's a messaging that we want to give to our customers that if you are not regular throughout the loan, you are not eligible for a new loan. So, the change here is despite customer paying, we don't extend the new loan.

Krishnan ASV: Right, understood. While you made this fairly and is there anything that the Bank can do to demonstrate this , in any way just to.

Sunil Samdani: So, let me explain that right. So, we made this policy starting, August /September some time that we should not extend loan. During the quarter we saw some 400-500 customers receiving the

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loan after paying the earlier loan. And we proactively to provision against those and asked our team that not to extend any further loans. So, it has been a very strict policy that we are following , because we want the messaging on the ground to be very clear, it was a small amount of Rs.20 lakh. But still that messaging has to be very strong, that once there is a policy, we can't deviate from that policy.

Krishnan ASV: Understood. My second query is around just the pivot that we are now making to go from relatively subprime customer base more towards prime across most of your customer segments , across most of your businesses as well. Purely in terms of the acceptance of Bandhan, there has been some chatter around this. So, just wanted your thoughts around acceptance of Bandhan as a brand in some of those businesses, how have you found the early evidence so far?

Sunil Samdani: So, Krishnan if you had asked me this question on the deposit, I would have still felt that there is something that we need to discuss here, in a lending clearly it doesn't matter so much. That is the lender as long as the customer gets the right money at the right rate. And in our case, even on the deposit side, our momentum is strong and we've got that branding and the image to get that customer trust. So , I don't think that's an issue that we faced and that we discussed . Our endeavor is to continuously improve our customer service and customer experience that is what we focus on and that helps us building trust and confidence.

Moderator: Thank you. We'll take our next question from the line of Adarsh from CLSA . Please go ahead.

Adarsh: My question is on the slippages side, so on the slippages Sunil just wanted to understand what was the slippage in the quarter and if you could highlight what are the slippages if you remove the spillovers from any kind of stress which was there right so this slippage is from the standard book in the MFI portfolio in this quarter.

Sunil Samdani: So, for the MFI book, my gross slippages for the quarter was Rs 2846 crores, there was a recovery and upgrade of Rs 376 crores, this recovery and upgrade I'm talking is from the NPA not from the return of account that is additional. So, just from the NPA it's Rs 376 and from the return of portfolio which is a non-ARC portfolio it is Rs.140 crores. So, that's on the numbers of gross and net slippages. Within this Rs 2846 crores of slippages 90% of them is from the stress pool which is already identified.

Adarsh: So, you're saying that only Rs 300 crores was the slippages from the non-stress pool?

Sunil Samdani: Less than Rs 300 cr.

Adarsh: Got it. And just the second element right, you had mentioned the margins of 7.3% which is adjusted for all the interest versus just for understanding if we take a two year view there is a drastic change in business mix that will happen you all have taken a rate hike that will come in, what's the fair margin that you would expect as you have some of these yields kick in but also at the same time the share of MFI go down?

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Sunil Samdani: So, there again, firstly let me explain how this shift would look like. When we say the share of MFI goes down, it's the group loan which goes down. The SBAL customers which are at the same yield gets reclassified as commercial loan between SBAL and MFI we would still be around 55% which is at the similar rate of interest. So, the impact of change in mix for the next one to one and a half years will not be more than 50 basis points. Now from which rate

50 basis

point is the question. We expect our steady state NIMs to inch up from 7.3% that we clocked in the month of December and we expect this to go up to 7.75% in next few quarters and from there we should see the impact of change in mix to come in, over the next two years.

Adarsh: Got it. And so the yield that you had 250 bps was, when was this implemented just trying to get a timing of when does the margins improve on the MFI book?

Sunil Samdani: The 250-basis point increase that we took in EEB, 200 basis point came in November first/second week and 50 basis point was sometime in September/October.

Adarsh: So, you move from 19% to 21%/21.5% is it?

Sunil Samdani: 21.95%.

Adarsh: Got it. And the previous whole thing that Bandhan it's a Bank people look for we've offered them a lower cost of fund benefits when you became a Bank you lowered your rates to closer to 19%. What happened to that, I'm just trying to understand as to, would that not be the expectation that would prevail?

Sunil Samdani: No, that continues. The differential between the Bandhan rate of interest against you compare it with the industry it is still 250 to 300 basis points lower. So, that continued, with an interest rate environment, the credit cycle environment it has to be considered.

Moderator: Thank you. Our next question is from the line of Saurabh from JP Morgan. Please go ahead.

Saurabh: The question is more direct. So, at the analyst meet you have guided to around Rs.3400 crores of credit cost. So, now plus we start recovery, so few fall into the Rs.350 crore number now basis the guidance?

Sunil Samdani: So, we had earlier guided that in H2 we will look at Rs.1500 crores of credit cost which will be divided as Rs.1000 crores in Q3 and 500 in Q4 broadly. And if you look at our numbers now, it is still in those lines, while it looks 1500 is because we got that Rs.414 crores of ARC sale upfront, which we took as provision and increase our coverage. What we discussed earlier that my stress pool coverage has gone up from 82% to 88%. So, that's where this Rs.414 crores was utilized and that's why this looks higher. So, otherwise if you remove for this it's in line with our guidance that we had kept.

Saurabh: So, you should still be around that Rs.500 crore mark?

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Sunil Samdani: Yes, plus or minus Rs 100 crores.

Saurabh: Okay, got it. The second is essentially just on this, now you have given some disclosures on your OPEX so there is a new provision you've done for nine months Rs.90 odd crore. So, will it be fair that this will run off next year?

Sunil Samdani: While it will not entirely run off, it will come down materially because my outstanding book has reduced materially. So, next quarter we expect this quarterly number to be because since I will be claiming in the next financial year, I still need to pay the premium in the next financial year.

that's point number one. But that quantum of premium would come down substantially from Rs 90 crores a quarter to about a Rs.20 crores a quarter.

Saurabh: Okay, got it. And this last question, SMA -0 which you don't include in your stress book, it's about 3.4% will it be fair that there is a collection efficiency is 98% this number will not realistically go down below 2%-2.5%?

Sunil Samdani: Sorry, Saurabh can you repeat the question and we can you please be a little closer to a microphone?

Saurabh: So, just for the SMA -0 this 3.4% you have which is not considered in the stress pool, will it be fair. I will take it offline, thank you.

Moderator: Thank you. We'll move to our next question that's from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: A couple of questions like, first is around we have seen a good progress in the month of December margins, also have been improved in the

is month. So, can we say that the probability of default now from the SMA number that we have reported will be much better than what we have seen in the prior quarters now?

Sunil Samdani: You mean the slippage?

Nitin Aggarwal: Yes, the slippage rates from the outstanding SMA pool now, is it likely to decline pretty sharply now that the December was a pretty strong month for us?

Sunil Samdani: Yes, so slippage as we said that my SMA pool has come down and most of my restructured book has already flown almost 95%. So, slippage has to come down and will come down. And it will come down materially, it's not what we saw between Q2 and Q3, so there will be a marked improvement there. That is also a way to look for the month December, the way NIMs have moved.

Nitin Aggarwal: And secondly on the SA side where in we have reported a decline in CASA and that probably have indicated that as a large r because of customers migrating to term within our ticket size is

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within two crore, and we also have to classify them as well. So, what is the total quantum above two crore, because that will tell us as to when this number go down further or not?

Sunil Samdani: So, if you are a rate sensitive customer, you will not wait for six months, so while I take your question, the point I want to make here is, a customer who is rate sensitive and who was earlier not getting a differential between a term deposit rate and a CASA rate. Because I was offering 6% in savings, and 6.25% in term deposit, they chose to keep it in savings. Now there is a difference between 6% to 7.5%, 7.75%. So, they have moved so that's the moment we saw. To your question on what is the proportion of SA above two crores in our book, it should be around 10%, a little less than 10%.

Nitin Aggarwal: Okay, so you think that will remain on that, under 10% we may see vulnerability as probably the rate?

Sunil Samdani: No, as I said, if these customers had to move, they would have moved by now and since these are high ticket customers, they have a relationship officer and they are continuously in touch.

So, we have a fair sense of their behavior.

Nitin Aggarwal: Yes, and lastly any discussion going on in respect to recovery across Assam relief scheme and what can be the ballpark number that we can get from this?

Sunil Samdani: So, as always, this is a crystal ball which I don't want to gaze because it is not something which is my right. It's a scheme of government while they have started distributing the cheques to the delinquent customers, it is still not material enough to talk.

Moderator: Thank you. We'll take our next question from the line of Rahul from Goldman Sachs. Please go ahead.

Rahul: Sunil, on your slide seven. Just wanted to understand these numbers a bit better. So, Rs 76 billion is the EEB stress pool, you are expecting CGFMU recover in the first half of Rs 17 billion so that comes down to roughly about Rs 60 odd billion. So, that against that, provision plus estimated recovery of Rs 60 bn would be almost like negligible pool so there is no incremental provisioning that is needed, but for the new stress information that might happen on the portfolio. Is that a fair understanding?

Sunil Samdani: Yes, but there could be timing difference, because let's say this money comes in September. But you are assuming that they are like-to-like in terms of timing. So, other than that yes, if you talk about the six-nine months period from today, your understanding is absolutely right.

Rahul: So, in that context, the fourth quarter provisioning of Rs 5 billion would that also be needed, apart from of course the vintage moment?

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Sunil Samdani: If you see even in this quarter while my stress pool has come down from Rs 95 bn to Rs 76 bn, my provisioning

g has not come down right from a Rs 53 billion I 'm still continuing to hold Rs 50 billion. So , if I have an opportunity why not in-line with my guided credit cost , guide I would want to provide for it .

Rahul: Okay but there was an element of write -off also right , so that's.

Sunil Samdani: Yes.

Rahul: Just on the active MFI customer . So, you give total and active, the ratio has kind of reduced quite a bit of active to total, by about 10 % in the last year or maybe even more if you compare the last couple of years. So, this reduction is mainly because of write offs that we may have done of these customers and therefore, the improvement in this number how should we think about?

Sunil Samdani: So, you are right a part of it is because of write off . And once these write off stops, which we believe with time unless we optically change the gross NPA numbers so this number should start going back to that original ratio .

Rahul: So, the growth in MFI book will be more driven by ticket sizes ?

Sunil Samdani: No not really , it's both my new customer acquisition doesn 't stop .

Rahul: Yes, but those customers would be like what tickets size Rs. 30,000 ?

Sunil Samdani: So, MFI is up to Rs.50,000 and then there is SBA L.

Rahul: Got it. Just , one last question on the disbursements in EEB pool, its down quite a bit understandably so I'm looking at slide number 12, its down from Rs 200 odd billion to Rs 152 billion. So, in the fourth quarter, as Mr. Ghosh also articulated, should we expect a big recovery in this number from Rs 152 bn it maybe North of Rs 200 bn to Rs 250 billion of disbursements ?

Sunil Samdani: So, it's a very difficult thing to quantify that today. But clearly, historically Q4 is the best quarter for us. So, it should be higher and it continues to be higher. One should also factor the tightening that we have , the change in policy that we have done, which is slightly impact on the disbursement side. If you compare Q3 versus Q4 . So, Q4 clearly be a best quarter in terms of disbursement that much I can assure you .

Rahul: Okay . Just one last question I want to squeeze in is the discussion with RBI on PS L, any updates there ?

Sunil Samdani: So, no update. So, hopefully we restart this in next financial year.

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Moderator: Thank you. Our next question is from the line of Kunal Shah from ICICI Securities . Please go ahead.

Kunal Shah: Firstly, in terms of the write off, so that 's still continuing. So, last quarter, we saw some sale to ARC of the written off portfolio. So, would we be evaluating further sale to ARC or with the same ARC wherein we have contracted , how would that be over the next couple of quarters and any recovery expectation from this , because last time it was 10 % how would that behavior?

Sunil Samdani: So, let me take your second point first. When we did the deal at 10 % odd, that is not the expectation that we have on the recovery , because that that valuation depends on the structure of the , in our structure we have assured IRR to the ARC and beyond that any further recovery comes to us . So, we don 't want to part away with the recovery of all our customers in the same ratio. So, that is how we valued that transaction , because we believe that our customers are loyal and as things improve on the ground there is a good scope of recovery. And that 's how we value d that. So, effectively the point I 'm trying to make is that 's not our fair estimate that we would recover. We expect a better recovery than that , that's the point and into your first question whether this is something that we will actively look at. Well, it 's a commercial decision if we get a good value why not , if we feel that the, if I have to do the net present value, I 'm better off, I will look at it or else because ultimately it 's me who is doing the collection . So, nothing changes there so

it all boils down to a commercial decisioning and if it works in our favor, we 'll do it.

Kunal Shah: Okay. So, that can be evaluated. And secondly, in terms of this housing finance disbursements. Okay, so how should we look at the quarterly run rate maybe there was some moderation out there in this particular quarter any reasons for that and eventually over the next four to eight odd quarters what kind of disbursement section can we look at the kind of franchise which we are trying to build?

Sunil Samdani: Suresh you want to take that question?

Suresh Iyer: Yes, thank you Sunil, and good evening everyone. So, in the housing there has been, the main factor why there has been a slight slowdown or whatever stagnation is because this quarter we 've experienced a very high increase in the rate of interest for the customer so the EMI and eligibility is actually coming down that's the main reason why we 've had it but with the demand still being strong, and secondly, with the rates almost stabilizing and likely to come down in spite it should have been picked-up. And again, Q4 is going to be is always the best quarter. So, we definitely

expect that things will pick up and this was probably just because of the rate revision that it is there otherwise, it will definitely pick up .

Kunal Shah: Okay. So, on a quarterly run rate basis, we can get towards Rs.2000 crore , Rs.2500 odd crores?

Suresh Iyer: You are talking about the disbursements or the new products?

Kunal Shah: Disbursements.

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Suresh Iyer: Disbursement definitely we should be touching at least crossing Rs 2000 crores in a quarter definitely , it could be normal as I said the Q4 is the best quarter. So, it is likely to be better than that, but Rs 2000 cr definitely should be possible and will very soon happen.

Kunal Shah: And lastly in terms of the deposits so , given that the retail proportion is coming off, and there has been some reliance on the wholesale deposits as well what could be our stance with respect to the increase in the rates now. So, deposits, we are still at 25 -30 odd bps premium to the other leading banks would be want to have a maybe a higher gap and try to mobilize more of a retail deposits ?

Sunil Samdani: So, it's a combination of both. In fact, we are watching the market closely , we do believe that the interest rate cycle is coming to a peak so we are watching that closely. We do believe that there could be one more rate hike as we look forward but, it 's part of the strategy in terms of how we should have gone the deposits .

Kunal Shah: Okay, but any increase can be expected maybe lending we have seen that kind of a pass on almost like 250 odd basis point , on deposits if we have to look at it say from March till over here it's been almost like say 150 odd basis points kind of an increase for us from 5.75% to almost 7.25%.

Sunil Samdani: Compared to what is happening in the market and RBI there increase , on that basis it will become, as of today we are not filling on that, but if some one trans will be again increase this, repo rate increase so, maybe that will be like impact on that, I hope that this is not coming much more on that as per previous record .

Kunal Shah: No, the question was, maybe when we look at the bulk deposit proportion that significantly up , even on a year -on-year basis, and every quarter we are seeing the huge build up like last time it was Rs 25000 crore , now we have seen like almost Rs 31,000 odd crores , so not able to understand maybe should we continue with that kind of a bulk deposit proportion in the overall pool or there would be a real retail deposit acquisition strategy as well.

Sunil Samdani: So, Kunal, as I mentioned earlier, if the whole deposit growth strategy is a mix of growing the organic growth, growing to some specific segments, looking at interest rates, looking

king at the

strategy, looking at what the market is currently positioned at. So, the answer to your question is, yes we will look at it, but the point is that it 's not something that we want to commit right now. We are not close to raising rates we have seen that, but the point is that we are looking to grow the non -individual , the individual book more than the non -individual as we sort of try and balance out the steadiness of our organic growth. So, as of now, that 's the outlook that we have and we are seeing some good trends coming in. And hopefully, as we go down the coming quarters, the reliance on large bulk deposits will obviously come down as we grow the organic book . So, I hope that addresses your question.

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Moderator: Thank you. Our next question is from the line of M B Mahesh from Kotak Securities . Please go ahead.

M B Mahesh: Just a few questions. So, one is, how are we accounted for both the security receipts income as well as the CGFMU balances ?

Sunil Samdani: So, CGFMU of Rs 917 crores we have adjusted Rs 785 crores from the provisioning . The balance still continues to stand as liability because that 's the recovery we have done on the last from the cutoff date , when we filed which is October end till December.

M B Mahesh: Rs 75 crores is the income which has gone into the NPA is it as a reduction ?

Sunil Samdani: NPA provision has come down to that extent .

M B Mahesh: Okay. And you also added Rs 414 crores against from the receipt of SR s?

Sunil Samdani: Correct. So, let me tell you the math Mahesh . If you see my flows to NPA for the quarter is Rs 2644 crores the increase in NPA for the quarter pre write off. How have we addressed this Rs 2644 crores, it is Rs.785 crores of the CGFMU money , the Rs.414 crores of ARC sale money and the rest is the provision that I have booked which is about Rs.14 crores - Rs.15 crores , the requirement was less but we took more provision to improve the coverage ratio. So, that's why you see despite the stress pool coming down from Rs 95 bn to Rs 76 bn, my provision still continues to be similar level of September and despite the write offs of Rs.2500 odd crores .

M B Mahesh: And on the other hand, what will be the moment of this Rs.917 crores in your gross NPA line?

Sunil Samdani: Nothing. So, it only reduces my provisioning that's it, it doesn't change my gross.

M B Mahesh: So, these are not in the gross NPA line itself in the first place, it was written off earlier is it.

There will be loan credit like Rs.1300 crores of loans which are sitting against which you got Rs 920 crores.

Sunil Samdani: Correct. So, these are part of my NPA book and against which I have received the claim and as per the CGFMU circular this can be used to adjust the provision required.

M B Mahesh: That's right Sunil but how would you adjust it on the loan book?

Sunil Samdani: So, for that I have taken the prudential write off.

M B Mahesh: Okay perfect. So, I would assume that you also made a similar 414 crores as, or in other words can you give us a break up of your other income?

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Sunil Samdani: Okay, I shall but let me explain for the benefit of others also on the Rs.414 crores. Rs.801 crore is what we received from ARC as the valuation of that tool that we sold to them. Of that Rs.801 crore, Rs.387 crore worth of SR was subscribed by Bandhan and Rs.414 crores of SR was subscribed by ARC and another investor. So, to the extent of the SR that we have subscribed which is Rs.387 crores we have taken a provision against that Rs.387 crores. So, the book value of those SR in my books is zero while there is an SR on the asset side there is a provision on the liability side. The balance Rs.414 crore which I received from a third party which is ARC an investor, that I have you

taken it as other income, non-interest income and which was utilized for creating provisions. So, that's how the accounting of the Rs 801 crore was done. As far as the breakup of the non-interest income goes of Rs.1,033 crores if I have to list down the top five or four elements there, clearly Rs 414 cr is the biggest which is the ARC sale income followed by processing fees of Rs.212 crores, then the bad debts recovery of Rs 140 crores. So, typically we used to recover about Rs.70 crores - Rs.80 crores every quarter it has gone up to Rs.140 crores because that customer realizes that we are not going to lend to them unless that discipline is coming back. So, that is Rs.140 crore and the other large piece is the third party distribution of insurance and mutual fund which is Rs.90 crores.

Moderator: Thank you. Our next question is from the line of Manish Shukla from Axis Capital. Please go ahead.

Manish Shukla: So, Sunil you said that as of December roughly about 10% of your SA customers would have been more than two crore, what would this number have been in March 22?

Sunil Samdani: Sorry, Manish I could not hear your question, could you please.

Manish Shukla: The share of SA customers with more than two crore deposits, you said that's about 10% today, what number would this have been in March 22, the proportion?

Sunil Samdani: That would be much larger because we have seen the movement from savings bank to term deposit this quarter. So, earlier in March 22 there was no big difference between my SA rate and the term deposit rate so we prefer to keep it in the SA. Unfortunately, I don't have that March 22 number ready available here. But clearly this would have been much larger.

Manish Shukla: I'm talking about slippage numbers for the quarter. You said Rs.2846 crores of slippage of which roughly 90% was from the existing stress pool that makes us Rs.2500 crores, but the Q-o-Q decline in stress pool is about Rs.1900 crores. So, that essentially means there is an additional Rs 660 odd crores of addition to the stress pool is the math right or am I missing something?

Sunil Samdani: So, stress pool I have already given in my presentation. And if you need to adjust it pre write off you can do that because write off numbers are already available. If you can see the Slide #7 you will see the stress pool and how it has come down and what has contributed how much.

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Manish Shukla: Okay, fair enough I will take it separately. Lastly at the Bank level, can you please provide the moment of NPA again slippages recovery and write off for the entire Bank?

Sunil Samdani: Yes, so the slippages for the entire Bank was Rs.3265 crores gross, the recovery is of Rs 622 crores and the net addition of Rs.2644 crores.

Manish Shukla: And the total write off at the Bank loans?

Sunil Samdani: Rs.2533 crores.

Moderator: Thank you. We'll take our next question from the line of Param Subramanian from Macquarie. Please go ahead.

Param Subramanian: My question was on the steady state or the near term margin outlook that you guided Sunil of 7.75%. So, any color on that, just to rough math 250 basis points if we take on the overall microfinance book shouldn't it be materially higher than that and considering also the housing book will re-price along with the increase in funding cost. So, just some outlook on the near term

margin ?

Sunil Samdani: So, Param what we are discussing is the next two quarters. How do we define near term, we are saying that as of December end we are at 7.3 % and this will keep improving as the re-pricing impact and the lower slippages impact starts getting factored. So, by the next few quarters, I'm saying that it will reach at that level and that is when we will have to reassess and think how is the deposit cost environment doing. If there is any further increase

on the lending rate. But on a

steady state basis, let me tell you, let's assume that the ticker stops here on the lending and the deposit rate side, we expect this to move to 7.75% to 8% and with the change in mix happening, it will further come down over the next one to two years to 7.5%.

Param Subramanian: Got it, so Sunil actually as I was looking at it more from the perspective that we expect slippages also to normalize from next quarter onwards. So, is there some amount of margin downside that we're building in for next quarter as well some softness because of the reversal still?

Sunil Samdani: No, I don't think so, clearly there can't be a scenario of zero slippages. So, there will be a few slippages as we discussed in line with our guidance that we have given earlier and we are building for that as well. So, we will have to take it because my cost of fund the point I'm trying to make here is 70% of my book is a fixed rate loan and 30% is a variable rate loan. So, the re-pricing of that 70% will come with a lag, my cost of deposits have increased faster than the yield on advances. So, that the gap and as the timing changes the 7.75% can also improve.

Param Subramanian: Got it. That part is understood. Just, one more follow up if I could again on the disbursement Outlook. So, the disbursement if I just compare the number, Y-o-Y in the microfinance book it is down pretty sharply. So, of course there has been a change in how we are giving out incremental disbursements the underwriting so, any outlook in terms of the near term growth in

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the microfinance book, considering Y-o-Y is this more of a steady state or is this going to pick up substantially from there?

Sunil Samdani: There is always a seasonality on disbursements. So, Q4 will always be better and on a longer term, midterm we've already guided that at the Bank level we are looking at 22% around thus, advances growth, of which microfinance should be 17 %-18%.

Moderator: Thank you. Our next question is from the line of Jai Mundhra from B&K Securities. Please go ahead.

Jai Mundhra: If you can provide a weighted average tenure of let us say, group loans and individual MFI loans?

C. S. Ghosh: What is the tenure that the group loan is a manually one year and individual loan is one and half year to two years.

Jai Mundhra: Sure. And secondly on the stress pool so if I were to look at SMA -0 plus one plus two, last quarter, to this quarter, the dip is around if I were to calculate is around Rs 28 billion, and let's say Rs 25-26 billion has been slippages out of this. So, more or less, the understanding that there is virtually on a net basis the forward flow has been more or less negligible is that the math right?

Sunil Samdani: Yes, that's what it looks like. That's how it is.

Jai Mundhra: Okay. And lastly on deposits, so you had mentioned that part of this deposit, Q-o-Q decline is because of the bulk rate or the differential between TD and SA has reduced dramatically. But in the analyst meet when the first week December, the Bank had presented that SA should be growing by at least 15%-16% Y-o-Year and then it has actually quarter to date or maybe Y-o-Y would actually decline. So, just wanted to double check is this the only factor or that has also changed something which is apart from the rate differential?

Sunil Samdani: It's a rate differential. We were a Bank which was always offering a premium rate on SA and like large banks will still work on a 3%. So, it is very natural that we will have a rate sensitive and it's an impact of that.

Moderator: Thank you. Our next question is from the line of scattershot Kaitav Shah from Anand Rathi. Please go ahead.

Kaitav Shah: I just wanted to understand more about the housing finance book, if you can talk more about the average ticket sizes and if with

in the disbursement mix, if you can give us color more on the premium segment class that you were kind of alluding to earlier, what sort of proportion have you reached there?

Sunil Samdani: Suresh, you want to take this?

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Suresh Iyer: Yes, sure I'll take this thank you. So, in terms of the composition of the incremental business,

we are seeing a good traction in the prime segment, which is now contributing almost, 16 % to 17% of the incremental business and in terms of the overall book composition, we still have, majority of the book being in the affordable segment only, almost Rs.18,800 crores is the affordable housing segment only. So, the majority continues to be there , but we are seeing good traction and this segment of prime home loans.

Kaitav Shah: Okay . And sir some color around the average ticket size of the housing finance book, over two years how it has moved , two years , one year, whatever?

Suresh Iyer : Yes, sure. So, in the last two years it has moved from our average ticket size of the incremental business to around Rs.11 lakhs. Now it has moved to close to Rs.14 lakhs if I look at the overall full year, but on a month -on-month basis it is kind of increasing. So, Rs 14 Lakhs would be the average of the entire year, but probably incremental. If I look for the month of December, it 's around Rs.17 lakhs.

Moderator: Thank you . Ladies and gentlemen, that was the last question. I now hand the floor back to the management for closing comments.

Vikash Mundhra: Thank you, ladies and gentlemen, thank you for your time. Wish you a very Happy New Year again. Thank you.

Moderator: Thank you members of management. On behalf of Bandhan Bank Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: May 2023

Bandhan

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Ref. No.: BBL/97 /2023-24

May 24, 2023

BSE Limited

Dept. of Corporate Services

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai - 400001

BSE Scrip Code: 541153 National Stock Exchange of India Limited

The Listing Department

Exchange Plaza,

Bandra Kurla Complex,

Mumbai -400051

NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub: Transcript of the Earnings Call on the Audited Financial Results of the Bank for the quarter (Q4) and year ended March 31, 2023 - the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI LODR')

In continuation to our letter bearing Ref. No.: BBL/82/2023-24 dated May 19, 2023 and pursuant to the provisions of Regulation 30 and other applicable provisions of SEBI LODR, we hereby submit the transcript of the Earnings Call hosted by Bandhan Bank Limited (the 'Bank') on Friday, May 19, 2023, on the Audited Financial Results of the Bank, for the quarter (Q4) and year ended March 31, 2023. Further, the same has also been uploaded on the website of the Bank and can be accessed at the following link:

<https://bandhanbank.com/sites/default/files/2023-05/Concall-Transcript-O4 FY23-19May2023.pdf>

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhanbank.com.

Thanking you.

Yours faithfully,

for Bandhan Bank Limited

Indranil Banerjee

Company Secretary

Encl.: As above

Regd. Office: DN 32, Sector V, Salt Lake City, Kolkata - 700 091

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WI'Bank

"Bandhan Bank Limited Q4 FY23 Earnings Conference Call"

May 19, 2023

~Bandhan

WI' Bank C H O R

MANAGEMENT: MR. CHANDRA SHEKHAR GHOSH - FOUNDER,
MANAGING DIRECTOR AND CEO, BANDHAN BANK
LIMITED

MR. RA TAN KUMAR KESH - EXECUTIVE DIRECTOR,
BANDHAN BANK

MR. SUNIL SAMDANI - CHIEF FINANCIAL OFFICER,
BANDHAN BANK

MR. SHANTANU SENGUPTA- HEAD RETAIL BANKING

MR. VIKASH MUNDHRA - HEAD OF INVESTOR
RELATIONS, BANDHAN BANK

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...Bank Bandhan Bank Limited

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Moderator: Ladies and gentlemen, Good day and welcome to Bandhan Bank Limited Q4 FY23 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then 'O' on your

touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Mundhra - Head (Investor Relations), Bandhan Bank. Thank you and over to you, Sir.

Vikash Mundhra: Thank you Tanvi. Good evening everyone and a warm welcome to all the participants. It is our pleasure to welcome you all to discuss Bandhan Bank business and financial performance for the Quarter and Year Ending March. 23.

We will take this opportunity to update you on the recent developments in the industry as well as on Bandhan Bank during the Quarter.

To discuss all this in detail, we have with our Founder, Managing Director and CEO - Mr. Chandra Shekhar Ghosh, Executive Director - Mr. Ratan Kumar Kesh, Chief Financial Officer - Mr. Sunil Samdani, Head Retail Banking - Mr. Shantanu Sengupta myself Vikash Mundhra - Head of Investor Relations along with other senior management team of the Bank. We will be happy to provide you with any clarity if required from the current quarter numbers and way forward.

Now I would like to request our founder MD& CEO-Mr. Chandra Shekhar Ghosh to brief you all about our Bank's "Operational and Financial Performance" along with the development for the Quarter and Year Ending FY23 Strategies going ahead and way forward for FY24. Over to you, Sir.

Chandra Shekhar Ghosh: Thank you, Vikash, Namaskar. Welcome to all of you to the Result announced for the 4th Quarter of the Financial Year '22-23.

Firstly, please allow me to introduce to Ratan Kumar Kesh who has joined the Bank as an Executive Director with nearly three decades of stellar experience. Ratan has a track record of leadership in operations including some complex ones like the transformation, automation, customer experiences, quality improvement and other related functions.

Coming to the Result:

I am pleased to state that the January to March quarter of this financial year was a good quarter for the Bank. It was actually better than our expectation and we have seen growth across all parameters.

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On this quarter basis, if I analyze the full year I see that it has been ended very strong financial year. All the asset quality has coming back, within these circumstances deposit growth has come very strong and I feel that from '23-24 very strong and sustainable growth will come to the future. In Quarter 4, of the '22-23, the Bank has reached the 3 crores customer out of that 37-lakh new customer added in the Financial Year '22-23 which is shown that the future growth is very potential for the Bank.

Coming to the advances:

Advances the first point that I would like to highlight to all of you is that our secured book has increased from 36% in FY22 to more than 42% in FY23 and we expect by FY26 the share of secured book will be nearly 50%. Quarter 4 we have been seen that advances recorded the 10% year-on-year growth and asset quality has also improved. Next point is, with this growth bank has also maintained the diversification strategy. So, we see that the personal loan, gold loan, two-wheeler loan and auto loan which consist as a Retail loan other than housing loan has grown 233% year-on-year and 110% quarter-on-quarter.

The Commercial Bank vertical, SME and NBFC, lending has been seen that 72% year-on-year growth and 29% quarter-on-quarter growth. The housing finance book has registered a growth of 13% year-on-year. This quarter we had faced some challenges as we shifted our LoS on Housing loans from erstwhile Gruh to our new LoS which is linked to our new CBS. So, there were challenges for two months leading to little bit hit on growth of the housing loan. However, I would like to clarify that it is a one-off thing and we are back on track in terms of our growth in housing loans. We are planning to ride the demand wave in housing to grow our housing book by 22- 25% YoY.

Now to deposit, we have seen that deposits grew 12% year-on-year to 1,08,000 crore and the total business of Bandhan Bank is more than 2,00,000 crores. I would like to specially highlight that MFI customers contribute to less than 4% of the total deposit. Due to our focus on deposits, our CASA deposits have seen a growth of 6% YoY to Rs. 42,455 crores, and sequentially the CASA ratio has improved from 36.4% in Q3 FY23 to a healthy level of 39.3%. The retail-to total deposits ratio has also improved sequentially from 69% to 71 %. CASA deposit has been increased by 6% YoY contributed by 35% YoY increase in CA deposits.

We have seen good improvement in the overall collection efficiency. For the Bank, overall collection efficiency (excluding NP A) stood at 98.5% in the month of March, up from 96% in the month of March of the preceding year and a minor improvement from 98% in December 2022. So, if I say that the December 22 we have been seen that the March 23 has been 0.5% increase which is we see that the microcredit industry it is in 98.5% to 99% is a normal collection

efficiency. I want to particularly highlight that traditionally, WB and Assam have been our largest markets for Banking units but now markets like UP and Bihar 65 have got significant prominence and are seen in top 3 markets. (WB - 36%, Bihar - 14%, UP - 10%, Assam - 7.6%)
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So, in the microcredit portfolio, of the loan disbursement in the last two years our one-time repayment rate is more than 97% and for the loan disbursed in the the last one year it is more than 99%. I am saying that the 2021-22 and '22-23 whatever the loan we disbursed to the microcredit one-time repayment rate (same day they are paying the full installment) is a little more than 97%, but on the other side for all the loans disbursed to the customer in last one year i.e. in FY23, one-time repayment rate is 99% plus. This OTR indicates that the pandemic is over and incremental credit growth is coming with good quality.

Bank has registered a net profit of 808 crores for the Quarter 4 financial year 23 against the net profit of the last quarter 291 crore. For the full year of the financial year 23 Bank has registered a profit 2,195 crores compared to the last year which is 126 crore. Our net interest income has shown an increased 19% quarter-on-quarter which seen that in the 4th Quarter it was in a 2,472 crore, but 3rd Quarter 2,080 crores.

Our net interest margin has increased 80 basis points from the last quarter which is now 7.3% compared to the 6.5% is the Quarter 3. Total credit cost for the Q4FY23 was in a 2.9% compared to 6.4% in Q3FY23%. Our gross NPA in Quarter 4 stood at 4.9% and which is that the 7.2% in the last quarter and net NP A has come 1.2% last quarter it was in a 1.9%.

So, it shows that the gross NPA and net NPA both has come down from the last quarter. We have already seen significant improvement in our SME book which has come down across all buckets. We have seen 140 bps QoQ increase in our PCR at 76.8%, which was increased from 75.4% in the previous year. The Bank delivered ROA 2.2% and ROE 17% in this financial year Quarter 4. We have added about 14 lakh to the customer in this quarter.

Coming to the digital performance of the Bank, 94% of the total transaction of General Banking customers are taking place on digital mediums compared to 90% last year. About 53 crore transaction took place on UPI through Bandhan bank. 31 % of the retail deposits are coming from online channels. We have successfully launched Pilot of Neo Plus Digital Saving Bank account We have the 30,000 tabs used to open the Bank account with biometrics. So, it has improved our account opening and customer on-boarding process of the bank and we are working on a digital sanctioning of the retail asset loans. Strategy we will continue to dominate our traditional basis in the East and the Bharat. While building greater momentum in high potential and premium Pan India markets through targeted geographic diversification, deeper market penetration, localized hiring and liberalizing of the Bandhan brand.

We will continue to dominate our traditional bases in the East and Bharat while building greater momentum in high-potential and premium Pan-India markets through targeted geographic diversification, deeper market penetration, localised hiring, and leveraging of the Bandhan brand. We are building new capabilities to unlock greater business impact. Our new business streams such as Commercial Vehicle Lending, Loans against Property for Business, Government Business Operations, among others, will start adding to the bottom line as well as the top line
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over the next few quarters. We are taking multiple steps to drive cross-sell & branch-led sales to grow the retail assets & liabilities portfolio. We will fully utilize our branch presence to increase our liability and asset portfolio, and also increase productivity per employee supported by Digital & Analytics. Lastly, I would just like to end it by saying that this is a new era of banking. At Bandhan, we are young, hungry and ambitious. With the right strategy, initiatives and execution, we are confident of continued success.

Coming to the outlook for the next financial year that is FY24:

We expect to grow our advances by nearly 20% & a little higher rate for deposits growth through FY24 with our focus remaining strong on the retail segment & diversification. Our endeavour is to maintain the CASA ratio above 40% for the full year and margins in the range of 7.0% - 7.5%. We expect credit cost to remain around 2% with a variance of 20 basis points. Overall we expect a RoA of 2.6-2.8% with a RoE of 18-20%

Thank you to all of you for your patient listening.

Vikash Mundhra:

Sunil Samdani:

Moderator:

Mahrukh Adajania:

Sunil Samdani: Thank you Sir, Now I would like to request our CFO - Mr. Sunil Samdani to give you some more details on the financial parameters during the quarter.

Good evening everyone. I will take a few minutes to take you through the highlights for the quarter, a few material events which I feel needs discussion.

Overall, I would say this was a good quarter for the Bank with asset growth and the deposit growth was at a year high. On the asset quality side particularly, the Bank did well on the collection efficiency side as Mr. Ghosh mentioned we cross 98 and half percent. The stress pool came down from 76 billion to 55 billion.

On the DPD movement side, we have seen the overdue zero plus DPD in the EEB segment even without considering the ARC sale we have seen a reduction of 518 crores. So, the asset quality continues to improve. So, this is the second consecutive quarter where we have seen the reduction in the DPD over the previous quarters. So, I think we are happy to take the questions. I am sure you will have a few happy to take them. Thank you.

Thank you. We will now begin the question-and-answer session. The first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Sir, firstly what explains the flattish interest expense in the quarter that is my first question also if you could give the absolute number of slippage?

Two things one is our cost of funds has remained flat quarter-on-quarter so that is one and then while we have seen slightly increase quarter-on-quarter the interest expense largely we have

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done well because our cost of fund has remained flat quarter-on-quarter. On the slippages side our total slippages for the quarter I am talking about the gross slippages is 1,118 crores, the recoveries and upgrades is 468 crores. So, the net slippages is 650 crores. This is at a Bank as a whole. If we look at the EEB vertical the gross slippages are 730 crores, recoveries and upgrades are 200 crores and the net addition is 530 crores.

Mahrukh Adajania:

Sunil Samdani:

Moderator:

Prakhar Agarwal:

Sunil Samdani:

Prakhar Agarwal:

Sunil Samdani:

Ratan Kumar Kesh: Just on cost of funds everyone seeing a lot of pressure on cost of funds, so what is a little different for you?

So, our mix improve if you look at our growth in deposits the growth in CASA was higher than the growth in overall deposits and even the share of current account improve that helped maintaining the cost of funds.

Thank you, The next question is from the line of Prakhar Agarwal from Elara Capital. Please go ahead.

Two, three questions first you mentioned about your mortgage portfolio that there was some disruption on growth because of change in core system, is that activity planned for other portfolio as well and in that context could there be some disruption on growth that is my first question I will come with second question?

As we discussed last previous few quarters the Bank is looking at an IT transformation. We are getting a new CBS including the loan LOS and the LMS system. As part of that transformation strategy, we first migrated our Housing Finance portfolio which was in a different system, the grid system which erstwhile Gruh was using and later on sometime in Q2 we would look at migrating the other businesses the entire other piece to the Flexcube. Now for us one reason why we did it in this two tranches is because we wanted to first have a feel of the transformation have that learning of transformation and with this learning of housing finance transformation we are confident that the larger transformation that will go through in Q2 will be relatively smoother. So, 20% growth that we spoke of includes of that particular disruptions if they are running? Yes, because these disruptions if any are not a perpetual disruptions. These are one month disruption. So, we can always cover that back, and given that now we have the learnings from the housing finance transformation we are that much more confident now.

So, I will repeat little bit what Sunil said first of all we have a learning from the housing finance that we will utilize for the remaining migration. More importantly, there may be disruption for few months, but the transformation will more than offset that in the subsequent part of the year and therefore we do not see any disruption from the overall period of time for the whole financial year.

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Prakhar Agarwal:

Sunil Samdani:

Prakhar Agarwal:

Sunil Samdani:

Prakhar Agarwal:

Sunil Samdani:

Prakhar Agarwal:

Sunil Samdani:

Moderator:

Yuvraj Choudhary:

Sunil Samdani: Just on the EEB stress book that you probably said about 55 billion outstanding as of March'23 when you look at your SMA-2 number in there that number has not yet declined, any particular reason as to why that number continues to be sticky I am just particularly talking about SMA-2 number in that pool?

No, it is 2.4% so it has come down so to speak, but yes you will always see some forward flows. The forward flows has declined or probably that intensity of that forward flows remained probably elevated number?

No, when I say that SMA-0, 1, 2 and NP A put together we have seen a reduction of 518 crores without considering the ARC sales clearly shows that the asset quality is improving and the forward flows are coming down.

Just one last question from my side when you talk about CGMFU recovery and you said that 11 billion is expected in Q1 and 6 billion in FY25, why is a timing difference and when you talk about credit cost of 2% does that include this 11 billion that you probably expect to recover?

So, as you all aware that we can claim only once in a year, while the total eligibility for us stands at 17 billion it depends on the timing. If I claim this in October'23 month I can claim the entire 17 billion together, but if I need to claim it in the first quarter then the eligible pool is only 11 billion. So, that is how we are spreading it into the two tranches what was your next question. The credit cost guidance that you gave about 2% does that include this 11 billion recovery that is expected in Q1?

No so which means I am not taking the benefit of this 11 billion.

Thank you. The next question is from the line of Yuvraj Choudhary from Anand Rathi. Please go ahead.

Firstly, our Books saw a strong growth in disbursements during the quarter so were there any specific states, regions where the growth was strong or was it a broad based growth across regions. Would be helpful if you could throw some color on that and secondly if possible if we could provide average ticket sizes of our Book?

So, yes the growth firstly has been broad based. Tactically, we have been slightly lower in terms of growth in the state of Assam, but other than that we have been growing across all states. We have identified a few states which are the growth areas for us. So, particularly growth in those states will be higher states like UP, Bihar, Telangana, Andhra, Madhya Pradesh, Gujarat. These are the states where we see huge potentials and we are opening branches in these states. So, the incremental addition to new customers are also increasing in these states and that is how their share. Mr. Ghosh in his opening speech mentioned that if we now look at the top five states its
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West Bengal followed by Bihar with and then UP and then comes Assam two years back you all remember it used to be West Bengal followed by Assam. So, that is how this diversification to the new states are happening.

Yuvraj Choudhary:

Sunil Samdani:

Yuvraj Choudhary:

Sunil Samdani:

Yuvraj Choudhary:

Sunil Samdani:

Moderator:

Rahul Jain:

Sunil Samdani:

Rahul Jain:

Sunil Samdani: And sir you could also possibly provide average ticket sizes of our ebook?

So, on the disbursement side our average ticket size is about 50,000 for the group loan and about 1,20,000 for the individual loan.

Last question a CD ratio is now almost at 97%, so is there a target CD ratio we have in our mind?

Sorry you are talking about CD ratio?

CD ratio credit to deposit ration?

See given our capital base and our portfolio which are eligible for refinance at an attractive rate and we get a longer tenure funds also from these refinance companies. We believe the CD ratios for us should be in this range of 95% to 97%.

Thank you. The next question is from the line of Rahul Jain from Goldman Sachs. Please go ahead.

Just to start with the slippages so Sunil EEB you said about 700 crores and the residual is 400 crores, so can you give me further split between within EEB what is the group slippages and what is the individual that is one and second is within the non EEB which segment would be contributing to the slippages?

So, firstly the overall slippages in the EEB in Q4 was 730 crores split I will get it, but broadly it is in the proportion of the portfolio that we have. The non EEB slippages is 388 odd crores and if I have to break it into the four key components the SEL (small enterprise loan) which is part of our Commercial Banking here that stands at 66 crores as gross slippages and the recovery is 18 crores, so the net slippages is 48 crores. SME which is the BBG and the MMG together the gross slippages was 68 crores, recovery was 49 crores. This was more technical in nature that is why the slippages and recoveries both are higher. Housing finance because of the disruptions for one and a half months that we saw we had again a technical slippage of 231 crores and the recovery of 191 crores. So, because of that transformation we had one month of slippages, but it again came back to normalcy in the next month. The Retail is the balance small amount. And this 191 is already part of up gradation and recoveries in this quarter within housing?

Yes.

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Rahul Jain: Second is on the provisioning strategies we talked about 2% you are not taking the benefit of 1,700 crores. So, that will be over and above 2% is what you are guiding for as in what I mean to say is the income comes in and you take it in the provisioning line on top of it you have got 2% provisions.

Sunil Samdani:

Rahul Jain:

Sunil Samdani:

Rahul Jain:

Sunil Samdani:

Rahul Jain:

Sunil Samdani:

Rahul Jain:

Sunil Samdani: There will not be any P&L impact for that. When the CGFMU money comes I have to necessarily allocate it as provisions of NP A. So, we will have to do that at the accounting base, but the idea here is to not utilize that money and keep it in the balance sheet. So, we will have to see how do we again re-provide it whether as the standard asset provision or as the contingent provision at that stage the board will take that call.

So, whatever 1,700 crores could be utilized towards building contingent provisions or standard asset provisions for future use, is that understanding right?

Yes.

Just one more point I wanted to understand on what is the existing contingency provisions that we have right now apart from the specific provisions?

So, if you see we have increased our PCR right it has gone up from 75.5% to 76.8%. It is essentially large part of these provisions we have allocated to the customer accounts. So, the additional provision other than the specific provisions will be a small amount of about 500 odd crores which is the additional standard asset provision over and above the RBI requirement. Just one or two last questions these sell down I think which you have done about close to 5,000 crores where which buckets would those be from of course 2 and a half crores is I think write offs, but remaining 2 and a half crores would be from what buckets you can just help elaborate that?

So, they were all NP As. So, we did 2,614 crores from the technical write off bucket and 2,316 crores from the NP A bucket.

And one last question small bit you talk about the EEB loan portfolio which now has the West Bengal, UP and Bihar being the top three contributing states, if you can also help us with the mix what is it as of today and what was it let us say a year back just to get some color around the diversification strategy within the MFI book?

Yes, I will come to that. I will get that number, but in the interim I just want to extend the previous conversation on the ARC sale the portfolio we used to be done the ARC deal in two tranches. One, we did it in the December quarter and the other one in the March quarter. So, just

to give you an update how the recoveries are planned out on that whole. Total recoveries that we have made the portfolio that we sold in the month of December stands at 342 crore. We had taken 414 crores from the ARC and the investor, we have already recovered from the customer

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342 crores. The reason this is important is because once we repay the ARC and the investors along with the assured IRR the entire recovery comes to the Bank. So, that is an update on the ARC pool performance in terms of how are we recovering money from that pool.

So, let me tell you in March '22 my Bihar was 6,900 crore on a book of 62,400 crores which is now 7,900 crores on a book of 56,900 crores, UP was 5,320 crores on a book of 62,400 in FY22. Currently it is 5,729 on a book of 56,800 and West Bengal was 25,315 on a book of 62,400 in March '22 currently at 20,364 crores on a book 56,800. I do not have the percentage ready so instead of calculating it, in the interest of time provided you with actual no.

Moderator: Thank you. The next question is from the line of Himanshu Taluja from Aditya Birla Sun Life.

Please go ahead.

Himanshu Taluja:

Sunil Samdani:

Himanshu Taluja:

Sunil Samdani: Just a couple of questions at my end. Firstly, sir few questions on the asset quality given you have highlighted that you are from the MFI Book EEB books we have seen a slippages of 700, so if you can just further give a breakup in terms of how much you are seeing from the incremental book and the existing stress book, how are we seeing those trends and secondly from your total stress book of 55 which has come down from 76 to 55, some bit of part from the ARC sale as well how we are going to see this incrementally in the coming quarters, so that is my first question?

Coming to your first question 730 is the gross slippages in EEB about 99% is from the existing stress pool which is SMA-1 and 2.

So, hardly something is contributed from the new business from the recent business?

Unless it is a nonstarter case you cannot have a situation where zero DPD customer becoming NP A in one quarter.

Himanshu Taluja: You just wanted to say how is the collection trends of the new business basically?

Sunil Samdani: So, that Mr. Ghosh told in his initial update

Chandra Shekhar Ghosh: So, in the microcredit portfolio, of the loan disbursement in the last two years our one-time repayment rate is more than 97% and for the loan disbursed in the the last one year it is more than 99%. I am saying that the 2021-22 and '22-23 whatever the loan we disbursed to the microcredit one-time repayment rate (same day they are paying the full installment) is a little more than 97%, but on the other side for all the loans disbursed to the customer in last one year i.e. in FY23, one-time repayment rate is 99% plus

Himanshu Taluja: And sir on this stress pool of 76 bn to 55 bn how one should expect this in the coming quarters?

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Sunil Samdani:

Himanshu Taluja: So, see directionally we have seen this stress pool coming down and that should continue. The good part is that there is no element of any doubt in terms of coverage there because of these 55 billion we have 38 billion of coverage and 17 billion of CGFMU. So, whatever we recover will help us reduce the pool. So, we are at a quite comfortable position here.

Sir second is on the growth when you are guiding for a 20% sort of a loan growth when we for FY24 where housing is expected to grow 20 to 25, but what is in your estimates for the MFI business and secondly how much you are seeing this growth of MFI business will be contributed from the new borrower base?

Chandra Shekhar Ghosh: If you see that the MFI growth will be expected in the 17% to 18% and this is one and second point on that always we have seen that the new customer is coming to this the MFI book is in 10% to 12%.

Himanshu Taluja:

Sunil Samdani:

Shantanu Sengupta:

Himanshu Taluja:

Shantanu Sengupta: Sir, last question is around your deposit so how are you seeing the Retail deposit traction and how one should expect these trends probably the CASA ratio probably the Retail deposits, how you are seeing the trends for the coming year?

So, we have Shantanu Sengupta I will request him to take this.

Look our outlook for deposits for FY 24 looks quite robust because we have over the last many years seen consistent growth in our deposit book. We have done some specific interventions in the portfolio to make sure that our percentage of CASA goes up and therefore you can see that in our CASA ratio. So, our outlook for 2024 remains quite strong in terms of growth. We would focus on granular growth because of the fact that we have a network which we are expanding and we believe that we will get value from those incremental branches. We also have invested in specific segments that will help us bolster the growth on the savings and current account side. We also are looking at reinvesting into the business Banking proposition so that we can focus on current account. So, our outlook would be strong. We believe that the focus would be on CASA current account savings account group and that is what we are going to look forward in the coming year.

Sir anything that you want to highlight from a new initiatives that you have taken to improve your liability franchise that is my last question?

So, there are two or three things that we have done. One we are coming up with new branches as we mentioned last time. So, that is coming up. We have already got up, we had a plan to open 551 branches over half of that is already done. We expect the balance to come in by the end of this quarter or maybe spill over to the next quarter, so that is one. Two, we are also invested in the digital platform and we believe that with investment of account on boarding being completely digital, we expect and anticipate the growth to come on those lines. We believe that with good customer journeys we will be able to get deeper into the customer wallet. So, those are some of

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the initiatives besides what I already spoke about which is on the new segments that you are looking at.

Sunil Samdani:

Moderator:

Param Subramanian:

Shantanu Sengupta:

Param Subramanian:

Sunil Samdani:

Param Subramanian: I will add one just line with what Shantanu said. Given that we are going ahead with our technology transformation the new core Banking system will enable us to launch many more new products which will not only improve customer experience and transaction capability, but the new product lines will build more stickiness and more hooks for the customer to bring more deposits to us.

The next question is from the line of Param Subramanian from Nomura. Please go ahead.

So, firstly again picking up from the last question Mr. Ghosh in your opening commentary you highlighted that the government business is going to be a key area of focus for the next year, so could you highlight is there something in the pipeline especially on the deposit side since you put out the guidance of 24% deposit growth for next year which is substantially higher than this year, some color on the government business that you are talking about that is my first question?

Yes government segment will be an important segment of growth. We have invested in our people. So, we have created a separate vertical with expertise across the market. This is a specialized function and therefore we have the right skills right now available. We are investing in a platform to make sure that we can act as agency Banks for some of these government organizations. We have also seen some success coming in through empanelment with some of the government agencies across the country. So, I think we have this is a great choice that we have made because this is one area that we do believe has quite a few upside and I do think that this particular segment will add value to our overall deposit prices, but just to add one more thing to this. We obviously will have features and benefits for this particular segment. Some of that includes tax collections etcetera. So, the value-added proposition around this segment is something that we are also working on so that we get the right impetus as we go forward specifically for the segment.

My second question is on the MFI portfolio how much of this so we will took that rate hike around November of last year, so how much of the MFI portfolio has repriced upwards some rough color on that and how much more to go in terms of the lending yield picking up further on this book?

So, we had taken a 300-basis point increase in the last financial year starting first April we further taken a 100 basis point increase to your point on what percentage of the portfolio is repriced. Typically given our portfolio of about 57,000 crores and the disbursement of the last two quarter I would say close to 60% is what which has got repriced.

And my last question perhaps so on slide 14 you called out this PD against FD or rather overdraft against FD, so what exactly is that sequential uptake if you could get some color on that?

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Sunil Samdani:

Param Subramanian:

Sunil Samdani:

Moderator:

Saurabh Kumar:

Sunil Samdani:

Saurabh Kumar:

Sunil Samdani:

Saurabh Kumar:

Sunil Samdani:

Saurabh Kumar:

Sunil Samdani: So, these pertain to few large deposit accounts where they had taken loan against fixed deposits at the end of the financial year. These are very short-term loans, so that is why we wanted to highlight that this is not something which is a focused area for us, but it comes with customer request and since this is a very short term in nature, we thought prudent to tell short term in nature.

Sunil are these chunky accounts?

Yes. As I said these are a few accounts, but these have been with the Bank for the last two, three years.

Thank you. The next question is from the line of Saurabh Kumar from JP Morgan. Please go ahead.

Sir if you look at your SMA-0, 1,2 we are at about 5.6% during the collection efficiency has been ranging between 97, 98, so is it fair to say that on a normalized basis this number needs to settle to 3%?

Yes, but when do we reach that normalization is it Q3, Q4 is this something that we will have to debate, but you are right if my collection efficiency is 98% and all of this is full paying customers then ideally the delinquency should not be more than 3.

And you would be assuming this 3%, right?

Yes.

And this last question sir how should we think about your non-interest income and if you can give some break up of non interest this year?

So, noninterest income if you look at the key contributors. So, the highest for us is always the processing fee. Out of 629 crores of total other income in Q4, 300 crores were from the processing fee followed by third party products distribution of 134 crores. The third now that we have sold our portfolio to ARC the recoveries from bad debts or the written off account we cannot account for it. We have to park it in the liability account to repay it back to the ARC, but what we get is the collection charges on these portfolio. So, the third contributor is the collection fees on account of collections from ARC portfolio which is about 55 crores for the quarter.

And sir is there any chance of the PSLC income covers next year?

We are not budgeting for it. There is always a possibility, but we are not budgeting for it.

Moderator: Thank you. The next question is from the line of Manish Aggarwal from PhillipCapital. Please go ahead.

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Manish Aggarwal:

Sunil Samdani:

Manish Aggarwal:

Sunil Samdani:

Manish Aggarwal:

Sunil Samdani:

Manish Aggarwal:

Sunil Samdani:

Manish Aggarwal:

Sunil Samdani:

Moderator:

Anand Dama:

Sunil Samdani: Just data keeping questions would you like to call out what is the outstanding standard asset provisioning apart from 500 crore which you mentioned?

So 488 crores.

And apart from 488, 500 is the additional standard provision including standard structure, correct?

No, so standard restructure is part of 488.

So, 488 and additional 500 is the contingent provision so called.

Yes. So, what we do is provide 1 % on the micro-banking portfolio or the EEB pool. The regulatory requirement is only 0.25. So, when we say our standard asset provision including the restructured is 488. We are considering only 0.25 which means 0.75 goes into the additional provisioning bucket which is where it becomes 500 crores.

And coming back to the short-term loan on TD, so in one quarter ifl were to look at there is a huge jump almost 6%, 7% of your Retail TD equivalent to that I notice that you mentioned that is chunky account, so are these non-Retail account or this is a Retail accounts?

No, these are not Retail accounts. So, the balance is here is more than 2 crores.

I would understand that not any amount of this will be part of our current deposit in any which way?

No, not really. It is a loan which has moved out of the Bank.

Thank you. The next question is from the line of Anand Dama from Emkay Global. Please go ahead.

So, basically your SMA-1, SMA-2 pool if you look at which was there in the 3rd Quarter versus what you look at now. So, for last quarter it was about 25 billion now it is about 21 billion, so there is a reduction of about 4 billion that we are seeing in SMA-1, SMA-2 pool so I believe it is 400 crores were actually slipping into NP A in the current process?

See you cannot really pinpoint which customer has moved where, but if you look at overall positioning as we mentioned, the SMA-0, 1, 2 and NP A put together there is a reduction of 518 crores without considering the ARC sales.

Anand Dama: So, these slippages from the pool would have been higher and then basically there would be a fresh flow of new stress also which would likely to come in SMA-1 and SMA-2, is that right?

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Sunil Samdani:

Anand Dama:

Sunil Samdani:

Anand Dama:

Sunil Samdani:

Moderator:

Jay Mundhra:

Sunil Samdani:

Jay Mundhra:

Sunil Samdani:

Jay Mundhra: No. So, the recoveries is also there. No, because there will always be a normalized slippage, but there will always be recoveries from this from a DPD pool to the current pool. So, the recovery from DPD pool to the current pool is higher than the slippages from current to DPD pool that is how one should look at.

Sir, I was just asking the second question the Assam relief scheme we will be hoping for a recovery long now, so when is really going to come, is it going to come in 2024 or basically we do not expect that to come back anytime soon?

Yes, it is very difficult to comment on anyone else behalf and since as a Bank we were very clear. This is not a right for us unlike CGFMU or ECLGS. This is kind of a grant. So, we have not budgeted for it, but we are positive that money will continue to flow from Assam Government, quantum and timing is very difficult to estimate.

But is there any procedural difficulty from the bureau side that basically the government is giving the money or like right now they have not budgeted for this and that is the reason we are not changing?

As I said I will not be able to comment that because I am not in a position to know that.

Thank you. The next question is from the line of Jay Mundhra from ICICI Securities. Please go ahead.

Sir, I just wanted to get that number of total provisions outstanding so we have a specific provisions of around 4,000 crore and we have given some numbers which includes restructured and some contingent, so I just wanted to check what is the total pool of specific I think we can calculate is 4,070 crores, but what is the number outside that?

5,080 crores is the total provision in the books.

And sir if you can also specify we have the total net NP A at 1,228 crores how much of that would be EEB, just to understand that so what is more or less done and what is remaining?

So, typically we have an 84% kind of a PCR ratio in EEB, but I will still check the exact number for you in terms of net NP A.

And the last question is to Mr. Ghosh. sir we have added Mr. Kesh to the board I mean the Bank has added one executive director. I wanted to check if there is any plan to add more or if there is any so that is the question if in the near term do you envisage any more changes at the board

level from a management executive perspective?

Chandra Shekhar Ghosh: You know that earlier also mentioned I will repeat on that that is in last year board have been decided the two executive director will be liked to take one for the non-business, one for the

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total business. So, non-business already we had it is Ratan Kumar Kesh already joined on that and we are now processing for the next one which is the total business looking by one executive director which helps us to future growth of the Bank.

Jay Mundhra: And it should be let us say it should be in this financial year let us say or is there any timeline for it?

Chandra Shekhar Ghosh: No, this is in this financial year.

Moderator: Thank you. The next question is from the line of Pankaj Agarwal from Ambit Capital. Please go ahead.

Pankaj Agarwal:

Sunil Samdani:

Pankaj Agarwal:

Sunil Samdani:

Pankaj Agarwal:

Sunil Samdani:

Pankaj Agarwal: Sir, ifl see your total stress pool in MSI definitely it has come down by around 400, 500 crores, but ifl look at 0-to-90-day DPD it still seem there is a forward flow right. So, though there is a 500-crore reduction, there is a 500 crore of forward flow as well, given that now recoveries are picking up and we are saying lot of customers are saying partially easing only thing is this forward flow should have stopped?

No, ideally we would have loved to have a zero-forward flow, but in any business there will be a steady state credit cost and as we have highlighted that the 2% would be a credit cost what we are looking at for this financial year. So, accordingly the slippages from the current pool to the delinquent pool is well within that guidance range.

So, if I look at the reduction in this 0-to-90-day DPD I sincerely half is forward flowing and half is basically going out of the pool, so it is safe to assume that out of remaining 3,200 crores half of this could flow through NP A this year?

No, it is not that straight calculation. It all depends on the environment, our ability to go convince the customers. We are focused we would want to and when we are seeing the environment improving customers coming back, we do not want to put that number today. We have given a number on a credit cost side so we will stick to that, but the endeavor is always to be closer to customers and collect as much as possible.

Secondly on your OPEX ifl see your OPEX ratio gone from 3% to 3 and a half percent over the last one year with cost to income going to roughly 42% now, do you think it is the peak or it has further scope to go up next year?

So, I would say this is peak, but for it to come down it will take a year or so because we are still in investment mode whether it is transformation branch expansion, new business developments. We do not see it going beyond 42%, but to go back to that 35% will take a year or two.

So, you think this business can be done below 40% cost to income ratio on a sustainable basis?

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Sunil Samdani:

Moderator:

Prakhar Agarwal:

Sunil Samdani:

Shantanu Sengupta:

Prakhar Agarwal:

Sunil Samdani:

Prakhar Agarwal:

Sunil Samdani:

Prakhar Agarwal: Yes it can be.

Thank you. The next question is from the line of Prakhar Agarwal from Elara Capital. Please go ahead.

Two things one is in terms of when I look at what you said in terms of funding cost being steady on a QoQ basis on a last quarter when we saw a decline in size there was a rationale that probably lot of guys have moved from SA to Retail TD, so what has changed in terms of customer side here from Bank side that we saw such a large acquisition SA based essentially and second how

do you look at funding cost moving from here on?

So, let me start and Shantanu can add. Now firstly nothing materially changes in three months, but what has surely changed is the pace of conversion from SA to TD. Typically, when the interest rate environment turns those rate sensitive customers want to move from saving Bank to the time deposits and once those rate sensitive customers move the incremental flow towards TD from SA reduces the pace of flow reduces and which is what we have seen in Q4. So, that is how I will look at it Shantanu if you want to.

I think you have covered that.

And the second part how do you see funding cost moving forward assuming that RBI does not make any changes to the system rate then how do you think your funding cost moves from here on?

So, directionally it will go up in this financial year and we are looking at the end actually it is very difficult to put a number, but I would say directionally quarter-on-quarter till next two quarters the cost of funds should go up because the repricing of TDs if that happens will happen at a current rate which is a higher rate and from there on we will have to see how the interest rate environment goes and accordingly the cost of funds should move, but on the same side, our yield on funds will also go up. See the good part is we face the difficult time having 70% portfolio on a fixed rate. So, in an increasing interest rate cycle you tend to lose because the cost of funds go up faster and the yield on advances relatively remain flat. So, when the cycle turns we would be the beneficiary of it. So, let us see when the cycle turns and then that should help us.

What is our rate on MFI after the rate hike that we have seen after April 1st also we have taken 100 basis points rate hike what is the sort of rate that we are offering on MFI?

22.95.

Are we still the lowest because we will be playing that one point in time that we are the lowest in terms of that?

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Sunil Samdani:

Moderator:

Sunil Samdani: Yes so these are the lowest.

Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments.

Thank you. Ladies and gentlemen, thank you for your time. Good luck and good evening. Thank you.

Chandra Shekhar Ghosh: Thank you to all of. Thank you.

Moderator: Thank you very much. On behalf of Bandhan Bank Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

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July 18 , 2023

BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
BSE Scrip Code: 541153 National Stock Exchange of India Limited
The Listing Department
Exchange Plaza, C-1, Block G
Bandra Kurla Complex, Bandra (E)
Mumbai – 400051
NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub: Transcript of the Earnings Call on the Unaudited Financial Results of the Bank for the quarter (Q 1) ended June 30 , 202 3 – the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI LODR')

In continuation to our letter bearing Ref. No.: BBL/ 82/2023-24 dated July 14 , 202 3 and pursuant to the provisions of Regulation 30 and other applicable provisions of the SEBI LODR, we hereby submit the transcript of the Earnings Call hosted by Bandhan Bank Limited (the ' Bank ') on Friday, July 14 , 202 3, on the Unaudited Financial Results of the Bank, for the quarter (Q 1) ended June 30 , 2023. Further, the same has also been uploaded on the website of the Bank and can be accessed at the following link:
<https://bandhanbank.com/sites/default/files/2023-07/Q1YF24-Concall-Transcript-14Jul2023-180723.pdf>

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhanbank.com .

Thanking you.

Yours faithfully,
for Bandhan Bank Limited

Indranil Banerjee
Company Secretary

Encl. : As above
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"Bandhan Bank Limited
Q1 FY '24 Earnings Conference Call "
July 14 , 202 3

MANAGEMENT : MR. CHANDRA SHEKHAR GHOSH – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER –
BANDHAN BANK LIMITED
MR. RATAN KUMAR KESH – EXECUTIVE
DIRECTOR – BANDHAN BANK LIMITED
MR. SUNIL SAMDANI – CHIEF FINANCIAL OFFICER –
BANDHAN BANK LIMITED
MR. SHANTANU SENGUPTA – HEAD RETAIL BANKING –

BANDHAN BANK LIMITED
MR. VIKASH MUND HRA – HEAD OF INVESTOR
RELATIONS – BANDHAN BANK LIMITED

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Mod erator: Ladies and gentlemen, good day and welcome to the Bandhan Bank Q1 FY24 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikas h Mund hra. Thank you and over to you, sir.

Vikas h Mund hra: Thank you, Do rwin. Good evening, everyone, and a warm welcome to all the participants. It's our pleasure to welcome you all to discuss Bandhan Bank's busi ness and financial performance for the quarter ending June 2023. We will take this opportunity to update you on the recent development in the industry as well as on Bandhan Bank during the quarter. To discuss all this in detail, we have with us our Managin g Director and CEO - Mr. Chandra Shekhar Ghosh, Executive Director - Mr. Ratan Kumar Kesh, Chief Financial Officer - Mr. Sunil Samd ani, Head Retail Banking - Mr. Sh antanu Seng upta and myself Vikas h Mund hra, Head of Investor Relations along with other senior management team of the bank.

We will be happy to provide you with any clarity if required on the current quarter numbers and the way forward. Now I would like to request our MD and CEO Mr. Chandra Shekhar Ghosh to brief you all about our bank's oper ation and financial performance along with developments for the quarter endi ng June 2023. Over to you, sir.

Chandra Shekhar Ghosh: Thank you, Vikash. Namaskar. Warm welcome to all of you. After the strong financial year 2023, I am pleased to state that Apr il to June 23 quarter has also been a stable quarter for the bank. I will take you through some of the key figures. The macro backdrop continues to strengthen. India looks set to remain world's fastest growing large economy. India's GDP is expected to grow at about a strong 6.5% during financial year 23 -24, with the prospects of strong private consumpt ion and services sector growth.

Despite the late onset of monsoon weather disruption in few states and delayed showing during Q1 '24, the gradual improvement in rural demand may continue in the coming forecast of a near normal monsoon by IMD -II. Despite the policy, under uncertainties in advanced economies, India's inflation of 4.6% year -on-year during Q1, financial year 24, suggests the limited risk of further hike in interest rate in the near term. Prospects of decent GDP growth and stable interest rate environment should help the momentum in Indian BFS I sector in the coming quarter.

Having said that, one must note that the first quarter of the financial year is often seasonally a somewhat softer patch for several entities in the financial services industry. Thus, quarter on quarter figures, sorry, quarter on quarter figures should be analyzed and interpreted carefully. During Q1FY 24, B andhan Bank's overall adv ance have shown a 6.7% growth year on year and a marginal decline in quarter on quarter. The quarter on quarter decline in loan book is pr imarily because of two reasons.

We have seen a quarterly decline in the microfinance book around a 10 % quarter on quar ter. Primarily due to seasonal factors and because of weather disturbance in a few states. Historically, also, if you've seen, for the last two financial years, we have always shown a quarter one, quarter drop in a similar range in quarter one in our micro finance book. Second point, we also seen that, Bandhan Bank Limited

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as indicated earlier, we had a short term loan against the fixed deposit of which a single large account of INR2,151 crores has been repaid in Q1FY 24, which helped us to be grown of the book of advances. Howev er, grow

th in case of retail asset and commercial ban king continued to be impress ive.

The retail loan book, other than the housing finance book, consisting of personal loan, gold loan, two wheeler loan and auto loan has grown by nearly 87% year on year. Th e commercial banking vertical consisting of financial institution group and SME registered a growth of 78% year on year and nearly 7% quarter on quarter. The housing finance book, sorry, the housing finance book, which faced issues last quarter has come ba ck to normal and has registered a growth of about 9.5% year on year.

The share of secured assets as a part of our total loan book continues to increase. It crossed 44%

in quarter one, financial year '24, as against 36% in financial year '22. We expect that approximately half of our book should be secured book by financial year '26. On the liability side, deposits at INR1,08,000 crores as at end of June 2023. Recorded a growth of 16.6% year-on-year, stronger than the industry growth rate of around 12%. Due to our focus on granular retail deposit, our retail term deposit book has grown by around 17% year on year. The retail to total deposits ratio continues to hold above 71%. Customers continue to respond to their trust in the bank. Let me put forward a few data points in substantial the same. Our total number of liabilities customer increased by 11.5% year on year and 3.4% quarter on quarter. Volume of total customer transaction increased by more than 50% year on year, 9% quarter on quarter. Total value of transaction has also increased by 15% year on year, 5% quarter on quarter. Our overall digital transaction have recorded an increase of 49% year on year with average digital transaction per account going up by 33%. All these parameters shows that the bank are performing the deposit, especially in the retail segment is very good and future it will be like to continue very good growth of this deposit. CASA deposit came in slightly lower on account of seasonal impact compared to the previous quarter, but still stands at a healthy 36% at INR39,077 crores.

This drop in the quarter has been seen across the industry, but we have the confidence on our customer and my team will be again come back on that which is projected 40% of our CASA growth, CASA percentage. I would like to specially highlight that microfinance customers contributed only less than 4% of our total deposit. We have seen good improvement in the overall collection efficiency for the bank. Overall collection efficiency, excluding NPA stood at 98% for the quarter end June 23, up from 96% from the quarter ending June 22.

The bank has registered a net profit of INR721 crores during the quarter 1 financial year '24 against a net profit of INR887 crores in quarter 1 financial year '23. Our net interest income in quarter 1 financial year '24 came in at INR2,491 crores, broadly similar to INR2,514 crores during Q1 FY23. However, sequentially it is also stable at INR2,472 crores in quarter 4 financial year '23. Our net interest margin stood at 7.3% in quarter 1 '24, same as that during quarter 4 '23. It is a very strong parameter for the bank on that.

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The NIM has continued from the last quarter, also the same in this quarter. Total credit cost for quarter 1 '24 was 2.4% compared with the 2.9% quarter 4 '23. Our gross NPA in quarter 1 '24 stood at 6.76% compared to the first quarter of the last year, 7.25%. Our net NPA has come 2.19% and what was in a one year ago, 1.92%. The bank delivered an ROA of 1.9% and ROE 14.4% in quarter 1 '24. This quarter, we have added about 130 branches, over 70% of which are in northern, southern and western zone.

We have added about 7 lakhs new customers in this quarter. What is the future? We have made considerable investments in people, technology and infrastructure in recent years. We expect that from the current

financial year, the bank will start yielding positive results of these investments. Of late, we have initiated several steps to boost cross-sale and branch-lead sales to grow the retail assets and liabilities portfolio and also to increase productivity for employees supported by our digital and analytical initiatives.

Financial year '24, we expected to grow our advances by nearly 20% plus and a little higher rate for deposits growth through '24. We expect credit cost to remain around the 2% with a variance of 20 basis points. Pooja is coming near future, which is this quarter, which is second quarter.

We've seen that Pooja has been helped us to credit growth again, will be start for this year.

And whatever we have been declined, we'll be like to recover by the March, with our growth of the bank of advanced 20%. I wish you and your family all the very best. Thank you.

Vikash Mundhra: Thank you, sir. Now I would like to request Mr. Sunil Samdani to give you some more details on the financial parameters in the quarter. Over to you, sir.

Sunil Samdani: Good evening, ladies and gentlemen. I would want to take this opportunity to take you through some of the key highlights of the quarter in terms of financial numbers, starting with collection efficiency. The collection efficiency excluding NPA customers continues to be healthy at 98%. The full paying customer continues to be reasonably high at 96%.

Now moving to the DPD movement, you will witness that quarter on quarter, the movement in DPD has been stable with two major changes. One is 61 to 90 bucket and the NPA bucket. As far as the movement in 61 to 90 bucket, I would want to mention here that the ECLGS loans, which we have classified as NPA during the quarter, pursuant to change in IRAC norms by the regulator. These were earlier shown as stressed assets and were forming part of 61 to 90 day bucket.

And the NPA, as we discussed the slippages number, will make it amply clear as to how to view this NPA number. Now first, let me take you through this adjustment of ECLGS. As Bandhan,

we have taken this guarantee under NCGTC two schemes. One is the ECLGS fund and the second is the CGFMU guarantee. As far as CGFMU guarantee goes, since it was in the nature of insurance, where we pay the insurance premium to get that guarantee, whenever the customer crossed 90 DPD, we used to mark it as NPA and accordingly take provisions against them. As far as the ECLGS loan goes, these are 100% guaranteed by the NCGTC fund and since there is no insurance premium, there is no premium paid and it is not in the nature of insurance. As for the IRAC norms, then, since they are government guaranteed, we had not classified them as NPA.

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NPA. However, looking at the nature and the repayment track record, we feel that these are stressed customers. Accordingly, we used to classify them in SMA -2 buckets, which is 61 to 90. Now what changed? Starting 1st April, the new IRAC norm circular came in, which made it amply clear that all loans granted under the umbrella of NCGTC and the CGTMS E should be treated as NPA. Further, they said that banks are permitted not to make provisions against these exposures. So where do we stand against these new norms? So as mentioned earlier, the ECLGS pool, which was part of our stress pool under SMA -2, we mark it down to NPA. As far as CGFMU pool goes, that pool always was marked as NPA and continues to remain NPA. While the circular clearly says that the banks are permitted not to make any provisions, as a prudent and conservative measure, we have a coverage of 86% in terms of provision over these loans of NCGTC under ECLGS and CGFMU. So that's the material change for the quarter. How does it impact our stress pool? It has absolutely no impact on our stress pool because the ECLGS was earlier also classified as stress asset as part of SMA -2 and it continues to remain stress asset now under NPA.

So what's our stress pool looking like in March 23, this amount was INR 55 billion, with a stress pool coverage of INR55 billion, with a provision of INR38 billion, and the CGFMU guarantee of INR17 billion. In June 23, this amount goes up to INR62 billion and the coverage increases to INR103 billion with INR21 billion of guarantee cover and INR43 billion of provisioning in place. I would also want to take you through the slippages during the quarter. During the quarter, we had a slippage of INR13.6 billion. I'm talking here the gross slippages. And if I have to break this number of INR13.6 billion, about INR9.2 billion comes from the EEB. INR2.2 billion comes from housing and the rest from the other businesses. How do we read these slippages and what's the status on the recovery or upgrades? As you are all aware, during the last six months, starting December 28, we had sold a substantial pool to ARC and have also got a guarantee repayment from the NCGTC of INR916 crores. So as a result of that, any recovery in those accounts, we have to first pay to the NCGTC, if it's an NCGTC customer recovery, or if it's an ARC customer recovery, we pay to ARC as per the terms of agreement, till their claims are satisfied. Now let me first clarify on the slippages number. The INR2.2 billion or the INR220 crores of slippages that we saw in housing is more of the initial issues that we faced during the new system implementation. These customers flipped and we had an immediate upgrade out of which of INR1.6 billion or INR160 crores. So technically, the other way to look at the slippages of INR13.6 billion would be to reduce this ~ INR2 billion from that. Secondly, since we have sold this portfolio, a large chunk of it, to ARC and we've received the claim from CGFMU in the month of December, the recoveries that we do from our customers are allocated towards repayments to these two entities. So while the recovery is an upgrade number, in our balance sheet looks at INR2.8 billion or INR280 crores, the real recovery from the customer stands at INR550 crores. The rest either goes to ARC or to CGFMU.

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So this being the first quarter, after those material transactions, which happened at the end of Q3, which is 28th of December and in March, the real impact of recovery is felt in these quarters, wherein the bulk of the recovery goes to the outside agencies. Now where do we stand on the ARC pool that we have sold? How much more we need to pay to them? As you all know, we did this transaction in two tranches, one in December end and the other one in the March end. In the December end, the contribution from the ARC and the investor was INR414 crores. Of that, the total collections we have made is INR424 crores, which effectively means that by the end of this quarter, I mean the second quarter, we would completely repay our obligations towards the tranche we did in December '22, including the IRR. This effectively means any further recovery towards this portfolio will start flowing into the

bank's P&L, and that's where we will see these numbers improving in terms of recoveries and upgrades. As far as the other pool goes, which is the pool which we had done it in the month of March, the total receipt of those two pools between the write-off and the NPA portfolio was about INR362 crores, of which INR 250 crores is something that we have already collected. So clearly we see a scenario starting H2, this recovery of close to INR300 crores per quarter should start flowing into the bank's P&L. Thank you very much for your patient hearing. I'm sure you'll have few questions. Happy to take them. Thank you. Darwin, please start the Q&A part.

Moderator: Yes. Thank you very much. The first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania:

Hi, good evening. So over what time frame do the DCLGS, NCLs lead the book?

Sunil Samdani: Mahrukh, can you please repeat your question please?

Mahrukh Adajania: My question was that, these are covered by guarantees. So over what time frame do these ECLGS NPAs move out of the book, as in get resolved? You know, you can recover the guarantee and I mean, you can get the guarantee and resolve them, right?

Sunil Samdani: Sure, sure. So here, now, there is a difference between the processes of claim that we do between CGFMU and the ECLGS. Currently, under ECLGS, you have to upload a single case by case detail into their portal. And that's where they have a constraint in terms of the processing. And that's why this process of claiming is slightly slow because of the capacity constraints.

On the other hand, the CGFMU is a bulk upload that happens faster. What we are given to understand, a similar facility of uploading bulk, or through a confirmation through CIC is underway, and that should help speed up the processes of recovery, the ECLGS Guarantee Loan. And hopefully, in another three months, or max three to six months, we should be able to recover the entire ECLGS thing.

Mahrukh Adajania: Got it, that's helpful. And my next question is, just on the SME pool, right? So on an average, how much do you see would accrue to the SME pool every quarter from now on?

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Sunil Samdani: No, before I take your next question, just to add to your first question, that of this ECLGS book of INR580 odd crores, this quarter we have received close to INR85 crores.

Sunil Samdani: Sorry, I interrupted you. Can you please repeat your next question?

Mahrukh Adajania: So on a normalized basis now how much what is the ballpark range of accretion to as 1 to 30 DPD? I mean any range you could suggest?

Sunil Samdani: So normally with 98% collection efficiency that accretion should not be more than 2%. We've always seen in our business there is an element of seasonality where the Q1 disbursements are lower. And because of the flood season, the monsoon season, the movement into the DPD bucket is slightly higher in the first two quarters, vis-à-vis the last two quarters. Particularly Q1, where the slippages are the highest and then keeps on reducing as the quarters go by. So we expect the slippages number to reduce starting second quarter onwards.

Mahrukh Adajania: Okay, makes sense. And my last question is, so what kind of recovery through the income statement could we expect from ARC sales in FY '24?

Sunil Samdani: So as I said, for this quarter between repayment of ARC and CGFMU, the total amount is INR270 odd crores, between 2.3 billion in the ARC pool and 42 million in the CGFMU pool.

420 million, I beg your pardon. So both put together, it's about INR270 odd crores in Q1. And as I said, Q1 is historically the weakest quarter. So that's the minimum we should look at.

Moderator: Thank you. We have the next question from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Yes, hi thanks for the opportunity. So firstly, if you can share a data point on the interest reversal that we had during the quarter. And how do you see, therefore, the margin because despite the reversals -- margins have still held up well. So how do you see that going ahead?

Sunil Samdani: So here again, Nitin, I'll break this portfolio into two parts. The ECLGS pool with FLIP, and the other than ECLGS pool. ECLGS, we had reversed the interest long back, as and when it became 90 plus, though it was never classified as NPA as per the extent RBI guidelines and we never accrued interest on that. So the reversal on that pool was not there. For the other businesses, that reversal number, I will just get that number and I'll tell you.

Nitin Aggarwal: Right. And Sunil, while on ECLGS, you mentioned that the money is expected

in three months,

maximum six months, but on CGFMU, like how that organization taking up to the big claims that you are facing with them, do you expect the money to come on time because there is one more tranche that is expected on FY '25. So can there be delays here?

Sunil Samdani: No, sir. We don't see a delay there other than the procedural delay. We expect that money to

come in by July end or at best August first half and that's the expectation, we are working on.
Nitin Aggarwal: Right. Okay, sure. Thanks so much. If you can let on just with the reversal number.
Sunil Samdani: Thank you.
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Moderator: Thank you. The next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Hi, good evening, sir. My first question is on provisions, so total provisions last quarter was some, what is the quantum of total provisions? We have given INR4,300 crores provisions for EEB, but what would be the total provisions, including all contingent, etcetera?

Sunil Samdani: The total provision as on June end stands at INR57.5 billion.

Jai Mundhra: And sir, it is largely unchanged from last quarter around INR50.8 billion, something?

Sunil Samdani: Yes. So it has gone up by INR7 billion odd.

Jai Mundhra: Sorry, you said INR57 billion.

Sunil Samdani: INR57.25.

Jai Mundhra: Okay, sure. So sir that suggests that, so what I am trying to calculate is the PCR on the non-MFI businesses also, while of course, they are more secured, they have housing and commercial, but still it looks like that the PCR on the non-MFI business is relatively lower. Maybe that is the, that the nature is secured, so maybe that is still okay, but is that the math roughly right?

Sunil Samdani: No, so I'll give you the broad break up. On the SME loans, we are covered around 58% in terms of PCR. The retail is about 45%, and the housing is about 40%.

Jai Mundhra: Okay. Sure. Great. Second question, Sunil is on SMA 0 /1/2 number, right? So despite I can adjust the INR580 crores from which have gone out of SMA 2 pool. But if I look at SMA 1 , 2 adjusted for this INR580 crores loan, that is fairly unchanged. Even the SMA 0 has actually gone up only. So while the collection efficiency has marginally lower from 98.5 to 98, the SMA pool is still unchanged. So, any thoughts there?

Sunil Samdani: So, in a scenario, where the collection efficiency has dropped by 50 basis points, and the SMA numbers have remained flat. One should look at it positively, because a steady state credit cost number, we are paying 2%, so which effectively means, the flow rate from current in NPA at some point of time has to be in that range of 1% to 2%.

Jai Mundhra: Okay. Right. And safe to say that all this, the entire ECLGS, linked loans have already been downgraded to NPA and nothing of such kind can reoccur, right? Because it would have done at the entire portfolio level across people who are, let's say, even... Okay, so mostly all these were the only, technically 90 DPD only?

Sunil Samdani: 90 DPD plus, yes. So if you recollect, my total ECLGS disbursements were close to INR4,000 crores, when we did it in 2021. The outstanding pool today is less than INR600 crores, which effectively means that, I have recovered close to 90% of that customers.

Jai Mundhra: Right. Understood, sir. Yes. Thank you so much and best wishes for future, sir.

Sunil Samdani: Thank you.

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Moderator: Thank you. The next question is from the line of Saurabh Kumar from JP Morgan. Please go ahead.

Saurabh Kumar: Sir, just two questions. One is you have got it for this 20% loan growth. So that means nearly 30% growth from your first quarter numbers. So how do you think about that, especially in the context of you said that, the diversification needs to be higher. So fair to say that, on

e should

expect a very sharp pickup in GRUH, housing finance business going ahead? I'll come back to that.

Sunil Samdani: I should be glad. On the number side, let me tell you. We've always seen a de-growth in first quarter. So last year, when we ended at 10%, 11% growth, it was on the back of almost 11% either return off or sale to ARC. Adjusting for that, it was a close to 16-17% growth, with the same situation of close to 8% drop in first quarter. So that's on the number side and Mr. Chandra, do you want to add on the growth?

Chandra Shekhar Ghosh: No, what you say that, if you look on that in the last year, first quarter, there is also microcredit, INR5,000 crores have been down, declined. And this year also INR5,000 crores declined. And micro finance loan, we have disbursed in the last year INR8,200 crores. This year also first quarter, we are disbursing INR8,000 crores. So in that sense, if we see that there is a similarity of the last year first quarter and this year first quarter is the same point.

And the next point on that, this growth actually starts as coming from the one month before from

Pooja. And it will be like to September, it will be in this year and come. Sometimes Pooja will be like to September, then it will be starting August. So this is the way, we have been seeing in a trend of the last 20 years. So, I have the confidence on that this year, it will be again, this quarter, it will be come to again.

Again, another point I feel that. So whatever we have seen that the decline in April and May, June we have been seeing that very much very minor INR200 crores is a difference between outstanding and the decline point on that. And whatever we see that in July, it is going on that such a way, I feel that the July will be also not going down further. For that reason I have the confidence on that the 20% plus growth, it will be happened in the bank, not any problem.

Saurabh Kumar: Sir, if I can just ask about this 20%, how much would you expect the microfinance business to grow by?

Chandra Shekhar Ghosh: Microfinance growth, we have been given the 17% of that.

Saurabh Kumar: Okay. And the second question, sir, is effectively, if your first quarter collection efficiency is 98%, so I just want to know if this 2% which slips into this SMA 0, what should be the expected credit loss now on this? Because this is just, on -time collection, right? So what should be the credit cost? Should it be around 1.6%, 1.8%?

Chandra Shekhar Ghosh: No, I have been looking in a different way on that. The one quarter, which is in my portfolio has come as a decline. That is also a little bit impacted to the collection efficiency. This is also a seasonality. That not means it will be continuing the full year and quarter on quarter basis in line, no. If you go to that, it will be improved again from the second quarter. And it will become

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on that, if you say that compared to the last year first quarter, it was a 96% collection efficiency. It has come to this, the 98% within a one year on that, 2% increase.

So we expected on that, that this financial year, when it will be like to next financial year, it will become better than that percentage. So in that sense, on the basis of quarter first, we cannot be count only the credit cost. Credit cost counts the total year performance.

Saurabh Kumar: No, I got that. But effectively, your collection efficiency is 98%. So 2% is slipping forward. I just want to know, typically, what is the loss rate on this, or the NPA rate on this 2%?

Chandra Shekhar Ghosh: I hope that, it will be that, we are thinking on that the 2% will become on the credit cost.

Sunil Samdani: Which is overall, not on this pool. So broadly, between the SMA buckets, right, we've seen that, 30% to 40% remains in the SMA, once it crosses the 60 -day DPD and the rest flows, between 30 days and 60 -day

DPD. So that is how one should look at it.

Saurabh Kumar: Sir, my limited point is basically you are basically presenting to us that the SMA pool and the NPA pool is fully covered. So I just want to know from an incremental basis, if your collection efficiency remains at 98%, what should be the core microfinance credit cost? I mean from an incremental slippage basis. That's the limited point I'm trying to get at.

Sunil Samdani: So then on the incremental side, it should be around 2.5% on the EEP portfolio because there are two things. You look at 98% collection efficiency. The other number which is also important to look at, is the full paying customers. The full paying customers today stand at 96%, which means, there are 4% customers whose DPD is constantly going up. Right, they are paying half of their installments, which means that benefit is coming into the collection efficiency, but that benefit doesn't come to the DPD. That's why we say that.

Saurabh Kumar: Okay, got it, thank you.

Moderator: Thank you. We have the next question from the line of Prakhhar Agarwal from Elara Capital.

Please go ahead.

Prakhhar Agarwal: Yes, hi, sir. Thanks for this opportunity. I have two questions. One is, you at the start of the call mentioned that, the credit cost guidance will be 2% with a variance of 20 business points. What makes you add this 20 business points? Because last quarter, we said, last time when we had this call, we said that credit cost will be around 2%. And with the type of confidence that we are showing in our improvement on asset quality, what makes you increase the guidance on this or on variance on this credit cost?

Sunil Samdani: No, I'm not confirming that, right? We would want to keep that something in our hand for future, which is unknown. Our endeavor is to keep it within 2%.

Prakhhar Agarwal: Got. No, so the thought process of asking this is, we did not highlight this in the last quarter. So has there something changed in one quarter for us to add the variations or?

Sunil Samdani: No, nothing that one should read here. As we are talking about that 2% credit cost 20 basis point up and down.

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Prakhar Agarwal: Got it. And second, is on the update, any update on the core banking transition that you probably asked that were to happen for other portfolio apart from housing. What is, when is going to happen and what is the sort of impact that probably see given what we are aspirationally targeting in terms of growth of 20% and the run rate that is required. Could there be some sort of impact on that front because of this core banking transition, if that's happens?

Sunil Samdani: So I request Ratan to take that question.

Ratan Kesh: Hi, Prakhar, like we meet last time, couple of weeks back, we said that we would definitely make an endeavor to make sure that in Q2, we do the migration. Given that it's a meg a migration, we are actually deciding whether to go big bulk in one go or we would like to sort of go in maybe two phases. That decision that we will take internally depending on how things go. So Q2 definitely we will go live for a big chunk of it for sure.

Will there be some disruption for a period of two weeks to three weeks in such a migration?

There could be. But the upside is significantly higher, and therefore, you may see some disturbance for maybe a couple of weeks or a little more than that. But it will come back with even more benefit in the next few weeks.

Prakhar Agarwal: So that is it from my side. Thanks a lot.

Ratan Kesh: Thank you.

Moderator: Thank you. The next question is from the line of M B Mahesh from Kotak Securities. Please go ahead.

M Mahesh: Hi Sunil, just one clarification. This INR920 crores of slippages from the EEB book, that has no one-off right?

Sunil Samdani: No that has no one-off.

M B Mahesh: That slippage is also quite high,

right? Even if you just look at that slippage, just the INR920 crores coming from your core business, that itself is points to still a very high slippage number on the MFI book.

Sunil Samdani: I agree with your point that it's slightly higher than our liking. But that typically happens in Q1, which is, for lack of better words, I would say, a sluggish quarter for us. But incrementally, if you break it between April, May and June. The June month has been around little less than INR200 crores or around INR200 crores. Okay.

M B Mahesh: If I just kind of look back, 1Q, FY '23, there the slippages have been much lower in the MFI book, but this year has been worse off than even last year.

Sunil Samdani: No, Q1 is not comparable last year. Our book was under moratorium. Half of the book came out on 1, April and the other half came out in 1, July. So any which way, April and none of them would slip into NPA in Q1.

M B Mahesh: Okay. Just one other clarification. This notification had come off in April 1.

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Sunil Samdani: Yes.

M B Mahesh: You could have flagged this in the previous quarter, right, in the quarterly results. Any reason why this was not kind of told at that time?

Sunil Samdani: No, but that doesn't change, Mahesh. These were anyway part of the stress pool and they continue to be part of the stress pool. We don't need to take any provision, but we continue to take provision the way we used to have it. So nothing changes as far as the risk on the bank goes.

M B Mahesh: No, sir, you do say that it's a material item for the quarter, but given that this notification had come on April 1, wouldn't it have been better if this was told in the previous quarterly results?

Sunil Samdani: I appreciate that. Whether we say it in the first quarter, then the question comes if you believe it is important, then why didn't you factor it in Q4 results? Which I would not have been able to factor it in Q4 results, because my auditors would not allow it. It is applicable from this financial year. So if I say that this is something which you need to factor in Q4 itself, then the other side, which is the auditors, will push me to -- will tell me that I won't allow you to factor it.

M B Mahesh: Okay. Perfect, sir. Just one question to Mr. Ghosh. These expenses continue to run quite sharply for a business which has completely slowed down. How should we see into this?

Chandra Shekhar Ghosh: No, if you see that the cost to income ratio, that's since if you see that my cost to on asset are remain that 3.5%. It is not change anything on that. Only that point, because of the seasonality, my income has come down. And the second thing is that I have been open the 130 branches in this quarter. And there is also a little bit cost has given. It is not the cost. It is an investment of the bank. So we are, which is predicted on that we would like to get back on that cost to income ratio.

M B Mahesh: Okay, thanks a lot.

Sunil Samdani: Thanks.

Moderator: Thank you. The next question is from the line of Darpin Shah from Haitong Securities. Please

go ahead.

Darpin Shah: Yes, thanks for the opportunity. Just to continue on this migration or system upgradation part, when we are saying that most of the bulk will be done in 2Q, after that we are expecting a 20% growth in the overall book, is that right, Sunil?

Sunil Samdani: Yes, we'll go into it.

Darpin Shah: Okay. But just to again, last con call, in the 4Q con call, you had mentioned growth of around 22% to 25%. So why there is a dip of almost say 300 basis points or 500 basis points in the guidance?

Chandra Shekhar Ghosh : No, we are strict on that 20%. Always we are talking about the 20%.

Darpin Shah: Okay. Thank you.

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Management: Thank you.

Moderator: Thank you. The next question is from the

line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian: Yes, hi. Thanks for taking my question. I just wanted some clarity around this ECLGS exposure. So this INR580 crores, this is the gross exposure to all those borrowers, right? Not just the 20% part that is guaranteed by the government. Right, Sunil?

Sunil Samdani: No, so two things here. Firstly, this is the entire exposure. INR580 crores was at the beginning of the quarter. During the quarter, we've recovered INR85 crores. That's one. Two, ECLGS, there is nothing 25%, 75%, 100% of the loan is guaranteed.

Param Subramanian: Okay, so this entire INR580 crores is guaranteed.

Sunil Samdani: Yes.

Param Subramanian: And that is the gross exposure to all the borrowers to whom this INR580 crores has been given out, is that, that reading is correct, right?

Sunil Samdani: Yes. And outstanding today is a little less than INR500 crores.

Param Subramanian: Okay, got that. Just a bit of clarity around this again. So you're saying here that you have a coverage of 86% on this, and you had this previously also. So I just wanted to understand how you're attributing the PCR drop quarter-on-quarter to this ECLGS part. If you could just run us through that quarter-on-quarter PCR drop, how it's coming through because of the ECLGS? Yes.

Sunil Samdani: No, so what we are saying is between CGFMU and ECLGS together, we have a coverage of 86%. Since it's a 100% guaranteed loan, ideally the law requires, the regulator says that you don't need to make provision, but between the guaranteed portion of CGFMU and ECLGS together, we have 86%.

Now let me tell you one more point. If you look at my Q4 FY '23 presentation, we have mentioned there that 99% of my NPAs are government guarantees, if I may loosely, though it is strictly called the CGT MSE or the NCGTC guarantee, are covered under these guarantees. So that was the case in March '23 and it continues to be the case even in Q1.

Param Subramanian: Okay. Got it. Yes, just one more question. This is on the DPD movement. So the slide on, Assam portfolio is DPD. So, the quarter-on-quarter, doesn't seem to show any uptake across DPDs for Assam, despite the floods. So is there any impact that we could expect coming into Q2 or is this largely recognized? Yes, that's it for me. Thanks.

Sunil Samdani: So the Assam flood impact is not material. Even if it comes in Q2, we don't see it to be materially impacting our numbers because our collection efficiency there continues to be healthy.

Param Subramanian: Okay, fair enough. All the best. Thank you so much.

Sunil Samdani: Thank you.

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Moderator: Thank you. We have the next question from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka: Yes, good evening and thanks for taking my question. So the first question is around NIM and cost of deposits, right? So you said in your opening comment that loan growth would be around 20, deposit growth would be higher, LDRs would continue to go down. CASA ratios probably would end the year lower than 39.5 or your period end number for FY '23. And so incrementally, how do you see NIM sustaining at this level? You gave a guidance of I think, 7% -plus or something. So don't you think there should be NIM pressure going forward?

Sunil Samdani: Clearly, we've given a range of 7% to 7.5% and we absolutely not see any reason why should we change that range. Despite our CASA ratio dropping, and more importantly, the CA share dropping within CASA, we've still been able to maintain this. We believe, we will be able to

reverse it, I'm talking about the CASA ratio, and if that happens, there is no reason to believe that we will not be in our guided range.

Abhishek Murarka: And Sunil, just to touch upon cost of funds or cost of deposits particularly, even if you start creating more CASA, incr

ementally the rate differential between a TD and SA, is still pretty high. So your incremental funding will still come from TDs, plus there's a bad book repricing. So your cost of deposits, which have gone up, I think 50 basis points, 60 basis points Q-o-Q, what kind of trajectory do you see that taking from here, let's say, over the next two, three quarters?

Sunil Samdani: Now see, so this cost of deposits, which has gone up is for two reasons. One is you're right, the TD repricing will happen. And that impact, if I have to take March '23 as a base, is about 68 basis points, if everything has to reprice at today's date. The large part of the impact in Q1 is because of the mix change, which we are confident that we will be able to bring back that mix.

Abhishek Murarka: We are seeing additionally around 60 basis points, 70 basis points of repricing is yet to be done or some part of it would have happened?

Sunil Samdani: Not on today's cost. I'm saying on March '23 base.

Abhishek Murarka: On today's cost, how much is left to be done? I guess that's the more important number.

Sunil Samdani: So I don't have that number handy. I will have to recalculate that. We had done that on the March '23 base. So we will do that and we can share with you offline. What is also important is the yield on advances which we have seen going up and will continue to grow up, as our assets on the advances get repriced.

Abhishek Murarka: Sure. Okay, thanks. And secondly, on your branch addition, last couple of quarters, we've added quite a bit of branches. Also, we are hiring to probably man those branches. So, what's the plan for the rest of the year?

Sunil Samdani: So, in all, we are looking at 1,600 branch counts by the end of this financial year. I would request Shantanu Sengupta to share -- answer this question.

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Shantanu Sengupta: Yes, okay, so first of all, thank you for the question. So we are getting closer to about 1,700 odd branches as we move forward. And to your question in terms of how we are evaluating this, we are seeing good traction in each of these branches as we come up. So that is the plan. And we do believe that some of these incremental branches which will come outside of West Bengal will add value to our overall deposit growth. So that's the plan that we have on the new branches.

Abhishek Murarka: And Shantanu, if I look at your, let's say, employee per branch ratio, it was a north of 50. Now we've added a lot of branches, so that's gone to maybe 45, 46. So you'll probably get back to that 50 range or 50-plus range or do you see more structural, lower employee per branch kind of ratio?

Shantanu Sengupta: Yes, so basically if you look at the model, the way it works, the recruitment happens up front, so as we sort of move forward, we'll start seeing the results coming out of additional resources that we're taking in. So I think to your point, as we move forward, we need to have people on board to actually start generating business from these branches. So that's the background.

Sunil Samdani: So we have to recruit at least two, three months ahead of opening of a branch. So that's why that headcount cost and the number has already been factored in.

Shantanu Sengupta: Actually, Yes.

Abhishek Murarka: Understood. Got it. Thanks so much for answering my questions. Thank you, and all the best.

Shantanu Sengupta: Thank you.

Moderator: Thank you. The next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Yes, hi. Just a small question on collection efficiency, again. While Sunil, you mentioned that the drop is slightly due to seasonal factors and monsoon also, but Assam and West Bengal, both have still improved. Now that the other states are forming the majority of the EEB book, so any specific states which have contributed to this decline?

Ch

ndra Shekhar Ghosh: If you see that businesses in Maharashtra and Madhya Pradesh and Delhi.

Nitin Aggarwal: Okay. And sir, will these be the three states in terms of the proportion of EEB book also in that ranking?

Sunil Samdani: No, so for us after West Bengal, it's Bihar followed by UP, then Assam and then MP and Maharashtra.

Nitin Aggarwal: Right, sure. Thanks so much, Sunil. Thank you so much.

Management: Thank you.

Moderator: Thank you. We have the next question from the line of Prabal from Ambit Capital. Please go ahead.

Prabal: Yes, hi. Thank you. Thanks for the opportunity. Sir, what is the outstanding restructured book for us.

Sunil Samdani : Zero. When I say, zero means none of my customers are currently under any restructuring benefits, whether it's moratorium or any change. That has come out long back since September '21.

Prabal: Okay. Thank you. The second question is sir, on the ECLGS loans. What is already into 90 -plus DPD and because of the RBI circular, they were classifying it into 60 DPD to 90 DPD?

Sunil Samdani: So it's a government guaranteed loan. So as per the IRAC norms, the government guaranteed loan cannot be classified as NPA. But since they were DPD loans, so we thought that if we can't classify them as NPA, at least call them a stressful and we showed them as SMA2. And they were always part of our stress book for the last few years.

Prabal: And just one clarification, so in the beginning MD sir said that there was one account of INR2,200 crores which was repaid. So can you talk about that?

Sunil Samdani: No, it's a loan against term deposit account. So we had a large deposit from a government entity. So they had taken a loan against that term deposit for a short tenor of seven days and that got repaid in the first week of April.

Prabal: I'm just curious, why was the 2,000, INR2 crores account classified as a retail into the retail book?

Sunil Samdani: It was never classified into the retail book. These are time deposits and anything above INR2 crores as per our definition at a customer level is treated as bulk.

Prabal: Okay, got it. Thank you. All the best.

Sunil Samdani: Thank you.

Moderator: Thank you. The next question is from the line of Manish Shukla from Axis Capital. Please go ahead.

Manish Shukla: Good evening and thank you for the opportunity. Couple of questions, Sunil. What will be your average cost of term deposits on the book today?

Sunil Samdani: Just a sec. Just a minute. About 7.1%.

Manish Shukla: And the marginal TD rate that you are offering today would be in about what?

Sunil Samdani: About 7.7%. That's the gap.

Manish Shukla: Yes, so I'm assuming no further deposit rate increases from year on that is the extent of repricing on the TD side that one can expect.

Sunil Samdani: Yes. In fact the last action on the TD was a drop in the last time.

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Manish Shukla: Sure. Second, going back to the ECLGS point, right, so ECLGS, my understanding is that government scheme said that if you lend 20% to an existing SME customer that 20% was guaranteed. So let's say, you had an exposure of 100, you give 20, the 20 becomes guaranteed and not the 120. So now when you label those assets as NPA, is it that the 20 has become NPA or the entire 120 has been labeled as NPA?

Sunil Samdani: No, in banks we don't have that option. You know, it has, NPAs are always at 90 dpd+ level.

Manish Shukla: Yes, so that's a clarity. So you label the entire 120 as an NPA, but the guaranteed portion will only be 20 out of that 120.

Sunil Samdani: So this is the total outstanding of those customers, guaranteed, non -guaranteed all put together.

Manish Shukla: Okay. Understood. Thank you very much. Those are all questions.

Moderator: Thank you. We have the next question from the

line of Punit Bahlani from Macquarie. Please go ahead.

Punit Bahlani: Hi. On the total MFI pool, the stress pool at 62 billion, it looks like a bulk of the slippages are from SMA0 and other accounts. You were saying it's seasonal, but can you comment more on this? What is it exactly? Because the number appears quite big, right? The 9.2 billion on MFI book and overall increase in the -- from your forward pool.

Sunil Samdani: No. First thing, let's understand this concept of slippages, right. We have a large pool, which is part of NPA, and there is a reasonable amount of customers who continue to pay us, though they pay in part. There are instances where customers are NDPD, 20 DPD, but they are NPA since they've been marked as NPA, right? So on one hand, there is slippages, and on the other hand, there is recovery from slippages. So that's one piece.

If you purely talk about slippages, as I mentioned earlier, that my slippages, typically in Q1, after a strong Q4, and typically seasonality, Q1 is weak, is slightly higher, and that has been the

case always. You know, if you compare it with the last year's first quarter, there itself we had a slippage of about IN R950 -odd crores, right? Of the total slippages of INR1,150 crores at a bank level. So this is not something unusual, that's the seasonality which always play out.

Punit Bahlani: Okay. Thank you. That's all from my side.

Moderator: Thank you. We have the next question from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Yes, thank you, sir. I just had a clarification. So basically, before April 2023, it was your call where to classify these loans and as a prudent measure, you classified them as SMA2. So it's fair to assume that probably in December 2022 also these were part of SMA2 only, correct?

Sunil Samdani: Yes.

Mahrukh Adajania: Okay, thanks. Thank you.

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Sunil Samdani: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was our last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Sunil Samdani: Thank you, ladies and gentlemen. Thank you for the patient hearing and participation.

Appreciate. Thank you.

Management: Thank you.

Moderator: Thank you. On behalf of Bandhan Bank, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2023

Ref. No.: BBL/371/2023-24

October 25, 2023

BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
BSE Scrip Code: 541153 National Stock Exchange of India Limited
The Listing Department
Exchange Plaza, C-1, Block G
Bandra Kurla Complex, Bandra (E)
Mumbai – 400051
NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub: Transcript of the Earnings Call on the Unaudited Financial Results for the quarter and half-year ended September 30, 2023

In continuation to our letter bearing Ref. No.: BBL/ 364/2023-24 dated October 18, 2023 and pursuant to the provisions of Regulation 30 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the transcript of the Earnings Call hosted by Bandhan Bank Limited (the 'Bank') on Wednesday, October 18, 2023, on the Unaudited Financial Results of the Bank, for the quarter (Q2) and half-year ended September 30, 2023. Further, the same has also been uploaded on the website of the Bank and can be accessed at the following link:

https://bandhanbank.com/sites/default/files/2023-10/Bandhan-Bank-Q2FY24-Earnings-Transcript-18102023_0.pdf.

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhanbank.com.

Thanking you.

Yours faithfully,
for Bandhan Bank Limited

Indranil Banerjee
Company Secretary

Encl. : As above
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"Bandhan Bank Limited
Q2 FY '24 Earnings Conference Call"
October 18, 2023

MANAGEMENT : MR. CHANDRA SHEKHAR GHOSH – FOUNDER ,
MANAGING DIRECTOR & CEO – BANDHAN BANK
LIMITED
MR. RATAN KUMAR KESH – EXECUTIVE DIRECTOR –
BANDHAN BANK LIMITED

MR. SUNIL SAMDANI – CHIEF FINANCIAL OFFICER -
BANDHAN BANK LIMITED
MR. SHANTANU SENGUPTA – HEAD RETAIL BANKING –
BANDHAN BANK LIMITED
MR. VIKASH MUNDRA – HEAD INVESTOR RELATIONS
– BANDHAN BANK LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '24 Earnings Conference Call for Bandhan Bank. As a reminder all participant lines will be in the listen mode. There will be an opportunity for you to ask questions after the presentation concludes. Should need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Mundhra from Bandhan Bank. Thank you, and over to you, sir.

Vikash Mundhra: Thank you, Rayo. Good afternoon, everyone, and a warm welcome to all the participants. It's a pleasure to welcome you all to the Bandhan Bank business and financial performance for the quarter ending September'23. We will take this opportunity to update you on the recent developments in the industry as well as on Bandhan Bank during the quarter.

To discuss all this in detail, we have with us our Founder, Managing Director & CEO - Mr. Chandra Shekhar Ghosh, Executive Director - Mr. Ratan Kumar Kesh, Chief Financial Officer - Mr. Sunil Samdani; Head Retail Banking - Mr. Shantanu Sengupta, myself, Vikash Mundhra - Head of Investor Relations, along with other senior management team of the bank. We'll be happy to provide you with any clarity if required from the current quarter's number and the way forward.

Now I would like to request our Founder, MD and CEO, Mr. Chandra Shekhar Ghosh to brief you all about our bank's operational and financial performance along with the development for the quarter ending September 2023. Over to you sir.

Chandra Shekhar Ghosh: Thank you, Vikash. Namaskar. A warm welcome to all of you. I am pleased to state that July to September '23 quarter has been an encouraging quarter for the bank. However, before talking about business number, I want to update you about one important milestone that the bank has achieved very recently.

The bank earlier this month has successfully completed the migration into a new core banking system. We had faced some hiccups during the first few days as one can expect in a mega transformation like this. But now we are fully functional. We are now live on Oracle's FLEXCUBE, a CBS platform used to by some of the largest banks in India and globally. This migration is the first state in our tech transformation journey.

Along with the CBS, we have also launched our all-new Internet banking platforms and mBandhan - our mobile banking app, both with far improved UX and UI and stronger functionalities. The new CBS, along with the surround system will enable us to be far more agile, launch newer and more potent products and services, use data and analytics more effectively and drive personalized customer experience.

Coming to this, the business point of view. Despite the various global uncertainties, India's key macro parameters remained strong. Inflation has softened to 5%, GDP in FY24 is projected to be around 6.5% and the RBI has kept the repo rate unchanged for over 8 months. The favourable macro backdrop should continue to help the momentum in the Indian BFSI sector in the coming months.

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During Q2FY24, Bandhan Bank's overall advances grew 12.3% YoY and 4.3% QoQ. The QoQ growth in the loan book reflects uptick in demand for all asset verticals. EEB vertical added about 6 lakh new borrowers during Q2 FY24 as the EEB portfolio increased 5.2% QoQ. Growth in the case of retail assets and commercial banking continues to be impressive. The retail loan book grew 80% YoY and 15% QoQ. The Commercial Banking vertical consisting of Financial Institution Group (FIG), MMG and SME (LAP) grew 65% YoY and nearly 7% QoQ. The housing finance book has registered a growth of nearly 4% YoY.

In line with our medium-term strateg

ic objectives, the share of secured assets as part of our total loan book continues to increase – it reached nearly 44% in Q2FY24, up from 38% a year ago.

We expect to have nearly 50% of our portfolio in secured assets by FY26.

On the liabilities side, total deposits, at Rs.1.12 lakh crore as at end -Sept 2023, grew 12.8% YoY, a tad stronger than industry growth. As we focus on granular retail deposits, our total retail deposit and retail term deposit grew by 13% and 20% YoY, respectively. The retail -to-total deposits ratio, which was at around 71% in March 2023, moved up to 74% by September 2023. CASA deposits – which stand at Rs 43,196 crores as at end of Q2 FY24 – have shown an impressive growth of 10.5% QoQ and about 6.6% YoY. CASA Ratio stands at a healthy 38.5% compared to 36% in the previous quarter. Microfinance customers continue to contribute just about 4% of our total deposits.

Customers continue to repose their trust in the Bank as (a) The Bank has added about 10 lakh customers in this quarter; (b) Number of liability customers increased by 12.5% Y-o-Y; and (c) Volume of total customer transactions increased by 47% Y-o-Y. In terms of value, it increased by 13% Y-o-Y.

Let us now move on to trend in collections and asset quality. There has been good improvement in collection efficiency. The Bank's overall collection efficiency (excluding NPA) stood at 98% for the month of September 2023, up from 97% in sept 2022. Especially for EEB Segment, our collection efficiency (excluding NPA) stood at 98% for the month September 2023, significantly up from about 95% a year ago.

The post -Covid portfolio (consisting of all loans disbursed after June 2021) clearly turning out to be a strong one as (a) GNPA ratio of the post -Covid book stands at 2.6%; (b) There has been improvement across buckets for both forward and backward flows; (c) "Current" to SMA0 flow was 1.5% in Q2FY24 against 2.8% a year ago; and (d) On the other hand, SMA0 to "current" flows improved to nearly 25% in Q2 FY24 from 13% a year back.

Discussing the profitability of the bank, the Bank has registered a net profit of Rs.721 crores during Q2 FY24, against a net profit of Rs.209 crores a year ago. This was a YoY growth of nearly 245% in the profit. Our Net Interest Income (NII) in Q2 FY24 was Rs. 2,443 crore, compared to that of Rs. 2,193 crore in Q2 FY23, registering a growth of 11.4% YoY.

Our Net Interest Margin (NIM) stood at 7.2% in Q2 FY24, marginally better than 7% in Q2 FY23. With faster portfolio expansion in Q3 and Q4, NIM usually moves up. Just for the month of September, NIM was at 7.3% reflecting festive demand.

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Gross NPA stood at 7.3% in Q2FY24 as compared to 6.8% in Q1FY24 and 7.2% a year back. Net NPA stood at 2.3% in Q2 FY24 vs 2.2% in Q1 FY24. However, total credit cost has been largely stable at 2.5% in Q2FY24. The Bank delivered an RoA of 1.9% and RoE of 14% in Q2FY24.

On branches, the Bank continues with emphasis on its branch network. This quarter we have added about 80 branches, over 70% of which are in Northern, Southern and Western Zones. Today the Bank has its branch presence in 35 of 36 states and union territories of the country. I also want to highlight how our performance in digital banking has improved (a) 95% of our total GB transaction are happening digitally; (b) Monthly active users on our digital banking platforms are up 57% YoY; (c) Our digital transaction volume increased 47% YoY; (d) Our UPI transactions increased 63% YoY.

The Bank has enabled direct tax collection under pay at bank counter for customers as well as non-customers. We have also been authorised by the RBI for disbursement of central civil pension very recently. All this will help us offer better service to our customers and also to reach to new customers.

Overall, with all these figures, I'd like to summarize in three points.

First, the growth of the business

has come and showing this quarter is very good. In EEB, we have been disbursed Rs. 4,000 crores more than the last year's same quarter. 4 lakhs new customer, we have added this quarter on EEB and have given the loan to them.

Portfolio last year, the second quarter, there our INR 600 crores decline from the first quarter which is this year, second quarter, the portfolio is up by INR2,000 crores from the first quarter. And altogether, we have been seeing that a very good new and existing customers' credit demand has been increased. So that we are very confident on that. Credit growth has come up and whatever we have guided our credit growth for this financial year will be reached on that to nearly 20% year-on-year.

Second, my point on that, the quality of the portfolio, we see that the quality of the portfolio that DPD has come down. Total DPD SMA 0, 1, 2, in EEB has come down 1.3%, so that is also -- we have been seeing that the first rebuild recovery and the DPD going down have been -- given the confidence, we are returned back to the control of this portfolio and which is the better

portfolio we are gradually like to show in future .

My third point on that, that is in deposit within this circumstances. The bank has been also growing the deposit in-line with the credit growth. And which have been given the confidence to us on that, we'll be like to continue whatever the demand of the credit growth, the deposit also will be not the challenge. Even not in -- if you see that my CASA has been increased from the last quarter, 2.5% in this quarter within this situation.

And my fourth point, all other parameters and ratio, it is all are aligned with the first quarter, more or less in the same on that all, it has been shown the confidence to the bank and the team

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that we are now coming to this better position and we are from here to grow in a better way to the future. So of course, whatever the credit cost, we guided for this financial year, 2% plus 20 basis points or minus will be like to reach .

To concluded, historically, the second half of the financial year is a significantly stronger period for most of our business verticals. As the festive season sets in, there has already been notable uptick in credit demand. Of late, we have successfully completed the migration into the new CBS and have initiated several steps to boost cross-sell and branch-led sales to grow the retail assets and liabilities portfolio and also to increase productivity per employee supported by our digital and analytics initiatives.

Overall, we are well on our way of achieve long-term strategic goals of portfolio and geographical diversification. Before I end my session, I on behalf of the whole Bandhan Bank family wish you and your family a very happy Durga Puja and Dushehra as well as Diwali. I wish you and your family all the very best, Thank you.

Vikash Mundhra: Rayo, we can start the question-and-answer session.

Moderator: Sure. Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Good afternoon sir. Sir, my question is on the DPD book of micro. Now if you see last quarter's SMA book, then this quarter slippage is around 65% of that book, Total SMA. Now we are left with an SMA of around INR 22-23 billion. If you assume the same run rate of slippage, then would you again have a slippage of around INR10 billion or INR11 billion even in the next quarter or will recoveries improve materially? How do you view it?

Sunil Samdani : Mahrukh. See, H2 historically, if you see, has always been a better quarter or better half for us for any financial year, whether it's in terms of new business growth or also the collection point of view. So, the fact that our

DPD has come down materially quarter-on-quarter. We expect this to reflect in the slippages number also going forward. And also, as I mentioned earlier, the recoveries will continue to improve. That has been the trend for last many years, H2, the recoveries are always better. So, on both counts, we expect one, the slippages to be lower and recoveries to be higher.

Mahrukh Adajania: Got it. So, any run rate of slippage for second half percentage terms or any such things that, if at all, it's possible to guide?

Sunil Samdani : So, we don't want to put a number. But for that very reason, we've added two more blocks into our presentation. This is on page seven. What we are saying is how our portfolio pre- and post-COVID in terms of asset quality looks like and also the vintage analysis. So, from starting Q1 FY '23, the disbursement and the portfolio performance accordingly. So, if you look at both these blocks, it gives us the confidence that the steady state credit cost guidance that we have been giving, that is performance of last one year - 1.5 years disbursement is in line with that.

Ratan Kumar Kesh : If I may add a little more to it. FY '21 onwards, the portfolio is 92%, the G NPA is 2.6%. And if I go even to 18 months portfolio April '22 onwards, that is even better 2.3%. So directionally, a,

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the DPD bucket is getting lesser-and-lesser. Also, the overall GNPA is coming down for the new asset of portfolios. Therefore, we will continue to maintain that credit cost guidance of 2% -plus minus 20 basis points.

Mahrukh Adajania: Got it. But -- and that should be achieved in '25 or in '24 end itself?

Ratan Kumar Kesh : In FY 24 end itself.

Moderator: Thank you. The next question is from the line of Gaurav Kochhar from Mirae Asset. Please go ahead.

Gaurav Kochhar: A couple of questions. Firstly, if I look at the DPD movement and then you have given the vintage analysis, in that slide. So, while you have given the NPA on disbursement, can you also

call out what would be the DPD? I mean I want to understand what would be the PAR book because generally, NPA would take 90 days. And even if I look at 4Q numbers, from there, we are already starting to see NPA in the second quarter itself. So just to give some context, do we have the DPD number, zero -plus or maybe 30 -plus early delinquency from that disbursement? Chandra Shekhar Ghosh: No. If you see that in the page number six, so we have given that the DPD number, 30 days to 60 days, we have the DPD is 1.1%, 61 days to 90 days, 1.3%. So that is there. Gaurav Kochar: No, not that, sir. I'm talking about the -- like you have mentioned NPA, in the next slide, quarter - by-quarter. So, let's say, you have given Q4 '23, the total disbursement was INR21,000 crores, of that INR120 crores return NPs and NPA as a percentage of disbursement is around 0.6. So rather than giving the NPA number, do you have a delinquency number, let's say, 30 -plus? How much...

Chandra Shekhar Ghosh: That is not handy as of now.

Gaurav Kochar: Okay. That would have been a little more helpful because NPA would obviously take 90 days, but delinquency would give you an early indicator as to whether the situation is worsening.

Because if I go by this, then clearly one year...

Chandra Shekhar Ghosh: Only one point I would like to mention here, overall, if you see that the 2.6% of SMA0 in Q1FY24 has come down 1.8% in Q2FY24, 1.5% of SMA1 in Q1FY24 has come down to 1.1% in current quarter. This is together of earlier portfolio & new portfolio.

Gaurav Kochar: Sure. But sir, all of this has come down by moving them into NPA, not by recovery. So, I mean, at an aggregate level, the entire pool, if I add the 1 to 30, 31 to 60 and all of it, including NPA, the pool has only gone up by INR300 -odd crores. So, it's not as if this pool is coming down because you're recover

ing money. It's more or less there is a DPD movement. Your 30 bucket is going to 60, 60 to 90, 90 moving to NPA.

Sunil Samdani : Gaurav. If you add all of these, now let's add the DPD as well as NPA. The total increase for the quarter is INR260 crores, which is well below our guided credit cost guidance.

Gaurav Kochar: That is right, but ideally, because this is at an elevated level, one is expecting this to come down, not to go...

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Sunil Samdani : So that we discussed in the previous question, right? That we expect the slippages to come down and the recovery is to go up further in the H2.

Gaurav Kochar: Okay. Sure. And secondly, on the PCR. Now you've given this contribution to NPA by vintage.

If I look at the overall PCR, you are standing at around 70%, roughly 60%, 70% of your book is -- NPA book is -- 3/4 of your NPA book is MFI. And typically, in MFI, the recovery rates are much lower. So, is there a case of increasing the PCR moving it to maybe closer to 80% where most of the banks are today even without micro finance? So, I mean, is there a case of you -- because the recovery rates have clearly not been in line with expectation?

Sunil Samdani : As far as our PCR on the EEB book growth, we are at 85%. The other businesses, which the other second business, which is higher in terms of NPA in housing, where the coverage is about 38%-40%. So, to your point, the coverage on the unsecured book is already at an elevated level of 85%. And also, if you look on page eight. During the quarter, we've recovered INR246 crores from the ARC pool, which we have sold in the month of December '22 and March '23.

And further, if you break that up. That December tranche, whatever was to be paid to the ARC and the investor, we have fulfilled their requirements, including the IRR. So now on, we are in a situation where every recovery from this pool will start flowing into the bank. So, this is also an added recovery, which will start reflecting from Q2 onwards.

As far as the March pool goes, which we sold to ARC, we expect to fulfil that requirement also by Q3. So, the December one, we've already met the ARC and the investor requirements. March one, we expect it to be fulfilled by Q3. And in Q4, we will have both the tranche recovery reflecting into the bank's P&L. So there, the recovery is as strong as almost INR246 crores per quarter. We expect the overall credit cost, if I have to adjust a fixed credit costs to be in our guided range, much below the guided range.

Gaurav Kochar: Okay. Sir, just to understand, this INR246 crores, how does this get accounted? Because in the December column, as you mentioned, you already have in that Q4 column, you already have NPA sale to ARC as INR23 billion. Now this INR246 crores is out of that ARC. How does this get accounted? Is it part of the INR400 crores recovery we are seeing in this quarter? Or is this part of the P&L and netted from credit cost?

Sunil Samdani : So, two things. One, firstly, the entire INR246 crores is not something which has flown to the bank. It is only in the month of September that we've been able to fulfil their requirements. So only one month -- effectively, one month collection has flown to the bank, right? So, the full impact of that will be visible only in the third quarter. And that impact is about INR93 crores, which is reflected as part of reversal of SR provisions. The SR book, which we have kept as a

bank, we have provided 100%. Now that we have started recovering that book is coming down. And accordingly, the provision is getting released, which is reflecting as part of my other income.

Gaurav Kochar: Okay. So, I think out of this INR246 crores, INR93 crores was reversed in this quarter P&L, the remaining will be reversed in the next quarter?

Sunil Samdani : So remaining is paid back to ARC. And now their quota for December is fulfilled.

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Gaurav Kochar: Okay. So, this is out of this INR23.2 billion which we sold in Q4, correct?

Sunil Samdani : No. We're talking about Q3. The December Q3, INR8,900 -odd crores.

Gaurav Kochar: Okay. Because in the -- okay, in sale to ARC, I cannot see anything in 3Q in your slide eight.

Sunil Samdani : It was from a written-off pool which we had sold.

Gaurav Kochar: Okay. Sure. Understood. So, let's say, on a steady state, let's say, next quarter onwards assuming this is steady state, what could be the slippage run rate or credit cost. Anything you can guide because last few quarters, I mean last quarter also the slip page was ex of the ECLGS book the slippages were INR8 billion. Now there is an ECLGS book but slippage is still INR13 billion.

Just wanted to make some sense out of the next two quarters? How should we look at it? Did I understand the second half is typically better. But as far the slippages are concerned, even in last year slippages were elevated in the second half, they were not lower. So, just wanted your thoughts around that.

Sunil Samdani : See, we don't want to put a number to it today, but if you look at the DPD pool. That pool itself has substantially come down quarter-on-quarter. So, we expect the slippage is also according to reflect that change.

Gaurav Kochar: All right. I'll probably take it offline. Thanks.

Moderator: Thank you. The next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Firstly, sir, on margins, right? So, in your opening remarks, you mentioned that margins for the month of September was 7.6% versus -- which is materially higher than what we have reported for the quarter. Is this a function of better yields, as you have mentioned, in terms of festive season? Or you are seeing the cost of deposits or cost of funding easing off?

Vikash Mundhra : No, to correct your number, it is 7.3% and not 7.6%.

Chandra Shekhar Ghosh: September, only September. Only for the month of September.

Jai Mundhra: Okay. So, 7.3% versus 7.2% for the quarter, right?

Sunil Samdani : Yes.

Jai Mundhra: Okay. But anyway, so how are you looking at cost of funds incrementally? Should they remain firmer or do you think they have already or are sort of peaking?

Chandra Shekhar Ghosh: We feel that the -- it will be 20 basis points or 25 basis going up on in next the two quarters.

Ratan Kumar Kesh : Yes, but it will be compensated with higher yield. So, NIM will remain in the guided range of 7% to 7.5% .

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Jai Mundhra: Sure. And secondly, on your AUM growth, right? So, I mean, YTD financial year, YTD, it is still a bit negative, right? That would mean a very steep ask for you to deliver the 20% Y-o-Y growth. Of course, there is a second half wherein you see better business momentum, but you are confident of the 20% AUM growth, right?

Chandra Ghosh: We saw that normally; second quarter always has been taken the time to balance with the March figure. So, if in the last two years, we have been saying that it will be taken in the third quarter also. So, whatever the second quarter in this year, we have been seeing that the business growth, especially is coming from EEB INR2,000 crores given the extra which has given very good indication on that. The third quarter will be likely to exceed the YTD. And the March, it will be come to this the nearly 20%.

Vikash Mundhra : Also in March, we had mentioned that there is a very short-term loan against term deposit of INR2,500 crores, right, which is a very short term and which has to be adjusted for the growth.

So, if you adjust that INR2,500 crores, we are back to March level.

Jai Mundhra: Right Okay. Sure. And sir, on asset quality, if you can tell us the slippages from the EEB book, so that will make s

lightly more comparable on the SMA pool. I mean, out of INR1,320 crores of slippages, how much would be from EEB?

Sunil Samdani : So, the EEB is INR1,000 crores, and that includes about INR55 crores of Manipur.

Jai Mundhra: Right. So, sir, if I net that off, so at the beginning of the quarter, we had SMA 0 plus SMA 1 plus SMA 2 of EEB at around INR 2,800 crores, out of which INR1,000 slipped, and the ending pool is INR2, 260 crores, right? So, there is still a reasonable inflow into SMA pool, right? That maths is right. Right?

Sunil Samdani : One minute. Yes. So, the SMA 2 was about INR720 crores. Last time, which this time is INR690. And SMA 2 plus the Manipur pool typically takes you to the slippages number. So, Manipur is not there next quarter because whatever has to flow has flown. So, which means proportionately, we should see a reduction in the flow as well. And typically, H2 is even better.

Jai Mundhra: Right. And sorry sir, and just to the last clarification, what was so special about Manipur, sorry, just to refresh was?

Sunil Samdani : INR55 crores.

Sunil Samdani : Manipur for the last five months is inactive, right? There is no movement happening there. There is a restriction there.

Jai Mundhra: Okay. Sure. Understood. Thank you, sir.

Moderator: Thank you. We will move to the next question. Next question is from the line of Himanshu Taluja from Aditya Birla Mutual Funds. Please go ahead.

Himanshu Taluja: Hi, sir. Thank for the opportunity. I just have a similar question, what actually the large participants have asked. Sir, if I look at total last quarter, DPD pool together is INR2,800 crores of that DPD pool -- together 1 day to 30 days, 31 days to 60 days and 61 days to 90 days together.

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Now in this quarter, that has actually come down to INR2, 260 crores. If I took last quarter, INR2,800 crores and INR1,000 crores might be of the slippages.

So, your fresh flows from the standard book looks to be INR500 crores to INR600 crores, which gives me a sense on the total book between 3% to 4% of the incremental standard book is slowing in the par. So, can you just give me a clear -- give me a sense, why that the standard book is still that number looks to be elevated?

Sunil Samdani : I didn't get your calculation; we'll have to rework that calculation.

Himanshu Taluja: Sir, if I -- just like your 1 to 30 days is INR13.3 billion, your 31 days to 60 days is INR7.5 billion, and your 61 days to 90 days is INR7.2 billion of last quarter. Together is a sum of around INR2,800 crores. Fair?

Sunil Samdani : INR2800 crores, correct.

Himanshu Taluja: Yes. And in this quarter, your DPD pool similar 1 to 90 together is INR2,300 crores. Fair?

Sunil Samdani: Yes.

Himanshu Taluja: INR2,800 crores, if INR1,000 crores would have been slipped as an NPA, it means still INR1,800 crores plus some -- your current book is INR2,300 crores. It means INR500 crores would have been come as a fresh flows from the standard pool. And that still remains 3% to 4% of your book basically, which is flowing in the DPD movement. So just trying to get a sense? What is the -- why that fresh flows still remains high?

Sunil Samdani : So, on a steady state basis, we still expect about 2.5% to be the flow. And then there would be a recovery from there, right? And which would bring us to the desired level of credit cost. And what we are talking here is the gross slippages.

Himanshu Taluja: Okay sir, I will take it offline.

Chandra Shekhar Ghosh: No. How you calculate this 3%?

Himanshu Taluja: Yes. Sir, ideally, I'm just saying your last quarter, SMA pool was around INR2,800 crores...and that's INR2, 260 now. So, I'm assuming the gross slippages of INR1,000 crores from this has been come from the 1 to 90-day pool. So INR1,000 crores got deducted, it means that last quarter pool would have been around INR1,800 crore

es. And in this quarter, if you do that together, your reported number is around INR2,300 crores. So, I'm just trying to understand, your fresh flows from the standard pool still comes to around INR500 crores. And if I do analyze this, if I do this as an annualized number, so it means 3% to 4% of the book is coming as an -- is flowing as an SMA. So just trying to get your sense?

Sunil Samdani : I'm a little confused as to why 3% overall is not a good number. Because we say 98% should be the steady state collection efficiency one should expect, and collection efficiency, 98% means there could be 1% or 2% part being customer, which effectively means 3% credit cost or the gross flow into the portfolio. And then there will be recovery from that pool. So that's the guidance we are -- in which we are giving.

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Chandra Shekhar Ghosh: And in our case, 96% of full pay paying, 3% partial paying customers.

Himanshu Taluja: Okay. Sorted, sir. Thanks.

Sunil Samdani : Thank you.

Moderator: Thank you. The next question is from the line of Saurabh Kumar from JPMorgan. Please go ahead.

Saurabh Kumar: Sir, just 2 questions. One is your interest on advances has not gone up. So can you just also -- because I thought there would be some repricing, which would happen in the microfinance book.

So, what's happening there? And second is, again, back to this forward flow question. So, if you look at your entire zero -plus including NPA, that's gone up by about close to INR300 crores for the quarter. That's 2.3% of the opening book. Is that a fair way to understand it?

Sunil Samdani : The answer to your first question, this growth for the quarter has been back ended . Typically, you see that seasonality in our business. So, July and first half of August, we will still be de-growing. And the book started stabilizing end of August and the growth came typically in the month of September. So, the average for the quarter is lower than the first quarter, and that's precisely the reason why my interest income is lower this quarter vis -a-vis the previous quarter. But this benefit will flow into the coming quarters.

Saurabh Kumar: Okay. And for the interest expense also because of this -- that's mostly mix change or?

Sunil Samdani : No. So, interest expense, as we mentioned, in this quarter, we had taken an increase in saving bank rate, which kept transmitted almost immediately. The term deposit, if I have to reprice it basis, the current rate that we are offering on entire book, we expect the cost of funds to go up by about 20 basis points, 20 to 25 basis points, assuming current rate prevails.

Saurabh Kumar: Sir, my point is your interest expense is also like gone up only 1%. Your borrowings per deposits also like similar amount. So, there is we would have expected higher cost of funds that doesn't seem to have come through?

Sunil Samdani : No. So, in fact, it's also the other way around because the benefit of the low -cost CASA came in only in the second half of the quarter.

Saurabh Kumar: Okay. And just on the forward flow question, sir?

Management: We discussed that.

Saurabh Kumar: No. Point was as 300 crores as a percentage of opening book is 2.3%. Is that the way to understand it, the total gross flow?

Management: Yes. That's the right way to understand.

Saurabh Kumar: Okay.

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Moderator: Thank you. We move to the next question. The next question is from Pranav Gupta from Aionios Alpha Investment Managers. Please go ahead.

There seems to be no response from the line of Mr. Pranav Gupta. The next question is from the line of Saurabh Kumar , please go ahead.

Saurabh Kumar: Hey, all my question has been answered.

Moderator: Thank you. We will move to the next question. The next question is from the line of Prabal from Ambit. Please go ahead.

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Prabal Gandhi: Sir, this quarter, we saw very good pickup in saving deposits, but as a trend, savings deposit was volatile. So why is there a volatility and was there a one -off in term deposits this quarter?

Sunil Samdani : No. See, there has not been any element of volatility in our book. In fact, every quarter we had explained where there has been a movement from saving to term deposit. We've seen two quarters where the term deposit rate was materially higher than the saving banks rate. We saw the funds moving from saving to term deposits. As we've now increased the savings banks rate as well. We see a stability in the saving bank deposits. So, with increasing customer base, the deposit is also growing because there is no material outflow there. And that's the reason why we see the savings banks score.

Prabal Gandhi: Okay. There was no one -off in some of the larger monthly targeting...

Sunil Samdani : Nothing.

Prabal Gandhi: And sir, the second question is, so we had earlier said that we are looking to reduce share of group loans, group microfinance loans in the overall book. But again, this quarter, we saw a pretty sharp jump in group disbursement. So, is there a change in strategy or this is just an opportunistic kind of investment since we are like targeting the loan growth of 20%?

Sunil Samdani : No. We said the percentage wise , the share of group loan will come down. So as our retail, commercial, other businesses start doing better in terms of growth. We are also increasing our EEB. The idea was never to degrow the EEB or a group loan book. The idea was that the other businesses will pick up faster so that our secured, unsecured balances make up. And which is the case, which is happening. We see the secured businesses are doing and having a faster

growth.

Ratan Kumar Kesh : So, retail has grown 80% YoY; commercial 65% YoY . We continue to maintain 20% overall growth with 17% on the EEB side.

Prabal Gandhi: Okay. And just last question on the expense side. So, since we are looking to grow the commercial banking book and going to the higher ticket size in the microfinance as well. Do you feel that the policy of employees, the kind of salaries that they are getting currently will also have to be raised? And so structurally, now we are going to see higher and deeper employee compared to what we have had in the past. In terms of introducing these new products and new businesses?

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Sunil Samdani : That has already been happening over the last couple of years, we've been investing in retail and commercial. That will continue. And as you progress, even on the retail side, we will need to hire good quality talents as well as on the commercial side. That's already happening. There is nothing new. It will continue to happen in that manner.

Prabal Gandhi: So, meaning the opex to market or cost to income will continue to stay higher for us, at least for next two years to three years as we stabilize all the things also?

Sunil Samdani : Not really. Guided for 3.5% opex to assets. H2 is the period where the growth in the balance sheet happens. So, with the growth in balance sheet, 3.5% opex to assets will be met.

Ratan Kumar Kesh : And more importantly, the bulk of the cost on the IT transformation and new branches that we have added, that has already been done. Incrementally the IT transformation significant costs will come down. New branch addition, as we said, will be 100 to 120 per year. So even that will also taper down.

Prabal Gandhi: Understood. Thank you. All the best.

Sunil Samdani : Thank you.

Moderator: Thank you. The next question is from the line of Praful Kumar from Dymon Asia. Please go ahead.

Praful Kumar: Thanks for the opportunity, sir. Very good evening to all of you. Sir, first question is, is there any communication from the RBI on the Assam refund that we had to get?

Ratan Kumar Kesh : Assam refund, one tranche has already been paid. We received some INR47crores odd, and we refunded back certain amount of money where the customer had already paid back. And that is for the lower ticket size of up to INR25,000 tickets. It's not related to RBI though. It's on the directly Assam government.

Praful Kumar: Okay. But incrementally, any update when the next tranche will be...

Ratan Kumar Kesh : Yes. And when they announce the higher ticket size, we expect to get a higher share of the overall kitty.

Praful Kumar: All right. And sir, second observation and comment from Mr. Ghosh would be to understand more on the senior level exits that we have seen in the bank for the last one year. So, broadly want to understand more from a culture point of view, anything that we are doing incrementally to ensure that stability at the top level is maintained?

Chandra Shekhar Ghosh: Yes. We are maintaining in that top level.

Praful Kumar: Okay, sir. All the best.

Chandra Shekhar Ghosh: Thank you.

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Moderator: Thank you. The next question is from the line of Srijan Sinha from Future Generali India Life Insurance Company. Please go ahead.

Srijan Sinha: Yes. Thank you. Sir, I wanted to understand what is the status of the CGFMU recovery that we were supposed to get earlier in Q1, then it got pushed into Q2? And we have still not got that? Where is it?

Ratan Kumar Kesh : CGFMU, there was an audit done, considering there's a large amount, the initiated an audit, audit has been completed. There are certain queries that had been raised. We are answering those queries. That resulted into some bit of a delay in the whole process. But we are engaging with them as and when it comes, we'll keep you updated.

Srijan Sinha: And that would hopefully happen in this quarter?

Ratan Kumar Kesh: Because it's a government matter, we cannot put a date because that's a wrong to commit anything. But yes, we are pretty much engaging and answering the queries. And yes, it has slightly delayed the process so far. So, we are hopeful that it should come out at some point.

Srijan Sinha: Okay. And sir, my second question is on savings bank interest rate hike that you have done. I

missed -- when was it implemented?

Shantanu Sengupta : Yes. It was implemented last month. That's on a specific bucket.

Srijan Sinha : In September month, you mean?

Shantanu Sengupta: That's right.

Chandra Shekhar Ghosh: From September.

Srijan Sinha: Okay. And sir, my final question is on the asset quality. I mean, if I look at your collection efficiency, quarter -on-quarter, that has gone up by, let's say, about 100 bps, excluding NP As. The 98% has gone to 99%. Is the collection efficiency that 98%, 99% consistently over the last 6-odd months, what explains this forward flow into the NPA bucket?

Sunil Samdani : See, we've been telling this that our full paying customer, one should look at collection efficiency, along with the full paying customers. That has been only 96%, which typically means at some point of time, 4% of the customers will slip into NPA. Since they are part paying. There will be recoveries also from those customers and ultimately, we'll recover some money from those. So that is where you see the 3.5%, 4% kind of a gross slippages number coming in because the full paying customer is 96%.

Moderator: The next question is from the line of Prakhar from Elara Capital. Please go ahead.

Prakhar Agarwal : Three questions. First, in terms of CGFMU recovery. I know you probably mentioned that you can't put a timeline to it, but this was always the government thing. So, what made us change our stance in 1 quarter where we were so certain that it will get reflected in Q2. And now in this presentation, when I look at, we have not even put out a date that -- will still reflect in Q3 also.

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And what happened with ECLGS guarantee whereas we also last time said that it will happen in Q2 but that seems to also get delayed.

Ratan Kumar Kesh : So, the only change, Prakhar, is that in the first tranche for the INR900 odd crores, there are no audit. In the second tranche, there is an audit happened. And given that audit has happened, and there are certain queries raised, so we are answering all of those queries. That according to us, it has delayed the process. Otherwise, we are quite hopeful to get it. Audit also happened because the amount is more than INR1,000 crores.

Chandra Shekhar Ghosh: Claim amount is higher. If you see that the INR917 crores is the first tranche. Second tranche, we are INR1,290 -odd -- INR1,290 crores. So, when it has been exceeding the INR1,000 crores.

So, there is some process there. It must be audit and then we would be like to process on that.

Ratan Kumar Kesh : And ECLGS, yes, as you know, it's a bit of an operational -- that upload issue, and it's happening on track. I think INR85 crores is already done, INR410 -odd crores is still pending. And it will happen as per the process because there are no bulk upload facilities, it has to be run...

Sunil Samdani : ECLGS last time we discussed. That it has to be uploaded one by one. There is no bulk upload facility, and there are capacity constraints at the CGFMU. So, we have uploaded and received INR85 crores in the quarter. The total amount to be received is about INR500 crores, of which 85% is received, INR410 crores is something which is pending.

Prakhar Agarwal: Okay. Just on second question on liability side, you probably mentioned a bit about it, but on savings, when I look at the average SA balance for customers. There, when I look at the competent doing at an industry level and you are reporting Rs 3,000 balance the customers rise in the quarter, how -- what explains this?

Sunil Samdani : No. So, as we mentioned, we've increased our savings banks rate. And so, it gives customer the flexibility to use the savings bank account at maybe 1%, 1.5% lower than what they get in the bank deposit. And if the customer wants to opt for that, they trans -- they don't -- they keep money in the savings bank instead of moving it to the term deposits. And that has helped us increase the overall balance. If you see in September '22, it was INR59,000. It came down to 51000 because the gap between savings and the time deposit rates increased during this period. As time deposit rates went up by almost 200 basis points in last 1 year and saving banks remain constant. The quarter-on-quarter growth has come up.

Prakhar Agarwal: No sir. Every thought process that I had is that you raised rate in September. So probably our customer base is so sensitive to interest rate that we probably saw within the fortnight that our average balance is moving from INR51,000 to INR 54300

Sunil Samdani : That has also helped and also the new customer base that we acquire. And if you offer 6.5%, 6.75% as an interest rate, so clearly, these customers, there is some bit of sensitivity towards the rate. We are a bank since inception, we've been offering the differential interest rates.

Shantanu Sengupta : Yes. I think just to add to what Sunil said, if you look at the individual customer segments, the overall balances have gone up. So that's something that we're seeing as a positive side. Prakhar.

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Prakhar Agarwal: Just one last bit in terms of your other income. So, this collection fees for ARC that you had of around INR37 crores this quarter. Given that for December tranche that you have already paid to and March you're expecting that it will be paid through in the next quarter. And when do we see this collection fees coming from ARC?

Vikash Mundhra : I think by Q 4 we should stop receiving this c

ollection. So in Q3, we would receive and some

part of that could flow in Q4. But after that, I don't think that collection fee would be applicable for us.

Prakhar Agarwal: Got it. And INR93 crores that we talked about is there in other -- of other fee income?

Vikash Mundhra : Yes, that's part of the other income. So other income also has INR44 crores mark -to-market hit on account of bond yields going up. And this INR93 crores as well.

Moderator: The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Just one thing on the ho using book growth has been slow for 3, 4 quarters now. So, any comments on that would be helpful?

Shantanu Sengupta : Yes. Thank you for the question. We are what we see in the housing book is that we are seeing a steady recovery. If you look at two or three things that we are seeing as green shoots, one, the fact that overall disbursements are going up. Two, we are seeing productivity of our businesses, especially across the country is going up. We did a change in platform, etcetera, and therefore, the impact that we had initially foreseen we have gone past that. So, what we see right now is steady recovery. I personally foresee that over the next quarter, we see even stronger growth coming back because the underlying drivers of the business are looking reasonably strong now.

Ratan Kumar Kesh : And just to put some numbers here, the disbursement run rate has moved from INR200 crores per month to INR550 crores per month already. And from here on as Shantanu said, Q3, Q4 intent we would get to -- we should see a significant growth uptick from here on.

Piran Engineer: Got it. Okay. And secondly, just in terms of your 3.5% expense ratio guided. Is that for FY'25, or FY 24, if you could just remind us, please?

Vikash Mundhra : This is for FY'24.

Piran Engineer: Okay. And then in '25, we expect that to go down?

Vikash Mundhra : 10 basis points improvement . But we'll communicate that in Q4.

Moderator: The next question is from the line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian: Thanks for the opportunity. Just one question on the -- if you could remind us the accounting for the CGFMU recovery, INR1,600 crores, how it will flow through to the P&L? Will it just reflect as recoveries and upgrade with minimal impact to the P&L. Is that understanding correct?

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Sunil Samdani : No. So, the entry will be the same as and when it comes, what was for INR916 crores, which means this money has to be passed into a separate account as liability and that account can be treated as part of the provision cover, which effectively means your net NPA comes down.

Param Subramanian: Okay. And your PCR moves higher without any direct impact to the P&L, say, if it comes to in Q3, it will not reflect any direct impact in the P&L. Right?

Sunil Samdani: Yes.

Param Subramanian: Okay , that's it. Thanks.

Sunil Samdani: Thank you.

Moderator: Thank you. The next question is from the line of M.B. Mahesh from Kotak Securities. Please go ahead.

M.B. Mahesh: Hi, just one question. Are you able to do any form of analysis of the delinquent borrowers, if they are able to get access to any other form of credit with other MFIs?

Ratan Kumar Kesh : Mahesh, once we are finding out anyone from the credit bureau. -- automatically, they are credit score has come down -- so they are not eligible to get the funding from us because we have been introduced the credit score or listed the credit borrower.

Vishal Wadhwa : Typically, also the MFI so they do not give any loan for anybody who has defaulted in the other financial company. So, anybody who's into NPA with us will not be given a loan outside. And similarly, we do not do that. There's a board of conduct to be signed by SRO body. So, to answer your question, no.

M.B. Mahe

sh: Okay. Because the problem has been that the delinquency that we see in your book is completely at odds to what we are seeing outside -- so just trying to understand what experience a consistent divergence in performance that still exist today when everything suggested on the ground tools have improved. So where is the mix that we are consistently getting on being surprised on the asset quality numbers?

Sunil Samdani : So, we discussed this last time, right? As an organization, we have tightened our policy in terms of people eligible for the new loan, whereas at the industry level, we see more of a business as usual and loosening requirements vis-a-vis the COVID times. So that could be one. And in an unsecured loan, just to give you an example, today, our policy says if a customer becomes NPA and they repay the loan, we will wait for 90 days before we extend a new loan. And these 90 days, we will track their CIBIL and see their track record outside Bandhan. So, these kind of policies are not there outside. That could be one of the reasons. It's -- unless you have a detailed survey, very difficult to...

Vishal Wadhwa : Plus, you would also look at DPD from one to 180 and then 180 plus as well. So, if you go into those two breakups, you may not find too much of a difference. You may find a difference between maybe from a one to 180 number, 180 plus would be pretty much aligned with all the other companies.

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M.B. Mahesh: Sorry, just to clarify, Sunil, on this point, when the borrower knows that the risk of not getting a fresh disbursement is high for the next 90 days and there is an availability of alternate channels of credits to have started to disburse loans. Why do you think the borrower is not utilizing the facility and list a no disbursement scenario for the next 90 days or probably much higher till the time he repays his dues?

Sunil Samdani: We'll feel that way and we'll act accordingly. But ultimately, I have to bring that credit culture back. So, what is required to do that. There has to be some tough decisions to be taken to bring back that credit culture.

M.B. Mahesh: Okay, sir. Thanks.

Moderator: Thank you very much. That was the last question. I would now like to hand the conference back to the management team for closing comments.

Ratan Kumar Kesh : I want to thank all the participants in this investor call for posing us a question and listening to us and giving us an opportunity to answer the question. We look forward to interacting with you more as we progress. And some of the queries that you have posed -- we probably could not only the specific numbers, we can take those offline. Vikash will be ready to sort of take those question and answer. And on behalf of our Founder and CEO, Mr. Chandra Shekhar Ghosh and the entire management team, I have the pleasure to wish you all the best for Durga Puja and the festive season. Thank you.

Chandra Shekhar Ghosh : Thank you to all of you.

Moderator: Thank you very much. On behalf of Bandhan Bank, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Feb 2024

Bandhan

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Ref. No.: BBL/572/2023-24

February 15, 2024

BSE Limited

Dept. of Corporate Services

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400001

BSE Scrip Code: 541153 National Stock Exchange of India Limited

The Listing Department

Exchange Plaza, C-1, Block G

Bandra Kurla Complex, Bandra (E)

Mumbai -400051

NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub: Transcript of the Earnings Call on the Unaudited Financial Results for the quarter and nine months ended December 31, 2023

In continuation to our letter bearing Ref. No.: BBL/554/2023-24 dated February 09, 2024 and pursuant to the provisions of Regulation 30 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the transcript of the Earnings Call hosted by Bandhan Bank Limited (the 'Bank') on Friday, February 09, 2024, on the Unaudited Financial Results of the Bank, for the quarter (Q3) and nine months ended December 31, 2023. Further, the same has also been uploaded on the website of the Bank and can be accessed at the following link:

https://bandhanbank.com/sites/default/files/2024-02/03_FY24-Concal-I-Transcript-150224.pdf

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhanbank.com.

Thanking you.

Yours faithfully,

for Bandhan Bank Limited

Indranil Banerjee

Company Secretary

Encl.: As above

Regd. Office: DN 32, Sector V, Salt Lake City, Kolkata - 700 091

Bandhan Bank

"Bandhan Bank Limited

Q3 FY'24 Earnings Conference Call"

February 09, 2024

Bandhan Bank

MANAGEMENT: MR. CHANDRA SHEKHAR GHOSH - FOUNDER,

MANAGING DIRECTOR AND CHIEF EXECUTIVE

OFFICER - BANDHAN BANK LIMITED

MR. RATAN KUMAR KESH -- EXECUTIVE DIRECTOR -

BANDHAN BANK LIMITED

MR. ABHIJIT GHOSH -- INTERIM CHIEF FINANCIAL

OFFICER- BANDHAN BANK LIMITED

MR. VIKASH MUNDHRA - HEAD OF INVESTOR

RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the Bandhan Bank Q3 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded

I now hand the conference over to Mr. Vikash Mundra, Thank you, and over to you, sir.

Vikash Mundra: Thank you, Zico. Good evening, everyone, and a warm welcome to all the participants. It's our pleasure to welcome you all to discuss Bandhan Bank's business and financial performance for

the quarter ending December 2023. We will take this opportunity to update you on the recent developments in the industry as well as on Bandhan Bank during the quarter.

To discuss all this in detail, we have with us our Founder and Managing Director and CEO, Mr. Chandra Shekhar Ghosh; Executive Director, Mr. Ratan Kumar Kesh; Interim CFO, Mr. Abhijit Ghosh; myself, Vikash Mundra, Head of Investor Relations; along with other senior management team of the bank. We will be happy to provide you with any clarity if required from the current quarter numbers and the way forward.

Now I would like to request our Founder, MD and CEO, Mr. Chandra Shekhar Ghosh, to brief you all about our bank's operational and financial performance, along with the developments for the quarter ending December 2023. Over to you, sir.

Chandra Shekhar Ghosh: Thank you, Vikash. Namaskar and warm welcome to all of you. I'm presenting to you this, the third quarter financial year '24 result where bank has performed very good in this quarter. And this quarter has also been one of the important quarter for the bank as, in this quarter the bank went under migration to a new CBS platform from the old CBS platform, and for that reason, we have a little bit delayed to publish the result, instead of third week of the last month to today. So all our systems and process are now fully stable and working under the new CBS and it has been helped to bank to further grow in a different way.

Let me now move on to business numbers. Despite the various global uncertainties, India's macro parameters remain strong. RBI expects the real GDP growth 7%, CPI inflation 4.5% during financial year '25. The favourable macro backdrop should continue to help the momentum in the Indian BFSI sector in the coming quarters.

During the quarter 3 financial year '24, our bank, Bandhan Bank, overall advances grew 18.6% year-on-year and 7.7% quarter-on-quarter. The growth in the loan book reflects an uptick in demand across the asset verticals, which now stands as a total advanced book -INRI 16,000 crores. EEB vertical added 6 lakh new borrower during quarter 3 financial year '24, as the EEB portfolio increased 7.5% quarter-on-quarter and 10% year-on-year.

Growth in the case of retail assets and commercial banking continue to be impressive. The retail loan book, other than the housing loans, grew 70% year-on-year and 15% quarter-on-quarter. The commercial banking vertical also grown very good, which is 60% year-on-year and 9% quarter-on-quarter. The housing finance book has registered a growth of more than 6%. During

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the quarter, we sold the housing loan NP As which is INR720 crores to ARC. Adjusting to that, the growth of housing book would have been above 9%.

In line with our medium-term strategic objectives, the share of secured assets as part of our total loan book continues to increase - it reached around 44.5% in Q3FY24, up from 44% last quarter. We expect to have nearly 50% of our portfolio in secured assets by FY26.

Coming to the liabilities. On the liability side, total deposit has been now reached -INRI 17,000 crores as on December '23, and grown 15% year-on-year, and faster than the industry growth. As we focus on granular retail deposits, our total retail deposit and retail term deposits grown by 18% and 22% year-on-year, respectively. The retail to total deposit ratio, which was at around 69% in last December 2022 moved above 71 % by December 2023.

CASA deposit, which stands at INR42,413 crores as of the end of quarter 3 financial year '24 have shown an impressive growth of 14% year-on-year. CASA ratio stands at a healthy 36.1 % despite the tight liquidity in the market.

Microfinance customers continue to contribute just about 4% of our total deposits. Customers continue to respond their trust in the bank. The bank has added above 9 lakh customers in this quarter. And number of liability customers increased by 14% year-on-year, which have been helped us to future retail deposit growth will be like to grow, which are we expected.

Collection: Let us now move on to trends in collections and asset quality. The first, collection. The bank's overall collection efficiency remains healthy. The bank's overall collection efficiency, excluding NPA, stood at a stable at 99% for the December quarter of 2023.

Asset quality: On the asset quality front, the bank has seen a stable quarter. In fact, we have seen green shoots in several parameters, like gross NP A ratio improved at 7% from the last quarter, which was in 7.3%, 30 basis points the decrease. And if we compare to this last year, the same quarter, it was in a 7.2% and 20 basis points reduced.

Net NP A stood at 2.2% in quarter 3 '24, versus in the 2.3% in the last quarter. Gross slippage during quarter 3 financial year '24 was in INRI,390 crores, which over INR600 crores, which is 45%, was seen during the month of October, reflecting some of the disruption due to CBS system migration and immediately followed by the festival season.

However, monthly average net during November and December was much contained at around INR380 crores per month, not only sharply lower than in October, but also better than run rate during the previous several quarters, even the couple of years. We expect the run rate to further fall down in the current quarter.

There has been improved across buckets in the EEB loan. If we see that our SMA-0 book in the previous quarter was around INR963 crores, which now has come INR805 crores, which is 1.4%. If I come to the similar in SMA-1, which booked in the September quarter was around INR609 crores and reduced and come INR567 crores, which is 1.0%.

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Likewise, our SMA-2, which is the book in the September quarter was around INR688 crores, which has now reduced to the INR526 crores, which is a 0.9%. If I see these three, SMA 0, 1, 2 together, which has come to this 3.4%, and last quarter it was in a 4.2%, and last to last quarter it was in 5.5%. So gradually, we've seen that the quarter-on-quarter basis, the NPA buckets has come down, which is going to impact positively to our NPA or slippage in ensuing quarters.

The financial year '24 book, consisting of all loans disbursed from April 2023 is turning out to be a strong one. The gross NPA of these book stands at 0.11 %, means whatever loan we have disbursed in an EEB in this financial year, their total NP A has come to only INR35 crores, which as a percentage wise is 0.11 %, which was in last year is in 0.5%.

Profitability: The bank has registered a net profit of INR733 crores during the quarter financial year '24, against a net profit of INR291 crores a year ago. This was a year-on-year growth of 152% in the profit.

Our net interest income in quarter 3 financial year '24 is INR2,525 crores, compared to the last year, the same quarter, INR2,080 crores, which registered the growth of year-on-year 21 %. Our net interest margin improved to 7.2% compare to the last year, the same quarter, from 6.5%. Total credit cost has been stable at 2.5% in quarter 3 financial year '24. The bank delivered an ROA of 1.9% and ROE of 14% in quarter 3 financial year '24.

Coming to this, the branch and digital expansion. The bank continue with the emphasis on its branch network. This quarter, we have added 26 branches. Today, the bank has a branch presence in 35 out of 36 states and Union territories of the country.

I also want to highlight how our performance in digital banking has improved further. 95% of our total general banking transactions are happening digitally. Growth in digital registration is up 34% year-on-year. Our digital transaction volume increased 36% year-on-year. Our UPI transaction increased to 39% year-on-year. The bank has been impanelled by state like Goa, Gujarat, Chhattisgarh, and Maharashtra for state government business. This will further help the bank to mobilize more deposit.

The states of Assam and Meghalaya have authorised the Bank to integrate the Electronic Government Receipt Accounting System (e-GRAS), a single online collection medium for all tax as well as non-tax revenues.

New senior leadership talent: We have recently received the approval from RBI for the appointment of the second Executive Director, Mr. Rajinder Babbar. Our new CFO will also soon be onboarded. Both of these senior management members will join us soon. We also have Mr. Santosh Nair, who has joined us from HDFC group as Head of Consumer Lending & Mortgages sitting right here

To conclude, from my side, we expect the growth momentum across major business verticals to continue in the fourth quarter of the financial year, which we saw in the trend in the last 3 quarters. And also, it will be help us to show the trend of that quality of the portfolio.

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Of late, we have successfully completed the migration into the new CBS and have initiated several steps to boost the cross-sell and branch lead sales to grow the retail assets and liabilities portfolio and also to increase the productivity for our employees supported by our digital and analytical initiatives.

Overall, we are well on our way to achieving long-term strategic goals of portfolio and geographical diversification. I wish you and your family all the very best. Thank you, and thank you to all of you to continue your trust and the support to our bank.

Now I'm requested to my Executive Director, Shri. Ratan Kesh, who would like to give some more point which you have liked to know about it. Thank you. Please, Ratan.

Ratan Kesh: Thank you, sir. I once again thank all of you for joining the call. I believe some of you may have questions on our CGFMU portfolio and ongoing audit. I'd like to clarify a few points relating to that.

First of all, let me put some statistics here. CGFMU was taken entirely for FY 2021, which is the COVID period. Neither before or after we have taken any CGFMU cover. The total portfolio under which we have taken a cover was INR20,800 crores under CGFMU, and we disbursed nearly INR1,950 crores under ECLGS. Out of the total portfolio of INR22,750 crores,

combining CGFMU and ECLGS, nearly 85% of the total portfolio, which is roughly INR19,000 crores, have been repaid by the customers over a period of time. The remaining amount, which is around INR3,600 crores, as of December 2023, is sitting as Stress book in my current portfolio, and we are carrying a provision of more than 88% on that portfolio. The maximum eligible amount, if you know, as part of the CGFMU scheme, that a bank or an institution can claim insurance cover is 15% of the total insured amount. For us, on the INR20,800 crores, it turns out to be INR3,100 crores. Our total claim put together our first tranche and second tranche, is roughly around INR2,200 crores, which is significantly below the prescribed or, let's say, maximum eligible that the scheme would have suggested. So far, we have claimed and received an amount of INR917 crores in December 2022. Subsequently, in second quarter of FY '24, we made an additional claim of INR1,296 crores. So the total claim amount, as I said, is much lower than the maximum eligible limit in the schemes. Now we continue our recovery process from these accounts. For example, in the first tranche of INR917 crores that we received last year from NCGTC, we have already recovered INR214 crores, which is more than 20% of the claimed amount. As part of the scheme, we have set that aside for refunding to NCGTC. NCGTC also had done an initial sample audit subsequent to putting our second claim of INR1,296 crores, and the agency made certain observations in the audit. And we believe that some of these observations were inadequate and rather inappropriate. And therefore, we clarified our stand on those. However, NCGTC, before deciding on the final matter, they decided to conduct a detailed audit to validate our submission.

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The bank is fully cooperating and submitting all the documents requested by the audit agency. The audit is currently underway. We, as a management, expect the results of the audit to be completed in the next few months, and we are fully confident that we will recover the money from CGFMU.

Vikash Mundhra:

Moderator:

Mahrak Adajania:

Ratan Kesh:

Mahrak Adajania: Thank you Zico, we can start the Q&A. Please.

We will now begin the question and answer session. The first question is from the line of Mahrak Adajania from Nuvama.

My first question is on the CGFMU audit. So the amount involved is very small, as you just explained, which was helpful. But is this a forensic audit like some media articles say, or just a normal detailed financial audit?

Look. Our understanding as management is that forensics can only be conducted by certain entities. We don't want to beyond the point claim this and create a problem for ourselves. But the point is that, subsequent to a sample audit, we validated and submitted our submission, and therefore, a detailed audit is what is being conducted. But as far as NCGTC take claim that it's a forensic audit, which is adequately published by them in their website, so we will say it is a forensic audit. Having said that, we have our views as to who is allowed to conduct the forensic audit and who are not.

Okay. Got it, sir. Yes. That was my doubt as well. And then, sir, just in terms of the SME pool. So obviously, the EEB SMA pool has declined. But where do we see it settling, right? Because the slippage is -- first of all what would be the EEB slippage?

Chandra Shekhar Ghosh: If we see that the slippage of EEB in this quarter, it's INR993 crores out of INR1,390 crores. And I also mentioned on that point, the 45% of this amount of the slippage of EEB has slipped in the month of October, where we migrated to new CBS followed by festival holidays.

But if you go to the next month onwards, that it isn't so much on a month-on-month basis so low. We have not seen that last 2, 3 years that much of that. So it is -- has given the comfort to us, this has been come down.

And second point, I also mentioned, whatever the portfolio we have shown that the EEB portfolio, which is disbursed in the FY24, so far, the portfolio quality, so good, it has been showing that NPA only 0.11 %.

Mahrak Adajania: Got it, sir. Sir, so just one clarification, that you expect the low slippage that you saw in November, December, to continue in the next few months also?

Chandra Shekhar Ghosh: It will again come down on that.

Moderator: The next question is from the line of Yuvraj Choudhary from Anand Rathi.

Yuvraj Choudhary: Now with the CBS migration done, so could we expect some opex levels to come down -- in target, do we have on opex to asset ratio?

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Chandra Shekhar Ghosh:

Yuvraj Choudhary:

Chandra Shekhar Ghosh: If you see that the prediction of that as the NIM, there is 2 parts. One part is the cost of fund. So whatever the cost of fund has been increased. I feel that it is a very good way has come on that.

And as per the yesterday regulators, the prediction, so it cannot be like further like to grow. So that it will be -- if it isn't fixed on that, in the future, it will be again come down.

Yuvraj Choudhary: If you see that the opex asset ratio, we guided on that is at 3.5% for FY24. So if we see that in the first quarter, it was 3.5%, second quarter has come 3.7%. Again, the third quarter has come to the 3.6%. So we say that it will be like to continue in these lines. For future growth of the bank, it has to incur 2 type of cost. One cost has come operational. It will continue. We cannot reduce. But other cost is a capital cost, which is like to make as in every year -- book some of the cost on that, depreciation, whatever we say that.

Sir, on margins, NIM was stable at 7.2% on a sequential basis despite strong growth due to cost pressures. So could we see NIM at the same level in the near term? Or could we see some improvement in NIM?

And second, my point on that -- whatever that the cost of the bank means on that that when the risk portfolio has come down, slippage has come down, automatically, it will be also help to the bank to better way to maintain on that. But I'm not very much say that it will be very long term can be like to say. But I say that this quarter, 7% to 7.5%, we can be like to do. And the March, we have it at the strategic meeting, we can analyse further on that. And again, we will be like to communicate to all of you on that what we can be like to pass on.

But we have said that the same line will be like to continue.

Sure, sir. And sir, last question would be, sir, some colour on our portfolio in Punjab would be helpful, like what would be our aim there, collection efficiency, if you can throw some colour on that.

Chandra Shekhar Ghosh: So Punjab point of view, we have not very much more in the portfolio in here. And so we'll give the number -- a small portfolio, I can say that in that very -- INR 714 crores like on that, entire book, out of a total book of INR 58,000 odd crores, INR 714 is the Punjab portfolio.

Moderator: Thank you. The next question is from the line of Mohit Jain from Tara Capital Partners.

Mohit Jain: Sir, I just wanted to understand on the slippage part because of the system migration. Sir, I believe we have this weekly collection model. So when this transition happened, what -- how did it exactly affect the slippage? Like was it like we did not have the group meeting for, let's say, a particular period of time?

And just a related question, sir, overall the increase in GNPA is more than rest of India portfolio. I think in West Bengal and Assam it has come down. So is it also that the re-transition affected the collection in the other states and not the Eastern states where our focus was higher?

Ratan Kesh: So there are two points, Mohit. One is that -- on 3 October, we migrated to the new system.

Given that we are migrating on that day, that day we declared as a holiday. It means we wanted to ensure that the people are able to understand the system, which means that day was a

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collection holiday. But for our portfolio, it will keep moving the DPD. So for the pool, it will keep moving, that's one.

Second, first few days, people got used to the new tab, new way of looking at the demand, and then go and collect it. So there are certain challenges in terms of understanding it, as much we try to train everyone. But slowly, they could quickly understand. Therefore, you see significant better November and even better in December. So that took some bit of a time.

Third, of course, October, you had the festive. And you see there are a whole bunch of holidays, I think, 5 to 7 days holidays. Holidays for us and customers. But DPD doesn't have holidays, so that keeps moving. Those are the three broad factors.

Mohit Jain: And sir, the related part as to why the rest of the India had a higher GNPA and why we performed better in West Bengal and Assam?

Chandra Shekhar Ghosh: No, if you see that the industry perspective, if you see the Maharashtra is an issue, and also partly also UP. So that is the two. And third, you -- specifically for us is Manipur. You know that the issue. So that is the MP also partly.

What happened on that in the microcredit point of view, if you look on that, this is a group-based credit. And when the group-based credit is a need to group bonding in the meeting. After the pandemic, some states very quick they had recovered and coming to the group meeting attendance and also bonding very good. Some states, some pocket, they are taking more time. And those areas a little bit this slippage will happen like to be seen.

So it will be improving by the month-on-month basis, we see that. And we are also taking very corrective measures, and we have a very separate team working on that. And very quick, we'll

be like to come back on that.

Mohit Jain: Okay, sir. And sir, just one question, final. Do we foresee any impact from the upcoming elections that will be there on the disbursement all the collection, sir?

Chandra Shekhar Ghosh: No. We have not seen on that.

Moderator: The next question is from the line of Ritika Dua from Bandhan AMC.

Ritika Dua: So firstly, you shared that going forward, the share of secured to unsecured would be 50-50. If you don't mind, just what is the number today?

Chandra Shekhar Ghosh: Today, number is in secured is 44.5%, and the 55.5% is the unsecured.

Ritika Dua: Right. So sir, just telling you, we will have Santosh, a person, joining on the retail and the consumer side. I think it would be good to hear from you, sir, how are you looking to get to this journey of increasing, and what would be the focus areas?

Chandra Shekhar Ghosh: Okay. I request Santosh Nair to address this question

Santosh Nair: Good evening to all of you. See, you can hear me -- I hope you can hear me?

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Ritika Dua: Yes, sir. Thank you.

Santosh Nair: See the whole idea is like when I joined here, there's a clear chance like we want to stay focused on the affordable segment because we clearly see a demand in the affordable segment. The only way that we can do is probably get into more geographies, probably look at our internal sourcing and internal branches where we think we have a cross-sell opportunity, which we can -- we can explore, and also get into the digital way of lending across all the retail asset products and mortgages. So that way, we could surely see a progress towards what we mentioned and try to get it at 50%.

It's early days for me now, but we have a strategy meet in the next week or 10 days post which we will take a collective decision on how we have to move forward.

Ritika Dua: Sir, just one more question, if I could, request you to reiterate the long-term guidance which you have shared on the various growth and the ROA and ROE? Thank you. That's it for me.

Chandra Shekhar Ghosh: And we are guided on that, ROA and ROE. We said that the 14% to 18% of ROE. And ROA, we are like to predict it on that, the 2.5% to 2.8%.

Ratan Kesh: So Ritika Dua, we are having our strategy meet somewhere by end of February, right? So where we will discuss our next 3 years plan. And once we do that, after that, we will share with the market participants. So please allow us one quarter more to give you about our long-term plan.

Moderator: Our next question is from the line of Saurabh Kumar from JP Morgan.

Saurabh Kumar:

Vikash Mundhra:

Saurabh Kumar: Sir, just two questions. One is the SMA. If you look at the total, 0 plus overdue book. That has gone up by INR470 crores quarter-on-quarter. I just want to know, is this your normal run rate?

Because this book went up also by like INR230 crores in the second quarter, then about INR1,100 crores in the first quarter. So just in terms of the zero plus, how much -- how do you think this forward book, how does it flow through? Or should we think about the INR470 crores and INR500 crores as a normal run rate from here on?

Saurabh, I believe, considering the current situation and stringent underwriting norms, which we have adhered to, at least INR300 crores to INR500 crores of addition, from zero to the DPDs, what we're expecting even for one or two quarters. And then we'll work out how the situation improves and then we'll let you know. But as of now, yes, for the next 1 or 2 quarters, yes, that's the run rate which we believe would continue.

Okay. Helpful. And the second is just in terms of the savings account, I mean, can you just quantify how much of the -- I mean, how much of it would have been wholesale savings versus retail? Or is it all retail savings?

Chandra Shekhar Ghosh: Only 5,000 is a wholesale sale, and then balance are the retail.

Saurabh Kumar: Okay. So that decline which is we are seeing quarter-on-quarter is the wholesale decline?

Chandra Shekhar Ghosh: Yes, yes, yes.

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Moderator: Our next question is from the line of Manish Shukla from Axis Capital.

Manish Shukla: On housing finance, slide number 13. Just curious what is driving the IBPC purchases? Because if I look at the quarter, the quarter-on-quarter increase in IBPC purchases is almost same as the fresh disbursement in housing loans. So just curious what is driving the IBPC purchases.

Chandra Shekhar Ghosh: No, if you see that the IBPC purchase, this is in -- good opportunities also to earn some revenue from this portfolio. So depending upon our liquidity and opportunity, we keep on adding or running off the IBPCs.

Manish Shukla: How will be the yield outcomes on the 2, IBPC purchases versus what you disburse annually?

Chandra Shekhar Ghosh: I think 7.25%, if we need, we can add.

Manish Shukla: Okay. Moving on the liabilities. Can you share the average cost of your SA deposits?

Vikash Mundhra: It will be slightly over 5. Give us some seconds ...

Chandra Shekhar Ghosh: 5.16.

Manish Shukla: Okay. So if you look at liabilities mix, right, the bulk of the liability growth seems to be coming from non-retail TD, which I'm assuming only more expensive than retail TD. So in that context, I'm just trying to understand the balance sheet growth strategy. So between growth and margin, how do you look at it? Are you comfortable growing your balance sheet and funding it by a non retail TD and keeping margins where it is? Or would you look at slowing growth and improving on Margins?

Sujoy Roy: So I'll take that. So our -- the deposit strategy has always been focused on retail term deposits.

While there are opportunities on the wholesale piece also, whenever we have found opportunities, we've taken them. And we have been very circumspect in taking clients on the wholesale front.

However, the retail focus continues. And if you see the growth that we've seen on a Y-o-Y basis on a retail term deposit has been around 25%. That's reasonable growth, and that focus continues.

Manish Shukla:

Sujoy Roy:

Manish Shukla: I was talking more from a sequential growth perspective, December over September, because that is when you've seen loan growth for you after 6 months.

Yes. So we grew about 6% quarter-on-quarter.

And that was funded primarily by non-retail TD?

Sujoy Roy: No. On the retail TD bid, we grew by 6%. And of course, the overall TD growth that you see, the rest of it was wholesale.

Moderator: The next question is from the line of Prabal from Ambit.

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Prabal: Sir, my first question is on the margins. The credit to deposit ratio improved 300 basis points sequentially. And still margins were stable. So had it not been for the liquidity? Is it fair to assume that margins would have declined?

Chandra Shekhar Ghosh: If you see that the -- of course, it is another side of this, we need to like to go to the increase that -- decrease the CD ratio cost will increase. But we see that there are two others. First thing is the quality of the portfolio, it will be like to help reduce the cost. And second point on that, whatever the rate is today, and that rate also in the future will be not long run, that will be also cost of fund will come down. That will be like to balance gradually.

Prabal: Can we increase CD ratio further. It is at 93%? So can this be further increased from here on?

Chandra Shekhar Ghosh: So if you see that the CD ratio last 5 years, we are reduced CS ratio from 127%. Now it has come less than 100%, which is 98% on gross advances. So every year we have been reduced in the 5% and more or less around all that.

So we have very strategic plan on that, how it can be like to make it in a good way and to maintain the other all ratios.

Prabal: Okay. My next question will be on this mix of secured versus unsecured. So you have been guiding that we are moving more towards the secured side. So with that, the implication yield on advance should be on the downward side, isn't that? So structurally, our yield on advances will only come down as we raise the share of secured in our mix. Is that the right assumption?

Ratan Kumar Kesh: Assumption is right. As we said that we will maintain -- so as of now, our yield and cost of deposits are moving almost in tandem, and therefore, you see that we are actually maintaining 7.2%. We said that we will maintain 7%, 7.5%. But we have our strategy meeting. We will go back and go to the drawing board and really look at all parameters, balancing all the metrics that you want to target and come back with a detailed plan, whether we would like to compromise on some part of the NIM, et cetera, we will come back.

But the truth is that, as of now, we are -- even our retail book, 66% is secured. And those are generally high-yield products. We are focusing on some of those. Like Santosh mentioned, my colleague, that we are focusing on affordable yield significantly higher than, let's say, prime segment. So our focus will continue to be not compromise NIM beyond the point.

Prabal: Okay. But any this secured retail will be lower than the MFI leads.

Chandra Shekhar Ghosh: That's true.

Prabal: Okay. And sir, one data, housekeeping question. What will be the differential between non-retail term deposits and retail term deposits?

Chandra Shekhar Ghosh: 100 basis points.

Prabal: Okay. Sir, second question will be on these branches, I just want to understand what are the nature of these branches? Because branch count on a Y-o-Y basis has increased by 30%, but

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other expenses are virtually flat. So our OpEx per branch has come down significantly. So what are these branches? Where we are carrying this amount of savings?

Ratan Kumar Kesh:

Prabal:

Ratan Kumar Kesh:

Prabal:

Ratan Kumar Kesh:

Moderator:

Jai Mundhra:

Vikash Mundhra: So the branches are actually the standard general banking branches where we garner starting with deposits, and then do cross-sell to the internal customers. So these are pretty much standard branches. And you see our -- some part of the cost on even people we are deploying so that we can set up our new branches. So this is generally frontloaded, to add more people. Also in the retail portfolio and the housing portfolio, we're adding more people?

The size and the shape of branches haven't changed?

Not really, not really.

But then why ...

When you go to the new market, the first branch is generally a standard branch. When you look at the second and third branch, we may wish to compromise on the size and scale of those branches. But generally, the first branch, first few branches, we are keeping it as a standard.

Our next question is from the line of Jai Mundra from ICICI Securities.

Sir, how much is the LCR for the quarter ended? Liquidity coverage ratio, for the bank?

142%.

Jai Mundhra: And sir, in that context -- sorry. Now -- I think someone had asked earlier also. But if you see this quarter, I mean fourth quarter is supposed to be seasonally good in terms of AUM growth.

This quarter, the growth has also revived. Now, I believe the growth should be even higher next quarter, going by the seasonality. Could that be constrained by growth in the retail term deposits? Because this quarter, retail to total deposits on a quarter-to-quarter basis, that number has come down from 74% to 71 %.

The deposit growth is mainly funded by nonretail term deposit. Considering what we have been hearing in the media and about RBI stance and in general tight liquidity, do you think this can impact the fourth quarter, otherwise, super strong growth seasonally that we see in a usual fourth quarter?

Sujoy Roy: So the fourth quarter, also, the momentum that we have managed to build over the last 9-odd months of retail term deposits is expected to continue. However, having said that, opportunities that I mentioned earlier on the wholesale front will also be leveraged. And as mentioned earlier, the bank will pick up deposits, and deposits, be it retail or wholesale, it will continue to leverage opportunities that are available.

Jai Mundhra: Okay. Understood. So there is, as of now, there is no -- you are more or less indifferent as far as growth happens, either it comes through retail deposits or wholesale deposits. As of now, we are not overly worried that can constrain that near-term growth.

Chandra Shekhar Ghosh: Yes.

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Jai Mundhra: Sure. And last data-keeping question, sir. If you have the recovery number in EEB for this quarter. I think last quarter, it was INR130 crores. And the total provisions I think including standard, non-standard and everything were, and also the EEB or for the entire bank.

Chandra Shekhar Ghosh: Total provision of the bank on P&L, INR600 crores, is aligned with the first quarter, second quarter, third quarter. All quarters around INR600 crores as a provision. But if you say that the recovery from EEB, INR 78 crores, which was in the last quarter, INR 39 crores.

Moderator: The next question is from the line of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise: Is it fair to assume that in terms of ARC sales, we are largely done in the near term? Or do you think there could be some more for 4Q?

Chandra Shekhar Ghosh: We have not yet planned on that. If we have the plan, then we would like to inform.

Sameer Bhise: Okay. And secondly, in terms of margins, while you said that we are incrementally into secured retail, which are slightly higher yielding products. But three years out, how do you see from your structural perspective?

Chandra Shekhar Ghosh: We'll come back on that, Sameer. Post our strategy meet.

Moderator: The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes. Just wanted to check in terms of what would be the cost of bulk deposits that we raised during the quarter? And was it like more towards the end and we are not seeing the impact in terms of the overall cost of deposits?

Chandra Shekhar Ghosh: Yes, the cost of funds, as I mentioned on the savings rate that actually last quarter we have seen a decline from 5.17 to 5.06.

Kunal Shah: No, cost of bulk deposits? Bulk ..

Sujoy Roy: I'm just coming to that. I'm just coming to that. So overall, TD cost have, of course, increased. It has increased about 7.4% the overall cost of funds on the TD front. Of course, the bulk rates have, if you would be aware, have hit a higher number. And the cost that will come in, of course, will impact in the next 3 or 4 quarters also. So, yes.

Vikash Mundhra: Slightly higher than 8%.

Kunal Shah: Okay, higher than 8%?

Chandra Shekhar Ghosh: Slightly.

Ratan Kesh: Around 8%, 8.1 %

Kunal Shah: Okay. Okay. Got it. And secondly, maybe I'm not sure if you highlighted in terms of when this migration issue would correct. So would we see whatever incremental slippages we saw 2

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months back, when do we see them coming back in the rest of India, GNP as we started at 8-odd percent. When do we see that stabilizing? How much time would that actually take?

Chandra Shekhar Ghosh: Yes, as we said, post October, November has been -- in the entire slippage that you see in the last quarter, 45% came in only October. November has been significantly better than October, and December is the best across last 16 quarters. So it's already back from the slippages perspective.

Kunal Shah: I'm saying whatever has slipped, how could it course correct? Yes. I'm not asking about the incremental one. But if you look at October slippages, which were there, when would it course correct?

Chandra Shekhar Ghosh: The recovery. You are talking about the recovery?

Kunal Shah: Yes.

Chandra Shekhar Ghosh: So recovery rates have been higher than the last 2 months. For example, last quarter, INR139, this quarter 178, and we are seeing.

Kunal Shah: And first quarter, it was INR81 crores.

Chandra Shekhar Ghosh: So first quarter was INR81 crores, second quarter INR139 crores, last quarter INR 178 crores, and we clearly see that uptick also in Jan and Feb.

Kunal Shah: Okay. Okay. So by March, we should see that normalize.

Chandra Shekhar Ghosh: We expect it on that.

Moderator: The next question is from the line of Punit Bahlani from Macquarie Research.

Punit Bahlani: First one is this quarter we had an ARC sale. So just wanted to understand the accounting for that. Like the way I understand is we have provided up to like 50%-60% for that, and the remaining is to be taken on the part of other income? Am I right? Or just wanted to get a - because in the disclosures, there is nothing related to the ARC income. So just wanted to confirm for this quarter.

Abhijit Ghosh:

Punit Bahlani:

Abhijit Ghosh:

Punit Bahlani: So the ARC, the total portfolio was INR 720 crores, and at the time of sale, so whatever the carrying amount of provision was INR352 crores. And that, we have -- the additional provision that was required that was stated at the time of the sale. And the overall transaction is a PL neutral transaction.

Okay. Okay. So then this quarter, we'll see the additional INR350 crores provisions that you created during the time of the sale. And then you have

So that was already there in my books, adjusted at the time of sale of the assets.

And second bit, on the Stress Pool bit, now we're seeing that, because of the migration to the core banking system, we have incrementals. But just going forward, should I see this Stress Pool

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-- should I expect this Stress Pool to decline, which has gone up, like, say, from INR55 billion to like INR 75 billion over the coming quarters, should I expect this to decline? What's your - because it seems like there are -- the forward flows keep on happening every quarter despite all these things. Any comment on that?

Chandra Shekhar Ghosh: What we say that, that is we seen. But, as of now, in an EEB portfolio, total slippage percentage -- DPD percentage is coming for that is in 3.4%. And we saw that whatever the amount have at the slippage in there, there have been 60% recovered and 40% slippage to NPI. In that sense, we are calculate on that.

Punit Bahlani:

Moderator:

Prakhar Agarwal: Got it, sir.

The next question is from the line of Prakhar Agarwal from Elara Capital.

Three questions. One, when you talk about slippage due to the migration, can you help me understand why would it not recover? Because you probably took time to paying the staff, but if there are not underlying cash flow problems with the customer, why should the recovery take more than 2 months for that portfolio?

Chandra Shekhar Ghosh: So what we see that, is the group loan, and mainly, it is a weekly based. And there is the first point on that. The weekly, when it happens second week, we are not able to keep the double installment to all of the customers. So this is the main point on that.

And the second point on that, they are normally practiced and behave on that. They are paying this amount in the last installment. When they close the loan in the last installment like in the 50th number of weeks, and that day they are given to wither in the two.

So that is the normal practice on that. And our system is not doing in there -- that is not -- they're not know that. But I hope that they are also recovering coming on that. And of course, it will be coming -- reducing on that after that. So that if you see November, December, it has been come down, drastically, on that.

Ratan Kumar Kesh:

Prakhar Agarwal: So in addition to Mr. Ghosh. So when the customers are falling to NPA because of this migration issue, these customers are marginal customers. So those are the 80 days DPD. The moment customer goes in -- cross this 91 days DPD, even if he pays the 2 installment back to me, so he will come back at the DPD of 80, but he will remain stamped as NPA since -- once he starts to NP A. So entire amount needs to be recovered from the customer to bring the customer out of NPA.

No, I understand that part, but then your recovery numbers should also have been higher, right?

So irrespective of the fact that you have the full payment of 2 months, but then your recovery amount should have been higher even if we think is one EMI.

Chandra Shekhar Ghosh: So my recovery number has been increased from INR139 crores to INR178 crores this quarter.

Prakhar Agarwal: Second, in terms of the fee, if I were to look at 2, 3 line items, if I were to look at your third party income that has come down a significant rate, I'm talking about from a trend perspective.

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Can you also help me understand what are these card charges which is moved from Q 1, if you look at Q1 to Q2, that number has essentially doubled? What are essentially the nature of these card charges and the others, which is around INR176-odd crores? If you look at these three line item other income, can you help me understand what is happening there?

Chandra Shekhar Ghosh: Give us a couple of seconds. So if you see that we are revised our group insurance policy to the customer. So earlier, we have given that the mandatory to the all customers as they insure it, that time premium has come on that. Now we have decided on that, everyone sometimes is not needed to the insurance. So after the taken loan, and they are -- we offer them then who are interested, they are coming.

So during this period, so a little bit just change some of the systems and the process. And that will be taken some time not to come on that amount in that third-party product. And it will be gradually coming on that, and it will be like the bigger way the people will get the services of insurance with all the compliance with the regulation.

On the card charges, now with post core banking migration that we have done, we have an ability to adequately and appropriately charge debit card customers. We have certain slippage gaps in that area. So now we have a better ability to collect the exact charges, compute it exactly. And that's why the numbers are slightly better.

Prakhar Agarwal: Okay. And just last one, others, what is exactly the difference between the two?

Chandra Shekhar Ghosh: Others is that one-off, which is INR400 crores in the last year, similar quarter, same quarter, there is an ARC sale, one-off income. That is not there.

Prakhar Agarwal: Lastly, on management changes of -- while you highlighted that you've onboarded couple of guys and they will join in. But if you look at on the other hand, there has been guys that's been leaving and probably that trend seems to have not halted. What do you think exactly the reason for that? And when do you think it probably settles down. Because every now and then we keep on layering that there is some or the other movements that is happening. So what do you anticipate the reason to be? And how will you see this settling down?

Chandra Shekhar Ghosh: If you see that the -- compared to the last financial year, last to last financial year, we are more stable on that. Yes, I, 2 have left, and that is bigger opportunities has got by them. And it has been also -- of course, it is not expected on that, but a very good number of team members also has joined to the bank for future way to grow and reach to bank the goal.

So I am not -- I'm feeling that they're comfort on that, very strong team now in the bank to

running this bank on that.

Moderator: The next question is from the line of Yuvraj Choudhary from Anand Rathi.

Yuvraj Choudhary: Sir, just one follow-up on CGFMU again. So we've mentioned earlier, we could have applied for INR3 I ,000 odd crores. However, we applied for a lower claim. So any reasons for that?

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Ratan Kumar Kesh:

Moderator:

Mahruk Adajania: No, no. It's not that. The scheme provides for the fact that a borrower has to become NPA, and stay NPA for 6 months, within the 3-year period of taking the insurance cover. In our case, 85% borrowers have normally paid and closed their debt, therefore, they never came to the NPA pool. Or they have come to NP A, but not stayed for 6 months. Therefore, we didn't need to claim for that. Practically, that's what it means. So the scheme say it 15%, but ours is roughly around 11-odd percent.

The last question for today is from the line of Mahruk Adajania from Nuvama.

Thank you for allowing me to come back again in the queue. So I just wanted to know what would be the slippage from SMA 2 into EEB NP A this quarter?

Chandra Shekhar Ghosh: Give I, 2 minutes on that.

Ratan Kesh: Mahrukh, I will get in touch with you on this one. Currently, I don't think we have that number.

Chandra Shekhar Ghosh: We're not handy on this number, I'd like to get back to you.

Moderator: Ladies and gentlemen, that brings us to the end of the question-and-answer session. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Chandra Shekhar Ghosh: Thank you. Thank you so much for participating in the teleconference.

Ratan Kesh: Thank you to all of you. Thank you to participate and give your valuable time. Keep confidence on us. We'll be always with you all. Thank you.

Moderator: Thank you. On behalf of Bandhan Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Apr 2024

Ref. No.: BBL/018/2024-25

April 10, 2024

BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
BSE Scrip Code: 541153 National Stock Exchange of India Limited
The Listing Department
Exchange Plaza, C -1, Block G
Bandra Kurla Complex, Bandra (E)
Mumbai – 400051
NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub.: Transcript of the 'Bandhan Bank Conference Call' held on April 08, 2024

In continuation to our letter bearing Ref. No.: BBL/ 010/2024-25 dated April 06, 2024, we hereby submit the transcript of the 'Bandhan Bank Conference Call' hosted by Bandhan Bank Limited (the 'Bank') on Monday, April 08, 2024, to discuss the recent development in the Bank. Further, the same has also been uploaded on the website of the Bank and can be accessed at the following link:
<https://bandhanbank.com/sites/default/files/2024-04/Bandhan-Bank-Transcript-of-Concall-April8-100424.pdf>.

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhanbank.com.

Thanking you.

Yours faithfully,
for Bandhan Bank Limited

Indranil Banerjee
Company Secretary

Encl. : As above
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"Bandhan Bank Limited
Recent Development (MD & CEO Retirement)
Conference Call"
April 08, 2024

MANAGEMENT : MR. CHANDRA SHEKHAR GHOSH – FOUNDER -
MANAGING DIRECTOR AND CHIEF EXECUTIVE
OFFICER – BANDHAN BANK LIMITED
M R. RATAN KUMAR KESH – EXECUTIVE DIRECTOR
AND CHIEF OPERATING OFFICER – BANDHAN BANK
LIMITED
M R. RAJINDER KUMAR BABBAR – EXECUTIVE
DIRECTOR AND CHIEF BUSINESS OFFICER – BANDHAN
BANK LIMITED
M R. RAJEEV MANTRI – CHIEF FINANCIAL OFFICER –

BANDHAN BANK LIMITED
M R. VIKASH MUNDHRA - HEAD OF INVESTOR
RELATIONS – BANDHAN BANK LIMITED

Bandhan Bank Limited
April 08, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the Bandhan Bank Limited Conference Call on Recent Developments. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the initial remarks conclude. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Mundhra, Head, Investor Relations. Thank you, and over to you Sir.

Vikash Mundhra: Thank you, Michelle. Good morning, everyone, and a warm welcome to all the participants. It's our pleasure to welcome you all in this conference call, which is to discuss the recent development in the bank, that is the announcement of retirement by our MD and CEO, Mr. Chandra Shekhar Ghosh.

To answer your queries regarding the same, we have with us our (a) Founder, Managing Director and CEO - Mr. Chandra Shekhar Ghosh; (b) Executive Director and Chief Operating Officer - Mr. Ratan Kumar Kesh; (c) Executive Director and Chief Business Officer - Mr. Rajinder Kumar Babbar; (d) Chief Financial Officer - Mr. Rajeev Mantri; and (e) myself, Vikash Mundhra - Head of Investor Relations.

Before I hand over the call to Mr. Ghosh, a disclaimer from our end that this conference call is limited to the discussion on the recent development in Bandhan Bank, that is the retirement announcement of Mr. Ghosh. Given we are in a silent period, no financials or forward-looking strategies will be discussed.

Now I would like to hand over the call to Mr. Ghosh. Over to you, sir.

Chandra Shekhar Ghosh: Thank you Vikash. Namaskar. Good morning to all of you. Thank you for joining this call at a short notice. I would also like to place on record that today's discussion will be limited to my decision of retirement from Bandhan Bank and we will not talk about business figures as we are in a silent period.

Friends and investors, as you are aware, I have decided to retire from my position as Managing Director & CEO when my current term ends on July 9th, 2024. My decision to retire was made voluntarily by me with due consideration and with a deep commitment to the continued success of our organization. I am not bidding farewell to our Bandhan family. I am transitioning to a higher strategic role at the holding company level. In my new role, I will pursue a strategic responsibility where I can leverage my experience and insights to contribute to the group's overall growth and prosperity. My dedication to our bank's vision, goal and purpose remains strong.

I want to thank all the stakeholders & investors for placing their trust in Bandhan Bank and me. When we began this journey, we set out with a vision to create a financial institution that would not only stand the test of time but also serve as a catalyst for economic growth and prosperity specially in financial inclusion. I am proud to say that we have a team of exceptionally talented

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individuals within our organization, individuals whose dedication and expertise have been instrumental in driving our growth. The Bank has a very strong and capable senior management who are ready to take the bank into the next leap of growth. I am fully confident that Bandhan Bank's growth story is secure and in very safe and capable hands.

I know many of you have a question about the timing of the announcement, which I would like to respond to. I started Bandhan 24 years ago and I have been fortunate to oversee the transformation of this institution from a small NGO in Eastern India to the largest MFI to a universal bank across the country – 35 states and Union Territories. Over the last few years, we have built our commercial and retail assets business and added

further products and capabilities.

Today, the Bank has a diversified portfolio and across geographies.

As you are aware, in the recent past, we have enhanced the Bank's leadership with our two Executive Directors (Ratan Kumar Kesh and Rajinder Kumar Babbar), CFO – Rajeev Mantri, Head of Mortgages and Retail Assets – Santosh Nair, who are working closely with other senior

leaders in the Bank. This team is ready to take the Bank to the next level. In addition to the team being in place, I am also seeing that business momentum has come back with good assets and liabilities growth, and improvement in portfolio quality. You would have seen our initial disclosure numbers as of 31 March 2024 in this regard.

I felt that this is therefore an appropriate time for me to take this call, as we have completed a full business cycle (April to March). It also gives the Board & the selection committee time to identify and appoint my successor under the Succession Plan that the Bank has in place. I want to once again assure all of you that the Bank is ready to take the next leap of growth with capable leadership.

I have assured the board that I will be available for any guidance or advice. On behalf of the board, I can also assure you that we will ensure a smooth transition. It has been an honour and a privilege to serve as the MD & CEO of a great institution, and I look forward to the exciting opportunities that lie ahead for our bank and the group as a whole. Thank you.

Vikash Mundhra: Thank you, sir. Michelle, we will take queries now.

Moderator: Thank you very much sir. We have a question from the line of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise: Hi, good morning. Thanks for the opportunity. Just wanted to get a sense whether Mr. Ghosh will continue as a Non-Executive Director on the Board of the bank. And secondly, has there any communication been with respect to RBI, especially after the Board had sent its recommendation around three months back. So clarity on these two will be helpful.

Chandra Shekhar Ghosh: Thank you. So on to your first question if you see that last 24 years, I developed this institution from scratch to this position. And my involvement has been totally operational till now. So I need now to take some strategic role at the holding company level, not at a board level of the bank. So that is my plan.

Sameer Bhise: Any communication from RBI?

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Chandra Shekhar Ghosh: No, no communication from RBI.

Sameer Bhise: No communication from RBI?

Chandra Shekhar Ghosh: Yes, I have not received any communication from RBI.

Sameer Bhise: That's all from my side. Thank you.

Chandra Shekhar Ghosh: Thank you.

Moderator: Thank you. The next question is from the line of Suresh Ganpathy from Maquarie. Please go ahead.

Suresh Ganpati: First question, is the resignation with the immediate effect or you will continue till July 9 or what exactly is the status there?

Chandra Shekhar Ghosh: Mr. Ganpathy, I would like to repeat that it is my retirement announcement, not resignation. In July 2024, I will complete my tenure. So before that, I have disclosed to the Board and to the market to all of you that I will not continue after the 9th of July 2024 as a MD & CEO. So that is my disclosure.

Suresh Ganpathy: Sure. Thanks for that clarity. Sorry for this and apologies on my behalf. The second question is on, sir, just to understand the timing here because, I mean, I know these are very difficult decisions to take. But when the Board recommended your name 3 months ago, the problem of the Board now faces is your own desire to retire. Right now, they will have to find and scout for an external candidate. All this process takes time.

RBI does its own two, three months of due diligence. Had you taken a decision a bit more earlier and the Board would have been clearer now. I just want to know how exactly

this entire transition

period will play out because I'm very sure perhaps by July 9, we may not really find a replacement for you, sir, because RBI takes its own time for due diligence, there could be an external candidate also which the Board might have to give. How will this play out? And why was the decision not taken earlier before the Board sent your name to the Reserve Bank of India as a candidate for the next tenure.

Chandra Shekhar Ghosh: No. Thank you. First, I'd like to give response to the 2 points from your discussion or some others also may like to know. What is the timing on my retirement? My timing point is that I again repeat, 24 years ago, I started this institution from scratch and built to this position today. 10 years before, April 2, 2014, I received the in-principle license from the Reserve Bank of India, I thank RBI for that.

The next 15 months, I spent time operationalising everything and prepared to start the bank. After that, you know that the first 3 years, I was running the bank, to build up this deposit model which is the best way to gain confidence in the bank. The listing was also done, though we faced demonetization. And over the next two years, I needed to dilute the stake as a promoter. At that time, we have undertaken a merger of the Gruh, over 2019-20 - 2 years.

And next 2 years, 2021 and 2022 was my worst time in my life, we were hit by the pandemic. And I did get the time to think anything on my retirement. After that, 2022 to 2023, I saw a very good improvement but not a full improvement in the operations of the bank. Then I had not yet decided about retirement. And when I came to, the 2023, 2024, and I think that the business momentum has been very good. And in October 2023, if you recall, we have seen the biggest transformation of IT, which is the CBS. And I needed to stabilize it.

And if you see that during that period, in November 2023, my Board decided to extend my term and submit it to RBI. I could not say anything because at that time, for the bank it was important and very crucial for the IT transformation implementation - the CBS in October and November, December. And of course, finally, I felt that we should complete April to March total year (FY24). If you see that in April, on the 4th, we submitted the initial business update, and on 5th I decided to retire. By this time, if you see all of my senior management team have joined over the last quarter.

So I felt and I got the confidence to make my decision. One executive director joined one year before and I have involved him in everything on the institution. And the joining of another executive director in March, and also the CFO in the March, helped me to make a very confident decision. I feel that they are in a good capacity to go ahead.

For this reason, I felt it's the right time to make the announcement. And you also know that in every bank, we also have a business continuity plan. We are planning that if within three months we do not identify a successor, in the interim period, someone internally will take the role of interim CEO until that final one will be happen. But we are trying to best to complete the process on time. Thank you.

Moderator: The next question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahruk Adajania: So I guess you partly answered that question in the previous question. Basically, how long do you think will the process of finalizing a list of candidates from your side take, from the bank side take, right, because we are possibly running out of time now? You'll need a new CEO in place by July, RBI takes its own time. So how soon will the bank be ready with a list according to you?

Chandra Shekhar Ghosh: Whatever, our experience in the earlier selections, when we selected two executive directors on the basis of that experience we need a minimum three months of time for sel

ection of candidates

and then it will go to RBI and then whatever is the time taken by RBI for approval

Mahruk Adajania: Okay. So there will be an interim CEO most likely till the whole thing gets finalized?

Chandra Shekhar Ghosh: As I retire on 9th of July, in the first week of July we'll decide what is the position and accordingly, the Board can be decide on next steps.

Moderator: The next question is from the line of Rahul Jain from Goldman Sachs. Please go ahead.

Rahul Jain: Thanks for sharing your candid perspective. Just again to repeat and understand the next steps the bank and the Board would take. So as I understood from your last response, post 9th of July, Bandhan Bank Limited

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there will be an interim MD and CEO till you appoint the new MD and CEO, which could take a couple of more months. Is it the right way of thinking in terms of the next steps the bank and the Board could take?

Chandra Shekhar Ghosh: This is actually the process in the banking industry

Rahul Jain: The second is, sir, in terms of your business strategy. So to bucket into two, one is the balance sheet strength, of course, the bank has come a long way from post-COVID, how much more work is spending in terms of the clean-up, in terms of recovery, there is an outstanding CGFMU issue also that's facing the bank. And second bucket is in terms of growth and profitability, and of course, the retail evolution, how should we think about the strategy henceforth in your last 3 months' period of the bank? And even following that?

Chandra Shekhar Ghosh: No, if you see Rahul, you know that it is a silent period. I would not like to talk.

Rahul Jain: Not in terms of the number, sir, but just in terms of...

Chandra Shekhar Ghosh: I will say that. Please give me the chance to complete. I built up Bandhan Bank to an institution and it took a long time and I learned a lot of things. And I have planned with my senior team a good strategic plan, which is possible to execute. My team and myself have engaged on this plan in March and I hope a realistic strategic plan has been prepared.

And when the results will be out, my team along with myself will clarify how we are strategically positioned to reach our goal. But I have a very good confidence in my team and the strategic

plan to succeed.

Rahul Jain: Got it. Thank you, sir. And wish you good luck in your next ventures. Thank you so much once again.

Moderator: Thank you. The next question is from the line of Nitin Agrawal from Motilal Oswal. Please go ahead.

Nitin Agrawal: So sir, like you've been on the most senior when it comes to MFI and inclusive banking. If you were to look back over the past two years, what are one or two things that you think the bank would have done better?

Chandra Shekhar Ghosh: So if you see that I've been very passionate with a micro finance, no doubt on that. And it will continue because it is -- has given the chance to me to reach to this level because of the people who are at the bottom of the pyramid, they have a need for financial services. And we have built up a very strong franchise. And the pandemic has given us lot of opportunities to correct the model. And a lot of new things have been introduced and improved and accordingly, it is driving in a very positive way in the future.

And simultaneously in last couple of years, we have built up our senior level of the team to understand the micro finance. If you see that the heads of this team, carry monthly visits to the micro credit branch and a group meeting to understand the business better. And I feel that, they are good enough for the knowledge and experience on micro finance.

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Second nearly 1 year before, we recruited our business head Vishal Wadhwa, who has taken the charge of the EEB business. He is a seasoned banker and he has been already taken charge, and I have a very good confide

nce on him and his team to continue the same way and implement the strategy of the bank.

Nitin Agrawal: Right, sir. And the other question, you did share earlier that there has been no communication from RBI on your decision to step down. But has there been any exchange of words or thoughts with RBI after you announced the retirement?

Chandra Shekhar Ghosh: It is totally my voluntary decision. So, I informed the appropriate level of my board and accordingly, it will follow due process.

Nitin Agrawal: Sure, sir. Thank you so much and wish you all the best.

Chandra Shekhar Ghosh: Thank you.

Moderator: Thank you. The next question is from the line of Depanjan Das from PTC Financial Services.

Please go ahead. Mr. Depanjan Das, I have unmuted your line. Kindly proceed. As the current participant is not answering, we'll move on to the next question, which is from the line of Param Subramaniam from Nomura. Please go ahead. Mr. Param Subramaniam, I have unmuted your line, sir.

Param Subramaniam: Thanks for taking my question. So, my question again extends on the previous participant's question. Sir, again on the timing of this resignation and the need for it. So, of course, what we understand is you've been, for example, meeting investors very recently. So, what drove that, especially the timing of this resignation, because as some of the previous participants highlighted, we might have to see an interim CEO because of the short timelines involved?

So, if you could explain the timing of the resignation, because we've seen a lot of, churn at the top management level. Some continuity at the top would have helped, especially from you, sir. So, a bit on that? Thank you.

Chandra Shekhar Ghosh: There are two parts. Interesting. My wife also asked the same question. She said we are living together, you have not shared about your retirement plan with me, and how suddenly you go to the office and I hear about it and I receive many calls which I'm not in a position to answer the people. I did not like to share. It is a very personal decision, voluntary decision and accordingly I planned, I nurtured for more than one year and accordingly I prepared and even when I met a couple of you in Singapore and the Mumbai, I could not express my retirement plan in those meetings

So, this was my plan in the lead up to that and the timing. And second point if you see that with the Bandhan and the myself, I cannot segregate. It's my daughter or it's my son, I would not like to explain it that way. I will like to continue my support to the group in the level of the holdco where all verticals are there in all possible ways even after my retirement.

Param Subramaniam: Okay, sir. Thank you so much and all the best for the future, sir. Thank you.

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Chandra Shekhar Ghosh: Thank you.

Moderator: Thank you. We'll take the next question from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Most of the questions have been answered already. Just a small clarification, sir. So, when you mentioned that you will assume a larger strategic role at Bandhan group level, this means the holdco, as you mentioned in the last comment. But is there any, is this an advisor role? Is this a board level role? Or this is some, trustee kind of role if you can elaborate there?

Chandra Shekhar Ghosh: Now, as of now, I am the MD and CEO of the bank. So, I cannot go into the details of now. After 9th of July, I will be able to clarify.

Jai Mundhra: Sure. Thank you, sir. Thank you.

Chandra Shekhar Ghosh: Thank you.

Moderator: Thank you. The next question is from the line of Ketan Saraf from SBI Capital Markets. Please go ahead.

Ketan Saraf: Yes, good morning, sir. Thank you for giving me the opportunity to ask questions here in this platform. So, I wanted to ask you, sir, in the last conference call with regards to the quarterly results, you had mentioned t

hat bank is doing strategic steps to reduce the provisions, which are like on a run rate basis is going around INR300 crores per month. So, just wanted to get some clarity, how is bank proceeding on, like, how are things going in that direction in terms of the stress level?

And the second question was regarding the, like, three months back, the board had asked the RBI for your extension. And in like, I know that this is a repeated question, but then what has happened, after -- you were decided on MD position then in the three months, what happened that you have decided this big step to be taken out from the board level?

Chandra Shekhar Ghosh: I replied, already I replied. First question, I mean now as it is a silent period, I cannot discuss any figures. I hope that during the fourth quarter result I will be answer the first question. And second question, I've been specifically saying, if you see the Board submitted its decision in November, but October was the completion of the CBS transformation project.

I had to continue for three to six months of time to stabilize it. Only then could I finalize my decision, because you see, this is my baby. First my plan was as to how without disturbing the baby, could I take my personal decision. That was my thought process

Ketan Saraf: Yes, absolutely, sir. Yes.

Chandra Shekhar Ghosh: Thank you.

Ketan Saraf: Thank you, sir.

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Moderator: Thank you. The next question is from the line of Suraj Das from Sundaram Mutual Funds. Please go ahead.

Suraj Das: Hi, sir. Thanks for the opportunity and congratulations on your journey so far and all the best wishes for your future endeavours. Sir, one question only again, I mean, I just want to understand your thought process behind it. I think every bank has their own DNA in terms of their success story and Bandhan has been one of the best success story in terms of, being from a MFI Institute to the Universal Bank and probably one of the largest private sector banks.

So was, I mean, before your decision, was there a thought that probably you could have stayed for one more year or two more years and then probably you could have passed that DNA to current set of senior leaders who have just joined and probably then they could have been have a clear sort of transition to the next level.

Because at this point of time, there could be internal, external when both candidates could be considered for the next MD, CEO. And hence, probably in this transition, is there a possibility that the success DNA of Bandhan could be reduced or something like that. So was there a thought that probably you could have, while you have completed the IT transformation for the last six months and hence probably you have a clear thought that now you want to retire, but if you could have waited for one or two more years and you could have passed that DNA to the next set of leaders. Was there a thought before your decision?

Chandra Shekhar Ghosh: Very debatable on that, when it will be after one year or two years or three years or five years or maybe the three years before, lot of debate on that. I debated it myself internally. And accordingly, I feel that this is the right time, I would like to contribute at the strategic level. Because with the strategic level, if you go to our holding company, there are a lot of other verticals already developed, very recently. So I feel that I need some time there to contribute to all.

Suraj Das: Okay. Understood, sir. Thanks for that clarification. And one last question, sir, in terms of your potential can this next successor planning, there will be both internal and external consideration, right? It will not be only internal?

Chandra Shekhar Ghosh: I feel that I will leave that decision to the board. They will independently assess requirements

and the best way they would like to select the successor, who is fit for this type of bank for

future

growth and achieve strategic objectives.

Suraj Das: Okay. Understood, sir. Thank you.

Chandra Shekhar Ghosh: Thanks so much.

Moderator: Thank you. The next question is from the line of Anil Bang from Marshall Wace. Please go ahead.

Anil Bang: Hello. Thank you for the time for the question. Sir, your call has been very clear till now that this is your own decision. However, given that the big audit has been going on, there may be some linkages which may be drawn between the two just because of timing aspect. I just wanted

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to reconfirm that there is no linkage between the two. Anything else which you would like to add in this topic?

Ratan Kesh: So, Ratan Kesh here, see the audit is still going on and it is going to take another one month or so to get concluded. We haven't heard anything from the auditor or from NCGTC in this regard.

Therefore, it has absolutely no linkage with the audit.

Anil Bang: Okay. Thank you, sir. That's very clear.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Anurag Mantry from Oxbow. Please go ahead.

Anurag Mantry: Hi. Good morning, sir. Thanks for the opportunity. Just one question from my side, from my understanding. Can you help me understand what basically will be your and your family's sort of overall leading stake in the bank, directly and indirectly? That would be very helpful.

Ratan Kumar Kesh: Your and family's stake in the bank.

Chandra Shekhar Ghosh: If you see that there is a very different structure of the bank. As an MD, I have a stake in the bank. It is so because I was a Founder. I have some initial capital that I needed to give to the bank to start it. That is only half percent. But the holding company level, we have the holding at the family level, the stake is less than two percent.

Anurag Mantry: Sure, sir. Thank you so much.

Chandra Shekhar Ghosh: Thank you.

Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Chandra Shekhar Ghosh: Thank you to all of you. And keep the trust and belief on us and our organization, not only the bank but the total group. And we'll be in touch with all of you even after my retirement also. So thank you for your time and keep in touch with us. Thank you again. Thank you.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Bandhan Bank Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

Ref. No.: BBL/077/2024-25

May 21, 2024

BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
BSE Scrip Code: 541153 National Stock Exchange of India Limited
The Listing Department
Exchange Plaza, C-1, Block G
Bandra Kurla Complex, Bandra (E)
Mumbai – 400051
NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub: Transcript of the Earnings Call on the Audited Financial Results for the quarter (Q4)
and Financial Year ended March 31, 2024

In continuation to our letter bearing Ref. No.: BBL/ 070/2024-25 dated May 17, 2024 and pursuant to the provisions of Regulation 30 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the transcript of the Earnings Call hosted by Bandhan Bank Limited (the 'Bank') on Friday, May 17, 2024, on the Audited Financial Results of the Bank, for the quarter (Q4) and Financial Year ended March 31, 2024. Further, the same has also been uploaded on the website of the Bank and can be accessed at the following link:
<https://bandhanbank.com/sites/default/files/2024-05/Bandhan-Bank-Q4FY23-24-Earnings-Transcript.pdf>.

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhanbank.com.

Thanking you.

Yours faithfully,
for Bandhan Bank Limited

Indranil Banerjee
Company Secretary

Encl. : As above
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"Bandhan Bank Limited
Q4 Earnings Conference Call"
May 17, 2024

MANAGEMENT : MR. CHANDRA SHEKAR GHOSH – FOUNDER ,
MANAGING DIRECTOR AND CHIEF EXECUTIVE
OFFICER – BANDHAN BANK LIMITED
MR. RATAN KESH – EXECUTIVE DIRECTOR AND CHIEF
OPERATING OFFICER – BANDHAN BANK LIMITED
MR. RAJINDER BABBAR – EXECUTIVE DIRECTOR AND
CHIEF BUSINESS OFFICER – BANDHAN BANK LIMITED
MR. RAJEEV MANTRI – CHIEF FINANCIAL OFFICER –
BANDHAN BANK LIMITED
MR. VIKASH MUNDHRA – HEAD, INVESTOR
RELATIONS – BANDHAN BANK LIMITED

Mod erator: Ladies and gentlemen, good day, and welcome to the Bandhan Bank Q4 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this con ference is being recorded .

I now hand the conference over to Mr. Vikash Mundhra. Thank you, and over to you.

Vikash Mundhra: Thank you, Yasha shri. Good evening, everyone, and a warm welcome to all the participants. It's our pleasure to welcome you all to discuss Bandhan Bank's business and financial performance for the quarter and year ending March '24. We will take this opportunity to update you on the recent developments in the industry as well as on Bandhan Bank during the quarters.

To discuss all this in detail, we have with us our Founder, Managing Director and CEO - Mr. Chandra Shekhar Ghosh; Executive Director and Chief Operating Officer - Mr. Ratan Kumar Kesh; Executive Director and Chief Business Officer - Mr. Rajinder Kumar Babbar, Chief Financial Officer - Mr. Rajeev Mantri; myself - Vikash Mundhra, Head of Investor Relations, along with other senior management team of the bank. We will be happy to provide you with any clarity required from the current quarter numbers and the way forward.

Now I would like to request our Founder, MD and CEO, Mr. Chandra Shekhar Ghosh, to brief you all on bank's quarterly performance.

Chandra Ghosh: Thank you, Vikash. Namaskar. A warm welcome to all of you. The Board of Directors of Bandhan Bank Limited approved the Bank's financial results for the quarter and year ended March 31, 2024 at its meeting held earlier today. I am pleased to state that we have had a satisfact ory quarter on the business front.

Let me begin by talking a bit on the macroeconomic scenario. Despite various global uncertainties, India's macro parameters remain strong. RBI expects real GDP growth of 7.0% and CPI inflation of 4.5% during FY25. The bank ing system liquidity has eased a bit in the last three months. One expects the RBI to lower the repo rate in the second half of this financial year. The favourable macro backdrop should continue to help the momentum in the Indian BFSI sector in the coming quarters.

Performance for Q4 and FY24: Our Bank has had a robust quarter in terms of balance sheet parameters with a pick -up in growth on advances and deposits in line with our guidance. The advances portfolio in the last 2 financial years has shown resilience, which is reflected in the improvement in our SMA buckets as well. Additionally, with an even stronger focus on recoveries, we should see positive traction in our asset quality.

As you are awa re the microfinance business faced severe headwinds during the pandemic and we faced issues with asset quality. We had over the last few years made provisions against these assets. We have reviewed our legacy portfolio and as a prudent measure have done a technical write -off during the quarter which resulted in lower profits for the quarter. Our CFO Rajiv will explain this in detail with numbers.

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Profitability has been stable for the first 3 quarters of FY24. In the current quarter also, our topline has m et with expectations. However due to an increase in provisioning on account of technical write -offs and slightly higher operational expenses there is a dip in the profit for the fourth quarter.

The Bank is on the path to becoming a strong universal bank and I am happy to say that the Bank has a committed team with shared values which will strive to meet the expectations of all shareholders. With respect to CGFMU the audit is in progress and should be compl

eted shortly.

Based on my interactions I am confid ent and hopeful that we should get a positive result.

Going Forward, we expect the growth momentum across major business verticals to continue for the next financial year and build a strong retail franchise. Bandhan Bank has a strong network base of 6300 ba nking outlets & more than 3.35 crore customer base. Our focus will continue on rural and urban areas in the underserved regions. Growth momentum in Micro -credit will continue along with a focus on growing the housing and commercial banking portfolio.

After the successful completion of migration into the new CBS we have initiated several steps to boost cross -sell and branch -led sales to grow the retail assets and liabilities portfolio and also increase productivity per employee supported by our digital and analytics initiatives. The bank is in the hands of seasoned talented leaders who will take the strong risk culture ahead. Overall,

we are well on our way to achieving long-term strategic goals of portfolio and geographical diversification.

On New Senior Leadership Talent, as mentioned in our earlier calls we were in the process of strengthening the senior management in line with our growth plans and our journey to becoming a universal bank. During the last 3 months we have had several members of senior management joining the bank.

Our new Executive Directors Rajinder Babbar who is also our Chief Business Officer joined us in March 2024. Ratan Kesh who is our Chief Operations Officer has been with us for over a year. Rajeev Mantri our Chief Financial Officer also joined us during the quarter. We also have appointed Heads for our Wholesale Banking and Housing & Retail Business. With these new appointments we now have the full management team on board and these colleagues bring in a wealth of experience and domain knowledge. I am confident they will lead the Bank in the next phase of growth, which is Bandhan 2.0.

As you are aware, on April 5, 2024 I announced my decision to retire as MD & CEO of the Bank on completion of my current tenure on July 9, 2024. The Board in accordance with the Business Continuity Plan and the Succession Plan of the Bank has appointed a search firm to assist in identifying potential candidates to take on the role after which we will approach RBI for its approval. We will keep you updated on the developments in due course.

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However, I can assure you that with the current management team the bank is in very safe hands. Also, as disclosed earlier, I will take a strategic role at the holding company. I will be available for any guidance or advice, if bank need. As this will be my last earnings call as MD & CEO of the bank, I would like to personally thank the investor community for the support and guidance provided to us over the last decade. I thank my depositors for trusting me and my organization and depositing their money to the bank.

I now request Rajeev Mantri our CFO to take you through the Financials for Q4 and FY24.
Thank you to all of you.

Rajeev Mantri: Thank you, Mr. Ghosh, and I would like to welcome all the participants to the earnings call. This is Rajeev Mantri, I'm the CFO for Bandhan Bank. Let me begin with the balance sheet as at March 31, 2024. We'll start with the details on advances. As at the end of the financial year, the gross advances stood at INR 124,724 crores, which grew at about 14% year-on-year and 8% quarter-on-quarter. However, this number has been after the impact of technical write-off that was done during the quarter, which we'll talk about in more detail.

If we adjust for that, the growth in advances would have been higher at about 18% year-on-year and 11% quarter-on-quarter, respectively. In the base of financial year 2023 numbers, there was a short-term loan of about INR2,150 crores against fixed deposits

s, which was for a short period

of time. If we adjust for the same, the growth in advances for this year would be close to 20% in financial year 2024.

Talking about the businesses. Within that, the EEB vertical added about 9 lakh new borrowers during this quarter, as the EEB portfolio increased 10% year-on-year and 8% quarter-on-quarter. Commercial Banking grew 34% compared to the last year. Housing at about 11% higher than the last year. And retail book was flat year-on-year. However, if we adjust for the underlying growth rate -- if you look at the underlying growth rate adjusting for the short-term loan that happened last year, even retail banking has seen a healthy growth driven by various products within the retail assets portfolio. And that, if we adjust for it, is roughly around 65% year-on-year growth in the retail loans.

EEB, also known as emerging entrepreneur business, it comprises about 50% of the advances. Housing is 24%, commercial banking at 22% and retail at 4%, respectively, as at 31st March 2024. In terms of the geographical split, the top 5 states for our advances, which are West Bengal, Maharashtra, Bihar, Gujarat and MP, they contribute about 60% of the gross advances. And within this, West Bengal contributes to about 24% of the advances.

Now let me move over to liabilities. We have seen good growth in the liabilities for the bank through the year. As at 31 March 2024, the total deposits stood at INR135,202 crores as against INR108,069 crores in the previous financial year, which represents a growth of 25% and deposits grew on a quarter-on-quarter basis, 15%. Within this, if we focus on the retail deposits, which are the more granular deposits, the total retail deposit, which is the retail term deposit plus CASA grew by 22% year-on-year, of which the retail term deposit growth was 26% year-on-year.

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CASA plus retail term deposits constitute 69% of the total deposits. The CASA deposits within this at the end of the year stood at INR50,151 cr ores and constituted 37.1% of the total deposits. This increased by about 1% compared to the previous quarter, which was at 36.1%. The healthy growth in customer deposits reflects a continued trust in the bank. And I must say that this has come in the context of a tight liquidity situation that was seen during the financial year. Despite that, the bank has been able to grow the deposit book in a very healthy manner.

The bank has added in this quarter about 10 lakh customers. And if we look at the geographical distribution of our deposits book, the top 5 states, which is West Bengal, Maharashtra, UP, Odisha and New Delhi contributed 64% of the total deposits. West Bengal, which has the largest share, contributed 40% of deposits, but in line with our focus on geographic diversification, this mix has come down. It used to be 43% a year back down to 40% now. EEB deposits contributed about 4% of total deposits so that continues to be a small portion of the total deposit portfolio.

After covering the balance sheet, let me move on to the collections and the asset quality. The bank's overall collection efficiency, excluding the NPA portfolio, was very stable at 99% quarter ended March 2024. On the asset quality front, the bank has seen a very good improvement in the quarter. There have been green shoots in several parameters, which I'll talk about.

Let me first start with the improvement, which is seen in the various dpd buckets, especially in the EEB portfolio. In the EEB business, the SMA 0 book, which represents 1 day to 30 days past due. In the previous quarter was around INR805 crores, representing 1.4% of the EEB book, which is now in this quarter at INR380 crores, representing 0.6% of the EEB book. So that's a substantial improvement that we've seen in SMA 0. Similarly, the EEB SMA 1 book, in the December 2023 quarter was INR570

crores, representing 1%, which has now reduced in this quarter to INR400 crores, which is 0.6%.

And EEB SMA 2 book in the last quarter was INR533 crores, which was 0.9%, and has now reduced to INR480 crores, which is 0.8%. Overall, if we add up across these three buckets, the reduction has been quite substantial going down from around INR1,900 crores to roughly around INR1,260 crores.

Let me move on to slippages. The gross slippages during the quarter 4 was INR1,017 crores, which was substantially down from the INR1,394 crores that we saw in the Q3 2024. Slippages in the EEB book also significantly came down to INR632 crores as compared to INR993 crores in the previous quarter. So we have seen good improvement coming through on the account of slippages at the total portfolio level as well as in EEB. We do expect the run rate of fresh slippages to stabilize in the coming quarters as we have been looking at strengthening the quality of the portfolio origination and also as we improve the collection and recovery efforts.

As you are aware, the bank faced asset quality issues on its EEB book during the COVID pandemic. And what the bank has done is in accordance with the regulatory norms, over the last few quarters, the bank has recognized these accounts as nonperforming assets and has made necessary provisions against them.

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During the quarter 4, we have reviewed in the bank, the loans which existed within this particular portfolio, which were impacted by the COVID pandemic, these are primarily relating to the years -- financial years 2021 and before and looked at what levels of collection rates have happened on those. And based on the analysis in accordance with the bank's policy, we have taken a prudent stance and a conservative stance to do a technical write-off for a portion of this portfolio.

So during the quarter 4, the bank has done a technical write-off amounting to INR3,852 crores, which is largely in the micro banking portfolio, which is the EEB portfolio and which meets this criteria pertaining to the COVID period and which has had a long vintage and meets the bank's policies in this particular regard. And as a prudent measure, write-off -- the technical write-off has been taken.

Also, in order to be consistent with its conservative provisioning policy, the bank, overall, has made provisions of INR1,774 crores in this quarter. The credit cost, therefore, for this quarter was 5.8%. But if we adjust for the impact of the technical write-off, which has been done, the underlying credit cost for the quarter were 1.9%.

With the actions that have been done and the result of that we have seen that the gross NPA ratio improved at 3.8% as of the end of the quarter, as compared to 7% in Q3 FY 2024. And the net NPA levels also reduced substantially at 1.1% as of the end of the quarter, compared to 2.2% as

of the end of December 2023.

The provision coverage ratio, also known as PCR, as of 31st March 2024, stood at 71.8%, so at a healthy level of coverage that we have got for our NPA portfolio. And for the full year, the credit costs were at 3.4%, which showed an improvement compared to the last year.

Let me now move on to the profitability and I'll walk you through the key numbers there.

Starting with the top line. Our net interest income in quarter 4 was INR2,866 crores. Compared to last year, the same quarter was INR2,472 crores, which is registering a year -on-year growth of 16%. The net interest margin improved to 7.6% in Q4 2024 compared to 7.2% in Q3 FY 2024.

This is aided by the good improvement we have seen in reduction in slippage rates our NPA levels as well as the business focus in terms of improving our margins.

Total net income in Q4 FY'24 was at INR3,560 crores, which represents a n increase of 15% year-on-year. The growth in operating expenses was, however, 32% year -on-year. I would

like

to clarify that these expenses in the quarter included certain one -off expenses amounting to INR115 crores. And if we adjust for these one -off exp enses, which will not repeat in the next quarter, the net growth in the expenses would be 23% year -on-year.

The broad details of these one -off expenses are as follows. Firstly, as you would all know, we had done a core banking implementation during the fi nancial year. And there are certain costs, which are associated with the capital work in progress, which was in place, which got capitalized and led to an increase in depreciation by about INR50 crores out of this INR115 crores.

At the same time, during t his quarter, there were certain initial teething issues, which were being tackled, which has been sufficiently taken care of. But during this period, we had to run certain

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parallel systems as well as the cost of maintaining the technology, which led to a INR30 crores increase in cost on the account.

At the same time, there were certain accounting related impact on the fair valuation of stock options under the ESOP team, which was resulting in about INR22 crores of the expenses, apart from some of the other expense increases that we saw. So these are the key one -off expenses that we saw during the quarter. On an underlying basis, the growth was about 23%, as I had mentioned.

As a result of the income and the expenses, we saw the operating profit in the quar ter, registering a growth of 2.4% year -on-year and the operating profit stood at INR1,838 crores. As I had mentioned earlier, the provisions for the quarter were higher, largely due to the impact of the technical write -off and some of the additional pruden t provisions that the bank has done. The provisions for the quarter stood at INR1,774 crores. And as a result of the same, the net profit, which is profit after tax, for the quarter was INR55 crores.

On a reported basis, therefore, the return on assets and the return on equity stood at 0.1% and 1%, respectively, for the quarter. However, if we were to gross up the impact of the write -offs, on a normalized basis, our return on assets for the quarter was at 2.2% and the return on equity was at 17%.

On the expenses, whilst we talked about the one -off, on an overall basis, our cost -to-income ratio for the quarter was 48%. If we normalize for these one -offs, the cost -to-income ratio comes to 45%, which is lower than the previous quarter. These were the financ ial -- the key financials for the quarter.

Now let me move to the financials for the full year FY 2024. Starting with the top line. Our net interest income for the year ended March 31, 2024, stood at INR10,326 crores compared to INR9,260 crores in the pre vious financial year, representing a growth of 12%. Net interest margin for the year was 7.3%, which was 10 basis points higher compared to the last year financial year 2023. Profit after tax for FY 2024 stood at INR2,229 crores, which was 2% higher compar ed to last year profit after tax of INR2,195 crores. As you know, that this profit has been impacted due to the technical write -off and increased provisions that we have taken during Q4 2024.

And if we normalize for that, our growth in PAT would be upward s of 30%. Liquidity coverage ratio as of 31st March was 172%, reflecting healthy liquidity position the bank had. And as I mentioned, despite a very tough liquidity situation in the market, the bank has done well in terms of keeping sufficient liquidity bu ffers. The return on assets for the full year was 1.4% and the return on equity at 11%, which, again, grossed up or adjusted for the write -off. The technical write -offs would have been at higher levels. Capital adequacy ratio stood at 18. 3%, with Tier 1 capital of 17. 2% with balance sheet remaining sufficiently capitalized.

The Board of Directors have recommended a dividend

of INR1.50 per equity share of INR10 for the year ended March 31, 2024, which is at the same level as the previous year. This would be subject to the requisite approvals that would be sought in due course. That concludes broadly
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the financial update that I wanted to provide. I will hand over to Rajinder Babbar, who is our Executive Director and Chief Business Officer for a broad level up dates on our business strategy going forward, and then I'll talk about the details of the strategy. Over to you, Rajinder.

Rajinder Babbar: Thank you. Thank you, Rajeev, and good evening, everyone. So this year, our approach will be the risk-calibrated digital customer-centric approach. As the Bandhan Bank, we have spent and have a great risk culture in our bank. We have more than 1,700 branches. In the last quarter, we have opened 53 branches. In total, we have added 289 branches. We have more than 31 lakh crores loyal customers. We have strong processes and we have a great hold on to this and improve further.

So this year, our focus will remain on the risk management framework, we are targeting analytical-based data-driven sourcing. We'll focus -- keep on focus on the increasing the wallet share by the digital innovation. In the last 1 year, our 96% of the total retail transaction are digital. There is a growth in the digital registration, which is up by 26% Y-o-Y and our UPI transaction has increased to 48%. The bank expanded its government business also.

We have a close tie up with the various public sector undertaking including the Maharatna, Navratna and Miniratna. The Bandhan Bank was impanelled by the Goa State to conduct government business. Wherein Tamil Nadu, the bank received the mandate from the treasury for the integration of the public financial tracking system.

Additionally, we also received authorization for the tax and the nontax revenue selection in the state of West Bengal. So thank you, and I'm handing over to Rajeev Mantri for a detailed strategic presentation.

Rajeev Mantri: Let me talk about some of the key points within the broad strategy beyond what Rajinder has already covered, there are largely 5 points that we have focused in our strategy going forward for the next 2 to 3 financial years. Strengthening portfolio quality continues to be an important pillar, where we will be looking at investing in dedicated credit and collections vertical, leveraging data analytics and technology and utilizing early warning systems as well as leveraging our customer relationships to have continuous focus on improving the portfolio quality.

Driving liability resiliency with a liability first approach, where we would like to have liability grow faster than the assets and have good focus on liability quality, especially through improvement in our CASA portfolio and also looking at avenues to reduce liability concentration and creating diversified sources of funding.

At the same time, leveraging our branch network and strengthening the same, reenergizing the same to ensure that we can grow on liability portfolio. At the same time, looking at product and segment strategy through targeted customer value propositions and capabilities to be increased for the liability growth, especially through current accounts and savings account.

We will continue to grow our asset book with an improvement in the mix of the portfolio through greater improvement of the secured mix -- secure book in terms of the asset mix. Digitization, Rajinder has already talked about in terms of the various initiatives that we will be looking at.

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And those will be the key pillars of the strategy that we have. With that, I would like to hand over to our Executive Director, Ratan Kesh, to talk briefly about the CGFMU Update. Ratan, over to you.

Ratan Kesh: Thanks, Rajeev. Go

Good evening, everyone. As you are aware that out of the total claim of under CGFMU in December 2022, we received INR917 crores of tranche 1 claim. And in Q2 FY'24, we made a second tranche claim, which is pending with NCG TC implementing agency. Subsequent to a notice received from NCG TC and our engagement, a detailed audit was initiated. And the data collection was happening somewhere a round end of December.

When we spoke to last quarter, we told you that the audit was in progress. And I want to give a little bit of colour to that audit process. You see the entire portfolio of 20 lakh -- 30 lakh borrowers is under audit. And even a 2% to 4% data consists of huge number of data to be collected for the completion of the audit process, and -- which means a huge amount of work. And therefore, the bank has provided all the details and documents.

In fact, as we speak today, as part of the audit process, the bank got an opportunity to explain to

the audit firm about the bank's business model for EEB, how it has been consistently evolving and it continues. We have also been able to explain to them that even in the worst difficulties in COV ID pandemic and the restriction that we're crippling the humanity at that stage, we have still been able to follow the consistent model, and we feel very, very confident about the practices and the processes that we have followed.

And I think we are almost at a stage of closure of the audit process. Management is extremely confident about the positive outcome of this. And as we receive that amount, as and when we get it, we will account it on receipt.

With this, I request the operator to start the Q&A.

Moderator: We'll take a first question from the line of Mahrukh Adajania from Nuvama.

Mahrukh Adajania : My first question is on the technical write-off. So basically, there is a notes to account which mentions a technical write-off of CGFMU as well. So of the total write-offs, how much was CGFMU and likewise, for the provision, right? You separated the BAU credit cost of 2.3% from the remaining.

And so how much of it was at all, if any, a portion to the CGFMU? And my second question relates again to the audit only that or the technical write-offs. So what really drove the overall technical write-offs as in that it was just a prudent measure or it was a regulatory notch given a lot of discussions, our unsecured loans in the sector as a whole. So which of the 2 was the overriding objective of doing write-off?

And my third question is on slippage. So if you see -- if you try to compare the current quarter slippage with the SMA data of the previous quarter then the slippage is usually much higher than SMA 2 and it maybe 70%, 80% of SMA 1 plus 2. So how do you think of -- how should we use slippages in the context of the SMA disclosures going ahead? That's my third question.

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Chandra Ghosh: First, I will like to start and then CFO will add further. The first point on that the total of our portfolio, which is the write-off, it not specifically the CGFMU one. If I say that the up to this is a majority is coming from micro credit. And micro credit, there is up to '22 financial year.

That's mean, '19-'20, '20-'21 and '21-'22, we have at INR4,601 crores the portfolio, and we have that of the INR4,557 crores is NPA.

We are very old portfolio Out of that, we have been INR3,852 crores have been written off. So this is the way we are thinking about in that very -- because of this very old portfolio. Of course, some amount will be back to CGFMU. We have not considered as an CGFMU portfolio on that. It is a total portfolio, whatever the old est we are written off in this quarter -- next quarter.

Rajeev Mantri: Rajeev here. So just to answer the 3 question that you've asked for. I think, MD sir has already talked about the context. If we look at the total technical write

-off that was done during the

quarter of INR3,852 crores. The CGFMU portfolio within that was INR3,053 crores and remaining was about INR800 crores.

The way the bank has actually gone about this is to look at on a prudent basis, on a conservative basis, shore up our provisioning as well as ensure portfolio quality improves. And therefore, this step has been done. The review has been done by taking a consideration of the entire portfolio within the EEB book, which is over particular vintage. And therefore, we have looked at the book, which was pertaining to years FY 2021 and thereafter and looking at what exactly has been the trend of recoveries and therefore, a review has been done in terms of taking a technical write-off.

Now naturally, when we look at that, a portion of the book will include the CGFMU, which I had mentioned. But we have taken a technical write-off for other than that as well. So this has been a broad review of the entire EEB portfolio. And as part of that, based on this assessment, the amount for the technical write-off has been proposed and discussed with our Board. In terms of what drove this?

As I had mentioned, this is primarily coming from the perspective of looking at what kind of collection has happened on this particular book and also looking at strengthening our portfolio quality.

So this is purely based on the bank's provocative on a conservative stance that this has been done. And that is the basis of driving this particular provision. I think your third question was relating to the slippage numbers. I think our slippages, as I'd mentioned, for the quarter 4 was INR1,017 crores, which is a significant improvement that we've seen compared to the last quarter of INR1,390 crores.

So we've seen a reduction over there. And within that, the EEB book also, we have seen a reduction, which has come through for the slippages, which, in the last quarter, we had seen a slippage of INR991 crores, which has come down to INR625 crores in this quarter. I hope that answers your question.

Ratan Kumar Kesh: So just to add to what Rajeev said, in the EEB segment. Mahrukh, in the EEB segment, if you see, our entire DPD pool is coming down from -- okay, overall at a slippages level, it has come
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from INR1,360, INR1,320, INR1,390 in last three quarters to INR1,000 crores in current quarter.

As we speak today, the DPD pool has come down from INR2,800 crores in Q1 to INR 1,260 crores. So that's the overall DPD pool movement.

Moderator: Next question from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: First, I wanted to check on CGFMU, again, the entire CGFMU audit portfolio has already been written off, right? So there is no additional P&L impact irrespective -- negative impact, irrespective of the outcomes on the audit. Is that understanding right?

Rajeev Mantri: Correct. That's correct.

Jai Mundhra: Okay. And secondly, if you can highlight the outstanding provisions on the EEB GNPA that we have. So I think the GNPA in EEB book is around INR3,200 crore s. What is the outstanding provision only for EEB's outstanding?

Rajeev Mantri: Sorry, could you repeat the question?

Jai Mundhra: Out of INR3,200 crores EEB book, what is the outstanding provision?

Chandra Ghosh: Just a minutes.

Vikash Mundhra: Jai, we have a PCR of 75% on our EEB portfolio.

Jai Mundhra: Sure. Understood. Okay. And third question is, sir, now if I look at, you can write off either in one quarter or maybe during the quarter, right? So if I look at your credit cost, and this full year, we had slippages of around -- or let's say, slippages are going to stabilize at similar levels, assuming, but last year, we had slippages of INR5,500 crores, which is roughly, let's say, 4.5% of the portfolio.

And we did a credit cost of around, let's say, 3.5%, right? So even if the slippages were to stabilize

here, can the credit cost be settle at a higher level, not much from this level, but versus our previous understanding of 2% plus minus 20 basis points. So even if slippages were to stabilize at INR1,000 crores plus/minus on a quarterly basis. The credit cost -- how should one look at the credit cost?

Rajeev Mantri: Yes, let me take that question. So look, our credit cost for the year was 3.4%, right? And they still included some level of impact that has come through because of the technical write-off that we have done. What we believe on a stable state, if we continue to see the slippage trends that we are seeing now on the latest portfolio, which is already improved, this will definitely come down, should not go up. I think what we believe is our normalized credit cost should be more around 2.5% to 2.6%, and that is the level that we expect or it could be even lower than that.

Chandra Ghosh: I feel that as for the practical experience of this, the financial year '23, '24, comparative to the last few years in pandemic, I hope that there will be like to go to base the 1.8% -2.0% at credit cost in the financial year '24, '25.

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Jai Mundhra: No, sorry, sir, I'm actually bit confused. So BAU is 2.5%, 2.6%, but you are saying that '25, why would it be lower -- so I mean, is there any recovery that we are expecting from CGFMU or any other side which can give the 80, 90 basis point delta or how to look at these 2 numbers, 1.8% and 2.5%.

Chandra Ghosh: No, I'm like to look on that other side on that. First, we'll be like 2 parts in this. One part is CGFMU. Another part is my normal portfolio are behaved. So I am talking about the normal portfolio behave showing on that, which I have been predicted 1.8% -2.0%. We don't any other consideration. If I consider from that the CGFMU money and it will become, it may be different extra.

Rajeev Mantri: So Jai, just to clarify, Rajeev here. We expect normalized 2.5% for the EEB book. But at the total portfolio level, it will be between 1.8% to 2%.

Jai Mundhra: Okay. Right. Understood. And on your fee income, right? So we have a positive fee of INR250 crores, INR260 crores from ARC and release of provisions on redemption of SR of INR80 crores and [INR260] crores and full year basis is around INR350-odd crores for full year FY'24. What kind of a sustainability could be there in this...

Vikash Mundhra: Jai, around INR60 crores to INR80 crores of income from the ARC recovery we could expect every quarter.

Jai Mundhra: This would include the provision release also, right, if we put together?

Vikash Mundhra: Yes.

Jai Mundhra: Understood. And lastly, sir, if you were to sort of steady -state growth after maybe the MFI issue is over or as the slippages are now stabilizing and if the SMA pool is also coming down. How should one look at steady state loan growth? Because I think in your opening remarks you also mentioned that you would like to drive deposit growth higher versus asset growth. So what could be the , let's say, FY'25 growth expectations on loan growth?

Chandra Ghosh: You see that the deposit growth is a differently, we will like to look on that the advance growth. Advanced growth is not only depend on deposit growth. Deposit growth is in opportunities for our bank, 1,700 bank branches we are now. Nearly 300 bank branches we opened in the last financial year, which is a very good amount of this, the branch can we drive for the deposit, which can be, of course, help to the business of the asset -- and also, it will be helpful to maintain the CD ratio is a better way on that. This is the part. If I go to today in the business, whatever the microcredit, it is our core business.

And we'll grow. And the portfolio quality have given the confidence of the bank. So this portfolio has a good opportunities to grow whatever we are growing in that -- if you see that as a

year -on-

year basis after the pandemic, it is improving good. And the 2024 is a very good improvement has come as near very much near to the pre -pandemic. So that it isn't we are expected. And also, we are very confident on that from today and the future, this book also grow as usual on that.

Jai Mundhra: Sorry, sir, I actually -- maybe I missed, what is the number you said on overall bank basis?

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Chandra Ghosh: So I am saying that it will be like to gradually -- coming to this the growth, but if you see that this year, it has come to the year -on-year growth is 10%, including the INR 3,852 crores of a write-off. If it is not write-off, it will be much higher. For FY25, looks like 15% we will like to maintain on that year -on-year basis.

Rajeev Mantri: Jai, I think you're talking about the total advances growth?

Chandra Ghosh: No, the micro credit .

Jai Mundhra: Micro credit at a total bank level?

Chandra Ghosh: Total bank, we will -- 18% plus.

Rajeev Mantri: For the bank, we are looking at for the next 2 to 3 years, roughly around 17% to 18% to 20% growth. And we will definitely like to look at deposit growth higher than the advances growth.

Jai Mundhra: Last question, sir, if I may ask. If I look at your last 3, 4 quarters, our MFI slippages, MSA GNPA as a percentage had peaked at around 10%, 11%. It is now come down to 5% after write-off. But at 10%, 11% GNPA, did you see any difference between individual and group? Or it is more or less same behaviour? Or do you think...

Chandra Ghosh: It is same. There is no big difference.

Moderator: We'll take our next question from the line of Piran Engineer from CLSA.

Piran Engineer: Firstly, if you can just repeat what was the write-off of the CGFMU book and the non -CGFMU book? I missed it.

Rajeev Mantri: Roughly for the CGFMU book was around INR3,050 crores and about INR800 crores for the remainder.

Piran Engineer: Okay. Okay. But the claims under CGFMU was only about 1,300, right? So I'm missing something here.

Ratan Kumar Kesh: So there are certain colour to this. What happens is that the overall portfolio is INR20,000 crores. Of that, certain customers who will become NPA, remain NPA for 6 months are eligible to be claimed. Within that, there are certain scheme limitation, which say that you can claim 72.75%. So net claim was INR917, plus INR1,290 -odd. That's how it works. So it's not really exactly the same number.

Piran Engineer: So INR2,200, that's what you had mentioned in the last call. So the total claim.

Ratan Kumar Kesh: Claimable amount, but the pool will be higher because you have to claim 70%.

Piran Engineer: Okay. Okay. So now the entire pool is written off. And we had 100% provision on this INR3,000 crores?

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Ratan Kumar Kesh: Once you write off, we have to provide for 100%. We already had 89%. We have additionally provided 11%.

Piran Engineer: Additional. Okay. Fair enough. And sir, in the entire book, what are our standard asset provisions outstanding over and above the INR3,400 crores NPL provision?

Rajeev Mantri: Give you a second.

Rajeev Mantri: So as at 31st March 2024, if you look at our overall provisions, we are at INR4,448 crores, of

which the NP A-related provision is INR3,437 and the standard asset provision, which basically is across 3 broad categories, where we have the normal standard asset provision at INR360 crores. As you know that we maintain a high standard asset provision for the EEB book, which is at INR443 crores. And in addition to that, we have an additional provision of INR126 crores. So in total, we have -- INR900 crores plus of standard asset provision that exist. Piran Engineer: Got it. And the best case recovery from CGFMU will be this INR1,200 -- INR1,300 crores, correct?

Ratan Kumar Kesh: That's the second claim

in which is spending with the agency.

Piran Engineer: Yes, because the first INR900 crores we have received and it's in our accounts in a way.

Rajeev Mantri: That is correct.

Piran Engineer: And that 1,300 crores we will add to a proven buffer is it? Is that how we're thinking about it?

Ratan Kumar Kesh: We don't know what we will do at this stage as to income to be decision in consultation with the Board.

Piran Engineer: Got it. Got it. And just lastly, in terms of our slippages from MFIs will be I think INR625 crores slip -- but it's still a relative high number like 4% annualized. So any particular states where you're seeing this slippage? And how should we think about a run rate level here?

Rajeev Mantri: Sure. We'll ask Vishal, who is our business head for EEB to talk about the same.

Vishal Wadhwa: Vishal here. So we have got the slippages primarily coming in from states of Punjab. And also some of that is being carried forward from Manipur. And apart from that, Maharashtra, Gujarat was two states where in terms of the other states where we are present, the numbers are slightly higher. But otherwise, if you see the trend, it's coming down quarter-on-quarter and the last quarter was pretty nice at INR625-odd crores. Going forward, I think the trajectory would remain similar.

Rajeev Mantri: And to add to what Vishal said, we have augmented our collection and recovery efficiency.

That's improving well. Second, DPD pool has dried down. Third, as Rajinder mentioned, we are using more analytics and databased disbursement, we should obviously ensure wherever we see stress coming, we would surely calibrate our growth accordingly.

Moderator: We'll take our next question from the line of Nitin Aggarwal from Motilal Oswal.

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Nitin Aggarwal: Sir, just in your last results call with us. I would like to thank you, first of all, for founding this great distribution and building it through them on the very challenging periods and all the best to you for all the future endeavours. I have 3 questions. First is on the margin improvement that bank has reported in the fourth quarter. So how sustainable is this in? And was there any one-off interest reversal that really supported this performance?

Rajeev Mantri: Let me take that. What we have seen definitely for the year is the 10 basis point improvement in the NIM as you've seen from 7.2% to 7.3%. For the quarter, we've seen a higher NIM improvement of about 38 basis points.

If you see, during the quarter, we have also seen a reduction in our slippages, which has come up sharply. So as the slippages continue to perform better, we do see an improvement that will help us on the NIMs. However, as you know, we have also been saying that we will be diversifying our portfolio, and we are working toward improving the secured mix within our advances.

And as that portfolio increases, there is going to be some impact of reduction in the NIM in a contained manner. So I think, both of these will play out by itself. So whilst we do see a good business focus to happen in terms of maintaining and keeping our NIM intact, there would be a natural impact due to the change in the mix of the portfolio, which should come through.

Nitin Aggarwal: Okay. Sure. The second question is the audit and you said that the processes going get completed in the short term. So any specific time line, if you can share. And do you think that the outcome of this audit can have a bearing on the earlier claim also, that got passed and not just the pending one?

Ratan Kumar Kesh: So I think given the quantum of the audit the data documents and details that they have asked for, we are fully cooperating. And I think we believe, based on the conversation, it is at a fairly advanced stage. Putting a specific date would be inappropriate at this stage. However, we believe that we should be

able to get a resolution in the next -- which is this

particular quarter, which is quarter 1. Will it have any bearing? As of now, as I said, that management and all of us are extremely confident. And as we have interacted with audit agency, we have been able to furnish detailed documents and explain to them the consistency of the project. Therefore, we do not believe at this stage of any impact of the tranche 1 claim.

Nitin Aggarwal: Okay. Sure, sir. And sir, lastly, if you can just share some colour about the overall, how the ticket

size is trending in the individual loan segment versus the group loan and some colour on the asset quality differential between the 2 segments. Now that the asset quality is coming. How do you really keep those trends?

Vishal Wadhwa: On the EEB portfolio, group loan, we are at ticket size of INR 55,000 -60,000. On the individual, we have the tickets that are INR 150,000 overall. And some of these group loans when they graduate after the serving customer cycle, they move on to individual.

In terms of the quality of portfolio, I think like I said, they've been improving quarter -on-quarter.

And on similar terms between group and individual, the differences are very miniscule. Group

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would be a little below in compared to the performance of the individual loan book, but it's pretty much similar, and even the improvement is also on the similar line.

Nitin Aggarwal: I was asking on the interest rate also, if you can share some colour. How is the interest between the two segments?

Vishal Wadhwa: Interest rate also it is pretty much a difference of only...

Chandra Ghosh: Only 50 basis point lower in the individual loans compared to the group loans.

Moderator: We'll take the next question from the line of Saurabh Kumar from JPMorgan.

Saurabh Kumar: Just looking at your Slide 18 of your presentation, so 2 things. One is you said 2.5% credit cost for your micro finance business. So will that assume like a 3% slippage? And I ask this because if you look at your entire 0 plus overdue, 0, 1, 2 and NPA and then just the write -off, I mean, your stress pool is largely flat Q -o-Q, which means 0 plus movement wouldn't have happened, but your 2.5% would be then assuming that your underlying business will continue to run other 3% slippage. Is that or will that understanding you correct?

Rajeev Mantri: Yes, I think that would be a broadly correct assumption. We will be targeting to reach those levels of slippages with the collective effort from the business.

Saurabh Kumar: And the second is on opex. Could you quantify? I mean, I know there are one -offs this year, which you called out, but how would you think about your opex growth or opex to assets for next year, assuming your loan book grows at 18% on.

Rajeev Mantri: Sure. Let me take that. So look, I think the broad details of the one -offs we have already explained. But if I were to talk about the broad strategy of what the bank is intending to do, as part of the strategy, we will continue to make investments, especially in the important areas, which are part of the strategy, such as people, technology, branches, especially reenergizing of the branches as well as creating the key capabilities that are required, which are part of the business plan.

So that investment will continue. At the same time, what we are looking at is areas of operational efficiencies and improvement in productivity, which will be looked at in great detail to see how exactly those could be driven. But that, as you would agree would naturally take some bit of time. So we will be looking to continue with similar level of cost income that we have, at least for the next financial year, but gradually over the next 2 to 3 years, see an improvement in that through operational efficiencies and productivity. And that, I think, is a broad plan that the bank

would have.

Saurabh Kumar: So cost income is flat?

Chandra Ghosh: I can add on that. This is totally, we can not be like to -- though it is needed, it is not in the operational cost. It is an investment also. If we see that there is 300 branches we have been open in the financial year '23, '24 last year. And we have given that the nearly 2,000 employees. So their productivity will come to this year.

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But that is the 1 side, we can say that. And also those branches as an infrastructure cost. So this is an investment part we are seeing. And I think that in the second part of that, which are developed is in separately credit, I'd say that as a recovery vertical. And that vertical also a huge number of people we have given, and we have been seeing that there is a good improvement if we started to come in on that.

And both will be like to see that some investment has come and some improvement also has come to this quality of the portfolio and the deposit growth. It will be very good for the financial year '24, '25 and onwards of that. So this is the way we are looking in that.

Moderator: We'll take our next question from the line of Mohit Jain from Tara Capital.

Mohit Jain: I just wanted to have 1 clarification regarding CGFMU SMA. You said, sir, we had a claim of almost 2,200. And I think if I'm crossing 3,000 -odd exposure, which we have written off I guess the INR900 crores was already -- has already been received by us. So in that case, why have we

again it compared for the write-off purpose?

Ratan Kumar Kesh: No. So it's the pool that you are talking about. INR900 crores is the claim amount we you have received. The pool is still there with us. That pool is CGFMU pool, along with some of the other pool is INR3,800 crores. That's a technical write-off. Now leave the CGFMU aside, CGFMU claim is -- as I said, a borrower has to be an NPA, stay NPA for 6 months, become eligible. Of the eligible pool, we'll have to see how much is 72.75 %. Of that, we have to minus how much you have recurred ourselves. That's amount that we can claim. So it's a bit of a computation. So the total claim was INR917 crores, plus 1,200 -odd crores. INR917 crores we received INR1,200 - odd crores is spent, which is where audit is going on. And as we said, we are hopefully closer to the audit process. The write-off is for the entire pool. So these 2 will not coincide and really exactly compute in that sense .

Rajeev Mantri: Yes. I think just to add, Mohit. As Ratan rightly mentioned, I think the right of decision is based on the bank's policy and that could what qualifies as part of it and not targeted towards the CGFMU portfolio. And therefore, this is on a prudent basis as per the bank's policy that we have taken the decision.

Mohit Jain: And sir, my second question is, I'm referring to Slide 18. I'm seeing that in respect of loans, which have been disbursed, let's say, 12 to 18 months back, we are seeing a higher rate of NPL like the 3.5% to 4%. Is it the normalized rate that we can expect for the future also? Is it because of, let's say, state specific issues we had in this portfolio that we had this higher rate?

Ratan Kesh: I would say that we will definitely improve from what was there 10 quarters back, quarter 1 FY'23 -- up to quarter 4 FY'23 . If you see the latest last 3, 4 quarters from quarter 1 FY'24, the numbers have been not even touched 1%. So we are pretty confident of working towards and moving towards and moving towards 0.5% on the EEB side .

Moderator: We'll take our next question from the line of Manish Shukla from Axis Capital.

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Manish Shukla: Firstly, on the write-offs done during the quarter, can you please tell us what is the vintage of these loans, both in terms of when they were originated and when they would have done the NPA?

Rajeev

v Mantri: Yes. I think as per the policy, what we have done is bulk of it is greater than 48 weeks beyond the NPA date. And I think that constitutes bulk of the portfolio, which has been considered for write-off.

Ratan Kumar Kesh: And it's originated largely FY19, FY20 and FY21, which is the COVID period and before.

Manish Shukla: So the coverage on this particular portfolio as of December would have been how much, 75%, 80%?

Ratan Kumar Kesh: Yeah. Around 80%. 89%. C GFMU was 89%, the rest the pool will be 70%. So I think cumulative will be about 80-85%.

Manish Shukla: So I mean, the write-off policy essentially still remains give or take 40 or 50 weeks. Or is there any change in that policy as well?

Ratan Kumar Kesh: That's the policy .

Manish Shukla: Okay. So incrementally, this is what one should expect from our right-off perspective.

Vishal Wadhwa: We haven't changed the policy. We have gone by the policy and then implemented.

Manish Shukla: Okay, fair. By when would you expect to send the names to RBI for the succession?

Chandra Ghosh: Name of?

Manish Shukla: The potential CEOs has that already been sent?

Chandra Ghosh: Very good question. So we'll be wait on that and will respond at appropriate time.

Manish Shukla: No. My question is did you send the name to RBI, that's all I'm asking.

Chandra Ghosh: No, that is -- that will take the time. Already, we have been set up a search committee. -- and search committee have been also appointed . And they are working on that. And when it will be like to finalize, then we would like to inform to all of you on that.

Manish Shukla: The only reason I ask Mr. Ghosh that we have 50 -odd days away from 10 of July. I'm just wondering what happens on 10 of July.

Chandra Ghosh: Give us some time on that in the next month, can we like to give some thing

Moderator: We'll take our next question from the line of Prakhar Agarwal from Elara.

Prakhar Agarwal: Three set of questions. First, on this project cost or, sorry, write-off that you said. 2 things in this. 1 is, what changed particularly in Q4? So you mentioned that you have not changed any write-off policy, and we have been maintaining that. So what changed in just 1 quarter for us to

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take such a material write-off -- and in addition to, that, if I were to just look at your historical write-offs, which has taken from 2020 to 2024 and gross it up as a percentage of lag gross book, it is more than 20%, which is higher than what industry has reported or peers have reported. So some light on that?

Rajeev Mantri: Yes. Maybe I can take this. So look, I think the bank has been reviewing the portfolio and how exactly the collections in this portfolio has been happening over the last few quarters. And this has been a continuous journey of assessment. Given we were at the financial year-end, and we wanted to ensure that we have done a good look at what the portfolio is and what do we need to do to strengthen our portfolio quality, we basically utilized and assess this portfolio as part of the policy that exists and then proposed this particular action.

I think it's a continuous assessment, but at the same time, it is important that we start the new year with a fresh view in terms of what the portfolio is. We've already started to see improvements in the slippages. And I think as you've seen this quarter is where we saw the maximum improvement come through in the slippages. So whilst we knew that we had taken actions in terms of improving the slippages, in this quarter, we actually saw the manifestation of that happening, whereby the slippage is indeed reduced.

And therefore, we thought it's a good opportunity for us to actually take this action in this quarter of doing a technical write-off and then ensuring that we continue to focus on improving the slippage rate even further going forward

in the next financial year and start with the better clean slate.

Ratan Kumar Kesh: So I think as Rajeev said, we believe that decisively, we are out of the pandemic problem. In fact, all the parameters, as you see, you can clearly see that practically the slippages has come down significantly. Recovery rates have improved. DPD pool has dried down. So therefore, this was a great opportunity for us to really look at fresh and leap beyond the pandemic period.

Chandra Ghosh: Prakhar, I mentioned in a different way on that, no. Actually, this is in -- we have technically write-off, that not means we have come out from this customers. And we have a separate recovery vertical. They are looking those customers to recover. And my frontline staff are not know that who are these people are technically write up. They could not understand. So that there is no difference between this technical write-off and taking this customer in the board. In the same treatment, we are maintaining to recover all that. That is the way we are looking.

Prakhar Agarwal: Just to comment on this 20% number that I spoke of as a percentage of lag book, if I were to just cumulate over the last 4, 3 years, the write-off that you have seen, that number seems to be reasonably higher than peers, much higher than peers.

Chandra Ghosh: You see that the -- how the situation we are impacted. How many people have lost their life in that nobody have been found in this type of situation. So that is the way. It is not in only the incident for one organization, it's an incident for a total world. So that is the part we are coming back from that and growing this to the book is a very pre-pandemic. That is the very hope on that bank. Future will be like to more way to grow in a good portfolio.

Moderator: We'll take our next question from the line of Prakhar Sharma from Jefferies.

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Prakhar Sharma: And sir, my best wishes to you for your future endeavours. Thank you for being around. Sir, just 2 questions at a broad level to anybody, who wants to take this one. So first is on the slippages, the INR1,000 -odd crores. Is the slippage number really low? Because generally, in the fourth quarter, your slippages are lower.

In 4Q FY'22, your slippages are about INR1,365 crores after being very high for two quarters.

In 4Q FY'23, they were about INR1,100 crores after being high for a couple of quarters. And those numbers were actually coming on very high SMA book. So the opening SMA book for this quarter was much lower than those 2 years.

Still, we've had about INR1,000 -odd crores. So is the slippage number really low, that's part one.

And secondly, on the loan growth ambition, I just wanted to get a sense on what gives you the comfort of growing in high teens, when a lot of the growth might come from new to Bandhan Bank type of customers across some of the new segments. So do you think that sort of growth is manageable from an operations perspective? Those are my questions.

Chandra Ghosh: So first one, I mentioned on that. We have adapted the EEB book now this financial year '23, '24 we disbursed INR65,000 crores. And out of that, only INR160 crores is in NPA. So that is the one part. Whatever we have been seeing in this quarter, some is a INR1,000 crores. We have been seeing an EEB INR600 crores flat. And that amount actually is the older portfolio. Of course, there is in some portfolio is at '22%, '23. We have been seeing some slippage.

But after that also, we have been seeing, this is '23, '24 portfolio we have in the book in INR11,000 crores only. And this INR11,000 crores, whatever the contributed small amount. But today, if you see that the last quarter, in the last month of the last quarter, March and April

onwards, whatever we've seen that is a very good way to moving on that.
So my feeling in that INR65,000 crores, which are disburs

ed in the last year, it was only INR165
crores and which is the 0.11% of the portfolio. If we see that in the last year, we saw that this
portfolio was in a nearly 2% of that. So in that sense, we are seeing that the slippage is coming
-- further coming down.

Ratan Kumar Kesh: With regards to your question on the operational capability to grow at 18%, I think that we don't
see a challenge because we have just about completed our core banking migration. We have got
state-of-the-art technology system. We have also upgraded some of the surround system. We are
working aggressively on the digital lending platforms and digital sourcing. So the operational
capability is improving from what it used to be, therefore, we have a far better compliment.

Rajeev Mantri: Ratan just to supplement...

Chandra Ghosh: Another point if you see that at the last -- our slippage was in 5.6% has come down -- SMA pool,
sorry. And this SMA pool has come 2%. So that is a very good improvement has been happened.

Rajeev Mantri: And Prakhari, just on the second question to supplement what Ratan mentioned, the total asset
book is where we expect, the total advances where we expect around 18% growth. Within that,
the EEB book, we are looking at around 14% to 15%.

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Moderator: Ladies and gentlemen, we will take that as a last question for today. I would now like to hand
the conference over to management for closing comments. Over to you, sir.

Rajeev Mantri: We would like to thank all the participants for joining and would request you to continue to have
the faith and the confidence in the bank. And thank you so much for joining.

Chandra Ghosh: Thank you to all of you. This is my last call, and you have been helped me lots of. And I honour
all of your support and the help. I hope that I have the confidence on myself, and that you will
be continue this support. And I also trying my best way to play my better role. Thank you to all
of you.

Moderator: Thank you, sir. On behalf of Bandhan Bank, that concludes this conference. Thank you for
joining us, and you may now disconnect your lines.

Call: Jul 2024

Ref. No.: BBL/173/2024-25

July 31, 2024

BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001
BSE Scrip Code: 541153 National Stock Exchange of India Limited
The Listing Department
Exchange Plaza, C-1, Block G ,
Bandra Kurla Complex, Bandra (E) ,
Mumbai – 400051
NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub: Transcript of the Earnings Call on the Unaudited Financial Results for the quarter (Q1) ended June 30, 2024

In continuation to our letter bearing Ref. No.: BBL/ 161/2024-25 dated July 26, 2024 and pursuant to the provisions of Regulation 30 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed, the transcript of the Earnings Call hosted by Bandhan Bank Limited (the 'Bank') on Friday, July 26, 2024, on the Unaudited Financial Results of the Bank, for the quarter (Q1) ended June 30, 2024. Further, the same has also been uploaded on the Bank's website and can be accessed at the following link:

<https://bandhanbank.com/sites/default/files/2024-07/Bandhan-Bank-Q1FY25-Earnings-Transcript-1.pdf>.

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhanbank.com.

Thanking you.

Yours faithfully,
for Bandhan Bank Limited

Indranil Banerjee
Company Secretary

Encl.: As above

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"Bandhan Bank Q1FY25 Earnings Call"

July 26, 2024

MANAGEMENT : MR. RATAN KUMAR KESH – MD & CEO, BANDHAN BANK
MR. RAJINDER KUMAR BABBAR – EXECUTIVE DIRECTOR & CHIEF BUSINESS OFFICER , BANDHAN BANK

MR. RAJEEV MANTRI – CHIEF FINANCIAL OFFICER , BANDHAN BANK

MR. VIKASH MUND HRA – HEAD (INVESTOR RELATIONS), BANDHAN BANK

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Earnings Call for Bandhan Bank.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Mundra – Head, Investor Relations, Bandhan Bank. Thank you and over to you, sir.

Vikash Mundhra: Thank you, Siddhanta. Good evening, everyone, and a warm welcome to all the participants. It's our pleasure to welcome you all to discuss Bandhan Bank's Business and Financial Performance for the quarter ending June'24. We appreciate your time and participation today. We will take this opportunity to provide insight into our operational activities, including any significant achievements or challenges. We will also touch on market conditions, strategic initiatives, and any changes in our business environment.

To discuss all this in detail, we have with us our MD and CEO – Mr. Ratan Kumar Kesh; Executive Director and Chief Business Officer – Mr. Rajinder Kumar Babbar; Chief Financial Officer – Mr. Rajeev Mantri; myself Vikash Mundhra – Head of Investor Relations along with other senior Management Team of the Bank.

We will be happy to provide you with any clarity if required from the current quarter numbers and the way ahead.

Now I would like to request our MD and CEO – Mr. Ratan Kumar Kesh to brief you all on Bank's quarter performance. Over to you sir.

Ratan Kumar Kesh: Thank you, Vikash. Namaskar, good evening, a warm welcome to all of you. As you all are aware, as announced by Mr. Chandra Shekhar Ghosh, on April 5th, 2024, he has retired as MD & CEO of the Bank on completion of his tenure on 9th July, 2024.

Mr. Ghosh played a very vital role in taking the Bank on such a phenomenal growth path. On behalf of the board and the management, I would like to place on record the outstanding contribution of Mr. Ghosh – Founder and MD & CEO of the Bank since inception till 9 July 2024. His contribution to the banking sector, particularly to the MFI sector, is unparalleled. We wish Mr. Ghosh all the very best for all his future endeavors.

Pursuant to the approval of the Reserve Bank of India, the board had approved my appointment as interim MD & CEO with effect from July 10, 2024 for a period of 3 months or till the new MD & CEO takes charge, whichever is earlier.

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As informed earlier, the board has appointed a search firm to assist in identifying potential candidates to take on the role of MD & CEO. Due process is being followed by the board in this regard, and the same is on track. We will keep you updated on any major developments in due course.

Coming back to the quarter, let me begin by talking about the macroeconomic scenario: Despite various global uncertainties, India's macro parameters remain strong. Real GDP witnessed a growth of 8.2% in FY24. RBI expects real GDP growth of 7.2% and CPI inflation of around 4.5% during FY25. While the RBI stays cautious and is in no hurry to cut the repo rate, banking system liquidity has eased a bit and turned into a modest surplus recently. The Union Budget announced earlier this week was a fine balance between fiscal prudence and support for sustainable and inclusive growth. In line with the long-term goal of 'Viksit Bharat', the budget revolved around themes of employment, skilling, rural development, MSME, middle class and women empowerment. The budget strongly reiterated support for agriculture sector and rural India in general continued focus on affordable housing, and removing the bottl

lenecks of the MSME sector. These initiatives will go a long way to drive India's economic growth and

sustainable development story over the next several years.

Some of the announcement will give our Bank an opportunity to create greater impact by participating in the government's drive and thereby reap huge business benefits. Indian banking sector continued to witness decent credit growth and further improvement in asset quality. Overall, the favorable macro backdrop should continue to help the momentum in the Indian BFSI sector in the coming years.

Let me now move to the quarterly performance of the Bank:

Typically, Q1 in Bandhan Bank has always remained a soft quarter in previous years; however, this Q1, we have seen all-round improvement across the major parameters. We have witnessed robust financial results driven by pickup in the business momentum, stable margins, good control over operating expenses, and improving asset quality performance.

In terms of balance sheet parameters, the Bank has witnessed a strong pick up in both advances and deposits in line with our guidance. Over the last few years, we have seen sequential decline in advances in Q1 compared to Q4 of the previous financial year. However, in this quarter, we have seen sequentially stable advances at Rs. 1.26 lakh crore with a YoY growth of around 22%. On the deposits front, the deposit stands at Rs. 1.33 lakh crore with YoY growth of about 23%, which remained higher than the advances growth with sequential stable share of retail deposits (CASA + retail TD) at 69%. This is in line with our strategy.

Deposit market remained competitive, resulting in slightly higher cost of funds, we were able to protect our margin during the quarter. NIM stands at 7.6% in Q1FY25.

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Cost metrics improved on a sequential basis, and we are committed to invest in people, products, and technology over the next few quarters.

Additionally, our focus on credit quality and the guardrails adopted over the last couple of years are further evolved. Specifically, the steps taken since April 2023 are showing many fold improvements in our portfolio quality. This is reflected in control over fresh slippages at Rs. 891 crore in Q1FY25 compared to Rs. 1,017 crore in Q4FY24. Our continued focus on recoveries led to a steady performance in asset quality. Gross NPA is at 4.2% and net NPA is at 1.1% versus 3.8% and 1.1 respectively in Q4FY24.

In Q1FY25, the Bank reported a profit after tax of Rs. 1,063 crore, up 47.4% YoY, with an ROA and ROE of 2.5% and 18.8% on annualized basis. I'm happy to say that the Bank has very strong and committed team with shared values, which will work in collaboration to meet the expectation of all the stakeholders.

I would like to take an opportunity to update you on the CGFMU audit. When we spoke in the last quarter, we told you that the audit was in progress, and we were expecting a closer of the audit soon. The audit has further progressed very well, and the Bank has provided all the support to the auditors in the process. The audit process is nearing a closure. The management is confident of having a positive closure soon.

One important and last point I would like to touch upon, before handing over the call to my colleague and CBO Rajinder Babbar is the increase in risk weights in the EEB loan portfolio.

As you are all aware, in November 2023, Reserve Bank of India had mandated higher risk weights for consumer credit from 100% to 125% with certain specific exemptions. The Bank immediately complied with the same for all our consumer credit portfolio. The EEB portfolio of our Bank was treated as regulatory retail for risk weight computation at 75% since beginning of the Bank as per external guidelines.

The circular clearly mentioned that microfinance loans were exempted for NBFCs from the increase in risk weight.

However, there was no such explicit mention of such exemption available for scheduled commercial banks. Hence, the Bank held various levels of discussions and sought clarification. Thereafter, in consultation and approval from the board, the management has taken a conservative approach to increase and apportion a higher risk weightage of 125% to our EEB portfolio from earlier 75%. This increase in risk weightage of our EEB portfolio has an impact of about 362 bps on our overall capital adequacy ratio. Consequently, our CRA R stands at 15% and including profit of Q1FY25, it is at 15.7%. We are well capitalized to support our future growth plan.

Let me now hand it over the call to, my colleague, Rajinder Babbar to discuss on some of the important business updates.

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Rajinder Kumar Babbar : Thank you, Ratan and warm welcome to all of you.

The Bank's Q1 Performance clearly reflects that our growth momentum is robust and improving. It has been 4 months since I joined Bandhan Bank; I have visited many branches and interacted with the colleagues across the country. I feel more excited to share that I have found them focused, energetic, self-motivated and eager to deliver. Our Bank will continue to emphasize on Four Key focus areas:

The first and the foremost is building a risk-focused culture. The Bank is devoted to build a culture of compliance where quality and customer service supersede everything else. The Bank is putting forth a robust risk framework to ensure that we have the best in the industry practices. Our focus will be risk-calibrated customer-centric digital and analytical approach

The second focus is the geographical diversification. We have a strong presence in 35 out of 36 states and the union territory of the country. Over the last 2 years, the Bank has also added nearly 500 new branches. So, with our extensive network base of around 6,300 banking outlets, we are serving the financial needs of more than 3.44 crore customers. We are also diversifying our portfolio geographically to touch and change more lives across the country.

The third is clearly a customer-centric approach. The Bank is committed to offer an array of financial products and services especially tailored to fulfil the various needs and aspirations of customers belonging to all strata of our society. In this regard, we have recently launched products such as LCs, Forex, Bank Guarantees, Bill Invoicing and remittances in our transaction banking space. We have also launched Bharat QR for our Current account and Savings account customers. In addition to adding many new products in our offerings, we have recently launched the facility to collect direct taxes, online from both, our customers as well as non-customers. The Bank is now live for the collection of Direct Taxes through TIN 2.0 platform of Income Tax. We are balancing right mix of secured and unsecured portfolio as per our long term strategy, and our product expansion shall continue in accordance with it.

And last but not the least, will be the data analytical and the digital approach. We are also leveraging data analytics to study consumer behavior in order to customize and enhance customer experience. Digital Banking penetration has increased and will continue to improve further. Cross-sell, branch led sales coupled with analytics will be a key area for growth to enhance the wallet share of customers

Overall, we have seen good growth across assets and liabilities and expect the momentum to continue across business verticals for the rest of the financial year prioritizing asset quality at the top. And while we are at it, we will also increase our digital penetration to make banking easier and accessible for all.

Now I would like to hand over to my colleague, Rajeev Mantri, CFO of the bank, who will run you through key financials.

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Rajeev Mantri : Thank you, Rajinder. And welcome to all the participants to this Earnings Call.

The Board of Directors of Bandhan Bank Limited approved the Bank's Financial Results for the quarter-ended June 30th, 2024, at its meeting held earlier today.

Let me begin with the business numbers for the quarter

Advances: As of June 2024, gross advances for the Bank stood at Rs. 1.26 lakh crores, which represented a growth of about 22% year-on-year and around 1% quarter-on-quarter, supported by all round growth across business verticals. Just to put this growth in context, if you see our sequential advances growth from Q4 to Q1 over the previous 3 years, we have seen a cyclical decline whereby there is a decline between Q4 to Q1 in each of the previous 3 years. In the last year, which is Q1 FY24, there was a decline of 5%, in Q1FY23, we've seen a decline of 3% versus the previous quarter, and in Q1 FY22, there was a decline of 7% versus the previous quarter. However, this year, instead of a decline, we have seen a 1% sequential growth in advances, so thereby reversing the trend that has been seen in the previous years.

During the quarter, retail book excluding housing grew at 84% year-on-year. Within that, there has been a focus on the secured portion of the retail book in terms of growth. Commercial banking grew 30% year-on-year and housing book excluding IBPCs grew at about 13% year-on-year. During the quarter, the EEB portfolio also increased by 21.6% year-on-year and on a quarter-on-quarter basis it was largely flat at about Rs. 61,910 crores.

From a business mix perspective, EEB group lending comprised 32% of the total advances. Small business and agri loans were at about 17%, housing 24%, commercial banking 22%, and retail assets at 5% of the total advances.

Going ahead, the key elements of our strategy is to have product diversification and geographic diversification. And as part of product diversification, the focus is on growing the share of secured book, such as housing, the secured portion of commercial banking and secured retail products. Growth in EEB book will continue, albeit lower than the growth in the secured assets portfolio.

In terms of geographic split of the advances, the top five states which are West Bengal, Maharashtra, Bihar, Gujarat, and Madhya Pradesh contributed 59% of the gross advances. Within this, West Bengal contributed 24% of the advances in this quarter versus 25% in the previous year same quarter. This represents the focus on geographic diversification as well. Liabilities: As at June 30, 2024, the total deposits stood at Rs. 1.33 lakh crores as against Rs. 1.08 lakh crores in the previous year, June quarter. This represents a growth of about 23%, which is higher than the year-on-year growth that we have seen in our advances. Due to our continued focus on granular retail deposits, our total retail deposit which basically means CASA plus retail term deposits, grew by 19% year-on-year, of which the growth in retail term deposit was 25%.

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year-on-year. Retail deposits, which is CASA plus retail TD, to total deposit ratio continues to remain stable at around 69% of the total deposits.

CASA deposits were at Rs. 44,456 crores and that constituted 33.4% of total deposits. The year-on-year growth in CASA was 13.8%. However, sequentially on a quarter-on-quarter basis we did see some reduction in the CASA growth and that was due to some of the balances that came through towards the end of last quarter which we saw reducing. But on a year-on-year basis, we still saw very healthy growth in the CASA at 13.8%.

In terms of geographical split, the top 5 states for deposits, namely West Bengal, Maharashtra, Uttar Pradesh, National Capital Territory of Delhi and Odisha contributed about 64% of total deposits. West Bengal con

tributed 39% of total deposits versus 43% a year back, representing reduced geographic concentration and diversification.

Collections and Asset Quality: The Bank's overall collection efficiency (excluding NPA) for the month of June '24 was marginally lower at 98.5% as compared to 98.8% for the month of March '24. Within this, for the EEB book, collection efficiency (excluding NPA) for the month of June '24 declined to 98.5% versus 99.1% in the month of March '24. However, on a quarterly basis, the collection efficiency for the Q1FY25 was largely stable at 98.7%.

On the asset quality front, the Bank has seen an improved quarter. Gross slippages during Q1FY25 were around Rs. 891 crores, down from Rs. 1,017 crores in Q4 FY24. This represents a steady decline compared to the slippage levels of more than Rs. 1,300 crores in each of the first three quarters of FY24 that we had seen. So, from the levels of Rs. 1,300 plus crores in the first three quarters of last year to Rs. 1,017 crores in the last quarter to Rs. 891 crores in the immediate quarter which is June '24, we have seen a steady decline in the slippages. Within this, the slippages in the EEB book in the current quarter also reduced to Rs. 543 crores as compared to Rs. 610 crores in the previous quarter.

Upgradation and recovery efforts continue and the upgradation recovery amounts increased to Rs. 371 crores for this quarter compared to Rs. 284 crores in Q1FY24. In addition to the Rs. 371 crores, we had also a bad debt recovery of Rs. 46 crores from the written-off portfolio which gets booked under other income. If you add the two, it is a total of about Rs. 417 crores of total recovery between these two lines.

On the DPD book for the EEB portfolio, we have witnessed improvement in the SMA -2 book from the levels of Rs. 480 crores in Q4FY 24 representing 0.8% to Rs. 436 crores representing 0.7% in this quarter. We've seen stability in the SMA1 book at the levels of Rs. 420 crores representing 0.7% of the book in this quarter. However, in the SMA -0 book, we have seen an increase of 30 basis points quarter-on-quarter to 0.9% at the levels of Rs. 580 crores. And this is primarily on account of some slowdown in collections due to the heat wave and floods that we have seen in certain geographical areas within the country.

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As a result of all of this, the credit cost for the quarter moderated to 1.6%, representing a healthy reduction that we've seen in the credit cost. However, for FY 25, we continue to expect the credit cost to be in the range of 1.8% to 2% in line with our previous guidance, as we have seen some of the risks in the SMA -0 book that we've talked about.

Gross NPA ratio was at 4.2% in Q1FY25, as compared to 3.8% in Q4 FY24. Net NPA was sequentially stable at 1.1%. So, provision coverage ratio or PCR, as of June 30, 2024, was 73.7%, higher than the 71.8% that we had in the last quarter.

With this, I will move to the last section of the financials update on profitability: Net interest income was at Rs. 3005 crores which grew by 20.7% year-on-year and a growth of 4.8% quarter-on-quarter supported by NIM expansion. On a year-on-year basis, we had 22 basis points NIM expansion to 7.6%. We had healthy advances growth and also the impact of lower slippages on our net interest income. Our net interest margin or NIM was 7.6% in Q1 FY25, as compared to

7.3% in the same quarter previous year. It is important to note that despite some pressure on cost of funds, we have been able to sustain and protect our margins sequentially. Net total income in Q1FY25 was Rs. 3,533 crores representing an increase of 23% year-on-year. This was a result as we mentioned increase in net interest margin, net interest income but also aided and supplemented by year-on-year growth in the other income which grew year-on-year by 37% representing a healthy

growth in the other income.

Operating expenses reduced by 7.5% versus last quarter. As we had mentioned in the last quarterly update, there have been some one-timers that we had seen in the expenses, but even adjusting for the same on an underlying basis, we have seen costs improving quarter-on-quarter by a reduction of almost about 1%. On a year-on-year basis, operating expenses grew by 21.2%. This was a result of the investments that we had done in people, in our information technology and the branches. We would continue to invest in people, technology, and building key capabilities, as also mentioned by Ratan and Rajinder, in terms of driving the strategic growth targets that we have for the Bank.

As a result of all this, the operating profit in Q1FY25 was Rs. 1,941 crores, registering a growth of 24% year-on-year. And we've also seen an improvement in the credit costs on a year-on-year basis. As a result of which, due to the strong operating performance, improvement in credit costs, the Bank registered a net profit of Rs. 1,063 crores in the quarter of June 2024, compared to Rs. 721 crores in Q1FY 24. This represented a 47% year-on-year growth in the profit after tax. The return ratios have been healthy. Return on assets was at 2.5% and return on equity at 18.8% for this quarter on an annualized basis.

On behalf of the Management Team, I would like to once again thank you all for participating in this call. And we will now take questions.

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Moderator: We will now begin the question and answer session. The first question is from the line of Aditi Nawal from RSPN Ventures. Please go ahead.

Aditi Nawal: Sir, I just have one very small data-keeping question. So, in your results, this time you have not mentioned the net worth amount. So, if you could just let me know what the amount is.

Rajeev Mantri: The total net worth as of 30th June 2024 was Rs. 21,883 crores.

Moderator: Thank you. The next question is from the line of Prabal from Ambit Capital. Please go ahead.

Prabal: So, my first question was on margins. Was there any one-off in other interest income?

Rajeev Mantri: No, there were no one-offs in the other income. This represents the underlying growth that we've seen in the business, buoyed by increase in processing fee as well as the other elements of other income.

Prabal: No one-offs in other interest income that sort of QoQ.

Rajeev Mantri: Yes, no one-offs.

Prabal: And since our CASA ratio has dropped by 400 basis points, how do you think about cost of funds going ahead?

Rajeev Mantri: So, yes, I think as we had mentioned, while the CASA ratio we saw on a quarter-on-quarter basis a decline. On a year-on-year basis, it still represented a good growth. But as we have mentioned, the retail deposits overall, which is retail term deposits plus CASA, remains stable at about 69%. So, that represents overall sort of the focus on deposits. But on question on the cost of funds, as we have seen, I think in the market, there is some pressure building on the cost of funds. So, we will continue to ensure that why is the focus on the deposits happen. We will have to be cognizant of the pressures on cost of funds building in the market and accordingly calibrate our strategy.

Prabal: Any context of that, how to think about margin going ahead?

Rajeev Mantri: So, as guided before, we will continue to maintain our NIM in the range of 7% to 7.5% depending on how the overall interest rate looks like.

Prabal: Sir on this diversification, so how to think about our exposure to the MFI segment, because on one side, we are reducing our share of direct lending. But at the same time, we are also increasing our lending to NBFC MFIs. So, last 4 or 5 quarters, our cumulative share has not changed. So, how are you thinking about diversification away from MFI segment?

Rajeev Mantri: Yes, so I think

as we had mentioned briefly, there is a clear focus in terms of driving product diversification as well as geographic diversification. Within the products, we are looking to

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improve the share of our secured assets portfolio. And that will be the direction where we are trying to increase that which would mean that whilst the asset growth will happen both in the

microfinance book as well as the secured book, the growth percentage for the secured book will be faster compared to the microfinance. And that will drive the change in the share of the secured assets compared to the total assets. That is the strategic focus.

Prabal : And we are okay with giving loans to NBFCs, MFI because our exposure to MFI segment will continue to stay high even though that could be a secured or secured by percentage ?

Ratan Kumar Kesh : As a strategic lever, our focus on secured percentage will go up, we will continue to balance our NIM at 7% and 7.5%. So, there is no embargo or a strategic limitation that we will not lend to a particular segment. We will continue to focus on overall diversification as a subject. That's the area. So, we don't have any specific limitation that we will not lend to MFI sector. How much we will grow into that particular sector will depend on the overall guardrails of how much secured that we want to do. That guidance we have already given. We will continue to grow our secured book. I will request my colleague, Satish who heads Wholesale Banking to also share in with a few points.

Satish Kumar : Yes, good afternoon. Satish Kumar here. I take care of the Wholesale Banking Business. So, as the MD said, I think the overall guiding factor is to increase the secured book. To that extent, I think we will maintain a stable outlook on NBFC MFI. So, the growth there would be like a muted kind of thing and not an aggressive growth. So, as of now, that is the strategy.

Moderator : Thank you. The next question is from the line of Ja y Mundra from ICICI Securities. Please go ahead.

Jay Mundra : Couple of questions, sir. In the opening remarks, you mentioned that we have managed to reduce the cyclicity that we usually have in the first quarter in terms of Qo Q decline in the AUM. So, if you can elaborate, is this a new normal wherein you have been managed to curb the seasonality or it could be just one quarter phenomena wherein you would have opportunity to disburse a little bit higher or how did you manage to change this seasonality?

Rajinder Babbar : Yes, Rajinder Babbar here. Basically as informed to all, we are working on a particular strategy. So, as part of this strategy, our main focus is how we can grow on this secured book as compared to the other book by keeping a proper product mix. So, as part of that strategy, this is the normal growth and we have taken because you will see our book, if you see the portfolio, the housing finance, the retail asset basically has grown steadily as compared to the EEB book. Simultaneously, we are keeping a close watch. So, it will be a regular growth, not a one-time activity.

Ratan Kumar Kesh : I will just add a little more color to this. If you remember, we communicated in the last year similar quarter that we had adopted certain specific guardrails on credit quality improvement.

Some of those, it took a little bit of time for the overall distribution channel to really understand

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and get adjusted to this. Given the fact that they now got adjusted and over the last 4 to 5 quarters we are seeing steady improvement, we would believe that this is a new normal. We won't say that we have beaten the cyclicity. It has not grown. Our Q3, Q4 will still be much better than Q1 and Q2. But yes, degrowth as a subject, I think we should be able to protect.

Jay Mundra: Usually, we had a very deep cyclicity in the s

ense that 5 % to 10% or even very high single

digit degrowth would have happened in the microloans or EEB book, which is very stable this quarter. In the past, we have said that the underlying business has a seasonality, they draw down during the fourth quarter and then there is a monsoon, there is a rainy season, not too much activity and hence there is a drawdown. But that you have managed to address that, right? That is what the message is ?

Ratan Kumar Kesh: Right.

Jay Mundra: Secondly, sir, on this CET tier 1 reduction, is that the final decision by the Bank ? Of course, in the sense that is there any chance that you still are having discussion with the regulator or any final authority here and in the later quarters you may have an opportunity to change the risk weight again to 75 % or this is now done as of now?

Ratan Kumar Kesh: As we mentioned, we looked at the circular and we found certain specific exemptions and then we looked at saying that there are certain specific exemptions which are not available for the scheduled commercial banks and therefore we have deliberated and interpreted it to guidance of the board and the management and gone ahead and done that. How we go ahead and look at some of our product programs and internally look at all of those will be matter of future. But as of now, this is the finality to our decision and this is what we have done and moved ahead.

Jay Mundra: Right, so you're not disputing or you're not, let's say, discussing this any further, right? I mean, that is how the message is.

Ratan Kumar Kesh: That's how the message is.

Jay Mundra: Okay, and because your risk weights have changed, so your risk adjusted profitability on capital employed would have deteriorated notionally. And you also seem to be one of the lowest rate banks in the MFI segment. Are you thinking of changing the rates to adjust for the risk-weighted

capital yield?

Ratan Kumar Kesh: Not as of now.

Jay Mundra: And lastly sir on SMA -0 1 plus 2 book and you had mentioned that credit cost of this quarter may not be an indicator of the full year credit cost and that is you are maintaining that guidance.

But if I look at SMA -0 plus SMA -1 plus SMA -2, that the number in absolute amount was declining for the last several quarters because we were seeing that trends were improving; however, in this quarter that 12.6 billion number has gone up to 14.4 billion. If you look at the Bandhan Bank

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bigger context, the lot of states, geographies have had some disruption /a tough weather. Would you believe that this number of SMA -0 plus SMA -1 plus SMA -2 in absolute amount should start reducing or you think that there is still some uncertainty with respect to the micro?

Ratan Kumar Kesh: As you rightly said that our DPD pool SMA -0, SMA -1, SMA -2 put together has been coming down consistently over the last 4 quarters and as we stand today even on YoY basis, we are almost 50% of what it used to be one year back. That's a good news. Having said that, Q1 has been marred with some heat waves and of course the general election has little bit of an impact in general. But we are optimistic of the fact that our recovery efficiency and the guardrails that we put in place, it should hold good for us going forward. We have work in hand for sure, and that I think management is fully conscious about, and teams are completely focused around it. Our recovery efficiencies are also overall improving. So, we will continue to focus on this area. Industry is seeing some bit of stress in some pockets, and we are extremely careful on some of these areas, and we will continue to focus in a very calibrated manner, as also spelled out by my colleague Rajinder.

Jay Mundra : That is right sir, but what I was trying to understand is if Rs. 890 crores of slippages as the SMA pool is also reducing, this should ideally stabilize or actually improve.

Is that the understanding right?

Ratan Kumar Kesh: Yes, it will improve. We have work in hand and we will continue to focus on improving that.

Rajeev Mantri: If I can just add further to that, I think the slippage reduction that has happened, our endeavor would be to make sure that it remains stable and improves from here, but we have to be cognizant of some of the increases in the DPD pool and how exactly the flow of that could happen to the slippages. So, that would be an inherent risk or underlying risk that we need to continuously manage, and therefore there will be efforts in that regard, which is a space that we will continue to watch. And that's why the credit cost guidance we have given is a 1.8 % to 2%, which is slightly higher than what we have seen in this quarter.

Jay Mundra: Right. And sir, your comment on capital now post the adjustments that we have done. Of course, this is much higher than the regulatory floor. But how do you look at the capital position from a 12-month perspective?

Rajeev Mantri : Yes, so I think we are at about 15% excluding profit and about 15.7% if we include the profit for the quarter, which still has sufficient headroom above the regulatory minimum and allows us to continue to grow the asset book. We will of course continue to look at how the asset book growth forecast and projections are there and across which particular segments and capital monitoring will happen on a continuous basis. This is a significant change and that is how we have called it out. But where we stand right now, as Ratan had mentioned earlier, we remain well capitalized to be able to help foster our asset growth.

Moderator: The next question is from the line of M. B. Mahesh from Kotak. Please go ahead.

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M. B. Mahesh: Sir, just this question again on this capital adequacy front. Given that you have a nomination from RBI right now at the board, has there been any conversation on this topic, on this issue?

Because this instance of an increase in risk weight seems to be fairly isolated to the Bank. And we don't see a similar conversation across other lenders?

Ratan Kumar Kesh: The decision was taken before the decision of RBI to put an Independent Director. Our decision is independent of that, number one. Number two, we wouldn't know exactly what has been the treatment taken by other banks. Maybe you have, we don't have that visibility.

M. B. Mahesh: But what is it that makes it that you need to make this under the 125% risk weights?

Ratan Kumar Kesh: I will clarify one more time. The November circular was meant for consumer credit and we implemented that for the consumer credit portfolio. Then we looked at and we found that there is a specific exemption of MFI portfolio for NBFCs. It did not mention SCBs. So, we looked at saying that as a scheduled commercial Bank, if that exemption is not mentioned specifically, we might as well deliver it and discuss it internally. And that's what we have done. And then with approval of the management and in consultation with the board, we have taken a prudent and

conservative approach. That's where it stands. And that's the decision. And our internal stress testing clearly says next three years we are pretty well protected in terms of capital.

M. B. Mahesh: I agree to that. I'm just kind of belaboring this point again, is that you could have had a conversation with the regulator on this topic as well, right? Because it seems to be a little bit different in the way you seem to be looking at that circular as compared to every other player in the industry.

Ratan Kumar Kesh: So, my conversation with regulator on multiple parameters is part and parcel of daily life, which we continue to do. As I said, this is a decision almost in line with the Bank's philosophy of being conservative and following the spirit rather than going by the letter.

er. And that is something that we thought we will take a call internally.

M. B. Mahesh: Just two other questions. One is just to answer the previous question, who was also asking on growth. In this year, is there any revisit to the loan growth assumptions given the changes that you've seen in the RWA or CT1?

Ratan Kumar Kesh: No, not required to be done that way. Our stated strategy of growing secured book and a guidance of loan book growth of around 18 % to 20% and a deposit growth of higher than that will continue.

M. B. Mahesh: And you sorted the housing related issue because that growth in that book continues to remain a bit weaker?

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Ratan Kumar Kesh: It is slightly weaker as Q1, but if you look at Q1 of the last financial year, it is significant growth from a YoY perspective. We had a great growth in Q4, but that's cyclical. We have sorted the problems in housing.

Moderator: Thank you. The next question is from the line of Puneet from Macquarie. Please go ahead.

Puneet: Just on this capital question, like not seeing any other Bank do this or put it like there is another Bank which has a MFI exposure, particularly smaller than you. But a) are there discussions with other banks as well? Or is there something specific to Bandhan because it seems pretty harsh. So, just on that part?

Ratan Kumar Kesh: We expect some conversation to happen from tomorrow onwards. As of now, we haven't had.

Puneet: And another point, and I don't know if you said this earlier, but in the near term, we are not looking at any capital raise, right? Just asking this because our unsecured book is higher than other banks. So, and the Tier-1 has decreased substantially on the capital growth front.

Ratan Kumar Kesh: So, Puneet, on a decision of this nature, obviously requires us to also go back and do stress testing and look at our internal models. And we have tested that. As I said, we are pretty comfortable for the next 3 years. As my colleague, Rajeev, said, we will continue to have capital monitoring to support the growth. As of now, we don't feel the need for it.

Moderator: Thank you. The next question is from the line of Nitin Agarwal from Motilal Oswal. Please go ahead.

Nitin Agarwal: Sir, couple of questions. Firstly, like any update on the CEO succession, has the board submitted the names to the RBI?

Ratan Kumar Kesh: As I mentioned in my opening remarks, the process is very much on and it is on track as expected. We will continue to update you on any fresh development that comes on this. As of now, I am not in a position to communicate whether we have sent any names to RBI. It's being handled by the Board and the Search Committee.

Nitin Agarwal: And secondly, sir, like in this quarter, the CD ratio, which is like seemingly a weak quarter and it inches up, but now we are watching CD ratio very closely and we are around 90 % plus. So, any particular level you would like to operate at, any engagement with RBI on this?

Rajeev Mantri: Yes, so maybe I can take that. So, CD ratio on a year-on-year basis has still seen an improvement from 95% to almost 94%. Yes, on a sequential basis, it's been a bit of an increase. But this is a key focus area. I think from a Bank's perspective; we have been reducing it. If you look at the last many years or so, we have been bringing it down from circa 120% down to 100% down to almost 92% as at the end of March this financial year. And then that's the direction of travel in terms of ensuring that we continue to operate within this range and even improve it further from Bandhan Bank

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here. So, that's the endeavor that we are working on. And as you have seen, our deposit growth has been generally higher year-on-year basis compared to the advances growth. So, the liability first approach or the strategic prerogative that we have is a

an important one and the entire team is clearly aligned to making sure that that happens.

Nitin Agarwal: Right, and lastly, any thoughts on how do we plan to use the audit claim as and when it gets passed now that the capitalization levels are also low after this change that we have taken and earlier we had thoughts to make some additional provisions, so what will our approach be now?

Ratan Kumar Kesh: So, first of all, we will wait for the audit outcome to come through, and we will as eagerly wait as all of you as to how soon it comes. We are confident that we will get an outcome. When it comes, we will take a decision how we should account for it.

Moderator: Thank you. The next question is from the line of Ayushi, who's an individual analyst. Please go ahead.

Ayushi: So, I wanted to ask, how are we doing with the hiring front? Are our employee numbers increasing right now? Are we actively hiring?

Ratan Kumar Kesh: Our employee numbers have been going up. However, given the fact that the Bank has finished its core migration and is focused around digitization and technology upgrade, going forward the incremental addition of employees will depend on the technology and digitization drive and therefore it may be slightly lesser in percentage terms compared to the previous 3 years. Our hiring continues to support the growth across multiple products and geographies.

Ayushi: Does this mean our branches will also be moderated going forward?

Ratan Kumar Kesh: We mentioned that in the past that over the last 18 months we have added up to around 500 odd branches. Going forward, number of new additional branches will be much lesser.

Moderator: Thank you. The next question is from the line of Yuvraj Choudhary from Anand Rati. Please go ahead.

Yuvraj Choudhary: Sir, we have increased risk weights for EE B book as we were being conservative. Sir, just one question. Why have we taken a risk weight route? And why have we not made provision buffers since we had a good quarter? Some color on it would be helpful.

Ratan Kumar Kesh: So, it's not about provision cover either or. We looked at the regulatory guideline, we interpreted and we wanted to go by the spirit of it and therefore we took a conservative approach. Provision cover again we have already guided that we will continue to increase our PCR over a period of time and then take it to a higher number and that grows. If you see this quarter itself, our PCR has gone up, even though our portfolio quality has been significantly better.

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Rajeev Mantri: Yes, Yuvraj, if you see the numbers, our PCR increased from 71.8% in March quarter to 73.7% in this quarter. We have already increased our provision coverage ratio, and the numbers that you see is after that increase.

Moderator: Thank you. The next question is from the line of Vatsal Shah from Knightstone Capital. Please go ahead.

Vatsal Shah: Most of my questions have been answered. Just wanted to understand that in the SMA-0 and SMA-1 book, you mentioned that there have been some pockets of stress. Can you just mention which are those areas which are experiencing less stress?

Vishal Wadhwa: Okay see, in the last quarter the stress is coming from Punjab and Maharashtra primarily though there have been talks of Bihar as well, but Bihar has been doing well across thus far. But definitely Punjab and Maharashtra are two states which are giving little bit of a stress. Though in our portfolio, we don't see that stress in the last quarter, there has been a little bit of an uptick only in the recent last couple of weeks itself. But that's manageable because the portfolio is not so big in both these states.

Vatsal Shah: And just a last question on the CASA rate. So, you mentioned that the retail portion of the liability side is growing on a year-on-year basis. But on quarter-on-quarter, the CASA was

shifted down from 36 to 33. So, can you just mention what was the reason for this CASA decline - growth not on the retail term deposits, but just the CASA?

Ratan Kumar Kesh: Sujoy Roy, our colleague who heads our Liability and Branch Banking.

Sujoy Roy: For CASA degrowth on a quarter-on-quarter basis was on the counter, anyway cyclical reasons. The March year end, there were large inflows in the last 10-11 days. And since then like the industry, that growth is evidence even in the last quarter for the industry as well. So, the decline per se is on account of the current account flows, some current account flows moving on. But on a stable CA, if I look at the individual components of CASA, savings and all that, there we have seen a reasonable increase. And most of the monies that have moved on have moved on to retail term deposits, where we have seen significant growth of 25%.

Ratan Kumar Kesh: So, in summary, some money has moved from the savings/current deposit to retail term deposit. Number two, the stable CA and stable SA both have grown YOY.

Vatsal Shah: So, is there any numbers for the CASA range like around 35% or something like that?

Rajeev Mantri: I think our endeavor is to look at growth of the CASA ratio. I think from the current level what we are trying to do is build some further capabilities within the Bank which will help us in terms of further generation of the current accounts, such as cash management capabilities. We are also looking at targeted customer value propositions for our savings book portfolio in terms of

looking at how do we create unique customer value proposition for different segments of the Bandhan Bank
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depositors, salary class, senior citizens, etc., and also for women. As a result of all of these capabilities being looked at, customer value proposition being looked at, and also the emphasis on the digital channels like Rajinder mentioned, and also in terms of growth of improvement or some reenergizing of our branches, we will see focus on the mobilization of the current account and savings account as a result of all of this. So, we don't have a particular percentage or a number in place, but we will certainly continue to look at the increase of the CASA ratios from this level based on all these initiatives.

Rajinder Kumar Babbar: So, Rajinder here, we have a clear -cut strategy on the CASA because the main, the regular contributor to the CASA is the more and more savings and the retail current accounts. And you see when I said the Bharat QR Code, this is one of the steps. So, accordingly we are taking a step to ensure that month-on-month basis, our CASA number, the fresh acquisition is improving as compared to the previous month. And that is our clear focus. We are now sourcing the CASA through our digital channel, and we are able to see a growth of 20 % to 30% in the CASA number. So, definitely all the steps will result into a better CASA ratio.

Vatsal Shah: Got it. And just the last question, I don't know if you would have the data handy or not. If you can give me the percentage like breakup of the fixed versus variable loans, if that's possible.

Rajeev Mantri: Sorry, we don't have that handy.

Moderator: Thank you. The next question is from the line of Pranuj Shah from J.P. Morgan. Please go ahead.

Pramit Shah: Thank you for the presentation. Just a couple of questions. One on your non-interest income, you have a release of provision on redemption of SR of Rs. 60 crores and also bad debt recovery of Rs. 46 crores. So, what is the full year guidance on the trend that you can give out over here? And second question was a 10 basis point increase in yield on advances for this quarter sequentially, how's that?

Rajeev Mantri: So, let me take that. I think within the other income, as you rightly said, that there is a redemption of the security receipts for the ARC

of about Rs. 60 crores. We are expecting on a quarterly basis a range of Rs. 60 to Rs. 70 crores of steady numbers to come through on this particular line. So, I think that will continue to happen. I think your second part.

Pramit Shah: How many quarters?

Rajeev Mantri: At least for this year, for this financial year, we expect that number to continue. I think your second part of the question was on yield on advances. So, on yield on advances, we are at around 16% on yield on advances and we expect the yields to be impacted in the following manner. So, whilst there is growth, as we have said, there is going to be a shift towards a higher mix of the secured assets. As a result of which, there would be some pressure naturally on the yields on advances. But we are expecting that to be offset in some portion through continued focus on reducing our slippages, which will help in terms of offsetting some of this decline that may

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happen. And I think overall, whilst we expect some stabilization or some impact coming through, it will be range bound. So, we do expect the yields to be between overall around 15 % to 16%, that kind of a range.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Ratan Kumar Kesh: I want to thank everyone of you for participating on this call. Look forward to communicating any future developments and engaging with you in the future. Thank you so much.

Moderator: On behalf of Bandhan Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

Ref. No.: BBL/307/2024-25

October 29, 2024

BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 541153 National Stock Exchange of India Limited
The Listing Department
Exchange Plaza, C-1, Block G ,
Bandra Kurla Complex, Bandra (E) ,
Mumbai - 400 051
NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub.: Transcript of the Earnings Call on the Unaudited Financial Results for the quarter (Q2) and half -year ended September 30, 2024

In continuation to the letter bearing Ref. No.: BBL/ 303/2024-25 dated October 25, 2024 and pursuant to the provisions of Regulation 30 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed, the transcript of the Earnings Call hosted by Bandhan Bank Limited (the 'Bank') on Friday, October 25, 2024, on the Unaudited Financial Results of the Bank, for the quarter (Q2) and half -year ended September 30, 2024. Further, the same has also been uploaded on the Bank's website and can be accessed at the following link:

<https://bandhanbank.com/sites/default/files/2024-10/Bandhan-Bank-Q2-FY25-Earnings-Transcript-1.pdf>

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhanbank.com.

Thanking you.

Yours faithfully,
for Bandhan Bank Limited

Indranil Banerjee
Company Secretary

Encl.: As above

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"Bandhan Bank Limited Q2 Earnings Conference Call"

October 25, 2024

MANAGEMENT : MR. RATAN KUMAR KESH – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER (INTERIM), BANDHAN BANK LIMITED

MR. RAJINDER KUMAR BABBAR – EXECUTIVE DIRECTOR & CHIEF BUSINESS OFFICER , BANDHAN BANK LIMITED

MR. RAJEEV MANTRI – CHIEF FINANCIAL OFFICER , BANDHAN BANK LIMITED

MR. VIKASH MUNDHRA – HEAD - INVESTOR RELATIONS , BANDHAN BANK LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to Bandhan Bank 's Q2 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Mundhra – Head of Investor Relations. Thank you, and over to you, sir.

Vikash Mundhra : Thank you, Sagar. Good evening, everyone, and a warm welcome to all the participants. It 's our pleasure to welcome you all to discuss Bandhan Bank 's “Business and Financial Performance ” for the Quarter ending September '2024.

We appreciate your time and participation today. We will take this opportunity to provide insight into our operational activities, including any significant achievements or challenges. We will also touch on market conditions, strategic initiatives and any changes in our business environment.

To discuss all this in details, we have with us our MD and CEO (Interim) – Mr. Ratan Kumar Kesh; Executive Director and Chief Business Officer – Mr. Rajinder Kumar Babbar; Chief Financial Officer – Mr. Rajeev Mantri; and myself – Vikash Mundhra, Head of Investor Relations, along with other senior management team of the Bank . We will be happy to provide you with any clarity required from the current quarter numbers and the way forward.

Now I would like to request our MD and CEO – Mr. Ratan Kumar Kesh, to brief you all on the Bank 's Quarter Performance .

Ratan Kumar Kesh: Thank you, Vikash. A warm welcome and a very good evening to all of you, Namaskar.

As you all are aware, pursuant to the approval of the Reserve Bank of India , the Board had approved my appointment as Interim MD & CEO with effect from July 10, 2024 for a period of three months and further extended it by a month or till the new MD & CEO takes charge whichever is earlier . I am happy to inform you that RBI has granted its approval to the appointment of Mr. Partha Pratim Sengupta as MD & CEO of the Bank for a period of three years. Pursuant to this approval, the Board has earlier today approved the appointment of Mr. Sengupta as MD & CEO with effect from November 1, 2024 .

Mr. Sengupta is an experienced banker, who has nearly four decades of experience in the banking industry. He has worked in different geographies, across various business verticals including retail and corporate banking and has leveraged technology and innovation for achieving business results. He brings a wide array of experience from his roles as Deputy Bandhan Bank Limited

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Managing Director & Chief Credit Officer at State Bank of India and later as MD & CEO of Indian Overseas Bank. On behalf of the Bandhan Bank family I extend a warm welcome to Mr. Sengupta . As our new MD & CEO joins us, we will work with him hand in hand to manage the transition and continue on the growth path of our Bank , as Bandhan Bank 2.0 with renewed energy and commitment.

Coming back to the quarter, let me begin by talking a bit on the macroeconomic scenario. Despite global uncertainties, India's macro parameters remain strong. Real GDP witnessed a growth of 6.7% in Q1FY25. Against the backdrop of healthy business and consumer confidence, RBI expects real GDP growth of 7.2% during FY25. CPI inflation is expected to average around 4.5% during FY25 . Globally, several central banks, including the US Fed, have started easing interest rates. The RBI continues to stay cautious. However, the stance of monetary policy has changed to a more nimble “neutral” from “withdrawal of accommodation” earlier .

Banking system liquidity turned surplus

in Q2FY25 from a deficit between January and June 2024. The government maintains its focus on long-term goal of sustainable growth and development towards a 'Vikshit Bharat' with special emphasis on several key areas such as infrastructure, rural development, agriculture, MSME, affordable housing, employment, skilling, middle class and women empowerment. Bandhan Bank remains steadfastly committed to create greater impact by participating and contributing in this journey.

Let me now move to the quarterly performance of the bank.

The last few quarters have witnessed a relatively tight liquidity environment and an extremely competitive landscape for bank deposits. Further, the microfinance sector has been facing headwinds and witnessing elevated risk in portfolio quality. Whilst the microfinance sector continues to face headwinds, we have been proactive and have taken steps over the last 18+ months to address the business risks. I am happy to say that in Q2 we have been able to grow our overall business driven by healthy growth in secured book while containing portfolio risks for sustainable growth in future.

In the quarter ended September 30, 2024, we have seen an improvement in business momentum, largely stable margins, control on operating expenses despite investments required to grow our secured book. Though the headline asset quality has marginally deteriorated, credit costs are largely in line with our guidance. The quarter has seen stability on return ratios. On a YoY basis, we have seen an improvement across all parameters.

In terms of balance sheet parameters, the bank has witnessed a strong pick-up in both advances and deposits, in line with our guidance. In this quarter we have seen a sequential 4% growth in advances at Rs 1.31 Lakh crores with a YoY growth of 21.4%. On the deposits front, Deposits stands at Rs 1.43 Lakh crores with YoY growth of 27.2% and a QoQ growth of 7%. Deposit growth remained higher than the advances growth. Share of retail deposits (CASA + Retail TD)

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was largely stable at 68%. The deposit market remained competitive resulting in slightly higher cost of funds. Despite the change in product mix in favour of secured assets impacting yields the Bank was able to report healthy NIMs at 7.4%.

Cost metrics were largely in line with our guidance and we are committed to invest in people, products and technology over the next few quarters. We are moving rapidly in the digitization front for delivering super customer experience coupled with greater automated controls. These initiatives are also helping us augment effectiveness of the second line of defence. Our Transformation program including Intelligent Automation initiatives, RPA and AI adoption are looking quite promising and should enable us to drive greater efficiency from end-to-end perspective.

In Q2, the pain in the microfinance sector has increased and accordingly we have seen a marginal increase in slippages leading to slight deterioration in asset quality. Gross NPA is at 4.7% and Net NPA is at 1.3%. In Q2FY25, the bank reported PAT of Rs 937 crores, up 30% YoY with an RoA and RoE of 2.1% and 16% on an annualized basis. I would like to thank entire Bandhan Bank team for its unwavering commitment during this transition and I am confident that we will endeavour to achieve our strategy to the satisfaction of our stakeholders.

I would like to also take the opportunity to update you on the CGFMU audit.

I am happy to inform you that there has been a positive development on the same. As mentioned in our communication to the Stock Exchange on October 10, 2024 the in-depth audit has been completed. The historical context of the CGFMU scheme has been detailed in the Stock Exchange filing done by the bank. But, just to update, that nearly 85% of the total portfolio of approx. Rs. 20,807 crores insured under CGFMU scheme,

have been repaid by customers.

Based on the review of the audit outcome, the NCGTC has assessed the total claim pay out to the Bank under the CGFMU scheme as on March 31, 2024 at Rs. 1,231 crores. Considering that the first claim of Rs.916 crores had been settled, the final claim pay-out as on March 31, 2024 stands at Rs.315 crores. Further, the above claim amount is net of recoveries of approx. Rs.228 crores claimed under first tranche which are currently held in the Bank's balance sheet. In summary, therefore, the outstanding claim pay out of Rs.315 crores and the recoveries, from the first tranche claim, held in the Bank's books of Rs.228 crores as on March 31, 2024, i.e., total of approx. 543 crores will be suitably accounted in the Bank's P&L as part of 'Other Income' on settlement of the claim.

In addition, regarding the ECLGS schemes, as the audit is now complete the bank has been allowed by NCGTC to review and submit a fresh claim.

Let me now hand over the call to my colleague, Rajinder Babbar – Chief Business Officer, to discuss on a few of the important "Business Updates".

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Rajinder Kumar Babbar : Thank you, Ratan.

The Bank's Quarter 2 performance reflects that our growth momentum is robust and improving. Our performance is improving and is good in most of the parameters, in line with our guidance. This is the second consecutive quarter where the Bank has performed better. I continue to visit and interact with my colleagues at the different offices and the branches. The excitement and the motivation that I observed make me feel elated and give me the confidence. Our commitment to sustainable growth, delightful customer experience and the financial inclusion continue to drive us towards our goal of becoming a Bank for all. With our wide range of services availed by more than 3.5 crore customers so far, the extensive network of ~6,300 banking outlets across 35 states and UT, we are stepping towards our goal.

In Q2FY25, we witnessed robust growth in our key metrics. On the deposit front, we grew better due to our targeted marketing strategies, coupled with our innovative product suite and extensive branch network. Overall, the deposit has grown 7% QoQ and 27% YoY. With our diversification strategy in place, as communicated earlier, we have taken a risk-calibrated customer-centric digital approach. We are strategically expanding the retail asset, Housing Finance and the wholesale banking. Our growth in segment in the Q2 strongly reflect the same. The retail asset has grown by 91% YoY with a QoQ growth of 21%. The Housing Finance has grown by 17% YoY and 7.5% QoQ. The wholesale banking has grown by 40% YoY and 14.8% QoQ. As informed earlier, the four cornerstones of our future growth will be:

First, Diversification: While East will continue to remain our stronghold, we will expand our presence in non-eastern geographies to increase the outreach of our services. We will also keep diversifying our loan portfolio across the product segments, catering to a wide range of customers, a strong emphasis is also on increasing the share of secured portfolio. A strong emphasis is also on increasing the share of secured portfolio. The secured portfolio from 42.8% has gone up to the 47%.

Innovative product to enhance the customer experience : The Bank is committed to deliver excellence by offering products and services tailored to meet the requirement of the customer and to enhance their banking experience with us. We want to become a one-stop solution for all banking needs. The Bank is continuously introducing new products for its customers. Some of the key products launched during the quarter are the (a) Avni Savings account; (b) GST and the pension collection; (c) Delight, which is a loyalty rewards; and (d) debit card for the non-individual.

Leveraging the technology to

grow digitally : We recognize the digital transformation is key to our future success. Our investments in technology are enhancing customer experience and streamlining the operation. We are committed to expanding our digital banking offering, enabling our customers to access service seamlessly. Our goal is to leverage technology to

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enhance efficiency, reduce cost and drive engagement - positioning Bandhan Bank as a leader in the digital banking space.

And the fourth and the most important is fostering a culture of risk and compliance. As we continue to navigate the complexity of our industry, it is essential to reaffirm our commitment to compliance at all levels as it is not merely a set of rules; it is a fundamental aspect of our Bank's culture, and we believe it will be a key driver of our Bank's long-term success. The Bank has enhanced its risk and compliance framework to identify potential challenges and the opportunity, and to safeguard the Bank's asset, reputation and the long-term viability. Quality and the customer experience has been and will be our topmost priority going forward, too. As we look forward to another quarter, I would like to reiterate our commitment of delivering our value to our customers as well as to our investors by driving an inclusive growth for our communities. Our strong performance in the Q2FY25 is the beginning. We are excited about the road map ahead and confident in our ability to navigate the challenges and seize the opportunity for life between us.

Now, I would like to hand over to my colleague, Mr. Rajeev Mantri – CFO of the Bank, who will run you through the "Key Financials".

Rajeev Mantri : Thank you, Rajinder, and welcome to all the participants to this Earnings Call. The Board of Directors of Bandhan Bank Limited approved the Bank's Financial Results for the quarter and half year ended September 30, 2024, at its meeting held earlier today. Let me begin with the details of the business numbers for the quarter.

Firstly, On Advances :

As at September, 2024, Gross Advances stood at Rs 1.31 lakh crore, a growth of 21% YoY and 4% QoQ supported by growth in the secured assets books. Our secured book now constitutes 47% of advances up from 42% in March 2024. In line with the strategic plan of product

diversification, the focus is on growing the share of secured book like housing, commercial banking and secured retail products. Growth in EEB would also continue albeit at a relatively lower growth rate than secured assets. During the quarter, EEB portfolio increased 11% YoY but declined 4% QoQ at Rs 59,288 crores, as a result of portfolio controls in the wake of elevated risks in the industry.

The Secured book growth was contributed by Retail Assets which grew at 92% YoY, Commercial Banking Assets which grew 40% YoY and Housing which grew at 17% YoY. Retail Asset growth is largely driven by auto loans, commercial vehicle and equipment loans and gold loans. From a business mix perspective, EEB group lending constituted 29% of the advances, Small Business and Agri Loans at 16%, Commercial Banking 25% Housing 24%, and Retail 6% respectively

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The bank has made good progress on geographical diversification, whereby share of Advances in East and North East regions have reduced by 12% (from 53% in FY22 to 41% by Q2FY25), and increased in North, West and South regions by 3%, 2% and 7% respectively. Top 5 states namely West Bengal, Maharashtra, Bihar, Gujarat and MP - contributes 59% of gross advances. West Bengal contributes 23% of advances vs. 25% in Q2FY24.

Moving to liabilities :

As at September 30, 2024, total deposits stood at Rs 1.43 lakh crores as against Rs 1.12 lakh crores in the previous year Q2, a growth of about 27%, higher than our advances growth. The Bank continues to focus on gran

ular retail deposits. The total retail deposit i.e. CASA + Retail

Term Deposits grew by 16% YoY. Of which, growth in retail Term Deposits was 24% YoY.

Retail deposits (CASA+ Retail TD) to total deposits ratio was ~ 68%

CASA Deposits stood at Rs 47,283 crores – up 9% YoY and 6% QoQ. Within CASA deposits, SA deposits have grown 11% YoY and 7% QoQ as the bank continues to focus on building relationships across its customer base, strengthen its value proposition and garner new customers. The CASA ratio has been stable QoQ at 33.2%.

Top 5 states namely West Bengal, Maharashtra, UP, Odisha and NCT of Delhi - contribute 64% of total deposits. West Bengal contributed 40% of deposits vs. 44% a year back, reflecting reduced geographic concentration.

Moving to collections and asset quality :

The Bank's overall collection efficiency (excluding NPA) in Q2FY25 was marginally lower at 98.2% as compared to 98.7% in Q1FY25. For the EEB book, collection efficiency (excluding NPA) in Q2FY25 declined to 98.1% vs 98.7% in Q1FY25 reflecting the stress in MFI segment; however, collection efficiency for the non EEB book improved to 98.7% vs 98.3% in Q1FY25. Within EEB, moderation in collection efficiency is largely in rest of India portfolio; while, collection efficiency in WB and Assam on sequential basis is largely stable at 99% and 99.2% respectively

On the asset quality front, the Bank has seen some incremental stress this quarter. As context, the bank had seen a slippage run rate of Rs. 1,350+ crores in first 3 quarters of FY24, which reduced to Rs. 1,016 crores in March'24 quarter and to Rs.891 crores in June'24 quarter.

However, in this quarter (Q2FY25), gross slippages were higher at Rs 1,115 crores. Increase in slippages in Q2 was mainly in the EEB book, where it increased to Rs 752 crores as compared to Rs 543 crores in the previous quarter. Upgradation and Recovery was Rs 305 crores vs Rs 371 crores in Q1FY25.

The overall EEB DPD pool (SMA 0, 1 & 2) was at Rs. 1,984 crores representing 3.3 % of EEB advances and reflecting an increase of Rs.548 crores QoQ. Within this, the SMA 1 and 2 buckets

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witnessed slight upticks. SMA 1 book increased by Rs. 143 crores from Rs. 420 crores (0.7%) in Q1FY25 to Rs. 563 crores (0.9%) and SMA 2 book increased by Rs. 102 crores from Rs. 436 crores (0.7%) in Q1FY25 to Rs. 538 crores (0.9%) in Q2FY25. Whilst the increases in SMA 1 and SMA 2 buckets have been contained in the context of the challenges of the micro finance sector, we are working hard on the SMA0 bucket recoveries to ensure that these loans are regularised and do not slip into higher buckets in ensuing quarters. SMA 0 book has increased by Rs. 303 crores from 580 crores (0.9%) in last quarter to Rs 883 crores (1.5%).

Credit costs for this quarter were at 2%; however, for H1FY25 credit cost is at 1.8% - which is lower end of our guided range of 1.8% - 2% for FY25. Gross NPA ratio is at 4.7% in Q2FY25 as compared to 4.2% in Q1FY25. Net NPA is at 1.3% vs. 1.2% in last quarter with largely stable PCR at 73.5%

Let me move on to the profitability :

Coming to the quarterly P&L - NII, at Rs 2,948 crore s, grew by 21% YoY supported by steady NIMs, healthy advances growth and lower slippages than the same quarter last year. Sequential decline in NII, about 2%, is primarily on account of change in product mix towards secured and impact of higher slippages.

Our Net Interest Margin (NIM) is 7.4% in Q2FY25, as compared to 7.2% in Q2FY24. It is important to note that despite pressure on cost of funds and change in the product mix, we have been able to sustain and protect our margins on YoY basis. On H1FY25 basis, NIM is at 7.5% - at higher end of our guided range of 7% -7.5%

Net Total Income in Q2FY25 was Rs 3,543 crore s an increase of 19% YoY. Operating Expenses, on YoY basis, grew by 21% as a result of investment

in people, technology and infrastructure

and based on business volume growth. During the quarter, operating expenses to average assets ratio was at 3.8%; while , in H1FY25 the opex to asset ratio was at 3.7%. We guided that in FY25, cost to opex ratio should be at similar level of FY24 as we would continue to invest in people, technology and building key capabilities through the year.

Consequently, operating profit in Q2FY25 was Rs 1,855 crore s registering a growth of 17% YoY . The Bank reported a net profit of Rs. 937 crores in the quarter compared to Rs 721 crore s in Q2FY24 – growth of 30% YoY. In Q2FY25, ROA is at 2.1% and ROE at 16% for the quarter (on annualised basis).

I will now briefly summarize the Half Yearly Results:

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For the half year ended September 2024, NII was at Rs 5,953 crores, Net total income was at Rs 7,076 crores and Operating profit at Rs 3,796 crores – all three line items grew by around 21% YoY respectively. The Bank reported a net profit of Rs. 2,001 crores in H1FY25 compared to Rs 1,442 crore s in H1FY24 (representing 39% YoY growth). ROA is at 2.3% and ROE at 17.3% for the six months (on annualised basis). Lastly on Capital Adequacy – CRAR is at 15.6% (incl. profit of H1FY25).

With that, on behalf of the management team, I would once again like to thank you and will just pass on to Ratan Kesh.

Ratan Kumar Kesh: Thank you, Rajeev. I want to take a moment to express my heartfelt gratitude for the hard work and the dedication of all my colleagues as their commitment to excellence and collaboration has not gone unnoticed. Last 4 months have been greatly rewarding experience for all of us and particularly for me during the transition phase of the Bank . I also want to acknowledge the continuous support of and guidance of our Board members, investors, shareholders and most importantly, our valued customers. It is because of all of them, we have been able to grow sustainably. I hope and wish to get their trust and care in future as well as we move forward with greater confidence into the future.

Thank you. Over to Vikash.

Vikash Mundhra : Sagar, we can start the questions.

Moderator : Thank you very much. We will now begin the question and answer session. Our first question comes from Piran Engineer from CLSA. Please go ahead.

Piran Engineer : Congrats on the quarter, decent numbers in a tough quarter. Firstly, how should we think about slippages in the coming quarters? If you can give us a sense of maybe what percentage of your customers are overdue, but they're still paying their EMIs, or what percentage of your GNPA customers are paying in EMIs that will give us some color on future asset quality?

Ratan Kumar Kesh: So, broadly, see, given that overall industry narrative, Q3, our slippages will remain elevated. While in our portfolio, we see the bigger problems are in specific geographies and not necessarily the entire state, in parts of a particular state. But in terms of percentages, Rajeev, just tell what the percentage is.

Rajeev Mantri : So, if I can answer, Rajeev here. Piran, I think, as we have mentioned, we have seen the slippages a little elevated in this quarter itself by Rs. 225 crores. What we have also highlighted is the DPD pool, which is the SMA -0, SMA -1 and SMA -2 buckets, where we have seen an elevation, especially in the EEB book, which is the microfinance sector by almost Rs. 500 crores. So, these are, I think, indications. The team will work hard to make sure that we are able to stem and improve our collections and stem this kind of an increase. However, I think with the elevated risk in the industry, I think we also expect some bit of an impact could come through. Overall,

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as we have guided our credit cost, our credit cost for the first half of the year has been 1.8%. We had 1

.6% in Q1 and 2% in Q2. We had guided that we will be in the range of 1.8% to 2% of credit cost for FY5. At this point of time, we continue to have the same guidance with the belief that, yes, in the third quarter, the slippages could be elevated and the credit cost could be elevated further. But by the fourth quarter, we would believe that the market would start showing some signs of positivity returning back. And on an overall basis for the financial year, we would still like to be within that range. However, we will continue to monitor this and in the next quarter, be able to provide a closer update on how we are seeing the market.

Piran Engineer : Could you also just share what percentage of your customers are unique to you? How many have 1 additional lender, 2 additional lenders?

Ratan Kumar Kesh: So, Bandhan Bank Unique is 60%; Bandhan + 2 is nearly 80%; for us, Bandhan + 4 and above is ~4.5%.

Rajinder Babbar : We are more secured because the Bandhan + 4 and above is ~4.5%. So, mainly 60% is basically, we are the sole lender to the customer.

Piran Engineer : And also just on Slide 24, given the breakup of your other income. And there is this others line item which has more than doubled Yo Y. Just want to understand what is that? Is there something lumpy in that line item, which is Rs. 184 crores?

Ratan Kumar Kesh: Piran, sorry, just correcting this. Unique to Bandhan is 60%, Bandhan + 1 is 80%, Bandhan + 4 and above is ~4.5%.

Rajeev Mantri : Yes. On the noninterest income, I think your question is on the others where we are seeing a figure of Rs. 184 crores. This actually includes a portion of income that we have seen from the treasury teams, which is basically profit on sale of certain investments and the revaluation gains, which totals to about Rs. 80 crores, which is not a sort of regular feature every quarter. So, this can be taken as a one-off for this quarter. And in addition to that, I think there are usual charges like the average quarterly balance charges, which are about Rs. 19 crores, and I think that constitutes the reason why exactly some of this number is higher.

Piran Engineer : And just lastly, one confirmation. Your Tier-1 decline of 50 bps. That's just because you're not adding the profit of the quarter, right?

Rajeev Mantri : Yes. So, if we add the profit for the half year, our total CRAR is at 15.6%.

Moderator : The next question comes from Gaurav Bansal from Pvc Consultants. Please go ahead.

Gaurav Desai : I am Gaurav Desai. I am just a normal shareholder. I am not an institutional shareholder. So, my concern as a shareholder is looking at the value of the share, the decline in share value, so aren't we considering for buyback or some measures to boost up the share price?

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Ratan Kumar Kesh: So, we have not taken any decision of that sort at this stage. So, the simple answer at this stage, no.

Vikash Mundhra : Gaurav, I would request if you just stick with the quarterly related questions, that would be great, please.

Moderator : The next question comes from Prabal from Ambit Capital. Please go ahead.

Prabal : Sir, some of your peer banks have mentioned that the forward flow rate this time has been quite high compared to the previous cycle. How is your experience on the ground, meaning if the account is turning into SMA, is the possibility of it becoming NPA has increased compared to the previous cycle?

Rajeev Mantri : Yes. Just give us a second.

Vishal Wadhwa : Okay. I will take that. Vishal here. I manage the EEB business. So, overall, if you see, whatever elevation we have got on our SMAs, those typically, we're able to always collect 50% and above.

And like what Ratan said earlier that our total state-level problems would be there also in parts of states. Overall, on a pan-India level, we are not that much on delinquency front simply because we took

prior action. So, parts of states of Uttar Pradesh, Maharashtra, Gujarat, Tamil Nadu, where we have seen some stress on our EEB book. Having said which, I would say that 50% of that, whatever got elevated, Rs. 500-odd crores, we typically collect. So, Rs. 250 crores is something which we would like to work upon even more and get that amount collected over the times to come.

Rajinder Babbar : Further in totality, our SMA book incl. SMA -2 book are well under control and being better than the last year. No doubt, in September, a little bit movement is there. But if you compare September to the last year, the SMA -1 book was 1.1%, this year, it is 0.9%. So, plus/minus is there. So, we're much better placed as compared to last year same quarter.

Prabal : And my second question was, we have seen a very strong growth in our Commercial Banking book. Just 3 to 4 years back, the NPL in this particular segment was as high as 10%. What is your feedback from the ground on asset quality in this segment? And how should we look at this

going ahead?

Ratan Kumar Kesh: So, our asset quality in commercial book as of now is pristine, I would say. In fact, 93% plus is A- and above. So, the book quality is absolutely strong. The reason why we are growing commercial book are twofold. One, clearly, we want to be growing a bit more secured. We also won some of these customers to be in our kitty to be able to do whole lot of other income businesses on trade, CMS, FOREX and transaction banking businesses. So, that's a clear rationale. On retail book, it's growing at 90%. The NPA levels are at the same steady to improving. So, to that extent, I think retail is also looking quite good.

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Prabal : And how much of our Commercial Banking would be to NBFC MFI corporates?

Ratan Kumar Kesh: Total Rs. 3,000 crores.

Prabal : Rs. 3,000 crores is the NBFC MFI corporate exposure?

Rajeev Mantri : Right. Yes.

Prabal : Sir, just last one question. On Tier-1, even if we include profits, which at 14% and industry - wide, we are seeing asset quality, too. Would you like to have more capital? Or say, would you be okay slowing down the growth in terms of capital? How to look at that?

Ratan Kumar Kesh: See, as of now, our growth targets of 18% (+/-1) with more secured buyers will continue to happen. And given the profit-generating capabilities that we are demonstrating, we are fairly comfortable at 15.6%. Having said that, we will continue to watch this space and keep evaluating and then take a call at some point. As of now, for the next 4 quarters, we don't see any need for us to do that.

Prabal : Sir, on the Slide number 18, there is a table of vintage analysis. Just curious as to the disbursement done in the previous quarter, the June quarter. How are these disbursements becoming SMA and NPA? I mean what has changed in 90 days of customer assessment that accounts are becoming NPA and SMA?

Ratan Kumar Kesh: So, the collection efficiency, if you look at it, our collection efficiency on the full paying customer, that has come down by 130 basis points as overall level. The partial paying and the nonpaying customers has gone up by that extent. So, that's the reality. It's an overall reflection of the over-leveraging and the overheating in the overall market. Although West Bengal, which is our largest territory, we are holding at 99%, but rest of India has come down by 100 basis points. So, it is a reflection of that. Clearly, while in my book, Bandhan + 4 is just about 4.5%. But after taking an exposure from me, somebody would have taken exposure outside. So, it's an overall market liquidity issue. Some of these sales will flow into us. But as of now, it's just about 0.02%, which is not very alarming.

Rajinder Babbar : Just for the further update on the vintage analysis of the disbursement, disbursement of the Quarter 4 and the Quarter 1.

Prabal : Basically Quarter 1, the SMA -1 is 0.35%, SMA -2 is 0.17% and NPA is just 0.06%. So, whatever the book we created in the Quarter 1.

Prabal : The question was that just in 90 days of disbursement, even having this much amount of SMA and NPA --

Vishal Wadhwa : If I would just add here, this is coming from cross linkages. I was talking about 0.06%, right? NPA with 0.02%.

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Prabal : SMA -1, SMA -2, sir.

Vishal Wadhwa : No, SMA -1, right? 0.02 % number is what you are speaking here?

Prabal : The totality, SMA -1, SMA -2 and NPA.

Vishal Wadhwa : So, let's go quarter -by-quarter. If you see first, let me tell you, whatever we have disbursed quarter -by-quarter, over the years, if you see, there is a marked improvement. If I see quarter of '24, if I have to compare it with quarter of '23. Similarly, the last 2 quarters of our disbursal of Rs. 13,000 crores, Rs. 14,000 crores, our total SMA is around about 0.5% and NPA is 0.06%. And that 0.06% also got a component of link loans. That some other relationships could be there, 1 or 2 loans here and there, which has resulted into NPA. Otherwise, fresh NPAs in the last 90 days have been 1 or 2 loans out of 15 lakh loans we would have disbursed.

And deposits too, this 0.02% is something what Ratan again spoke of that there are customers who have taken a loan. These are 4 months vintage of a 12 -month loan book. So, 0.02% of that would have also gone bad outside and similarly with us also, they have not performed. So, within giving a loan million 4 months, they have become delinquent. That is 0.02% of loans. So, we track this number very closely and take action as well.

Moderator : The next question comes from Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra : Congratulations on decent number. I have a couple of questions. First is, so how do you look at

the disbursement in MFI going forward? I mean it has been coming down and maybe the first half is usually a bit weaker. But as we go into October and festive season, how do you look at the disbursement in the MFI in the near term?

Ratan Kumar Kesh: So, one, as a Bank, we have decided to be a bit more secured, which means that micro will grow, but the other businesses will grow at a much faster pace. So, that's at one level. Second, generally, Quarter 3, Quarter 4 are better quarters for us traditionally. Having said that, this year, we have, in a sense, have been bucking the trend by growing well in Quarter 1, but Quarter 2, purposely, we have decided to be a bit more watchful and careful across various states and specific pockets and even specific BUs.

And given the elevated risk in the industry, we would like to maintain similar watchful posture in Quarter 3 as well. In October, we are already seeing some bit of a better uptick, both in terms of collection efficiency in the regular pool. And if, therefore, it turns around positively by January, we will then have an opportunity to grow that book. So, as of now, I would say we will be more careful in containing the portfolio quality rather than focusing too much of a growth in the microfinance portfolio.

Rajeev Mantri: I think just to supplement, Jai, Rajeev here, 2 more points. One is, on an overall basis, as Ratan had mentioned, while the advances growth we're expecting at 18% plus minus 1%, I think EEB, Bandhan Bank Limited
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we will be working towards a growth of between 10% to 12%. And I think that is the broad range that we have seen in the first half, and we would continue to see. At the same time, I think the risks which are there are elevated. But we are also clearly evaluating the risk in which particular geographies and which particular states within the country and within that, which particular cities. And therefore, those targeted actions have been done for portfolio controls in those

areas. But other areas where the risks are lower, the team will clearly be looking at the opportunities for growth. And I think that's within the overall guidance that we mentioned of between the 10% to 12% growth.

Jai Mundhra: And sir, on asset quality, I mean if I look at the slippages for this quarter for MFI that you mentioned at around 700 plus, this turns out to be around 5% on an annualized basis. Is there any difference in individual and group delinquency or you would believe that both are more or less operating in the similar band within MFI?

Ratan Kumar Kesh: While both are operating in the similar band, but clearly, individual is doing better than the group at this stage for us. And that's the reality, and that's almost expected that when a bit of an industry overall issue happens, generally, the individual behaves better than the group.

Jai Mundhra: And sir, a related question with growth and asset quality. So, in the last 2 years, you have been calibrated in the MFI loan growth, right, if I look at last 2 years, CAGR will be single digit, maybe 5%, 6% in MFI growth, whereas other players which have grown at a much faster pace. And hence, the industry itself has grown at a very higher clip. Would you believe that the lenders which have grown slower are better placed? Or because this time around, the asset quality issue is not in your assessment and you're not in your underwriting, but maybe the marginal lenders or the third, fourth, fifth lender, the issue possibly has come up from their side. Would you believe that the lenders which have grown slower are better off or there is not too much a preference?

Ratan Kumar Kesh: I think, frankly, your question has an answer built into it. It's a fact that over the last 2, 3 years post COVID, the industry has been growing, our view is that, rather at a significantly higher rate of growth while you've been growing moderately. And more importantly, we have also been taking a lot of guardrails and to improve our portfolio quality. So, some of these have been helping us to improve. Having said that, while we have 60% unique customers to Bandhan, 80% is Bandhan + 1, but we still have ~4.5% or let's say, about ~6-7% as Bandhan + 3. And some of these are going to come back. And when the borrowers are coming back for renewal, we are obviously taking steps.

We have also taken a few more steps in improving our bureau score, etc. etc. in specific pockets and geographies. Having said that, yes, we will still be holding on. That's why our credit cost guidance continues to remain in the 1.8% to 2% for this year. And we will look at it, review it and then come back to you with more information as we get it by end of Q3. But I would say that we are not isolated. We will still be better than others, hopefully, but we are not isolated.

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Rajinder Babbar: Just adding to Ratan, basically, our main aim is for this quarter because keep in mind the current situation, we will more focus on our existing customers because we know they are the regular customers paying us for the last so many years. So, our main focus for the growth will be our

existing customers as compared to the NTB .

Jai Mundhra : And sir, just related to this, RBI has recently banned 4 MFI lenders. And if you want to put together the combined AUM, it is a higher single digit at the system level, right? Now they will probably not disburse loan incrementally. Is that an asset quality risk at the system level? Or you believe that is not a problem even from asset quality perspective?

Ratan Kumar Kesh: So, these entities who have received that regulatory sort of guidance show of action are very strong entities per se. And our belief is that they obviously are taking corrective actions and quickly go back and ensure that suitable steps are undertaken. Having said that, a certain amount of disbursement

ent moving out of the industry, definitely would pose a risk to the overall industry to an extent. But given the size of these entities put together, may not necessarily be too high. So, the risk may not an additional risk given this fact. But overall, over-leveraging and its impact, how long it sustains is something that we are still also observing.

Jai Mundhra : And last question, sir, from my side, is we have grown significantly in the secured book this time. I mean MFI has been degrowing and there is a significant growth in secured. And still, the yields for the margin impact has been very resilient. How would you explain this that MFI degrowing and some of the secured assets growing at a very fast pace and yet the yields have not been impacted too much? I mean, is that the pressure likely in the coming quarters? Or the yield of those products are also relatively comparable?

Ratan Kumar Kesh: So, the short answer is yes, that in the coming quarter, we may see some stress in the overall yield, but we will still remain in the range of guidance that we have been providing. Rajeev, if you could give a bit more color to that?

Rajeev Mantri : Yes. So, I think 2, 3 factors. One is within the secured book, obviously, we are also looking at the products which can give us good yield. So, I think there is that calibration that the business team continuously looks at. Second is on a year-on-year basis, if you look at it, while quarter-on-quarter, the slippages may have been elevated and the portfolio quality of the credit cost might be elevated. On a year-on-year basis, we still see an improvement compared to the levels that were there last year versus the levels now. And therefore, there is that much of fillip that comes through on the net interest income or net interest margin and the interest income as well from a year-on-year perspective.

So, I think that comes through as well. But as Ratan rightly mentioned, some of these do have a bit of a lag effect. So, we should see, I think, some moderation in the next quarter. Albeit we still, as we have guided, our broad range of net interest margin between 7% to 7.5%. Our endeavor is to be within that particular range, and we feel confident about that.

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Moderator : The next question is from Param Subramanian from Nomura. Please go ahead.

Param Subramanian : Most of them have been answered. But on Slide 6, you've given your loan mix and the last 2 years, we have seen a sharp increase in the retail loan mix. I think over the last 2.5 years, the number has gone up about 4x. So, if you could just remind us what are the products that contribute to this retail mix, which are the predominant products? Yes, that's question 1.

Rajeev Mantri : Yes. So, I think within retail, the growth is coming through primarily from secured assets, which is gold loans, the auto loans, which is both 4-wheeler and 2-wheelers, as well as commercial vehicle, commercial equipment. So, these are the key drivers of the growth within retail assets. And we have a team, which is really spread across the entire country. We are looking at sourcing across the country. And clearly, the progress in terms of the year-on-year growth as well as the sequential growth has been quite remarkable.

Ratan Kumar Kesh: So, I just want to add that we will continue to see a significant growth in retail portfolio because 1,700 branches that we have, we still have enormous amount of opportunity to sort of leverage that, do cross-sell through these existing branches, as also tap some of the other potential, including digital lending channels and others. So, to that extent, I think that portfolio will continue to grow. But albeit, our focus is to grow more secured in the retail portfolio as well while maintaining the portfolio quality.

Rajeev Mantri : And Param, Slide #10 in the deck actually gives you more details.

It has the breakup.

Param Subramanian : Secondly, the credit cost guidance that you've given for the full year includes the write-back that we are going to get from CGFMU or how should we look at it?

Rajeev Mantri : No. No, the CGFMU money that will come through, as we have mentioned, will be part of our other income because the associated portfolio was already technically written off in the March quarter. And on written-off accounts, if you get an income, it's actually going to the other income. So, that's not part of this. So, this is on the current sort of NPA books that we are basically guiding you the credit cost.

Moderator : The next question comes from Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal : So, a few questions. One is on, if you can talk about how much of the yield differential between the EEB book and the rest of the segments, like the retail and the small enterprise loans? Because if I see like, there is a 400-basis point drop in mix of MFI and CD ratio has also declined sharply, but margins have been very resilient and dropped just 20 basis points. So, just explain this math actually.

Rajeev Mantri : Nitin, actually, the yield difference is roughly around 10% between the EEB book and the overall secured portfolio books.

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Nitin Aggarwal : But then why the NIMs or the yields have held up so well because there is a 400 basis point exchange with EEB going down, then the impact on margins?

Ratan Kumar Kesh: Two points, as Rajeev mentioned. One is this lag effect. Second is clearly the slippages on the credit cost has been better compared to the previous year. So, these are the 2 broad factors.

Nitin Aggarwal : My question is on the experience that we had with the CGFMU claim and the audits that happened. So, what will our approach be to the CGFMU cover on an incremental basis? How do we plan to go about that?

Ratan Kumar Kesh: So, the CGFMU audit, the experience has been a little bit exceptional. I will tell you why, because this whole portfolio is FY 21, which was a peak of the COVID period. And therefore, we would believe for the sake of humanity, that similar experience doesn't happen to anybody in the future. Having said that, in general, we believe that if there are opportunities available in terms of participating in the government schemes and the grants and in some of these valuable schemes, we will continue to participate in that in future as well. How, how much, which way, that obviously the future will tell us.

Nitin Aggarwal : And last is on the retail assets, which you're seeing a healthy growth. So, how many products have you really broken even in this segment? And what is the ROE that you make in this portfolio?

Rajeev Mantri : I think retail assets' journey started only a couple of years ago for us. It's been 2 to 3 years. So, as part of the journey, it's still early stages, the business is ramping up quite well. And I think any new business, which gets started does take time to break even and increase profitability. Having said which, I think year-on-year, we are seeing the overall contribution of this business improving. But it takes time for our business to fully mature, like we have some of the other businesses, which have been there for some time as mature businesses. We are working in that direction for retail as well.

Moderator : The next question comes from Prakhar Sharma from Jefferies. Please go ahead.

Prakhar Sharma : Congratulations and best of wishes. I wanted to ask you, you had made material changes to your underwriting policies introducing the cooling off period, the 30-day, 60-day, 90-day period. So, can you discuss how much of your book has actually gone through this change of underwriting standards? And do you think that's one reason why the book will behave well?

And secondly, can you discuss what sort of

investments you have made in the broader collections and recovery platform?

Ratan Kumar Kesh: So, I will answer both. So, one is that out of the total Rs. 60,000-odd crores roundabout book that we have, Rs. 3,000 crores will be pre-April 2023 regime when we started putting those cooling period guardrails. So, that's a limited size of the book that we still have outstanding in

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our book today. Therefore, is it one of the factors? Definitely, yes. That cooling period that we introduced has definitely an impact on our portfolio quality. But I will still maintain the fact that given the overheating, overleveraging in the industry or the remaining percentage of 4.5% - 5%, we are not isolated. To that extent, it will still remain elevated for us in the next quarter. We believe that Q4, it should turn around and turn positive. The second question that you had was?

Prakhar Sharma : Investment in collection.

Ratan Kumar Kesh: Investment in collection, we are implementing the best-of-breed collection system. I will not name it, but that's something which is the best-in-class system, which is used by the very scale players. We hope to go live with that pretty much by end of this quarter. Also, we are deploying more collection resource across the entire network of banking outlets that we have because not only that we are seeing putting a dedicated collection officer helps in improving the collection in the early buckets as well. So, we will continue to make that investment in that area.

Prakhar Sharma : And is it possible for you to share the exposure, the EEB segment exposure for the top 5 states individually? You've shared for West Bengal, but is it possible for you to share for the other states, the top 5?

Ratan Kumar Kesh: Top 5, we have given that.

Prakhar Sharma : Sorry, have I missed it?

Vishal Wadhwa : If I have to add here, we have really invested quite a bit on our credit structure. We are one of the very few organizations who have got an independent credit vertical across our EEB segment, which is not there if you see in many of the organizations. In terms of the bureau scores also, we have been stringent in terms of the areas where it has not performed well. across the industry.

So, these proactive measures of ensuring stringency on our growth and being conservative has helped us in good stead if I have to compare it to the other market players. So, that's one. Other thing what Ratan spoke in terms of collection. The entire setup is there, which distinguishes between 60 DPD, which business is responsible for collection, and beyond 60 DPD, it's independent collection vertical augmented with collection system coming up. With these good practices, we have ensured that we have to compare to my peer growth, even with an elevated SMA bucket numbers, you have to compare a much better off in terms of last year comparison, vis-a-vis, my peer group comparison. On the top 5 states, just to add up .

Rajeev Mantri : So, maybe I can just read out. So, the top 5 states that we have is West Bengal, which has roughly around 36%.

Prakhar Sharma : Rajeev, this is only the EEB part, right?

Rajeev Mantri : We're talking about the EEB, that's correct. Yes. So, basically, the top 5 states that we will have is basically West Bengal, Bihar, Assam --

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Prakhar Sharma : Sorry, can you give the percentages also?

Rajeev Mantri : Yes. One second. We will just provide that.

Vishal Wadhwa : We don't have it ready. But what we have on the back of the call, I could say, West Bengal is the top in chart. Then we have Bihar. We have Assam, Maharashtra and MP, in that order.

Prakhar Sharma : Got it. Probably Bihar is the one where, among the top 5, where you have the highest level of stress building up?

Ratan Kumar Kesh: So, Bihar is holding up pretty well for

us. West Bengal is doing very well. Assam, as you see, is

doing extremely well for us. Odisha is a little bit of a problem. Parts of UP, bit of a problem.

Maharashtra, parts of Rajasthan, bit of a problem. So, it's like not the whole state, it's just parts of it.

Prakhar Sharma : Interestingly, you are saying that in the top 5 states, 5 states are holding up well. It's outside the top 5 states where you are seeing a higher elevated sort of --

Vishal Wadhwa : Maharashtra is elevated, in parts like what Ratan spoke. Bit of UP, Eastern One is also elevated and that's one of the markets as well. Our good state that's still continues to hold good is West Bengal, which is our state, which we have good strength here. Bihar for us is doing very well.

Prakhar Sharma : That's interesting to hear.

Vishal Wadhwa : And these are 2 large big states for us.

Rajeev Mantri : Assam is also doing well.

Vishal Wadhwa : Assam is doing very well. So, the top 3 states, the ones that are really doing well.

Prakhar Sharma : And my last question. It's slightly contextual. Can you give us a sense of what's happening on the ground in terms of getting access to credit because this segment of customers do rely on getting access to slightly steady state of credit flow. But if lenders are always cautious about whether they will be the last ones to be paid off. So, is there a credit freeze in the market? Is there a probably more rationed credit, but not a freeze? So, can you give us some flavour of what's happening on the ground?

Ratan Kumar Kesh: There's no freeze per se. Look, the SRO guidelines have been sort of adopted by most of the MFII partner players. 10% to 12% drop in disbursement is clearly sort of seen in the overall market for the 4 -plus lenders. So, to that extent, if someone is already overleveraged with 4 -plus lender exposure, that clearly, there is a bit of a guideline and most of the players have adopted to it.

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Moderator : The next question comes from Abhishek M. from HSBC. Please go ahead.

Abhishek M.: I have just one question. Your credit cost guidance for the year, how much have you assumed for EEB or for MFI basically?

Rajeev Mantri : Around 3% plus.

Abhishek Murarka: And do you think that is sufficient given whatever slippages, et cetera, you have seen so far?

Rajeev Mantri : Yes. So, like I had said earlier, I think this is within assumption that whilst we are clearly seeing that the risk is elevated and we have seen the impact of that in second quarter, and we expect that impact to come through in the third quarter as well. We do have a belief that by fourth quarter, the situation should start to turn around to some extent. That is a belief as of now.

However, as we have said that we will continue to monitor this. And if this becomes prolonged, we will certainly come back by the next quarter with an updated guidance.

Moderator : Ladies and gentlemen, we would take that as the last question for today. I would now like to hand the conference over to Mr. Ratan Kumar Kesh, MD and CEO, for closing comments.

Ratan Kumar Kesh: Thank you, everyone, for joining the call, and thank you for your continued support. We look forward to your support in future as well as we welcome our new MD and CEO and take this brand to a new level. Thank you so much.

Rajeev Mantri: Thank you, everyone.

Moderator : On behalf of Bandhan Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

Ref. No.: BBL/489/2024-25

February 04, 2025

BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 541153 National Stock Exchange of India Limited
The Listing Department
Exchange Plaza, C-1, Block G ,
Bandra Kurla Complex, Bandra (E) ,
Mumbai - 400 051
NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub.: Transcript of the Earnings Call on the Unaudited Financial Results for the quarter (Q3) and nine months ended December 31, 2024

In continuation to the letter bearing Ref. No.: BBL/ 484/2024-25 dated January 31, 2025 and pursuant to the provisions of Regulation 30 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed, the transcript of the Earnings Call hosted by Bandhan Bank Limited (the 'Bank') on Friday, January 31, 2025, on the Unaudited Financial Results of the Bank, for the quarter (Q3) and nine months ended December 31, 2024. Further, the same has also been uploaded on the Bank's website and can be accessed at the following link:

https://bandhanbank.com/sites/default/files/2025-02/Bandhan-Bank-Q3-FY25-Earnings-Transcript_0.pdf.

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhanbank.com.

Thanking you.

Yours faithfully,
for Bandhan Bank Limited

Indranil Banerjee
Company Secretary

Encl.: As above

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"Bandhan Bank Limited Q3 FY25 Earnings Conference
Call"

January 31, 2025

MANAGEMENT : MR. PARTHA PRATIM SENGUPTA - MD AND CEO,
BANDHAN BANK LIMITED

MR. RATAN KUMAR - EXECUTIVE DIRECTOR AND
CHIEF OPERATING OFFICER , BANDHAN BANK
LIMITED

MR. RAJINDER KUMAR BABBAR - EXECUTIVE
DIRECTOR & CHIEF BUSINESS OFFICER , BANDHAN
BANK LIMITED

MR. RAJEEV MANTRI - CHIEF FINANCIAL OFFICER ,
BANDHAN BANK LIMITED

MR. VIKASH MUND HRA - HEAD OF INVESTOR
RELATIONS , BANDHAN BANK LIMITED

Bandhan Bank Limited
January 31 , 202 5

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Moderator: Ladies and gentlemen, good day and welcome to Bandhan Bank Limited Q3 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then :0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Mund hra. Thank you and over to you, sir.

Vikash Mund hra: Thank you, Sejal. Good evening, everyone, and a warm welcome to all the participants. It's our pleasure to welcome you all to discuss Bandhan Bank's “Business and Financial Performance ” for the Quarter Ending December '24 . We appreciate your time and participation today.

We will take this opportunity to provide insight into our operational activities, including any significant achievements or challenges. We will also touch on market conditions, strategic initiatives, and any changes in our business environment.

To discuss all this in details, we have with us our MD and CEO – Mr. Partha Pratim Sengupta; Executive Director and Chief Operating Officer – Mr. Ratan Kumar ; Executive Director & Chief Business Officer – Mr. Rajinder Kumar Babbar ; Chief Financial Officer – Mr. Rajeev Mantri and myself Vikas h Mundra – Head of Investor Relations along with other Senior Management Team of the Bank . We will be happy to provide yo u with any clarity if required from the current quarter numbers and the way forward.

Now , I would like to request our MD and CEO – Mr. Partha Pratim Sengupta to brief you all on Bank 's Performance . Over to you, sir.

Partha Pratim Sengupta: Thank you, Vikash. A very good evening to you all, and wish you and your families all the very best for 2025. At the outset, let me welcome you to the Q3 Earning Call of Bandhan Bank and I look forward to regular interaction with you in the near future.

First, let me apologize that I suddenly developed a bell's palsy on my face. So, my words may get a little bit jumbled. So, kindly excuse me for that. As you all are aware, owing to the approval of the RBI, the board had approved my appointment as MD and CEO of the Bank , with effect from 1st November 2024, for a period of 3 years. Bandhan was born as a microfinance institution about 24 years ago. It was an NGO at that time. Later it evolved to an MFI and then to a universal Bank , and now is transitioning to a rapidly growing digital universal Bank with a focus on enhancing customer experience.

At this stage let me acknowledge the contribution of my predecessor Mr. Chandra Shekar Ghosh to the formation and growth of this institution. I also acknowledge the efforts of my colleague Ratan Kumar Kesh, our Executive Director and Chief Operating Officer and Rajinder Babbar, Bandhan Bank Limited

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Executive Director and Chief Business Officer in managing the bank during the months prior to my appointment. It is my privilege to lead Bandhan Bank, and I am confident that together with my team we will be committed to the execution of the Bandhan 2.0 Strategy

Let me start by giving a brief on my background :

I have been a probationary officer in State Bank of India and have been groomed in various fields both in retail and corporate and I rose up to the level of Deputy Managing Director and the Chief Credit Officer of the Bank . From there, I was appointed as the Managing Director and Chief Executive Officer of Indian Overseas Bank. And now I have been appointed as the MD and CEO of Bandhan Bank.

I'm proud of the team at Bandhan. We have the talent and the experience to deliver. As you may be aware, we have onboarded talent in the various verticals from the best institutions in banking, both pr

ivate and public sector banks and together with them, I'm confident that we will achieve the goal we have set for ourselves. Needless to add, the success of any organization depends on its people and I'm proud to say that in my experience over the last three months, I have seen a team which has the passion, commitment and the zeal to deliver.

Since the time I have been here, I have undertaken some few strategic decisions and would like to highlight them and just want to apprise you all that the steps that has been taken to help the Bank for the strength in its rule.

The first one is the formation of a Transformation Management Team.

The dedicated transformation management team will be essential for driving innovation, improving operational efficiency, and ensuring the institution adapts the fast-paced changes in technology, regulations, and customer expectations.

The transformation management team will spearhead the integration of the digital tools and automation, streamline process to reduce costs and enhance customer experiences by implementing personalized services.

Additionally, the transformation team will be tasked to foster a culture of compliance, agility, and continuous improvement. By driving strategic change and aligning new technologies with business goals, the team would help the Bank future proof its operations and stay ahead of the industry trends.

We have appointed a senior advisor, a reputed senior banker to work with our team and share his wide experience of having driven transformation projects in a large commercial Bank. The Transformation Management Office comprises a cross-functional team which will report to the Transformation Apex Committee which will be chaired by me.

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The second one is the formation of Digital and Transaction Excellence Unit (DTEU)

The Bank has created a digital and transaction excellence unit under the leadership of Executive Director and Chief Operating Officer to enhance focus, efficiency, and expertise in managing transactions in transaction banking, payment solutions, and digital customer journeys. It will also help in augmenting granular deposits and fee-based income through various transaction capabilities, payment products and digital solutions. DTEU team will build expertise, combining technical, functional, and commercial solutions catering to the corporate and consumer segment.

The third one is the setting up of a Market Intelligence Team

This team processes and synthesizes unstructured information in the public domain and outside on our commercial borrowers using generative artificial intelligence and large language models. This process helps in getting a holistic view of the new applicants, develops awareness in case of early warning signals about the existing portfolio and also facilitates taking appropriate risk mitigation steps, whenever necessary. It also helps to gauge the sentiment about our SME and corporate borrowers on a near real-time basis.

The next one is setting up of a Credit Administration Department

This is a strategic step to oversee and strengthen the Bank's credit processes and life cycle. This team will also handle areas like post disbursement monitoring, NPA monitoring, review and improvement of underwriting standards amongst others for the entire Bank's lending business across all verticals. This will help in the Bank's overall strategic alignment to enhance operational efficiency.

I also want to take this opportunity to outline some of the key areas of focus that will guide our strategy and ensure we continue to deliver sustainable value for our stakeholders:

Resilient Liability Franchise: The Bank will have a strong focus on garnering stable, granular retail deposits. As you will observe in Q3, our bulk deposits level have been marginally lower. This has been a conscious effort. We

will be endeavoring to drive deposit growth higher than

the advances growth to ensure long-term sustainability. We are confident of achieving this objective through leveraging our digital and branch network aided by cross-sell of deposits products across all asset teams.

Grow asset book with improved secure mix: The Bank is focusing on a more secular approach on asset growth with focus on the secured mix. We will focus on products like home loan, gold loan, auto and CV and CE i.e. commercial vehicle and commercial equipment, secure book of commercial banking segment. We are also looking to build a strong MSME book as it has a huge potential. We endeavored to achieve a secured mix of 55% plus by FY27. Growth in EEB book will also continue albeit at a relatively lower pace.

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Risk, Governance and Compliance: As carrier bankers, we understand the importance of risk and compliance. We are committed to embedding risk management and compliance into every

aspect of our business. This means enhancing internal frameworks, adopting advanced tools for real-time monitoring, and fostering a mindset across all levels of the organization where accountability and integrity take center stage. Our focus is on being proactive rather than reactive, ensuring we stay ahead of potential risks while maintaining the highest level of governance.

Enhancing Customer Experience : In today's world, the customer is at the heart of everything we do. Our focus is on creating seamless, personalized, and meaningful interactions at every touch point. We are leveraging customer insights, design products and services that meet evolving needs and expectations, ensuring a consistently superior experience. While digital expansion remains a priority, we are equally committed to optimizing and expanding our branch network to stay closer to our customers.

Improvement in Asset Quality : Asset quality continues to be a priority focus area. As we grow our loan book, we will continue to ensure that prudent underwriting standards and robust monitoring mechanisms guide every lending decisions. Relentless focus by frontline and dedicated collection teams will drive improvement in asset quality through lower slippages and improved collections. Enhanced usage and adoption of analytics along with the implementation of relevant technology tools will aid us in improving loan origination quality and boost collections.

Driving and improving Efficiency : Bandhan has a strong employee base. While we hire new talent, it is equally important to up-skill and re-skill the existing employee base to enhance productivity and efficiency for which the Bank is investing on training and development and also on cutting-edge technology and digital solutions. for enhanced customer service and operational efficiencies.

Let me now move to the quarterly performance of the Bank :

In recent times, the banking sector has faced tight liquidity conditions and an extremely competitive landscape for Bank deposits. Further, in the current year, the microfinance sector has been facing headwinds and witnessing elevated risks in the portfolio quality. We continue to focus on building the liability franchise and our growth in deposits exceeds the growth in advances. In this quarter, advances book was at Rs. 1.32 lakh crore with a Y-to-Y growth of 14%. On the deposits side, deposits stand at Rs. 1.41 lakh crore with a Y-to-Y growth of 20%, which is higher than the advances growth.

The degrowth over the last quarter in deposits is largely driven by the reduction in bulk deposits, which has been taken as a strategic decision. Our share of retail deposits, CASA plus retail term deposits is now 69%. CASA deposits grew 6% Y-to-Y with CASA share of nearly 32%.

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We are making steady progress on our diversification

agenda, whereby in this quarter, we have grown our secured books by 34% Y-o-Y improving the secured mix further to 49%. As we look ahead, we will continue with further diversification on the asset book, through faster growth in secured advances and moderate growth in EEB advances.

As a result, with an increased share of secured advances, we would expect the NIMs to moderate in future to reflect the underlying risk without losing focus on the need to achieve our return on assets. The deposit market continued to be competitive, resulting in slightly higher cost of funds. This along with a faster change in product mix in favor of secured assets impacted yields, and together with higher slippages led to the moderation of the yields to 6.9% in Q3 FY25. However, on a 9MFY25 basis, NIM still remains healthy and stable at 7.3%.

Net total income in Q3 FY25 was Rs. 3,926 crore, an increase of 28% Y-to-Y. This includes one-off gain of Rs. 538 crore on account of CGFMU payout and Rs. 52 crore received from Assam government. During the quarter, we also had few one-offs, which our CFO Rajeev will explain in detail.

We are committed to focus on asset quality. While currently, credit costs are a bit elevated, we stand by our endeavor to target lower credit costs over the next few quarters. So, if you look at the nine months performance, the credit cost has come to 2.6%. Net NPA level is at 1.3%. Gross NPA level is at 4.7% and we have technically written-off Rs. 1,266 crores during the quarter.

The PCR, including the write-off, is at 85% versus 70% a year back.

In Q3 FY25, the Bank reported a PAT of Rs. 426 crores and in 9MFY 25, the PAT is at Rs. 2,427 crores, a growth of 12% Y-on-Y. On a 9MFY 25 basis, we reported an annualized ROA of 1.8% and ROE of 14%, which we believe is comfortable considering the elevated stresses in the microfinance segment.

In a nutshell, I would say we have had a tough quarter, rather I would say it's a more challenging quarter, but given the guardrails and efficiencies we have built into our operations, I am confident we will make significant strides in achieving the targets set in the Bandhan 2 strategy. I now hand over to Rajeev Mantri – CFO, to take you through the details of the Q3 Financials.

Thank you.

Rajeev Mantri : Thank you, Partha sir. And welcome everyone to the Earnings Call .

Before I deep dive into the business numbers, let me begin highlighting the few one-offs that we had during the quarter. In the non interest income we had two one offs which had a positive impact on our overall P&L. Firstly , we received the claim payout from C GFMU stands for credit guarantee funds for micro units and the total income booked on account of the same is Rs. 538 crores. Second, we received a net amount of Rs. 52 crores against microfinance loans from the Assam government under the Assam Relief Scheme .

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In the provision line item, we had two one -offs. First, we did a technical write -off of Rs. 1,266 crores in the EEB portfolio, as a result of which an incremental provision of Rs. 336 crores was made during the quarter . Second, there is a provision of Rs. 30 crores relating to non -banking assets which also was done during the quarter.

The last one off was relating to the staff expenses wherein we had a one off of Rs. 166 crores on account of change in accounting policy with respect to ESOPs, Employee Stock Option Plans. We do not foresee any such material costs in the near future for the same.

With that, let us move to the business numbers for the quarter , starting with advances . As of December 2024, gross advances totaled Rs. 1.32 lakh crore, a growth of 14% year -on-year and 1% quarter -on-quarter. However , if we adjust for the Rs. 1,266 crores of write -off done during the quarter, growth in gross advances would have been higher at 15% year -o

n-year and 2%

quarter -on-quarter respectively.

In line with the strategic plan of product diversification, the focus is on growing the share of secured book such as housing, commercial banking and secure retail products. During the quarter, growth in advances was primarily supported by growth in the secured asset books which grew by 34% year -on-year. Our secured book now constitutes nearly 49% of total advances.

During the quarter, EEB portfolio witnessed a decline of 3% year -on-year and 5% quarter -on-quarter at Rs. 56,118 crores as a result of portfolio controls in the wake of elevated risks in the industry. However, if we adjust for the write -off, EEB book would have been largely flat on a year-on-year basis.

Growth in the non -EEB book representing 58% of advances , was strong at 30% year -on-year and 6% sequentially. This was contributed by retail assets which grew at 95% year -on-year, commercial banking assets which grew 38% year -on-year and housing which grew at 19% year -on-year adjusting for the IB PC portfolio. Retail asset growth is driven largely by auto loans, commercial vehicle and equipment and gold loans.

From a business mix perspective, EEB group lending now constitutes 27% of the total advances, small business and agri loans at 15%, commercial banking 26%, housing 25% and retail assets 7% respectively.

The Bank has also made good progress on geographical diversification, whereby share of advances in the East and North East regions have reduced by 14% from around 53% in FY2022 to 39% by this quarter. And it has increased in North, West and South regions by 3% , 3% and 7% respectively over the same period. The top five states, namely West Bengal, Maharashtra, Bihar, Gujarat and Madhya Pradesh contributed 59% of the gross advances. West Bengal contributed 23% of advances versus 25% in Q3 FY24.

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I will move over to liabilities :

As of December 31, 2024, total deposits stood at Rs. 1.41 lakh crore as against Rs. 1.17 lakh crore in the previous year, same quarter, a growth of 20% Y-o-Y, which is higher than our advance growth. The Bank continues to focus on granular and stable retail deposits. The total retail deposit, which is CASA, plus retail term deposits grew by 16% year -on-year of which the growth in the retail term deposits was higher at 26% year -on-year.

CASA deposit stood at Rs. 44,735 crore which increased by 6% year -on-year. The growth is on the softer side but it is largely in line with the industry trend we see on CASA. Within CASA, savings accounts have grown by 8% year -on-year and the Bank continues to focus on building relationships across its customer base , strengthen its value proposition and garner new customers. The CASA ratio stands at 32%.

Though the share of CASA has declined on sequential basis, we have witnessed strong growth of 6% quarter -on-quarter in the retail term deposits leading to increase in the share of overall retail deposits which stood at 69% versus 68% in the previous quarter. The top five states,

namely West Bengal, Maharashtra, UP, Odisha and Delhi contributed 65% of total deposit. West Bengal contributed 40% of the deposits versus 42% a year ago reflecting the reduced geographic concentration .

I will move on to collections and asset quality :

The Bank 's overall collection efficiency , excluding NPA , in Q3F Y25 was marginally lower at 97.6% as compared to 98.2% in Q2F Y25. For the EEB book, the collection efficiency (excluding NPA) in this quarter declined to 97.4% vs. 98.1% in the previous quarter reflecting the stress in MFI segment . Collection efficiency for the non -EEB book also declined to 98.3% in Q3 FY25 vs. 98.7% in Q2 FY25. I would however mention that the collection efficiency in West Bengal and Assam have largely remained stable at 98.8% and 99.2% respectively over the last couple of quarters. We have

however seen some deterioration in the rest of India in the book from a collection efficiency perspective from 97.2% in Q2 FY25 to 96.3% in Q3 FY25 .

On the asset quality front, the Bank has seen incremental stress this quarter higher than expectations . The gross slippages for this quarter was Rs.1,621 crores. The increase was primarily in the EEB book , where it increased to Rs.1, 196 crores as compared to Rs.752 crores in the previous quarter. Upgradation in recovery was also lower at Rs. 282 crores vs. 304 crores in Q2 FY25 resulting in further increase in net slippages.

The overall EEB DPD pool , which is SMA0 , SMA1 and SMA 2 was at Rs. 2,118 crores representing 3.8% vs. 3.3% of EEB advances in the last quarter and reflecting an absolute increase of Rs. 134 crores quarter -on-quarter. Within this, the SMA 1 & SMA2 buckets witnessed upticks.

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SMA -1 book increased by Rs. 98 crores from Rs. 563 crores representing 0.9% in Q2 FY25 to Rs. 661 crores representing 1.2%. And for SMA -2 book, it increased by Rs. 113 crores from Rs. 538 crores which is 0.9% in the last quarter to Rs.651 crores which is 1.2% in this quarter.

We have , however , seen positive traction on the SMA -0 bucket whereby the SMA -0 book has decreased by Rs.77 crores from Rs.883 crores 1.5% in last quarter to Rs.806 crores which represents 1.4% in this quarter. This is an early indication of the containment of movement from Standard Book to DPD book. While these are early days, we are working hard on the collection mechanism to enhance the overall portfolio quality of the EEB book and will be very watchful of the risk which is there in the industry. Given the higher gross slippages and lower recoveries and upgrades, credit cost for this quarter was higher at 4.1%. Excluding the impact of technical write -off, this would be at 3.1%.

For the nine months ended December 2024, the credit cost was at 2.6% and excluding the impact of the technical write -off it would be at 2.2%. Gross NPA ratio as at the end of December '24 was 4.7%, net NPA was 1.3% and PCR excluding write -off was 73.5% and including the write -off was 85.4%.

I will move to profitability :

Coming to the Quarterly P&L , NII at Rs. 2,830 crores grew by 12% year -on-year. Sequentially, there was a decline of 4% and that's primarily on account of the change in product mix towards higher secured and the impact of higher slippages. Our net interest margin (NIM) for the quarter was 6.9% compared to 7.4% in the previous quarter. The sequential decline of 50 basis points in NIM is primarily contributed by the impact of the change in advances mix towards more secured as well as the higher slippages, as I mentioned. On a nine month basis, NIM was stable at 7.3%, which is within our guided range of 7 % to 7.5% for this financial year.

Our net total income in Q3 FY25 was Rs. 3,926 crores, an increase of 28% year -on-year. This includes the one -off gain of Rs. 538 crores on account of C GFMU payout and net Rs. 52 crores received from the Assam government as we highlighted earlier. Operating expenses grew by 35% Y-o-Y. However, if we net out the impact of the ESOP accounting change of Rs. 166 crores, the year on year growth in expenses would be 23%. The increase in the expenses is a result of investment in technology as well as growth in the volume growth for other than the EEB business. During the quarter , the operating expenses to average asset ratio was at 4.2% and adjusted for the one -off this would stand at 3.8%. For nine months basis the OPEX to asset ratio was 3.9% adjusted for one -offs it will be 3.8%.

Provisions during the quarter was Rs.1,376 crores. As we mentioned earlier, this included one -offs relating to the technical right of impact, which was Rs.336 crores and Rs.30 crores pertaining to non -banking assets. We have been very prudent in making

provisions on the EEB

portfolio in view of the uncertainty and the stress we are seeing in the MFI sector. Overall, as a result, operating profit for the quarter was Rs.2,021 crore registering a growth of 22% year -on-

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year and a net profit was Rs. 426 crores in the quarter compared to Rs. 733 crores in the Q3 FY24. The lower profit is primarily on account of higher provisions due to the stress in the MFI portfolio and the impact of the technical write-offs that we are taking.

Quickly moving on to the 9 months profitability :

For the 9 months entry December '24 , NII was Rs. 8,784 crores , a growth of 18% year on year, net total income as Rs 11,002 crore, a growth of 23% year -on-year and operating profit at Rs 5,817 crore, a growth of 21% year -on-year. The Bank reported a net profit of Rs. 2,427 crores in 9MFY25 compared to Rs. 2,175 crores in 9 MFY24 which represented a 12% year -on-year growth. Return on asset was at 1.8% and return on equity was 13.8% for the 9 months on an annualized basis.

Lastly on capital adequacy, the CR AR was at 16.1% including the profit for these nine months and that increased from 15.6% in the last quarter.

On behalf of the Management Team , I would once again thank you all for participating in this call, and we can now open up for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press “*” and “1” on their touch -tone telephone. If you wish to remove yourself from the question queue, you may press “*” and “2”. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the questi on queue assembles. First question is from the line of Hardik Shah from ICICI Securities. Please go ahead.

Hardik Shah: Hi, good evening and congratulations on your appointment and heading this Bank . I have a few questions. First, I think in your opening remarks you mentioned that secured share will rise from currently 49% to 55% plus. So, point well taken, sir. Just wanted to check how would you view the share of EE B? Because I think in your unsecured, you have some proportion of the retail unsecured also . So, just wanted to check by FY27 end or maybe FY26 end, how do you see the EEB share?

Partha Pratim Sengupta: So, let me tell you as a strategy, we are now going secular on all the areas. So, our, I would say the focus will be equally on the other segmen ts, there is the housing loan segment, the retail segment, and especially on the gold loans, and also on the commercial loans and the MSMEs.

So, EEB, one thing just I want to tell you, that E EB is always has been the asset of the Bank and will continue to be an asset. But if I grow say 1 x in EEB, I will grow 3 x in the other segments.

So, that is our very clear cut strategy and accordingly we have framed it and today if you look at our figures also, we have already increased our secured percentage from 42 % in FY24 to 49 % in Q3FY25 . So, if we continue with this trend only, it's 55% + what we are focusing will be achieved by FY27 .

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Hardik Shah: Right. So, sir, I mean, 49 % going to 55% plus, this is a straight away reduction in the EEB book, right? I mean, assuming the retail...

Partha Pratim Sengupta: No, again I'm just making it clear. It is not a reduction in the EEB book quantum -wise. It is a percentage growth in the other segment is higher than the EEB growth. So, that's what I say, if I grow 100 in EEB, I will grow 300 in the other segments.

Rajeev Mantri: Just to supplement, what we have see ing is that EEB book will also grow, but at a more moderate pace and our secured book will grow at a much faster pace and as a result of wh ich the mix will increase for the secured book .

Hardik Shah: Right, okay. And s

ir, secondly on MFI disbursement, so usually the fourth quarter continues to be very strong in terms of disbursement. And this year, of course, the situation is very different. How would you look at the disbursement for the current quarter, I mean, Q4? Should it be, I mean, how would you look at that?

Partha Pratim Sengupta : No, so definitely it would not be as aggressive as we have done it in the past, it would be moderated. And we have already, because of the increase in the delinquencies, because of, I would say, the increase in the slippages, we have put in some guardrails. So, since the guardrails have already been implemented, this will obviously lead to some moderation. So, in the current year, the disbursements would be much more moderated, and definitely it would be not at the same level as we have done in the last year.

Rajeev Mantri : Just to add Har dik, having said that since EEB by and large quarter four is the largest quarter for us in terms of disbursement, we are expecting sizable amount of renewals. There also as we said, we will implement the guardrails, but the numbers will obviously be available for us on renewal for the good quality borrowers .

Partha Pratim Sengu pta: We will be very calibrated in the strategy on how to grow on the EEB considering the risk in the

segment.

Hardik Shah: Right. But sir, it should still be better versus 3Q, right, wherein we have done some Rs. 12,000 crores.

Rajinder Kumar Babbar : Yes, definitely because as the MD sir has said, we are going for a balanced growth as compared to the EEB, the secured sector moves faster, so definitely we will disburse in the EEB book in this quarter. And we are expecting a little growth, but not as compared with the last year.

Hardik Shah: Right. Sir, on MFI slippages, right, EEB slippages, so we have seen some improvement in SMA -0, but SMA -1 plus 2 is more or less stable. How should we look at the MFI slippages in Q4 and maybe Q1 when tighter guard rails come into picture? So, would it be fair to assume the, maybe the similar forward flow to SMA to NPA, until the time we get more comfortable in the external

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environment or you think we have reached to a level wherein SMA to NPA should start seeing some improvements?

Partha Pratim Sengupta: So, let me tell you that slippage still a matter of concern. So, maybe the level of slippage could not be 1,196 in EEB book, what we have witnessed in Q3, but it will be substantial. So, the thing is that not much improvement in the slippages. May not be Rs. 1200 crores, maybe close to Rs. 1000 or maybe like that. But slippages, we are seeing the trend, but at the same time as you are witnessing, you see that our SMA -0 book is improving. So, towards delinquency that percentage is coming down. But those which have already slipped to SMA -2 likely chance that most of them would be actually be slipping. Likely chance is that. Because we have also put some guardrails whereby these borrowers may not get an additional finance, at least from us. So, there are chances. So, we are taking that calculated risk. But the trend is reversing. That trend is also we are witnessing. So, we are expecting Q1 of next financial year would be probably a much, much, we will have a much, much lower slippage.

Rajeev Mantri : I think just to supplement as MD sir mentioned the SMA -0 bucket we have seen slight improvement, having said that, I think the risk in the industry does continue, so that will have an impact like we have seen this quarter, so I think that impact could come through and we will be continuously monitoring how the DPD buckets actually move.

Hardik Shah: The last question is on OPEX. So, if I adjust this ESOP adjustment, even then the OPEX growth will be around 22% roughly, which is clearly higher than the loan growth and maybe topline growth. Given the phase where we are

in terms of capacity building and investment, this OPEX

growth may continue to remain at maybe this adjusted level of 20 %-22% and higher than loan growth, will that be a fair assumption?

Partha Pratim Sengupta: So, if you look at the OPEX growth, you'll find that already the growth on account of HR, that is the salary and other allowances on the account of employees, this is already almost stagnant, it's only a 12 -15 crore growth compared to the previous quarter. Just if you remove that case of accounting. The main growth is due to that Rs. 166 crores one-time accounting. So, the growth is because you see one year back, we were creating the systems. So, we have to take new talents, take new people, and also we have to invest a lot on technology. So, these things will now give you the return. So, maybe say another two quarters or so, for that year you will get a much, much more return and then the percentage growth will be much, much lower. Investment with technology will continue to grow. So, that we cannot avoid because if we want to remain in the present banking scenario, we have to make a lot of investments in technology. That will continue to grow. In respect of other expenses, I think that will be moderated. That will definitely come in because productivity will also increase.

Moderator: We will move on to the next participant. The next question is from the line of Vatsal Shah from Knightstone Capital. Please go ahead.

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Vatsal Shah: Hello, congratulations for your appointment. So, I wanted to know the average maturity of our EEB portfolio?

Rajeev Mantri : Maturity on?

Vatsal Shah : Of EEB portfolio.

Partha Pratim Sengupta : So, the product is mainly maximum is two years.

Partha Pratim Sengupta: And average is around 18 months.

Rajeev Mantri : Product tenure varies from one year to two years

Vatsal Shah: Okay and if we refer to the slide which is Bandhan plus two and three, so is it a percentage of borrowers or is it a percentage of our AUM?

Vikash Mundhra : Percentage of AUM.

Vatsal Shah: Okay. And lastly on the yield side, so what is our yield on the EEB book I mean what yields do

we operate at?

Vikash Mundhra : Disbursement yield is 22.95%.

Vatsal Shah: Okay, and are we seeing any downward revisions in terms of the yield currently?

Rajeev Mantri : 22.95 at the time of the disbursement. On an average the yield for the quarter was about 20.3%.

Vatsal Shah: Okay, on a 2-3 year basis, so we are going to shift our portfolio from unsecured to secured. And along with that, the MFI yields also are going to get depressed due to the guardrail rule coming up. So, how are we looking at our NIMs shaping up in the next 2-3 years? Because most probably it will take a hit?

Partha Pratim Sengupta: Yes, so you see, none of the universal banks give such a high NIM. I think Bandhan, the current quarter NIM 7.3 is not for Universal Bank. So, we have to accept that, number one. Number two is that, as we go more secular and we do more secured business, this NIM is definitely going to be moderated. So, that trend is also visible right now also, 7.3 %, so it has come down to 6.9 % during the quarter. So, that will be a little bit more moderated in the coming quarters, no doubt on it. But again, having said so, our focus is to see that our ROA remains as close to 2%. That is our focus. So, that will be achieved through more quantum of business. So, we have to increase our liability size, and at the same time, we need to increase our asset size. So, that will only give us the, and also control the slippages. So, these three steps actually will give me an ROA of around 2%. So, that's what we are aiming. The NIM, if you look, I would say, as an individual item, yes, it is definitely going to be moderated in the future months.

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Vatsal Shah: Got it. That was helpful. Thank you.

Moderator: Thank you. Next question is from the line of Roshni from CLSA. Please go ahead.

Roshini: Hello, team. Good evening. Thank you so much for the opportunity to let me ask a question. I just wanted to understand that you mentioned putting in some guardrails. I just wanted to check if we are currently aligned with the 2 plus 1 member rule in MFI or is that something that's going to come in for us from April 1st onwards?

Partha Pratim Sengupta: So, the industry is still doing 3 plus 1, but we are doing 2 plus 1. So, that is one. Our s is a little bit tougher than the industry. Number two is that, the industry is giving a DPD of 60 days whereas we are taking it as a 30-day. So, we are not giving any loan to a borrower who has a record of a 30-day DPD. So, these are some of the things. Apart from that, we are in-sync with the industry that the indebtedness of a borrower from all sources, including unsecured loans, should be 2 lakhs. So, the cap is kept at 2 lakhs. So, these are the guardrails already proposed, which will definitely moderate, and which will only give us good quality of advances. That much I can say.

Rajeev Mantri : And Roshni, if you look at page 21 of the investor deck, we have mentioned that based on the scrub of our portfolio, almost 92% of our portfolio of EEB is Bandhan Plus 2. Yes. As a policy, we always follow that, but after taking loan from us, some people can go to other lenders and take a loan, and that's what reflects what the other portion could be. But it is just less than about 8%, which is greater than Bandhan Plus 2.

Roshini: Understood. Thank you so much. If you could just mention what the interest reversal for this quarter has been like. Interest reversal, do you have any data?

Rajeev Mantri : Roshni, will come back on that point.

Rajeev Mantri : So, the interest reversal for the quarter was around Rs. 69 crores.

Roshini: Alright. Thank you so much.

Moderator: Thank you. The next question is from the line of Vinayak Agrawal from Jefferies. Please go ahead.

Vinayak Agrawal: Good evening. Thank you for the opportunity and congratulations on your appointment. I have two questions. So, the share of secured loans will continue to inch up from current levels of 49 % to 55 % and NIMs as a result will moderate, could you also comment on how this will impact credit cost in the FY25?

Partha Pratim Sengupta: Credit cost has very little to do with secured or unsecured advances. Credit cost is more, depend on two factors. One is your total advances and the loan loss provision. So, we are very clear that

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we want a growth in the asset portfolio. So, maybe it may be in the form of secured assets. But we want a growth in the asset portfolio. And number two, we want a reduction in the slippages. So, if we can achieve a reduction in slippages, our provisions for loan loss will also come down. So, that will definitely improve our credit cost. So, we have an internal target of achieving a credit cost of 2%. That's where we are now working at it.

Vinayak Agrawal: Secondly, sir, if you look at the collection efficiency, we have seen a dip for the month of

December versus September. Could you please explain what is driving this and what's your outlook here? That would be my questions.

Vishal Wadhwa : The collection dip that happened in Quarter 3 compared to quarter two was marginal, specifically in certain geographies of UP, Tamil Nadu, Maharashtra, and Gujarat for us. What we have seen is in the month of January, the collection efficiencies have been better in comparison to December month. So, and you will see that that SMA -0 also came down in the month of December, and that traction is also happening in the month of January is what we see. So, like we said, there is what we see in terms of the go f

orward, the elevations will start slowly tapping up and the bucket delinquencies will come down in due course of time.

Rajeev Mantri : Vinayak, just on your previous question, as we see the stabilizing of the microfinance industry, our credit cost expectation in the near future will be around 2% overall for the portfolio and by FY27 with the shift in secured, I think we expect it to be between 1.5 % to 1.6%.

Vinayak Agrawal: Thank you so much.

Moderator: Thank you. The next question is from the line of Jayaprakash from L&T . Please go ahead.

Jayaprakash: Thank you so much. As per the current scenario, this Karnataka ordinance has to come out now. So, today and tomorrow, I think we will get the blueprint of that. But the scenario, what is happening is, so have you taken some pre cautions or have taken some steps towards that how to tackle this?

Partha Pratim Sengupta: So, if you just look at it, our Karnataka portfolio is only Rs. 740 crores out of total EEB portfolio of Rs. 56,000 crores, so which is very small and ~13% of which is now delinquent. So, it is more or less as we have been telling that what is happening in the rest of India apart from Bengal and Assam, the trend is almost in line with that. So, we do not perceive any major risk on account of the legislation that may come. We will wait for the legislation which is coming. But as of now, because our portfolio is very little, it is only Rs. 740 crores out of Rs. 56,000, and also the delinquency trend is more in line with whatever is happening in the rest of the country, we are not very much concerned about it. But nevertheless, we will definitely look what are the legislations, what are the terms of the legislations, what it is coming and how it is going to impact us.

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Vishal Wadhwa : To supplement what I can add , that the legislation is mainly towards unregulated REs. And what we have done for the regulated REs , obviously we will adopt that. Our portfolio is much smaller then, and what we have done as a proactive measure is to prioritize ensuring that we work towards protecting our portfolio and looking at stalling the growth if need be so, but look at ensuring the portfolio is protected. And out of the Rs. 740 crores, the group lending piece is only Rs. 400 crores. Microfinance by definition is only Rs. 400 crores.

Moderator: Thank you. The next question is from the line of Puneet from Macquarie Capital. Please go ahead.

Puneet: Thanks for taking my question. Just wanted to know how much slippages are there from the EEB book? Like if you could give comparison between Q2 and Q3 ?

Rajeev Mantri : 1,196 is from the EEB book.

Rajeev Mantri : So, the slippages in the EEB which is Group plus SBAL (Small Business and Agri Loans) both is Rs. 1,196 crores in this quarter and in the last quarter, which is Q2 FY25 was Rs. 752 crores.

Puneet: Okay, also sir your SMA -0 has declined but your SMA -1,2 has increased . So, just wanted to get some colors like do we expect more forward flows into the Stage 3 book ? Has the Stage 3 peaked? What are you seeing? The credit cost, I know you guided for FY26 is 2%, but just for a Q4 guidance, do we see incremental slippage is declining, especially from the EEB book? Any color on that?

Partha Pratim Sengupta: We are expecting decline in the incremental slippage, but as I've said that the greatest comfort is that the SMA -0 book is declining. That means the tendency towards delinquency is coming down. That is the greatest comfort . SMA -2 I think a majority of them would that we are already taken into account . But going forward again from Q1, we expect that the cycle would just be reversed, and the slippages would be much, much less.

Puneet: Got it, sir. That's it from my side.

Moderator: Thank you. There are no further questions from the participants. I would now like to hand th

e
conference over to the management for closing comments.

Rajeev Mantri : Thank you. I'd like to thank all the investors and everyone to join this call and like MD sir to say something.

Partha Pratim Sengupta: Yes. So, this was my first Investors Call after taking over the charge of MD & CEO of Bandhan Bank. Thank you all for participating. And to all the investors, I can assure that Bandhan will continue to grow from strength -to-strength. Thank you all.

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Moderator: Thank you. On behalf of Bandhan Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

Ref. No.: BBL/SEC/019/2025-26

May 07, 2025

BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 541153 National Stock Exchange of India Limited
The Listing Department
Exchange Plaza, C-1, Block G ,
Bandra Kurla Complex, Bandra (E) ,
Mumbai - 400 051
NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub.: Transcript of the Earnings Call on the Audited Financial Results for the quarter (Q4)
and Financial Year ended March 31, 2025

In continuation to the letter bearing Ref. No.: BBL/ SEC/016/2025-26 dated April 30, 2025 and pursuant to the provisions of Regulation 30 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed, the transcript of the Earnings Call hosted by Bandhan Bank Limited (the 'Bank') on Wednesday, April 30, 2025, on the Audited Financial Results of the Bank, for the quarter (Q4) and Financial Year ended March 31, 2025. Further, the same has also been uploaded on the Bank's website and can be accessed at the following link:

https://bandhanbank.com/sites/default/files/2025-05/Bandhan-Bank-Q4-FY25-Earnings-Transcript_0.pdf.

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhanbank.com.

Thanking you.

Yours faithfully,
for Bandhan Bank Limited

Indranil Banerjee
Company Secretary

Encl.: As above
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"Bandhan Bank Limited
Q4FY25 Earnings Conference Call"
April 30, 2025

MANAGEMENT : MR. PARTHA PRATIM SENGUPTA -- MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER –
BANDHAN BANK LIMITED
MR. RATAN KUMAR KESH – EXECUTIVE DIRECTOR
AND CHIEF OPERATING OFFICER – BANDHAN BANK
LIMITED
MR. RAJINDER KUMAR BABBAR – EXECUTIVE
DIRECTOR AND CHIEF BUSINESS OFFICER – BANDHAN
BANK LIMITED
MR. RAJEEV MANTRI – CHIEF FINANCIAL OFFICER –

BANDHAN BANK LIMITED
MR. VIKASH MUNDHRA – HEAD, INVESTOR
RELATIONS – BANDHAN BANK LIMITED

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Mod erator: Ladies and gentlemen, good day and welcome to the Bandhan Bank Q4FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Mundhra, Head, Investor Relations. Thank you, and over to you, sir.

Vikash Mundhra: Thank you, Sejal. Good evening everyone, and a warm welcome to all the participants. It's a pleasure to have you with us today as we discuss Bandhan Bank's business and financial performance for the quarter and the full year ending March 2025. We sincerely appreciate your time and participation.

Today, we will take this opportunity to provide insight into our operational activities, significant achievements and challenges, as well as offer perspective on market conditions, strategic initiatives and any notable changes in our business environment.

To walk you through all these details, we are joined by Mr. Partha Pratim Sengupta, Managing Director and CEO; Mr. Ratan Kumar Kesh, Executive Director and Chief Operating Officer; Mr. Rajinder Kumar Babbar, Executive Director and Chief Business Officer; Mr. Rajeev Mantri, Chief Financial Officer; myself, Vikash Mundhra, Head of Investor Relations; and our senior management team at Bandhan Bank. We are happy to answer any questions or provide additional clarity on the current quarter's performance and our outlook moving forward.

Now I would like to invite our Managing Director and CEO, Mr. Partha sir, to brief you all on bank's performance. Over to you, sir.

Partha Pratim Sengupta: Thank you, Vikash. A very good evening to you all. At the outset let me welcome you to the Q4 earnings call of Bandhan Bank. While my colleague and CFO, Rajeev Mantri, will walk you through the detailed Q4 financials, I would like to highlight a few key points from our recent performance, and then I'll share our strategic vision for the next 2 to 3 years.

As we've discussed in previous quarters, the microfinance sector has faced significant stress, and the overall liquidity tightness in the system has impacted both growth and profitability at an industry level. However, I'd like to note that recent regulatory and monetary actions have been positive, and we expect to see gradual steady improvement in the MFI segment in the coming few months.

With the ongoing challenges in the microfinance sector, our team has worked well to manage the situation. During the quarter, while, loan growth and profitability showed moderate progress vs. our guidance, we remain encouraged by the continued resilience across key operational metrics. Notably, we observed (a) a consistent increase in the share of the secured loan book ; (b) robust growth in retail term deposits ; and (c) a reduced reliance on bulk deposits - which contribute to a more diversified book and a stable & sustainable funding profile.

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Even with elevated slippages, headline GNPA and NNPA ratios remained broadly stable on a sequential basis, underscoring effective asset quality management. Additionally, our strong capital adequacy position provides a solid foundation for sustained growth and improved performance in the coming quarters.

Despite heightened stress in the MFI segment during the second half of the year —resulting in elevated credit costs and moderate growth - the Bank navigated these challenges with resilience and focus. I am pleased to report that for the full year FY25, we delivered a reasonably strong performance. A snapshot of the same is (a) Net Interest Income was INR 11,491 crore

more a growth

of 11% ; (b) Net Total Income was INR 14,458 crore a growth of 16% ; (c) Operating profit was at INR 7,389 crore a growth of 11% ; (d) Profit after tax was at INR 2,745 crore a growth of 23% YoY ; and (e) RoA of 1.5% and RoE of 11.6% for the full year.

Now, let's turn to the broad numbers for Q4 . As of March 31, 2025, our advances book stood at INR 1.37 lakh crore, reflecting a year -on-year growth of 10%. On the deposits side, deposits have reached INR 1.51 lakh crore, showing a YoY growth of 12%, which outpaces the growth

in advances. We remain focused on strengthening our granular liability franchise, and our deposit growth continues to outstrip the growth in advances. We continue to make steady progress on our diversification strategy. In this quarter, our secured book grew by 32% YoY, improving the secured mix to 50.5%, compared to 42% in FY24.

Retail term deposits grew strongly at 30% YoY, highlighting the growing trust and engagement from individual customers. CASA deposits now represent 31% of the total deposit base, bringing the total share of Retail Deposits (CASA + Retail Term Deposits) to 69%. This marks a significant improvement in the granularity and stability of our deposit base. Additionally, we've effectively managed our funding mix by containing bulk deposits to 31% of total deposits, further reducing concentration risk and enhancing balance sheet resilience.

We remain firmly committed to maintaining asset quality. While credit costs remain elevated at present, we are focused on bringing them down over the couple of quarters. During the quarter, we have technically written off INR 1,136 crore. Despite an increase in slippages and higher upgrades & recoveries, our headline asset quality remains largely stable with Gross NPA at 4.7% and Net NPA at 1.3%. PCR (incl. the technical write-off portfolio), was higher at 86.5%.

For Q4 the Net Total Income in Q4FY25 was INR 3,456 crore and operating profit was at INR 1,571 crore. The bank reported PAT of INR 318 crore for the quarter. This, if you compared to the last year, it was very negligible at INR 55 crores because of the onetime write-off taken in the last quarter of the previous financial year.

As previously communicated, in Q1FY25, the Bank adopted a conservative approach by increasing the risk weight on the EEB (Emerging Enterprise Business) portfolio from 75% to 125%, which led to a 362-basis point reduction in our overall capital adequacy ratio. However, in February 2025, the RBI clarified the risk weight norms, reducing them to 100% or 75% for MFI loans based on certain eligibility criterion. This regulatory clarification has had a favourable impact on our capital ratios with CAR at 18.7% and Tier I at 17.9%, further strengthening our capital position and providing additional headroom for growth.

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Furthermore, I am pleased to inform you that the Board of Directors has recommended a dividend of INR 1.50 per share, subject to the approval of the shareholders at the forthcoming Annual General Meeting.

Looking forward, as the MFI environment stabilizes, we are confident that we are well-positioned to take advantage of the emerging opportunities. Our focus will remain on sound risk management, exploring new growth avenues, and continuing to enhance operational efficiency. Moving ahead from the Q4 financials, as you may recall from our last quarterly call, I had mentioned about a few strategic initiatives like the formation of the Transformation Management Team, the Digital & Transaction Excellence Unit, the Market Intelligence Team, and the Credit Administration Department — all aimed at further strengthening the bank's franchise. I would like to take a few minutes to update you on the progress we've made in these areas. The Transformation Management Team has embarked on a forward-looking transformation journey

by driving innovation in the bank, through focus on modernizing our technology, optimizing processes, evolving capabilities, and innovating our business and operating models. Key initiatives include expanding retail liability sourcing through our Banking Units, modernizing credit underwriting with business rule engines and analytical tool-driven scorecards to enable seamless digital processing.

We're upgrading all digital platforms to align services, channels, and customer needs for a smoother journey. Additionally, we're rolling out state-of-the-art Digital Banking Units and integrating emerging technologies like QR codes, WhatsApp banking, and facial recognition to boost customer convenience, operational efficiency, and risk management.

At the core of this transformation is a culture of agility and continuous improvement, reflected in our internal workplace digitization efforts and the strategic use of technologies like AEPS. Altogether, these efforts are setting the stage for a smarter, faster, and more customer-centric organization.

The Digital & Transaction Excellence Unit is driving digitization efforts and has successfully completed a closed user group rollout of QR code-based collections for our micro banking customers, enhancing field-level collections. We are now set to gradually scale this initiative across our network. In parallel, we are making steady progress on key digital liability onboarding journeys, including savings and current account openings. In the government payments ecosystem, we have expanded our capabilities beyond GST and CBDT integrations. Notably, we have gone live with our partnership with SBI ePay, which has enabled us to gain access to the West Bengal GRIPS platform, further strengthening our presence in this space.

Now I will spell out the strategic priorities for the next 2 to 3 years. Over the next couple of

years, our strategic priorities will centre on achieving deposit growth that outpaces advances growth, with a strong emphasis on stable, granular retail deposits. We aim to expand our asset book with an improved secured mix, enhance asset quality, and continue investing in technology to elevate both customer experience and operational efficiency. Guided by a clear roadmap that

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embeds risk management and compliance into every facet of our operations, we remain optimistic about unlocking greater value for all our stakeholders.

Given the current macro-economic environment, we are targeting an advances growth of 15 – 17% CAGR over the next three years, with a strategic focus on increasing the secured mix. We expect secured advances to constitute over 55%+ of the total advances by FY 27. While both the secured portfolio and the EEB book are expected to grow, the secured book will grow at a relatively higher pace. The growth trajectory of the EEB portfolio will be aligned with prevailing economic conditions.

Liability growth is expected to outpace advances growth, as building a strong, granular and stable liability franchise remains a key strategic priority. We will continue to drive growth in both CASA and retail term deposits, while actively working to reduce reliance on bulk deposits. Leveraging the capabilities of our 1,715 branches and nearly 4,594 BUs, we aim to deepen our reach and mobilize more granular deposits. These initiatives will play a crucial role in lowering our overall Cost of Funds and enhancing balance sheet resilience.

Cross-sell is a key initiative that we are driving with a unified approach under the philosophy of "One Bandhan". As part of the same, Asset teams are actively supporting in garnering Liabilities, and likewise the Liabilities team are contributing towards Asset generation through activation of our distribution network in Branch Banking and other segments. This collaborative effort strengthens our overall business growth and customer

engagement and is being steered by a central Cross Sell enabling team.

The planned increase in the share of our secured loan book is expected to have an impact on NIM. As a result, we anticipate some moderation in margins over the coming years on a risk adjusted basis.

On operating expenses, we will continue to invest in our people, technology, and capabilities that support the Bank's strategic growth objectives. As a result of these investments, we expect the operating expenses to assets ratio to increase by 10 –20 bps from current levels over the next two years. However, as operating leverage begins to take effect thereafter, we anticipate a gradual improvement in this ratio, reflecting enhanced efficiency and scalability of our operations.

Asset quality remains a top priority, and I am confident that the guardrails we have implemented, combined with improving trends within the sector, will lead to a meaningful improvement in asset quality over the strategic horizon. While credit costs are expected to remain elevated in H1FY26, we are targeting to reach 1.5 –1.6% of credit cost over the next 2 -3 years, based on our relentless focus on improving portfolio quality through robust risk management and aided by improving MFI cycle.

Our focus remains on a steady and sustainable improvement in profitability, with a clear glide path toward improving RoA to 1.8 –1.9% over the next 2 -3 years, driven by better asset quality, improvement in other income and operating leverage.

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To summarize, we remain committed to building long-term value through disciplined growth, strong risk management, and continued investment in our core capabilities. With that, I now hand over to Rajeev Mantri, CFO to take you through the details of the Financials. Thank you. Rajeev Mantri: Thank you, Sengupta sir, and welcome again, everyone, to the earnings call. Now let's move on to the business performance for the quarter. I'll walk you all through the key financial highlights and provide an overview of how we have performed. Let's start with the advances. As of March 2025, gross advances stood at INR1.37 lakh crores, reflecting a growth of 10% year-on-year and 4% quarter-on-quarter. In line with our strategic plan of product diversification, we are focused on growing the share of our secured book across housing, wholesale banking and retail assets. The secured book grew by 32% year-on-year and now represents 50.5% of the total advances, marking a significant shift towards a more secure and

diversified portfolio.

The EEB portfolio saw a decline of 9% year -on-year, although there was a marginal increase of 1% quarter -on-quarter, reaching INR56,544 crores. This decline is primarily due to portfolio controls we implemented in response to the elevated risk in the microfinance industry. On the other hand, growth in the non -EEB book, which now represents 59% of our total advances, was strong at 29 % year -on-year and 6% quarter -on-quarter. This growth was largely driven by robust performance across retail, wholesale banking and housing segments. Specifically, retail assets grew by 98% year -on-year, wholesale banking assets saw an increase of 35% year -on-year, and housing loans grew by 18% year -on-year, excluding IBPC. The impressive growth in retail assets was mainly supported by commercial vehicles and equipment loans, auto loans as well as gold loans, which are the secured products within retail.

From a business mix perspective, our advances are well diversified across various segments. EEB group lending represents 26% of the advances, SBAL at 15%, wholesale banking 27%, housing 24%, and retail loans have reached to 8%, respectively. The bank has also made significant progress in geographical diversification. Over the past few years, share of advances from the East and Northeast regions have decreased by 14% from 53% i

n FY '22 to 39% in FY

'25. Conversely, we have seen an increase in advances from the North, West and South with growth in share by 3%, 5% and 8%, respectively.

In terms of regional concentration, our top 5 states, West Bengal, Maharashtra, Bihar, Gujarat and Madhya Pradesh now contribute 59% of our total gross advances versus 60% a year back, especially West Bengal remains the largest contributor at 23%, slightly down from 24% in the last year.

Liabilities : As of March 31, 2025, total deposits stood at INR1.51 lakh crores compared to INR1.35 lakh crores in the previous year, reflecting a healthy growth of 12% Strategically, this growth remains higher than the growth in our advances, which we have continuously done in every quarter over the last 1 year.

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The bank continues to prioritize granular and stable retail deposits. Our total retail deposits, which include CASA and retail term deposits, grew by 11% year -on-year. Within this, retail term deposits showed a robust growth of 30% year -on-year. Retail deposits, CASA plus retail TD to total deposit ratio was around 69%, largely same as in the previous quarter, reflecting the strong focus on mobilizing stable deposits.

Our reliance on bulk deposits remained lower with the share of bulk deposits to total deposits marginally reduced quarter -on-quarter at 31%. CASA deposits stood at INR47,437 crores, reflecting a 5% year -on-year decline, but an increase of 6% quarter -on-quarter. While the growth has been on softer side, it aligns with broader industry trends. It is important to note that while CASA deposits have shown a year -on-year decline on a period -end basis, on an average basis, CASA deposits have experienced a marginal growth on a year -on-year basis.

The bank continues to focus on strengthening relationships across our customer base. It is actively working on enhancing our value proposition for different customer segments and expanding our customer base to drive growth in this area.

From a geographical perspective, our top 5 states, West Bengal, Maharashtra, Uttar Pradesh, Odisha and National Capital Territory of Delhi now account for around 65% of the total deposits. Notably, West Bengal continues to be the largest contributor, representing 40% of total deposits, which is consistent with the previous year.

Moving on to collections and asset quality. The bank's overall collection efficiency, excluding NPA, in Q4FY25 improved slightly to 97.9% compared to 97.7% in Q3FY25, a 20 basis points improvement. For the EEB book, collection efficiency, excluding NPAs in March, improved to 98.2%, up from 97.5% in December 2024. And for the quarter, collection efficiency also showed an improvement, reaching 97.8% compared to 97.4 % in Q3FY25, reflecting some improvement in the collection efficiency for EEB. For further details on collection efficiency, you can refer to Slide 19 of our investor deck, which has more details. The collection efficiency for our PAR book, which excludes the DPD book, was at nearly 99.5% for the month of March '25.

On asset quality, the gross slippages rose to INR1,748 crores versus INR1,621 crores in Q3, with the primary contributor being the EEB segment. Slippages in the EEB book increased to INR1,349 crores, up from INR1,196 crores in Q3 FY '25. Recoveries and upgrades improved slightly during the quarter, reaching INR355 crores compared to INR282 crores in Q3FY25 at the bank level. Additionally, the bank undertook write -offs amounting to INR1,136 crores during the quarter. As a result, the gross NPA and the net NPA ratios remained stable on a sequential basis at 4.7% and 1.3%, respectively. The provision coverage ratio increased marginally to 73.7%, excluding the write -offs and including the write -off, as Partha sir talked

about earlier, was higher at about 86.5%.
The overall EEB DPD pool, SMA -0, 1, and 2, stood

at INR1,895 crores, representing 3.4% of EEB advances in Q4 compared to 3.8% in Q3 FY '25, representing a 40 basis points improvement. This reflects an absolute quarter -on-quarter reduction of INR223 crores and reflects as an early indication of successful containment in the DPD book, which still is being monitored on an active basis.
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We continue to strengthen our collection mechanism with focused efforts to further enhance the overall portfolio quality of the EEB book. Details of the EEB DPD pool are covered in Slide 20 of the investor deck.

Credit costs, though remained elevated, showed improvement both quarterly and annually. Credit costs, including the standard assets, for the quarter stood at 3.9% of advances, down from 4.1% in the previous quarter. For FY '25, the credit cost declined to 2.9%, representing nearly 50 basis points year -on-year reduction.

Coming to the quarterly profit and loss : The net interest income for Q4FY25 stood at INR2,756 crores, marking a 4% year -on-year decline. The sequential and year -on-year drop in NII was primarily driven by a shift in the advances mix towards secured products and the impact of elevated slippages as well as the risk in the microfinance segment, as a result of which the microfinance segment growth was lesser compared to the last year.

Net interest margin for Q4FY25 came in at 6.7%, down from 6.9% in Q3FY25, reflecting similar pressures from the secured loan mix and higher slippages. However, on a full year basis, the NIM remained resilient at 7.1%, just 28 basis points lower year -on-year and within the guided range of 7% to 7.5%.

Net total income for Q4 FY '25 stood at INR3,456 crores, registering a 3% year -on-year decline. Sequential drop was primarily due to onetime gains recorded in the last quarter, including the claim payout from CGFMU and recoveries under the Assam Relief Scheme in the MFI portfolio. Operating expenses rose 10% year -on-year to INR1,884 crores in Q4FY25, reflecting continued investments in people, technology and infrastructure and based on growth in non-EEB business volumes. As a result, the operating expenses to average assets ratio stood at 4.1% for the quarter, declined by 6 basis points quarter -on-quarter and 4% on a full year FY25 basis. It was up 17 basis points year -on-year.

Operating profit for Q4 FY '25 came in at INR1,571 crores. Provisions for Q4FY25 stood at INR1,260 crores, down 29% year -on-year. Despite the year -on-year decline as well as the quarter -on-quarter decline, provisions remained elevated during the quarter due to the continued stress in the microfinance segment, which is being seen across the industry.

Provision line item also benefited from one -off gains of INR123 crores from a claim on the ECLGS portfolio that the bank has received. We have also been prudent in making provisions on the EEB portfolio in view of the uncertainty and stress we are seeing in the MFI sector reflected in the PCR levels that we have maintained.

The bank reported a net profit of INR318 crores in the quarter compared to INR55 crores in Q4 FY 2024.

Thank you all for your patience hearing. And on behalf of the management team, I once again thank you for participating in the call. We'll now open up for questions.

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Moderator: The first question is from the line of Vatsal Parag Shah from Knightstone Capital Management.

Vatsal Shah: A couple of bookkeeping questions. So what will be our proportion in Karnataka and Tamil Nadu as a percentage of advances?

Partha Pratim Sengupta: So Tamil Nadu, we have a share of only less than 1% of advances and Karnataka is 1.1%. So both are very negligible. And the DPD book is also very low. And I would say the collection efficiency is also around 97% in these 2 states. So we are not that much impacted into whatever

is happening in both the states.

Rajeev Mantri: And these are the percentages of total EEB advances.

Partha Pratim Sengupta: Yes. And number two is that you have seen that in both the states, the regulations have excluded

the banks. The banks are not a part of the regulation. So of course, this will have some, I would say, impact on the people or the borrowers there, but in general, the other regulatory measures are not applicable for us (banks).

Vatsal Shah: Got it. And secondly, what will be our fixed book percentage?

Rajeev Mantri: Are you talking about fixed rate book?

Vatsal Shah: Yes, fixed rate.

Partha Pratim Sengupta: It's around 55%. 55% of our loan book is around fixed rate.

Moderator: The next question is from the line of Piran Engineer from CLSA.

Piran Engineer: Congrats on the quarter in these turbulent times. Just a few questions. Firstly, on interest reversal, what was the interest reversal this quarter versus a similar number in 4QFY24?

Rajeev Mantri: Sorry, could you repeat that question?

Partha Pratim Sengupta: Interest reversal.

Piran Engineer: Interest reversal, Rajeev, for the quarter.

Rajeev Mantri: Yes. Give us a couple of minutes. We'll come back on this question.

Piran Engineer: Okay, sure. And secondly, what sort of impact do we expect on our deposit cost after this rate cut we've done on SA. As well as, overall, we are seeing term deposit rates for the system, wholesale and retail, going down. Can you guide us to some sort of cost of deposits for FY26?

Partha Pratim Sengupta: Yes. So we have also reduced our interest rates on both savings bank and term deposits. So the rationalization has already been taken place. It will come effect from 1st May onwards. So we are expecting that around 30 basis points where we were giving on the highest term deposit bracket, so 8.05%, it has come down to 7.75%.

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But of course, the transmission in the deposit will not take place immediately. It will just take place as and when this deposit matures and renews. But in the advances section for that year, almost close to 40% of our books, which are on the EBLR Repo-linked, the transmission has already been passed. So definitely, I can say some effect will be there for the first 2 quarters. But going forward, it will be well managed.

Rajeev Mantri: Yes, Piran, we don't have a specific guidance on the exact cost of deposits reduction. But as sir said, there are actions being done both on the savings and term deposit to see in certain buckets where we can actually reduce the cost. And I think the results of that will come through the year.

Piran Engineer: Okay. And I think I heard sir say 40% is EBLR-linked Repo loans?

Partha Pratim Sengupta: So I'll clarify that. The fixed rate loans, which means that there is no change due to any change in the market rate, is close to 55% of the portfolio.

Piran Engineer: And EBLR?

Partha Pratim Sengupta: Nearly 5% is only MCLR linked and all the rest are EBLR Repo linked

Rajeev Mantri: Piran, on your previous question on interest reversal. During the quarter, we had INR69 crores as interest reversal.

Piran Engineer: And what was it on Y-o-Y comparison?

Rajeev Mantri: We'll get back to you, Piran, on that. Actually, we don't have the asked details on hand

Piran Engineer: Sure, sure. And also just this MCLR, EBLR, I think there was some -- you all were having a discussion. Can you just clarify, out of that 45% floating rate, how much is MCLR, how much is EBLR?

Partha Pratim Sengupta: So to give you, 55% is fixed. And of the balance 45%, our EBLR linked Repo is 41% and MCLR linked loans is just 4% -5%.

Piran Engineer: Got it. Got it. And just my last question on your MFI customers, now around 8% of them are GNPA's. What percent of them would be actually paying some amount of EMI?

Partha Pratim Sengupta: Vikash,

can you help?

Piran Engineer: So in simple words, collection efficiency from the GNPA book.

Partha Pratim Sengupta: Yes. So in March, we collected around INR80 crores from this collection which has been there. But I think....

Vishal Wadhwa: This is Vishal here. Overall, from our 8% number, close to 25% of the 8% is paying us some amount. Some amount comes through 1 EMI or less than that, but some amount keeps on coming from our GNPA.

Piran Engineer: Okay. 25% of the 8% number?

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Vishal Wadhwa: Yes.

Moderator: The next question is from the line of Mohit Jain from Tara Capital Partners.

Mohit Jain: Sir, my first question is with regard to the SMA book for the EEB portfolio. If I'm looking at West Bengal, this quarter, we are seeing a slight increase there in the SMA -0 bucket. So what can be the particular reason behind that?

And also considering the fact, in the month of April, there have been some disturbances in some districts of West Bengal. So how adversely has it further been affected by it?

Partha Pratim Sengupta: One is because of the holidays. The last 3 days were holidays in West Bengal, as you all know. So whatever the demand raised during this period, the borrowers could not pay. But this has been eventually corrected. Most of the accounts have been eventually corrected.

Mohit Jain: Sir, the trend we are seeing in the current month because of some -- there were some media reports that in some districts there were some kind of disturbances. So any effect it is having on our collection efficiency?

Partha Pratim Sengupta: Murshidabad district. So Murshidabad District, has 4% NPA. As of April, about 88% of accounts are regular. The SMA -0 accounts make up 6%, while SMA -1 and SMA -2 accounts are 1% each. Currently, the total outstanding is INR 2,151 crores, with only INR 91 crores classified as NPA. The total delinquency book is very small.

Mohit Jain: Okay. And sir the other question which I'm having is on the long-term guidance which we have given that we'll be looking at our credit cost of somewhere near 1.5% to 1.6% over the next 2 to 3 years. And I guess, you have earlier said that -- in the earlier conversations it has been said that for EEB book, our target is around 2% to 3% in terms of the credit cost. Sir, if I'm looking at Slide 21, it seems that the loans which we have disbursed over the last 1 year, the NPA in those books is coming at 4% -- 3.5%, 4%, which is, again, very much on a higher side in respect of even the recent originations. So now if this is the trend we are having in the recent origination, what gives us the confidence that over a longer period of time, the NPA of the credit -- NPA of the EEB book is going to come down to somewhere near 2% to 3%, sir?

Partha Pratim Sengupta: No. So if you look at those figures, you see it was 4% in financial year 24, Q3 and Q4. But if you look at the financial year '25 figures, it has come down from 2.8%, then Q2 is 1%. Q3 and Q4, just the Q3 is 0.1% and Q4 is 0. So gradually, there is an improvement also. And as what Rajeev has also said that in the overall DPD book also, we are finding that there is an improvement. Sequentially, it is coming down, almost INR223, it has already come down. The quality of these advances, we are now imposing the guardrails. As you all know that for the day, we had our own guardrails. And apart from that, the MFIN guardrails have also been imposed. So this definitely is impacting for the 1, 2 quarters, where the business growth will get a little bit impacted.

But the stress level will also be contained to a large extent. So going forward, we believe that the loan loss provisions would be comparatively lesser, especially the incremental loan loss

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provisions. And there will be a growth in the business. We have also kept a guid

ance of around

INR5,000 crores of incremental growth in this EEB segment.

So overall, with the growth in the business and also with the decrease in the incremental loan loss provision, the credit costs will improve.

Rajeev Mantri: And I think just to supplement a couple of other points. One is if you look at our number of lender criteria, we've already been sort of complying with to a large extent, 92% of our book is Bandhan + 2. So to the extent of that, the overleveraging situation in our portfolio is fairly limited.

And also, as you know that most of these loans are 1-year tenure, and therefore, I think the book that is of FY '25 is a more reflective book, which will basically result. Of course, the risk in the industry is elevated, and we do expect the next couple of quarters to be challenged. But thereafter, as the improvement comes through, I think we'll be in a good boat to be able to come out of that.

Partha Pratim Sengupta: Even if you look at our overall credit cost also, so 2.9% we could manage it for the entire year, while the Q4 credit cost is quite high. And the delinquency book, as you can see in the mentioned slide, that it is actually coming down. The loans which are given in financial year '25, their quality is much better.

Rajeev Mantri: So we expect the microfinance credit cost to come down from the current levels. And because of the change in the mix towards higher secured, we should also get further benefit, and that is why the guidance of 1.5% to 1.6% over the next 2 to 3 years.

Mohit Jain: Understood. Just sir, one clarification. You said about a figure of INR5,000 crores, that is the EEB disbursement we are looking for the current year, or the AUM growth for the current year, sir, FY '26?

Partha Pratim Sengupta: It's the net growth of the EEB portfolio what we are looking at.

Mohit Jain: Yes. So net AUM growth of INR5,000 crores in the EEB book for the current year FY '26, sir?

Partha Pratim Sengupta: Correct.

Moderator: The next question is from the line of Anand Swaminathan from Bank of America.

Anand Swaminathan: I have a couple of questions on the EEB book. So just circling back to Slide 19, where you have shown the West Bengal, Assam and rest of India collection efficiency. Just wanted to understand which are your worst performing states, which are dragging down your collection efficiency to 98.2%. So that's the number one question.

Number two, in terms of disbursement rates, I get the INR5,000 crore number. But in terms of month or quarter, when do we expect we getting back to a normalized disbursement level during the year?

Those are my 2 questions.

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Vishal Wadhwa: To answer your first question, our states which are not performing the way performance has happened in the Eastern part are Maharashtra, parts of Gujarat, and Tamil Nadu and Karnataka, which is small for us. These are 3-4 states which are not doing well; parts of Gujarat and Tamil Nadu and Karnataka.

On the second question, I think the first quarter is going to be a muted one. And I think quarter 2 onwards, the disbursement should pick up. But by the end of quarter 3, I think we will have, hopefully, a normal year -- quarter the way it was there prior to a couple of years, and that should stabilize over quarter 3 and quarter 4. But first 2 quarters, specifically the first one, will have a muted growth only.

Anand Swaminathan: Sure. Just to clarify, Maharashtra, Gujarat should be close to 96% collection efficiency even in March?

Vishal Wadhwa: March was slightly better, 96%, 96.5% on the collection efficiency front. Tamil Nadu was 96% and Karnataka similar 96.5%.

Anand Swaminathan: Okay. And is there anything localized, which is the problem, which is keeping these states a problem? Or it's just the overleverage issue which is extending?

Vishal Wadhwa: Primarily, at the pan-India level, it's a

similar overleverage issue. And like Rajeev clarified also

that Bandhan + 2 relationship, for us, it's much, much higher than the counterparts and it's at 92%. And there are small parts like Murshidabad has come up in the last 2 months only. So that has disrupted a bit for a couple of months.

But we don't see this continuing for long, because then things stabilize. And then after 4, 5 weeks' cycle, it comes back to normalcy. So there have been localized disruptions up and running in some places, but not so rampant. The impact is more in Karnataka, Tamil Nadu over the last 3-4 months.

Anand Swaminathan: Sure. And lastly, in April, since the implementation of the new guardrail, has there been any change in collection efficiency?

Partha Pratim Sengupta: Just can't get you, please. Sorry, Anand, can you repeat that?

Anand Swaminathan: In April, after the implementation of the new guardrails, has there been any change in collection efficiency in any of the states?

Vishal Wadhwa: So collection efficiencies for the month of April have remained stable. However, like the impact of guardrails have been more so on the disbursement side with 3 lender norm, the maximum you could give, obviously, there are other companies who also grant loans to the same customer. So that has got -- but I think over a period of time, things will stabilize. Otherwise, we don't see any collection efficiencies really dipping down in the month of April apart from 1 or 2 places, which we spoke about earlier.

Rajeev Mantri: Also, Anand, I think April has had a number of holidays. So I think we'll have to see a more normal month like May to be able to get the full picture.

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Partha Pratim Sengupta: Because these are mostly weekly repayments, so holidays actually sometimes temporarily affect the quality of the asset, but that normally gets repaid. And percentage-wise, while the delinquency is high in Tamil Nadu and Karnataka, but the overall book size is very, very low. It's only near to INR400 crores around in these 2 states.

Moderator: The next question is from the line of M.B. Mahesh from Kotak Securities.

M.B. Mahesh: Sir, just a question on this West Bengal again. You kind of indicated, what is the current month performance as we speak? You gave a number. I just wanted to clarify.

Rajeev Mantri: On the collection efficiency -- sorry, which parameter?

M.B. Mahesh: No. The SMA -0, 1, and 2. I think you had mentioned a number that the performance had improved in April. Just trying to check what was the comment on that?

Partha Pratim Sengupta: April number...

Vishal Wadhwa: Obviously, there is still a month to get closed. So we have still collections going on...

Partha Pratim Sengupta: But I can tell you, 2 days back, the slippages percentage has actually come down. So almost I am having a positive of around -- marginal positivity there compared to March.

Rajeev Mantri: But Mahesh, if you look at the SMA position as at March end compared to December end, definitely, I think there is an improvement. I think the overall SMA book for EEB, we are seeing some bit of a reduction.

M.B. Mahesh: Okay. Second question, sir, we are doing about 4% credit cost right now on an annualized basis for the last 4 quarters. In your assessment, how does that move over the next 2 quarters given the near-term numbers that you are looking at in the slippages on the EEB book?

Rajeev Mantri: So I don't think, Mahesh, we give specific guidance on a quarterly basis. But I think as we have said, due to the risk which is still there in the EEB segment in the industry, the MFI segment in the industry, and with further tightening of the existing criteria from 4 to 3, I think it's natural to expect the next 2 quarters that there will be some continued stress, albeit we do expect some marginal improvement quarter-on-quarter. But as Vishal earlier menti

oned, by Q3 is when we

expect, I think, some sort of turnaround to happen.

M.B. Mahesh: Okay. My last question, sir, you had given us a rough indicative ROE decomposition of how we should look at the franchise in the medium term. You have the margins today, which is about 7%. You are indicating that number will be down by about 20 basis points? Is that how we should read it?

Rajeev Mantri: So maybe, Mahesh, I can give you a broad indication on that. I think as our secured mix increases further, over the next 3 years, we should expect, I think, the NIMs to come down by, say, another 50 to 60 basis points over the next 2-3 years. But what we are doing to offset some of the impact is focus on other income, where we do expect, say, another 20 basis points or so increase to come through. I think the fee income will be also aided by newer initiatives such as transaction

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banking. We've recently got some trade products that we've launched. So those should start helping us as well

As I mentioned, I think our costs, we will have to invest further to grow our secured book. So over the next 2 years, I think we will invest further, another 10 to 20 basis points increase. But thereafter, I think the efficiencies of scale should start coming in. And then credit cost is where we should start seeing a big reduction, right?

And as a result of which -- all of these lines is where we are saying from the current level -- I mean, this financial year, we had 1.5% of ROA. The latest quarter is lower. But from there, on a glide path basis, we expect to reach around 1.8% to 1.9% of ROA by the end of the next 2 to 3 years.

Partha Pratim Sengupta: And most are containing the slippages. So we are not expecting the slippage -- because this year, Q4, the EEB segment slippages was almost 10%, which will substantially come down. That we are expecting.

M.B. Mahesh: So Rajeev sir, just my clarification is, based on your numbers, you seem to be projecting what looks like peak ROAs of about 1.8%, which means that the ROEs are about 14%. Even if you have some disturbances to the portfolio, the corridor of ROA seems to be much lower that you seem to be targeting. Just trying to understand if the assessment of the numbers are right.

Rajeev Mantri: Yes. So I think, look, it just depends upon the pace of the transformation. It is a material transformation we are doing to improve the secured mix, which takes time. And as we're saying, we are investing to be able to grow that. So the pace of the transformation and how exactly these businesses grow up, and at the same time, the pace of the reversal of the cycle in microfinance. So it will really depend upon these 2 factors. But what we have not factored in this cycle is, let's say, further improvements to cost of funds. What we've not factored is further operational efficiencies that we can drive, because we are actually actively digitizing and bringing a lot of automation across our processes, both from a customer perspective and internally. So some of these factors should give some further augmentation.

Partha Pratim Sengupta: So I would put it very similar that if you look at the annual ROA annualized on a full year basis, it is 1.5%. Q1 and Q2 were good. Q3 and Q4 were bad. So the reverse will happen for this year.

Q1 and Q2 will be comparatively a little more challenging, whereas Q3 and Q4 will be good. So going by the same philosophy, I think this 1.5% -1.6% can be maintained for this year.

Ratan Kumar Kesh: Overall, the larger transformation and the transition as MD pointed out, that will take a couple of years to come through. And obviously, at this point, we are targeting that kind of an ROA.

And as it ramps out maybe over the next 4 to 6 quarters, we will relook at it and then come back to you with a fresh guidance.

Moderator: The next question is from the line of Jai Mu

ndhra from ICICI Securities.

Jai Mundhra: A few questions. First on capital, sir. So have we taken the full impact of RWA decline? Or is there some loan book where the lower risk weights are yet to be applied?

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Rajeev Mantri: Yes. So maybe I'll take that, Jai. Rajeev here. So as you've seen the RBI clarification, the circular came through in February '25. And as part of which we have assessed and we have looked at -- and a large part of our EEB book, which is both across group lending and as well as SBAL sort of fulfils the criteria which I mentioned, and we have been able to take the benefit of that in the RWA calculation.

We are cognizant of the change that is coming from 1st April, which is for lending to NBFCs. And I think that should give some further benefit to the RWA calculation. That's not yet included in the March number, because that's applicable only from 1st of April. But the improvement on the total CRAR of 18.7%, which is the number now compared to the earlier numbers, is really based on the February clarification.

Partha Pratim Sengupta: New clarifications that has come.

Jai Mundhra: Sure. So the EEB proportion is taken care of, right? I mean the entire -- whatever the benefit was there on EEB on individual as well as...

Partha Pratim Sengupta: Definitely, significant improvement has happened only in the EEB. That is correct. Yes.

Jai Mundhra: Sure. And secondly, I mean, CGFMU, on incremental disbursement, are we taking CGFMU insurance or we have discontinued that thing?

Partha Pratim Sengupta: At present, we are not taking it. Yes, Ratan, you can give further details

Ratan Kumar Kesh: So you see, we have to do our own calculation of whether it is beneficial to the institution at this point going forward or not. We are not averse to it, but we are evaluating at what stage we would like to look at it, because there is a threshold value, beyond which if the quality goes bad, sort of it makes beneficial for us. So that's the stand as of now. We are evaluating very actively.

Jai Mundhra: Sure. And of the non -EEB slippages of INR3.5 billion, how much was from home loan and maybe the wholesale segment?

Partha Pratim Sengupta: So wholesale segment, the slippages ratio is very low. It is only 0.6% in the Q4. And housing finance, of course, slippages has been 2.3%, a major part from the legacy books, what we have acquired from GRUH Finance for that year. So that is the broader number.

Rajeev Mantri: I think just to clarify on housing, while the gross slippage comes to 2.3% during Q4, a large part of it gets collected during the month. And on a net basis, I think we end up at around 0.6% -0.8% on an annualized basis.

Jai Mundhra: Sir, would you have the rupees crore number? I mean the percentage is sometimes tricky, or I can just multiply.

Rajeev Mantri: The housing on a net basis was only INR70 crores of net addition on a gross slippage of INR180 crores.

Jai Mundhra: Okay. Sure. And lastly, sir, opex growth, while I take your -- I mean, the last quarter and last 2 quarters, we had said that the opex growth will be higher than loan growth. But this is primarily

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because new businesses, they are more opex heavy, right? That is how it should be. I mean, it is also a function of the loan mix change apart from investments that you are doing in maybe people and processes?

Rajeev Mantri: So I can take that. I think there are 2 or 3 key pieces. One is the newer businesses or the secured business, where we're dialling up the focus, require investments in people and technology, because we are making sure that we have the right talent, in the right areas, in the right geographies, in the right segments. And also, we are investing in the latest state -of-the-art technology.

As you know, last year, we had the core

banking system upgrade, and now we are focusing on further systems like loan origination, which is going to -- with the state -of-the-art LOS providers such as Salesforce, and we are going to make sure that it has an enhanced customer experience that comes through.

So I think that is the focus in terms of both the talent as well as the technology that is being deployed. And at the same time, I think for the distribution network in terms of branches, to be able to drive our deposit growth.

Partha Pratim Sengupta: So actually, yes, basically, 3 things. One is that we have opened many branches in the last quarter of the previous financial year, not this year. And that expenses are adding up, but we will definitely get the benefit of business from these branches going forward.

The second is that the investment in IT. The depreciation cost is a major opex cost, but that's, as Rajeev has said that both were necessary and the business will also come once these are stabilized for the year.

And the third is the manpower cost, because we wanted to invest in people. So in many areas where we have yet to start business, we have taken people. Like in credit cards, we are going to launch soon, but we have already taken the resources, major skilled resources. Similarly, in the other areas also, there has been some people recruitment take place. But yes, the strength of this will be derived in the coming months to come.

Jai Mundhra: Lastly, sir, just a small clarification. I think in the SMA -0 -- increase in SMA -0 in West Bengal, you have mentioned that, that has also rolled back, right? So that would have come back to maybe -- let's say, 0.9% was the Q3 number. Has that come to that level? Or it is only -- I mean, you said that 2.3% rise -- rise from 0.9% to 2.3% is because of holidays and because of some localized turbulence. I mean, how does that stand? I mean, in percentage terms, if you have that number?

Vishal Wadhwa: So what we have done, see, 30th, 31st being a holiday and was a holiday demand date. That's why SMA0 has elevated from 0.9% to 2.3%. We collected 92.7% of the billed amount and out of 8.3% which got forward, we collected 95% of that in the next 7 days. So that 1 week collection has already come through. So we'll not see this kind of an elevation. It's a onetimer. And I think most of it has got collected thus far. But again, this month, we had 4, 5 holidays.

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Partha Pratim Sengupta: If you see repayment period, you see in our EEB book. So for these group loans, we have a weekly repayment period, and that do get affected whenever there is a holiday, and more so if there are consecutive holidays. So every month -- this month also, we are having 3, 4 days like that holidays. So it will be there, the elevated portion, if you take the data on that particular date, it will be shown a little bit elevated. But overall, there is no stress because those things get collected.

Vishal Wadhwa: So you see SMA -1 and 2, those numbers have come down, and this 31st of March was one number. And if it happens again on the last day of the month, obviously, the last day billing gets impacted. Other wise, over the period of the month, we collect. So this one, we specifically focused. In the next 1 week, we were able to collect 95% of the 7.3% which has gone through in SMA0 bucket . So then it became typically the same number of what typically goes through each cycle.

Moderator: The next question is from the line of Param Subramanian from Investec Capital.

Param Subramanian: So my question is mainly on looking at next year, right? So we've given guidance for the next 2 to 3 years. But if we look at next year specifically, would it be reasonable to say that ROA will be under pressure because of what I heard on basically that we are investing, so operating...

Partha Pratim Sengupta: I have told you very clearly,

if you look into the current year, Q1, Q2 was good. Q3, Q4 was comparatively bad for the year. And overall ROA, we have maintained at 1.5%. So this year, it is just the reverse. Q1, Q2 will be a little bit bad, but Q3, Q4, we are expecting to be good.

Param Subramanian: Yes, sir. Sir, but at the same time, in the first 2 quarters, our operating profit profile was way higher. And it looks like it has reduced quite significantly, right? So is this...

Partha Pratim Sengupta: Q1, Q2 of this quarter was quite good. So operating profit, income, EEB loan book, everything was quite good for Q1, Q2. But Q3, Q4, suddenly, the situations have a little bit become, I would say, challenging. So this trend is continuing, but it is diminishing. So I think by Q2, all these problems will be more or less addressed. So Q3, Q4 will be a good year for doing business. So we are expecting the same way, the same trend will be there in the ROA.

Rajeev Mantri: And I think further to your question, Param, you're right that the secured mix percentage has gone up. So to that extent, right, the NIM -- margin pressure are there. But as sir mentioned earlier, there are actions being taken such as reducing the cost of funds, right, which should give some bit of an offset. So we'll actively look at the avenues available to us. But yes, structurally, we're moving towards a higher secured mix. So I think the impact of that will be there.

Param Subramanian: Okay. Got that. Just on this bit again on operating profit, right? So we are at about -- if we look at the last couple of quarters, if I look at operating profit as a percentage of assets, it's at about 3.3%, 3.4%. And that is lower than where we've generally operated.

And if I heard correctly, we're talking about mix shift bringing margins down and still investing in the business. So how does this number look, say, how is this going to evolve over the next year specifically and then beyond that?

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Rajeev Mantri: Yes. So look, our full year ROA was 1.5%. Our Q3 was 0.9% and Q4 has been 0.7%, largely impacted because of the elevated slippages in micro. But let's say, as I mentioned, once the cycle starts to turn for microfinance, we should see some relief coming from there and the improvement and more normalcy.

And at the same time, as the capabilities that we talked about, which will give us higher other income and various other revenues start to kick in, we should get benefit of that. So it's sort of a glide path from the current levels to reach the 1.8% to 1.9 % over the next 2 to 3 years, right?

Param Subramanian: Got it. One more question, if I may. For this year, the margin pressure on the margin line, how much would the pressure because of the interest reversals have been, say, broadly basis points? It's okay if I can get this offline as well.

Partha Pratim Sengupta: So as we have told that almost 41% of our loan book, we have already given the effect, which is under EBLR linked Repo. The fixed rate loans will largely be unimpacted until we decide a change in the interest rate. But yes, one thing is there that the effect of the benefit on account of reduction in interest rates and deposits, that will only come over a period of time. It will not be immediate.

Param Subramanian: I got that. Sir, I was asking on the interest reversals on the slippages that would have some margin pressure, so...

Rajeev Mantri: Yes, that's a small amount.

Moderator: The next question is from the line of Ankit Bihani from Nomura.

Ankit Bihani: I just wanted to know what is the yield on our microfinance portfolio and non -microfinance portfolio currently?

Rajeev Mantri: I think the differential between the two yields is roughly around 10%. So EEB is I think around or upwards of 20%.

Partha Pratim Sengupta: Yes, 20% and 10%.

Ankit Bihani: Okay. And the other part was that what has led to

the negative tax in this quarter?

Rajeev Mantri: Yes, I can clarify that. So as part of the review of the tax, I think there are 2 aspects that we have accounted for. One is what we call as the deferred tax asset on the ESOP. So as you recollect, in the last quarter, we had an accounting impact on ESOP c lose to around INR166 crores.

And as part of the accounting review, I think the deferred tax asset on that got created in this particular quarter. So that is roughly around INR61 crores. And in addition to that, there is one of the old years' income tax provision, which has been released.

Vishal Wadhwa: Assessment has been completed.

Rajeev Mantri: Yes, linked to the assessment, which has been completed.

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Partha Pratim Sengupta: The additional amount has been released.

Rajeev Mantri: So in total, about INR87 crores between these 2 items.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Partha Pratim Sengupta: Okay. We once again thank you all for attending this Q4 earnings report of Bandhan Bank. Just to conclude, I can say that if you look at the year's performance, the total financial year performance, so there has been a good increase in our net profit and also operating profit. And probably we are one of the very few financial institutions having sizable assets in microfinance to have been able to give these results for the year. That's one plus point I would just like to tell all the analysts. Thank you all.

Rajeev Mantri: Thank you all for joining in. Thank you very much.

Moderator: Thank you. On behalf of Bandhan Bank, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

Ref. No.: BBL/SEC/070/2025-26

July 25, 2025

BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 541153 National Stock Exchange of India Limited
The Listing Department
Exchange Plaza, C-1, Block G ,
Bandra Kurla Complex, Bandra (E) ,
Mumbai - 400 051
NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub.: Transcript of the Earnings Call on the Unaudited Financial Results for the quarter (Q1) ended June 30, 2025

In continuation to the letter bearing Ref. No.: BBL/ SEC/066/2025-26 dated July 18, 2025 and pursuant to the provisions of Regulation 30 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed, the transcript of the Earnings Call hosted by Bandhan Bank Limited (the 'Bank') on Friday, July 18, 2025, on the Unaudited Financial Results of the Bank, for the quarter (Q1) ended June 30, 2025. Further, the same has also been uploaded on the Bank's website and can be accessed at the following link:

https://bandhanbank.com/sites/default/files/2025-07/Q1FY26-Earnings-Transcript_0.pdf.

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhanbank.com.

Thanking you.

Yours faithfully,
for Bandhan Bank Limited

Indranil Banerjee
Company Secretary

Encl.: As above
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"Bandhan Bank Limited
Q1 FY '26 Earnings Conference Call"
July 18, 2025

MANAGEMENT : MR. PARTHA PRATIM SENGUPTA -- MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER –
BANDHAN BANK LIMITED
MR. RATAN KUMAR KESH – EXECUTIVE DIRECTOR
AND CHIEF OPERATING OFFICER – BANDHAN BANK
LIMITED
MR. RAJINDER KUMAR BABBAR – EXECUTIVE
DIRECTOR AND CHIEF BUSINESS OFFICER – BANDHAN
BANK LIMITED
MR. RAJEEV MANTRI – CHIEF FINANCIAL OFFICER –
BANDHAN BANK LIMITED

MR. VIKASH MUND HRA – HEAD, INVESTOR
RELATIONS – BANDHAN BANK LIMITED

Bandhan Bank Limited
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Mod erator: Ladies and gentlemen, good day, and welcome to Bandhan Bank Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Mundra, Head IR at Bandhan Bank. Thank you, and over to Mr. Mundra.

Vikash Mundra: Thank you, Nee rav. Good evening, everyone, and a warm welcome to all the participants. It's a pleasure to have you with us today as we discuss Bandhan Bank's business and financial performance for the quarter ending June 2025. We sincerely appreciate your time and participation.

Today, we will take this opportunity to provide insights into our operational activities, significant achievements and challenges as well as offer perspectives on market conditions, strategic initiatives and any notable changes in our business environment. To walk you through these details, we are joined by Mr. Partha Pratim Sengupta, Managing Director and CEO; Mr. Ratan Kumar Kesh, Executive Director and Chief Operating Officer; Mr. Rajinder Kumar Babbar, Executive Director and Chief Business Offic er; Mr. Rajeev Mantri, Chief Financial Officer; myself, Vikash Mundra, Head of Investor Relations; and our senior management team at Bandhan Bank.

We are happy to answer any questions or provide additional clarity on the current quarter's performance and our outlook moving forward. Now I would like to invite our Managing Director and CEO, Partha Pratim Sengupta sir, to brief you all on the bank's per formance. Over to you, sir.

Partha Pratim Sengupta: Thank you, Vikash. Good evening and thank you all for joining us today. On behalf of Bandhan Bank, I extend a warm welcome to all of you attending our earnings call for the first quarter of FY26. We are pleased to have this opportunity to share our performance and insights f or the quarter.

Let me begin with the macro - despite ongoing global uncertainties, the Indian economy continues to exhibit robust resilience, underpinned by strong fundamentals and supportive policy measures. For fiscal year 2025 -26 the Reserve Bank of India has projected a real GDP growth rate of 6.5% alongside a moderate average CPI inflation of 3.7%, reflecting a balanced and stable economic outlook. In line with its commitment to fostering growth, the RBI has implemented significant monetary easing, including a 50 -basis point reduction in the repo rate in June 2025. The cumulative cut since early February 2025 has been 100 basis points. Furthermore, the RBI has announced a phased reduction in the CRR by 100 basis points to be implemented between September and November 2025, aimed at sustaining liquidity within the banking system. This sizeable liquidity, coupled with focused efforts on the transmission of monetary policy to the real economy, is expected to further stimulate economic activity of the country.

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The combination of moderating inflation, a generally favourable monsoon forecast, and the introduction of the new income tax regime is expected to collectively foster a positive business environment and bolster confidence in a broad -based recovery across s ectors.

Taken together, these factors create a strong foundation for stability in the Indian economy and is expected to stimulate economic growth by making borrowing more affordable, and encouraging investment, particularly in sectors such as housing and micro, sm all, and medium enterprises.

I now move to the performance of Bandhan Bank for Q1FY26 – Before we begin the quarterly performance review, I

'd like to highlight that Q1FY26 is not aptly comparable to Q1FY25, primarily due to the challenges we encountered in the EEB segment following changes in the guardrails at the industry level. Despite t hese headwinds, we are performing reasonably well when benchmarked against industry peers & competitors with sequential improvement in our financial performance.

Further, as highlighted in our previous communications, we anticipate challenges in the EEB

segment to persist until the second quarter of FY26, albeit on an improving trajectory. In line with this outlook, our EEB portfolio has had a bearing on both our overall growth and profitability in Q1FY26. That said, we remain cautiously optimistic. Recent regulatory and monetary interventions such as reduction in RWA for lending to MFI and NBFC -MFI as well as PSL related relaxations, have been constructive for the sector, and we expect to witness a gradual and steady recovery in the EEB segment over the coming months, with a positive bias emerging in the second half of the fiscal year.

During the quarter, loan growth remained relatively subdued, largely due to the muted performance of the EEB book. However, non -EEB book continued to be witnessed strong growth momentum. Profitability showed moderate improvement, and we remain encouraged by the sustained strength in our key operating metrics. We observed further increase in the proportion of secured loans in our overall portfolio, alongside a healthy rise in retail term deposits. These developments are contributing to a more diversified asset base and enhancing the stability and resilience of our Balance Sheet.

In line with our guidance, we saw marginal improvement in slippages compared to the previous quarter, reflecting our continued emphasis on prudent asset quality management. Furthermore, our strong capital adequacy and comfortable liquidity position provide a robust foundation for sustained growth and improved financial performance in the quarters ahead.

While my colleague and Chief Financial Officer, Mr. Rajeev Mantri, will provide a comprehensive overview of the financials, I would like to take this opportunity to highlight a few key developments and performance indicators from the first quarter of FY26.

As of June 30, 2025, the Bank's gross advances stood at INR 1.34 lakh crore s, registering a year - on-year growth of 6%. On the liabilities side, total deposits reached INR 1.55 lakh crore s, reflecting a robust YoY growth of 16%, significantly outpacing the growth in advances. This

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reflects our strategic focus on strengthening our granular liability franchise and ensuring a healthy balance sheet composition .

Retail term deposits demonstrated strong momentum, growing by 34% YoY. This performance underscores the increasing trust and engagement of individual customers and highlights the effectiveness of our distribution network. CASA deposits now account for 27% of our total deposit base. The overall share of retail deposits (CASA + Retail Term Deposits) remains steady at 68%, indicating a marked improvement in both the granularity and stability of our deposit base.

We continue to execute our diversification strategy with steady progress. During the quarter, our secured book recorded a YoY growth of 29%, resulting in an improvement in the secured portfolio mix to 52%, compared to 43% a year ago .

Maintaining asset quality remains a top priority. Credit costs saw a moderate improvement sequentially and we are committed to bringing them further down over the course of the year.

During the quarter, we undertook technical write -offs amounting to INR 1,047 crore s. Gross NPA stood at 5% and Net NPA at 1.4%, while the Provision Coverage Ratio (including technical write -offs) improved to 87.3%, compared to 86.5% in the previous quarter .

For Q1FY26, Net Total Income stood at INR 3,483 crore s, with an oper

ating profit of INR 1,668

crore s. The Bank reported a PAT of INR 372 crore s for the quarter. On an annualised basis, ROA stood at 0.8%, while ROE was at 6% which witnessed a marginal improvement on a sequential basis .

Our capital position remains strong, including Q1FY26 profit the Capital Adequacy Ratio stands at 19.4% and Tier I capital at 18.6%, providing adequate headroom to support future growth .

Our branch network expanded to 1,750 branches with the addition of 35 new branches during the quarter .

As the microfinance environment continues to stabilize, we are confident in our ability to leverage emerging opportunities. We will remain focused on prudent risk management, identifying new avenues for growth, and further enhancing operational efficiency to drive sustained performance.

In our previous communication, we highlighted the transformative initiatives undertaken by the Bank , focusing on various aspects to ensure a seamless, integrated customer journey and an enhanced omnichannel experience. During this quarter we have successfully enabled all 4,400 banking units to offer retail term deposits. I am pleased to share that over 2,000 banking units have been activated and have begun raising retail deposits. This achievement followed a comprehensive capability -building exercise, which involved 8,300 employees across 3,200 locations, delivered through a combination of physical and virtual outreach. This initiative has expanded our retail liability sourcing capabilities, allowing us to tap into new catchments and

strengthen our approach toward granular deposit mobilization and liability resilience. In the first quarter of FY26, the Bank undertook strategic measures to reduce the cost of deposits by lowering interest rates on both savings and term deposit accounts. The introduction of the Bandhan Bank Limited
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ONE BANDHAN initiative has fostered greater synergy across departments, culminating in the successful execution of the "Grow Deposit, Grow Together" campaign across verticals, which helped generate nearly INR 4,200 crore s in incremental retail term deposits.

Furthermore, we launched specialized products tailored to targeted customer segments, including the Elite and Elite Plus Savings Account for the HNI segment. Looking ahead, our focus will continue to be on driving granular retail growth, advancing product innovation, and broadening our geographic footprint.

On the collections front , we have pioneered the use of WhatsApp and Rich Communication Services channels in real -time to bolster our recovery efforts for missed instalments. Following a successful pilot, which yielded outstanding results —88% of messages were successfully delivered, and 80% of these led to recoveries —we have now rolled out this initiative across all banking units nationwide.

The Bank has made significant strides in enhancing its government and financial services. The Bank is now live for collecting both Direct and Indirect Taxes through multiple channels. We have integrated with the Income Tax portal for refund processing and enabled Central Civil Pension & Railway Pension disbursements across all branches. Additionally, we have partnered with the Jeevan Pramaan Portal for Digital Life Certificates and expanded our services for defence pensioners via the SPARSH platform. The Bank has also signed key MoUs, including one with the Indian Air Force for "Shaurya Salary Accounts" and is empanelled with the Haryana and Madhya Pradesh Governments for conducting business and managing state investments. During the quarter, we have further strengthened our position by integrating with the Odisha and Rajasthan government systems for account validation and reporting, and executed a MoU with EPFO for centralized collection of employer contributions .

In the Wholesale banking segment , beyond the strong growth in the secured loan book, the Bank successfully

closed its first debt syndication mandate for an existing client. The syndication fee marks a strategic step toward building a steady "Other Income" stream and positions Bandhan Bank among more sophisticated lenders. Our non -fund trade book reached INR 2,100 crore as of June 2025, which is expected to boost fee income further. We have also executed Import LCs enhancing forex flows and current account balances. Cross -border remittance volumes are increasing which is further strengthening our FX income potential. Our Bank is strategically diversifying its portfolio, with a strong focus on retail lending , particularly in secured loan segments like Housing Loans, Gold Loans, Auto Loans, and CV & CE Loans. Leveraging its extensive branch network and large customer base, the Bank is enhancing existing customer relationships while expanding through new partnerships. Emphasizing risk management, the Bank integrates advanced analytics at every stage of the customer lifecycle to ensure asset quality. Investments in digital platforms, CRM, and data analytics are improving customer experience and operational efficiency.

Overall, we remain committed to building long -term value through disciplined growth, strong risk management, and continued investment in our core capabilities. These strategic pillars continue to guide our actions as we navigate the current market environment. With that, I now
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hand over to Rajeev Mantri, our CFO, to take you through the details of our financial performance .

Rajeev Mantri: Thank you, Sengupta sir, and welcome, everyone, to the earnings call. We'll now move on to the business performance for the quarter. I will walk you through the key financial highlights and provide an overview of how the bank has performed.

We'll start with the advances. As of June 2025, the gross advances stood at INR1.34 lakh crores, reflecting a growth of 6.4% YoY and on a sequential basis, the gross advances declined by 2.5%, primarily due to a 7% contraction in our EEB portfolio. The EEB portfolio declined by about 15% YoY , reaching INR52,812 crores. This decline was mainly driven by the strategic controls we have implemented in response to the elevated sectoral risks.

On the other hand, the non -EEB portfolio, which now accounts for nearly 60% of total advances, up from 59% in the previous quarter and 51% a year back , registered a robust growth of 27%

YoY. This strong performance was driven by continued momentum across our retail assets, wholesale banking and housing segments. Specifically, retail assets grew by 78% YoY. Wholesale Banking for an increase of 32% YoY and housing grew by 15% on a YoY basis. The growth in retail assets was mainly supported by secure products such as commercial vehicle and equipment loans, auto loans and gold loans.

Aligned with our strategic focus on product diversification and asset quality, we continue to strengthen our secured loan portfolio across housing, wholesale banking and retail assets. The secured book grew by 29% YoY and now constitutes 52% of total advances, underscoring the shift towards a more secure and diversified asset base. From a business mix standpoint, our advances remain well diversified across the various segments. The EEB group lending represented 25% of total advances, SBAL at 14%, Wholesale Banking - 28%, Housing - 25% and the Retail assets stood at 8%, respectively.

In terms of regional concentration in our top 5 states, West Bengal, Maharashtra, Gujarat, Madhya Pradesh and Bihar collectively accounted for 58% of total gross advances compared to 59% a year back. Notably, West Bengal remains the largest contributor at 22.8%, a slight decline from 24.1% in Q1FY25.

Moving to liabilities. As of June 30, 2025, the total deposits stood at INR1.55 lakh crores compared to INR1.33 lakh crores in the previous year, reflecting a healthy

growth of 16% YoY.

This healthy growth in deposits continued to outpace the growth in our advances, reflecting our strategic focus on balance sheet resilience and funding stability.

We remain committed to building a granular and stable deposit base with a continued emphasis on retail deposits. Our total retail deposits, which comprised both CASA and retail term deposits, grew by 15% YoY. Within this, the retail term deposits demonstrated particularly strong momentum, growing by 34% YoY. The proportion of bulk deposits to total term deposits also reduced to approximately 43.6% compared to 46.3% a year ago and 45.3% in the previous quarter. This downward trend underscores our continued focus on building a more stable and granular funding base.

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CASA deposits stood at INR41,858 crores, marking a 12% QoQ decline. This decline was primarily driven by typical Q1 seasonality as well as industry trends. Further, the CASA deposits were also impacted due to reduction in the savings interest rate implemented in April 2025, which led to reduction of some savings deposits and migration of a few balances into retail term deposits. The bank continues to place a strong emphasis on deepening customer relationships and expanding its customer base. Strategic initiatives are underway to enhance our product suite, refine our value proposition across segments and improve the engagement to drive sustained growth in deposits.

Our top 5 states for deposits, which is West Bengal, Maharashtra, Uttar Pradesh, Orissa and the NCT of Delhi now accounts for 66% of total deposits. West Bengal continues to be the largest contributor, representing nearly 40% of the deposit base.

I'll now move on to collections and the asset quality. The bank's overall collection efficiency, excluding NPA stood at 97.7% for Q1FY26 compared to 97.9% in Q4FY25. Within the EEB portfolio, collection efficiency for the month of June was at 97.7%. And for the full quarter of Q1FY26, it was 97.6%. The marginal decline in collection efficiency is primarily attributable to a procedural change related to the raising of installment demand on holidays. We have given additional information on collection efficiency in our investor deck (Slide 19).

On the asset quality front, we have seen improvement with gross slippages at the overall bank level, declining to INR1,553 crores in Q1FY26 compared to INR1,748 crores in the last quarter. This improvement was primarily driven by the EEB segment, whereby the slippages in the EEB portfolio moderate to INR1,089 crores during the quarter, down from INR1,349 crores in the previous quarter. Recoveries and upgrades during the quarter stood at INR319 crores, slightly lower than the INR355 crores recorded in Q4FY25 at the overall bank level.

Additionally, the bank has undertaken technical write-offs amounting to INR1,047 crores during the quarter, of which write-off in the EEB portfolio was INR952 crores. As a result, Gross NPA and the Net NPA ratios were at 5.0% and 1.4%, respectively, slightly higher than the previous quarter, mainly on account of degrowth in the overall gross advances that contributed to this increase. The PCR remained stable at 73.7%, excluding the write-offs. As guided in the last quarter's call, credit cost showed an improvement on a sequential basis. Credit cost, including the standard asset provision for the quarter stood at 3.5% of advances, which was lower than 3.9% in the previous quarter.

As of Q1FY26, the overall DPD pool for the EEB portfolio, comprising of SMA -0, SMA -1 and SMA -2, stood at INR2,026 crores, representing 3.8% of the EEB losses compared to 3.4% in

Q4FY25. The increase in percentage terms was primarily due to the sequential degrowth in the EEB portfolio. On an absolute basis, the overall EEB SMA book grew by INR131 crores QoQ, driven largely by an increase of INR145

crores in the SMA -0 category. SMA -1 remained largely stable, while SMA -2 witnessed a sequential improvement. The increase in the EEB SMA -0 book is primarily attributable to a procedural change relating to the raising of installment demand on holidays. We continue to focus on strengthening our collection infrastructure and processes with dedicated efforts to improve the overall asset quality of the EEB portfolio.

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I'll now move on to the quarterly profit and loss statement. The net interest income for the Q1FY26 stood at INR2,757 crores, reflecting a YoY decline of 8%. NIM for the quarter stood at 6.4%, a decline from 6.7% in Q4FY25. This moderation was primarily driven by an increased proportion of secured loans in the overall portfolio reduction in the CD ratio, the impact of the recent repo rate cut and the continued stretch from the elevated slippages. However, the decline in NIM was partially offset by an improvement in the cost of funds, which reduced by 19 basis points on a sequential basis in this quarter. This improvement was supported by rate reduction on savings deposit during the quarter, which led to this improvement.

During the first quarter of FY 26, the non-interest income grew by 33% YoY. This was contributed by higher treasury income of approximately INR250 crores from the sale of investments and income from third-party products, which grew by 73% YoY compared to the same period last year, reflecting our continued focus on diversifying revenue streams.

As a result, our net total income for Q1FY26 stood at INR3,483 crores, representing a YoY decline of 1%. Operating expenses for Q1FY26 increased by 14% YoY to INR1,815 crores. This rise primarily reflects our continued strategic investments in talent, technology and infrastructure as well as the impact of higher business volumes in our non-EEB segments. The operating expenses to average assets ratio for the quarter stood at 3.9%, marking a sequential decline of 23 basis points. Operating profit for the quarter was INR1,668 crores, nearly 6% increase sequentially.

The bank reported a net profit of INR372 crores for the quarter as compared to INR1063 crores in Q1FY25 and INR318 crores in Q4FY25. The YoY decline in profitability was primarily driven by a change in advances mix to entire secured elevated provisioning, reflecting stress in the EEB portfolio, along with the impact of taking the write-offs undertaken during this quarter. On an annualized basis, the return on assets stood at 0.8% while the return on equity was at 6% with slight improvement compared to the previous quarter.

Thank you for your patient hearing. On behalf of management team, I once again, thank you for participating in this call. We will now open up the call for questions.

Moderator: The first question is from the line of Kunal Shah from Citigroup.

Kunal Shah: Yes. So firstly, with respect to disbursements, maybe of almost like INR10,000 -odd crores, which is down. If you can highlight in terms of how much is on account of implementation of Guardrail 2.0 and how the rejection rates have moved? And any particular geographical trends, if you can just indicate that? And how much was because of maybe the conservative approach towards growing the EEB portfolio? So that's the first question.

And second question, when we look at it in terms of the vintage analysis, which you provide on the disbursements, which is on Slide 21. So when we look at it, like even say, disbursements of Q1FY25 and Q2FY25, that's rising compared to what we have disclosed maybe over a period that's now crossing almost like 4 -odd percent.

So in fact, it seems like after maybe 12 months kind of a vintage, we still see 4% slipping into NPA across the pools, okay, right, from 3Q to maybe almost like Q1 of 3QFY24 to Q1 FY25.

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So is that like this is like the general nature wherein we will keep seeing like 4%, 5% of NPAs even from the recently written pools or maybe there was anything specific to read into this year?

Vishal Wadhwa: This is Vishal here. I'll take your question. The first part of your question spoke about in terms of the EEB disbursements coming down. First quarter every year, there is a seasonality which gets the disbursement down. So this particular year, if we have to compare it to the previous year, which we had in year FY25, our disbursements in Q1FY26 stood at 10,708 crores in EEB, and that number corresponding in Q1FY25 was 13,721.

So obviously, the disbursements moderated because of the guardrails, which got implemented and these guardrails are good in nature from a long-term perspective. But obviously, there has been some impact on the short term, there has been a moderated growth in disbursement because of the lender norms and in terms of the rejection, which has gone up - Primarily due to 3 lender norms and also that nobody is onboarding more than 60 DPD in their books at total and secured exposure of 2 lakhs. On the second point or question on the vintage, if you see...

Kunal Shah: Sorry, just on this part -- sorry, on just this part, if you can highlight rejection rate trends as well that would really help.

Vishal Wadhwa: Sure. So 16% to 18% of our rejections are also coming in where there has been an overall industry default. So nobody is able to lend in 16% to 18% of the customers, they are not being given loans by anyone now considering that everybody of this 16% - 18% population has moved towards 60 DPD. And if we spoke about the geography, for us because we are more recent in compared to some of the established players in Tamil Nadu and Karnataka, our disbursements with Tamil Nadu, Karnataka though it's a small base is also not growing out there.

And some parts where we are trying to go further is also a little bit of an impediment specifically in the growth parts of UP and Gujarat. Clear geographies which are really not growing for us, and it's also true of the industry if you'll see.

On the part of your vintage analysis, if you see Slide 21, we peaked at 5.2% for Q4FY24. I think this trajectory is because of the over leverage issue we saw in the industry everywhere, everybody else also had worse numbers compared to these of ours. And I think this will keep on coming down because the recent book, which is coming out to be much better off of Q4FY24 and Q1FY25. So I foresee that this will -- some of will be in the range of 3% NPA, not in the range of 4.5%, 5%, in times to come.

Kunal Shah: Okay. So this still seems to be because of the guardrails.

Partha Pratim Sengupta : Exactly. And I would like to further add that if you see last year, Q1 was an exception. It was an exceptional performance for Bandhan Bank. So almost, post Q1FY25, we could not also foresee that suddenly, the EEB segment would reverse and it will cause worry for us from a risk perspective. So it is where this year, if you look, -- the slippages were almost 5.2 % and from there, we are actually coming down mainly because EEB slippages have been in double-digit in last few quarters. So there, we are actually coming down. So sequentially, you'll see there has been some improvement. But compared to a year-on-year basis, it would not be an apt

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comparison because last year, it was completely an exceptional period. I think the best Q1 the bank has ever had.

Moderator: Next question is from the line of Anand Dama from Emkay Global.

Anand Dama: Sir, first question is on your SMA -0, where I think you said that you started billing on the holidays and that's the reason the SMA portfolio has gone up. Can you explain like how is that happening and what is the industry practice? Secondly, your SMA -1 and 2 por

tfolio has actually

gone up now. So what explains that market moment? Is it specifically states likes West Bengal or Assam or there is something more to it? Number one.

Number two question is that when do you see your 5% of the Bandhan Plus 3 portfolio unwinding, whether it will take another about 6 months for that portfolio to unwind, whether ultimately, theoretically, it has to go down to 0, right? Also when that unwinding will happen?

Vishal Wadhwa: Okay. I'll take this question again. In terms of our SMA going higher, this number has primarily happened because like what Rajeev was speaking about raising instalment demands on the holidays, which was a requirement to maintain the consistency amongst the products - demand on holiday was being raised from 31st of March. And then we had 4 days in the month of April, where we started raising demand on holidays. And that's why you see there is an elevation on SMA -0, which, however, is pretty much recoverable.

That is not something which is so much for us to worry upon. If you see SMA -1 and 2 largely, they have been stable. SMA -1 has been stable, and SMA -2 is, in fact, improved and in terms of the overall number, percentage-wise, is the same, simply because that's for the EEB segment - which degrew in Q1FY26. And overall, our book of SMA -2 has come down, in fact. It's been INR480 crores compared to INR510 crores last quarter. And SMA -0, like I explained for those 4 weekly holidays in the month of April as well as in May, which had got billed for the first time, and that impact was mainly in West Bengal and to some extent in Assam, that is something, which we'll have to live with for one more quarter.

And every month, we have been improving on that estimate number, which also had moved further up, but we are trying to control it and that number in times of period to come will also come down from the current level.

Rajeev Mantri : I think just to supplement on that, it has continued to remain within the SMA -0. It has not moved

on to SMA -1 and SMA -2. And as Vishal said, there are efforts in terms of how that can be recovered.

Partha Pratim Sengupta : So that culture is now changing in the ground also. So we have also now started collecting the installments in advance. And number two is that, yes, we just want to tell all the investors who are there next quarter September also, the Eastern part will be celebrating the festivals and there will be a block holidays on account of Durga Puja and others so we may see a little bit more rise in the SMA -0. But that's not a concern because these are all recoverable. And as Rajeev has said, it remains within the SMA -0 book .

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Anand Dama: My second question was about when do you see 5% of your Bandhan Plus 3 portfolio unwinding?

Vishal Wadhwa: You were speaking about Bandhan Plus 3, that is 5%. Now over the period of, I believe, next 2 quarters, these numbers will come down to sub 2 %-3% because now we have restricted the guardrails from April. So whatever is remaining over the next 2 to 3 quarters as we have an actualization of 18 -month loan either 1 year or 2 years. So I think between the next 2 to 3 quarters, it will come down to below 3% because we are not getting any onboarding new with Bandhan Plus 3, so only disbursement is m ax to Bandhan Plus 2.

Partha Pratim Sengupta: So only at best 1 and Plus 2.

Vishal Wadhwa: And already, I just want to emphasize that today, 90% of our portfolio is Bandhan Plus 2 and 60% is only Bandhan and Bandhan Plus 1 is another 21%. So 81% is Bandhan Plus 1 and 90% is Bandhan Plus 2.

Anand Dama: Sir, and even in your retail portfolio, there is some increase in the NPA that we have seen on a quarter -on-quarter basis, obviously, Y -o-Y it is far more higher, INR2.7 bn going up to about INR3.3 bn. Your housing also we have seen the NPA is moving up from INR7.2 bn

in March

'25 to about INR8.1 bn. So what explains the increase in the housing and the retail portfolio NPAs?

Hirak Joshi : Here on this side, on the retail portfolio, the old book, which is like mostly in the unsecured side, that is showing little stress, and we have never written off anything on those unsecured. We continue our efforts to get some collection from there. So the recent upside which is seen, it is only the unsecured book, which we have done a lot of course correction during the last 1 -1.5 years and recent book, which is a vintage analysis is showing a better performance there. So this is only the book, which is FY22 and beyond.

Anand Dama: That's the Card book, right?

Rajeev Mantri: I think just to supplement on that, a large portion of the retail assets is really secured. There is only a small portion, which is in PL, which is the unsecured piece, and I think that's where there is some bit of an increase in the delinquency that you have seen, which are the old cases.

Subhash Samant : Yes, from the housing. In housing too, we have witnessed certain old portfolios, which have trickled down over there, certain geography specifics also which are -- which saw the trend s, but now the trends are lowering.

Moderator: Next question is from the line of Mahrukh Adajania from Nuvama Wealth.

Mahrukh Adajania: Good evening. I had a couple of questions. Firstly, again, on the SMA -0. So given that these are very low income groups, there is a lot of certainty that it does not roll forward. Is that the right way to put it? Because they are low income, right? So -- I mean, usually, it's a difficult guess on whether they do roll forward or not. So that's my first question. And my -- should I -- okay, you can answer that later on...

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Ratan Kumar Kesh : So we have got on the EEB segment where our data proves that our SMA -1 and 2 remains stable for us, while SMA -0 got slightly elevated in the same month itself, getting recovered. so collection efficiency has inched up you can see. So basically the holiday impact, actually the increase is that ..

Partha Pratim Sengupta : I'll just say that we have started these things, collecting also on the holidays where we cannot make any collection, but the demands are made . So obviously, in any geography, if you see there is a holiday and if my people are not there for collection, almost 1/6 of the portfolio in that particular geography will become SMA -0 as we work on a weekly collection model . So this has an impact. And when -- because states like West Bengal and Northeast where we have a larger presence. So there are some certain festival holidays or other local festivals or something there that obviously leads to the increase in SMA -0, and it looks quite large. But there's nothing

concerning. So that is what I said, that there is no concern because these are recoverable and these are getting recovered.

So what we are now trying is that we are trying to collect in advance, but it will require us, I would say, a cultural change, not only for our staff, but also for the borrowers. Because till now, they have been habituated to pay only on the due date or at the end of the period. That is to extend the 48 months to 52 months. So now this change is actually happening. It will take some time to stabilize. But nothing as a matter of concern as far as the SMA -0 is concerned. And SMA -2 has come down and SMA -1 also, it is stable more or less.

Mahrukh Adajania: Okay. And my other question is that what is your general feedback on industry discipline? Of course, guardrails have been implemented, but some players are again complaining about aggressive behaviour of some other lenders. So what is your take on industry discipline? And in that environment, of course, you partly answered, so when do you see your microfinance -- EEB disbursal scaling up?

Partha Pratim Sengupta

pta : One thing I'd just say, while Vishal will tell about the industry perspective, that we are disciplined and we will continue to be disciplined. So the guardrails we are following it very meticulously and we will continue. Industry-wise also, it has affected the performance of all because more or less the major players, are implementing the guardrails, but yes. Mostly.

Rajinder Kumar Babbar : Rajinder Kumar Babbar here. Most of the players are implementing the guardrails. So only means the plus or minus only few ones, but all the larger players are aligned with the objective and they are making the changes.

Mahrukh Adajania: No. I mean aggression in relending is what I'm getting at, not in terms of guardrails?

Vishal Wadhwa : Okay. So let me take this one, and I'll just supplement what Partha sir and Rajinder spoke about.

So for us, like what we spoke, we have been disciplined from 2nd April, guardrails 2.0 got implemented. We have been following very religiously and diligently. Now somebody is trying to play aggressively in the long run, this may not be great for that particular entity. So as a rule, what I've seen is as SRO association is working in terms of ensuring that guardrails, which have been designed are followed on the ground by all the 82 regulated entities who have signed up for this. So there is also a report, which is being published every quarter, whoever has not been

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following the guardrails appropriately. So, it will all come up into light once this report is rolled out by the SRO. But having said all of this, whatever I get to hear from now, whatever entities have signed up, everybody is following through the discipline pretty much the way guardrails have got designed.

Mahrukh Adajania: So then when do you see your disbursal scaling up? I know that your growth will be slower than other segments, but still?

Vishal Wadhwa : So I think it will still take a quarter more for everybody to stabilize the guardrail like I spoke earlier as well, 16% to 18% of the customers who are above 60 DPD, nobody will be able to lend in to them as all of us have signed up to that guardrail. So 16% to 18% customers, obviously, which are existing are no longer eligible for loans.

However, having said this, considering the new borrowers which are coming up because everybody now is trying to make the portfolio quality better. The focus has been there from the all industry players. However, by quarter 2 end, I believe where the monsoon season gets over and the festive season kicks in, the momentum also shift towards more disbursal and sustainable disbursement.

So my guess is maybe one -- this quarter more with more time frame for us to be more cautious and then quarter 3 onwards, the disbursal will step up. It may not step up to the way it was stepped up before like 30% - 40% compounded annual growth. It will be in the region of 10% to 15% growth from quarter 3 onwards.

Moderator: Next question is from line of Piran Engineer from CLSA India.

Piran Engineer: Just a few follow-ups on MFI. Firstly, have you all or the industry hike MFI yields, yields and processing fees?

Partha Pratim Sengupta : No. We have not hiked.

Rajeev Mantri : No yield hike, no processing fee hike.

Piran Engineer: And no cut either?

Partha Pratim Sengupta : No cuts there, and we have not hiked anything.

Piran Engineer: Understood. And then secondly, on this holiday thing, can you just once again explain it, so let's say, there was a holiday on 10th April and she had to pay, but she couldn't pay, then what happens, say, on 11th don't you all go and collect it?

Partha Pratim Sengupta: So let me tell that earlier what was happening on a holiday, the instalment demand was not being raised. But as you know, that we need to -- we, now being a bank, we need to comply with the consistency across the products. So the thin

g is that even on a holiday like in other segments also, we now raise the instalment demand.

So demand is raised, but my people are not available for collection because that day is the holiday. So earlier this loan was getting balloon at the end of the period. So a 4 8-weeks loans
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would have become a 52-weeks, but now we have to pay within a 52-weeks we have designed and we have to pay on all the time.

So what was happening initially the borrowers or even my people also on the ground, they were also not in the habit or culture of taking the payment in advance or at the end, so it was obviously becoming an SMA -0 because it was getting collected on the next day. So now we are trying to get it collected a week advance for that day. That is our effort. It will take some time to stabilize. Also, we are exploring of course -- we have not decided that whether we can do something similar to the bond market that a holiday on a particular day, the next working day becomes collecting day for that year, but that is, of course, a little bit difficult because this segment, as you know, the works on the practice, the systems, the culture built over the years for that year. So we are now majorly aiming that if we can collect a substantial portion in advance of the instalment, then bring down the SMA -0. So that's why I said that whenever block holidays do appear, like in September, we are expecting that my SMA -0 will shoot up because of the Durga Puja festival celebrations at block of holidays in almost all the Eastern states. But ultimately, this does not pose to be very much concerned because collection efficiency is more than 99%. And this -- loans also get recovered.

Ratan Kumar Kesh : Piran, I'll just add -- Ratan here. I'll just add a little bit more to what Mr. Sengupta said. See, in a normal retail loan, if it is, let's say, housing finance loan, generally, the bank will raise an SI demand and it will go and hit the savings account and recover from the account.

In case of EEB loan, our group meetings, the loan officer will carry a tab on any day and then show that you have got INR1,000 instalment to be paid which means that if on a particular holiday, the loan officer is not landing into a group meeting or group meeting is not happening. The practice was that you don't raise the demand.

And the next week, you go and collect it. Now that we have now ensured that we are raising the demand every day. That's number one. But we have created two more practices. One is we have now launched our QR code capability, which means that the borrower can now pay online remotely as well; and other thing is that, we are also creating a practice of discipline that, can we collect the money in advance if it is Monday instalment, Monday being a holiday, can I collect it on a Saturday and request the borrower to keep the money in that savings account so that we can pull on a Monday. That is the second thing that we are doing.

And the overall amount, if you see on the INR53,000 crores book, the SMA -0 increase is just about INR150 crores. So these are all like collectible amounts. So that's the point about holiday. Have I clarified, Piran?

Piran Engineer: Partly. So okay, I understand that digitization will help it -- help collections. My question was simple, let's say, 3 months in a quarter, 12 weeks, okay, let's keep it simple. The borrower pays every Monday. Now on one Monday, it was a holiday. So you always to collect only 11 instalments? Is my understanding correct? Not 12 instalments? For those borrowers...

Ratan Kumar Kesh : Exactly. Correct.

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Piran Engineer: So, I thought on the next month, you would collect double, but with...

Partha Pratim Sengupta: No. We were not raising demand. So obviously, demand rate is 11 times a quarter, we were collecti

ng 11 instalments. Now we are raising 12 demand in a quarter and we are collecting either in advance, a week before or on that particular day, we are not able to collect, we have to go to the following week to collect. And that's why that zero to six days comes into play.

And that is what we -- please understand, on a INR53,000 cover book INR140 crores - INR150 crores addition means 0.27 % or 0.28% addition. And that was also -- if you see the SMA -1 and 2 has not -- who have not paid us, that 0.28%, which is there have been paying us every time.

What they have not paid is a backlog of 1 week or 2 weeks. Whenever the holiday...

Rajeev Mantri : When we collect a week in advance, it doesn't become SMA -0. If we paid the next week, then it's SMA -0, but gets collected, but it's only the initial fees when this holiday is happening, there is a backlog to clear out, right, which is exactly why it's continuing in the SMA -0. But it will take sometime because borrowers in the habit of paying only on the day of their week. Getting 2 weekly payments on the following week is also not easy and that's one of the reasons that it...

Partha Partim Sengupta : It will take some time to stabilize.

Vishal Wadhwa : And like what sir also spoke about in the month of September holiday period of 4, 5 days together in Eastern part will have another spike up.

Rajeev Mantri : Just one more point to clarify, whereas QR code is there as an incremental initiative, the center meetings will continue. So I think that discipline will continue...

Moderator: Piran. Sorry to interrupt you, can I request to come back for a follow-up question please?

Piran Engineer: One very quick question, take 30 seconds. Just what's your trajectory on NIMs, if you can guide us?

Partha Pratim Sengupta : So NIM will get moderated as we note that we have just passed with 25 basis points of repo rate cut. And now this quarter, we are passing another 75 basis points. But two good things out there.

My only 50% of the advances will get affected because 50% - 52% of my books are still in the fixed rate. So that's advantage I'm getting positive. Number two is that my cost of fund, as I've told you, Rajeev has already told that sequentially because of the cut in the deposit rates, we have got a benefit of 19 basis point decrease in the cost of funds. And as and when the fixed deposits would be maturing, this will be increasing because the immediate effect is only on the saving's bank, not on the fixed deposits. So that can, a little bit will be compensated. But let me give a clear picture. NIM would be moderated, and we have to put it with additional business so that the quantum of profit increases.

Rajeev Mantri : So four factors to think about, which will impact the NIMs. One is clearly the repo effect. So I think 45% of our book is repo linked and there, there could be some bit of impact. However, we have reduced our savings rate and we've seen the benefit of that come from this quarter already, 19 basis points improvement in the cost of deposits. And as the term deposits come for renewal, we will see benefit of that coming through in quarter 3, quarter 4.

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The third is on slippages. As slippages continue to come down, we should see a benefit or an offset happening on that particular front. And the fourth is as we are growing secured books faster than the EEB book, I think that mix change will have an impact. So I think these four factors. We don't have a specific guidance, but I think these four factors what needs to be monitored.

Moderator: Next question is from the Harsh Modi from JPMorgan.

Harsh Modi: Two questions. First on margins, as you just explained, if I look at the mix change on the asset side with more of secured and less of EEB, even in third and fourth quarter with the FD effect coming in, do we still get sequential reduction in margin?

So second quarter, definitely margin goes down, if I understand you correctly. Does that continue in third and fourth quarter as well sequentially, that's first?

Second, this increased competition of some of the players kind of gaining the gentlemen's code and competing a bit aggressively, which segments, which states do we see this behavior? Is there -- is it behavior in terms of credit underwriting standards? Is it in terms of ticket size, is it in terms of pricing? If you could give a bit more clarity around how the competitive landscape is evolving despite the guardrails 2.0?

Rajeev Mantri: Maybe I'll take the first one on the NIM. I think I've already talked about the key factors which are there. Look, I think you're right, we should -- we will be able to see, I think, some bit of a compression further in the next quarter. However, we should be able to see some level of stabilization in the second half of this year because of the offsets that we expect, especially in the slippages that should try to improve.

So I think that is about trajectory that we are looking at from a NIMs perspective. But at the same time, there are other levers that we're looking at on how do we actually increase our other income, which you've already seen a 33% YoY growth in this particular quarter that we have done and any further opportunities that we see in terms of improving our cost of funds, right, which will help because we are doing a lot of targeted push towards increasing our CASA mix as well. So there will be a multiple factors and levers that we'll be using in terms of how do we offset any further compression that comes to. On the second question...

Harsh Modi: I want to understand that Rajeev slightly more, because the gap between your secured yield and your EEB is quite large. And yes, we've got rate cuts, and all of that has happened and hence, your cost of fund will improve. But is it enough? Or as you said, you need a structural shift in much higher CASA balances and so on and so forth for you to even have a stabilization of NIM in second half or knowing at least what we know and where the state of play is a fair assumption is to expect further NIM compression in second half from second quarter levels?

Rajeev Mantri: No. So maybe -- yes, I can take that. So firstly, I think on the EEB, what we had guided the market is that we will be looking at growth on albeit on a moderate basis and secured book will grow on a faster basis. The first quarter, actually, we've seen a decline on a year-on-year basis

in the EEB book . We expect that to start reversing out marginally the next quarter and then a bit more significantly, they are henceforth.

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So as the EEB book continues to improve, we'll definitely get some benefit of that to happen. While we are clearly aligned towards improving our secured share and the secured mix over the next couple of years, we've already made good headway. We've already got 52% of our book has secured already. So I think we're running a little ahead of time on that particular front. I think trajectory is quite good. So we have a lever and we have some headroom to be able to start growing our EEB book and the opportunities provided.

Partha Pratim Sengupta : To add to Rajeev, so what you have said is also correct that we are also focusing in the mix of deposits. So more focus will be given from this quarter to garner CASA deposits. Yes, this is right, we have tried within the last quarter for fixed deposits because we wanted some stability in our books and that we have been successful in just 40 days, we could garner INR4,200 crores of incremental deposits positive. This quarter, the focus is on CASA. We need to make a mix change in the mix of funds. So as when this CASA will be increased for the year, definitely, it will further reduce our cost of funds.

Partha Pratim Sengupta

: So it's 2 points on the other side of -- just to add. One, clearly, is that 3 /4th of our banking outlets, which are distributing this EEB loan. We largely see they're out of the problem in the larger sense, which means they will be going forward doing business as usual. Of course, not grow at the pace considering that we have the guard rails to follow. Second, clearly, the second half of the year is generally good for the industry. And therefore, we expect to see a significant uptick from here on.

Now as far as the guardrail is concerned, our belief is that what we hear from the industry SRO is that most of the players , the significant and the large and medium players have implemented, given that the last cycle overheating really impacted the entire industry in a big way. Our belief is that people will follow the discipline. And therefore, we don't see that at least a reasonably larger medium players will derail , I mean, going forward soon. So to that extent, that's our belief. That's what we get to hear from the SRO as well.

Vishal Wadhwa : I'll just supplement in terms of the number to get some flavor and color to this whole discussion. Yes, industry portfolio overall has come down by 13% -14% overall, if you have to compare year-on-year. From March '24 of 4,24,000 crores we are down to 3,67,000 crores in May. June figures of the industry are not published yet.

That means 13% -14% of the industry level has come down. In terms of active loans also, it's more than 16% -17%. So it's not that anyone which I have been hearing is aggressively going. The only thing that has come out recently is in terms of the qualification criteria of 60% -40% now, qualifying criteria, so 60 can be micro for even NBFC -MFI, and that is something which everybody has to watch out for.

Harsh Modi: Sorry, could you explain that a bit more? When you say watch out for the...

Vishal Wadhwa : So like I said, overall, the industry numbers have come down. I have not heard from any particular player or geography where we have grown. On the portion of 60% - 40% qualification criteria is mainly for NBFC -MFI who are now eligible to do non -MFI loans up to 40%. So we have to now watch out for individual loans, guardrails maybe coming into play rather than just

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picking into microfinance loans. Aggressively, there would be institutions who would like to provide the individual loans because there are no guardrails there, okay? We have guardrails only for microfinance loans. So that's something for those entities to really figure out in terms of how do they want to build their book of individual loans or non -microfinance loans. Is that clear or have you got the point?

Harsh Modi: Yes, I understood. Thank you so much.

Moderator: The next question is from the line of M.B. Mahesh from Kotak Securities. The line for the participants dropped, we move on to the next participant. Next question is from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: First, a small clarification, Vishal. So you said that -- now that the qualifying criteria has been changed. So there may be further tightness on the individual loan side, right, not the group EEB, but I mean in your parlance, the individual MFI loans, is that the understanding?

Partha Pratim Sengupta : So what Vishal was just telling that , now NBFC -MFI can do 40% non -micro business . So there will be a little bit of aggression in the individual loans further like we have got a SBAL in our

books. So similar to that such schemes are there. Now in this particular loan, there are no guardrails as of now. The industry would also like to see that it does not face the same experience as microfinance loan when due to leveraging a large part of the lenders, borrowers, we can engage. So that's somewhat was just indicating that maybe going forward, we may have certain guidelines for

this segment too.

Jai Mundhra: Correct. So I mean, honestly, if I understand, if I look at our EEB book, while at the system level, at the aggregate level for Bandhan, the EEB book has been declining, but still the individual portion is still reasonably healthy, right? So I mean there is some moderation you may -- if there is a further tightness there, right, then there could be one outcome there.

Vishal Wadhwa : So I would like to say that the individual loan book is gearing better than the overall group loan book even in our side. My only contention here was there are now qualification criteria for other entities being like you spoke about aggressiveness, it could be aggressive on the other parts of non-micro book which other entities will try to go because there are no guardrails there currently...

Jai Mundhra: So are there means -- are there heads of -- a lot of other business sub-segment, including as well, right? That is how you are seeing this?

Partha Pratim Sengupta : So they can now do 40% of non-micro. So there may be some sort of aggressiveness to book the individual loans.

Jai Mundhra: Sure. And on the credit cost side, right? So has anything changed in the sense that while the slippages are lower, and I think in the opening commentary, you had mentioned that -- I mean the credit costs are slightly lower, but still on improving direction. So has there anything changed in your thought process wherein we had said that first half will have relatively higher credit costs and then it should start towards normalization going into the second half. Is there anything changes there? Or is it broadly the...

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Partha Pratim Sengupta : What we have -- our guidance, what we have told earlier remains the same. So we said that credit cost will be remaining almost at the same thing in Q1. But thankfully, and we have a little bit lower credit cost compared to March quarter. So that is a good indication Q2 will be a little bit better. Q3, Q4, we are expecting so that overall credit cost of 2.5% as per the guidance we have given we will try to maintain that. And till now, that is our aim. We have not changed that kind.

Rajeev Mantri : Yes. I think just to supplement, we had mentioned that we will be able to see some marginal improvement in Q1 compared to Q4. That's exactly what we've seen as well. And that's the trajectory we expect marginal improvement in Q2 and with a more significant recovery by Q3, which is the second half.

Jai Mundhra: Correct. And that...

Moderator: Jai Mundhra. Sorry to interrupt you. I will please request to come back for a follow-up. Next question is from the line of Ankit Bihani from Nomura.

Ankit Bihani: I just wanted to understand that while our margins have declined 30 bps Q-o-Q, loan book has declined around 2.5% Q-o-Q. What explains the net interest income being flat on a Q-o-Q basis?

That would be my first question.

Rajeev Mantri : Yes. I think as I mentioned earlier, we actually have some improvement in the cost of funds. So our actions relating to the reduction in the savings account rates have led to almost 19 basis points reduction in the cost of deposits. And I think that has been able to help us in terms of reducing the -- what we are seeing in the gross yield.

The second thing is also sequentially seen the slippages come down marginally from roughly INR1,700 -odd crores to about INR1,540 crores the exact number. So from INR1,748 crores to INR1,553 crores and that lower slippages also translates into some benefit.

Partha Pratim Sengupta : It's basically the lower slippages that happened and the cost of funds here -- And the marginal due to the cost of funds.

Ankit Bihani: Okay. And another, I might have missed it earlier. So of the INR1,550 crores slippages, how much would be from the MFI segment?

Rajeev Mantri : INR1089 crores.

Ankit Bihani: From the

EEB segment?

Rajeev Mantri : From the EEB is INR1089 crores.

Moderator: Next question is from the line of Punit from Macquarie Capital.

Punit: Just two questions on the EEB asset quality front. So when I was looking at your vintage book, I was surprised that in Q4FY25, I'm just seeing where you have given a disbursement of 151 billion. And it shows like an NPA of 0.1%. Now I know it's negligible 0.1% but I just don't understand that it's something that is disbursed in Q4FY25?

And if he is not paying three instalments, that just makes it like immediately NPA after disbursement. How -- I know 0.1% is negligible, but just one clarity on that. Is it a collection issue or what is that? Because it seems like just -- like it's disbursed Q4FY25 and it's been classified as NPA the next quarter. So any clarity on that?

Secondly, on -- yes. I wait for this, and then I'll move on to the second question, yes.

Rajeev Mantri: I think your point is that it. It's largely due to some cross linkage and the NPA becoming due to that which is what is causing this. It's a fairly marginal aspect, and that's the deal something that's they are focusing in terms of recurring as well.

Vishal Wadhwa: There are Jan loans also here because it is JFM, So Jan -, we have a 12-month tenure, loan for 50% of our loans. So 6 months have elapsed from Jan. So point one, some portion would also be from a January month loan could be. And like what Rajeev said, most of it is coming primarily from a cross-linkage loans.

Punit: Sorry, cross-linkage, I didn't get that.

Rajeev Mantri: Cross-linkage. Some other loan would go default...

Ratan Kumar Kesh: If there is a multiple loans so -- one loan becomes NPA, the entire portfolio...

Punit: Okay. But I thought we had stopped -- that went on NPA later?

Ratan Kumar Kesh: It could be co-borrower as well. It could be co-borrower linkage or any other loan linkage.

Punit: Got it. Yes. I get that. Also, when I look at just -- this is just on the past 2 quarter behavior. When

I look at the SMA -1 and 2 and when I track the flow, so say like this quarter, the GNPA has been constant and like 47.2% to 47.5% book. And SMA -1 and 2 last quarter was around 5.1 billion, 5.2 billion. That makes it an aggregate of 10 billion, 10.3 billion.

We have written off kind of 10.5 -- our technical write-offs are around 10.5 billion this quarter, which is assuming all EEB, right, from the EEB book. So is it true that the SMA -1, SMA -2, the entire flow is into the NPA and then we are writing it off? And this has been for the past 2 quarters. Am I getting that thing right or if you could correct me if something is wrong with that?

Rajeev Mantri: So I can explain that. So of the 10.5 bn, almost 9.5 bn is EEB. So a large portion is that. So typically for anything that we look at in terms of a technical write-off, it is for a significant level of vintage, which has been there. So we first have a lot of recovery efforts that we do. And only after a constable period has elapsed, there we look at what exactly needs to be written out, right? So it's not something we could...Nothing from here would have got written off. So it would be at least a longer vintage of portfolio that we look at.

Moderator: Punit, I'll request to come back for a follow-up question. The next question is from the line of Manish Agarwalla from PhillipCapital.

Manish Agarwalla: Your investment yields seem to have increased on a sequential basis. What explains that?

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Rajeev Mantri: Sorry, Manish, could you repeat that question?

Manish Agarwalla: Your yield on investments have increased on a sequential basis. So despite your investment book declining on a sequential basis, there's a quite a bit of jump on investment income. So the calculated yield looks quite steep -- in

a potentially declining interest rate environment. So can you please explain that?

Rajeev Mantri: Sure -- so you see the surplus is in deposits because these are advance growth has been muted. So obviously, the funds have been deployed in investments, but investments also, we are building up the trading book mostly so if you look this quarter also, we have made substantial fee income from the investment portfolio from the treasury portfolio. So that has come because...

Manish Agarwalla: Sorry to interrupt, sir, if I look out in outstanding investment book that have declined on a sequential basis. My question was pertaining to your yield on investment. So the calculated yield on investments have increased by almost 70 basis points on a sequential basis. So what explains that? I understand...

Rajeev Mantri: Yes, I can explain that. I think on a sequential basis, the yield actually has not increased. It has slightly reduced from about 6.6% to about 6.45%. On an average basis, our investment book has actually gone up. So I think period to period end, period end you might be seeing a reduction, but on an average basis, it has actually gone up.

Moderator: Manish, do you have any follow-up questions?

Manish Agarwalla: No. I'm done.

Moderator: Next question is from the line of Abhishek from HSBC.

Abhishek: So the first question is on the EEB disbursement that you are doing now, especially the group loan disbursements. Is it mostly to existing customers? Or are you looking for open market acquisition, new customer acquisition as well. So what is the strategy there?

Vishal Wadhwa : So we are doing both. It's not that only we are going to existing borrowers, 86% -87% is the existing borrowers and 13% -14% is coming from the new borrowers or whatever we have been disbursing . But like I said, guardrails are implemented for both set of borrowers.

Abhishek: Sure, of course. But this 86% -87% is it now higher than, say, last couple of quarters? Or will it be coming lower?

Vishal Wadhwa : We have been doing 85% of existing borrowers typically and garner 15% from the new borrowers. The numbers remain pretty much similar.

Abhishek: Okay. So -- and in the beginning of the call, I think you called out a few geographies where you are not growing and that for your growth is limited to just a few. Can you clarify where is it that you are comfortable to grow and where you're slowing down?

Vishal Wadhwa : It's not like that. Our stronghold have remained in East and West Bengal, Bihar, Assam, UP that still remains a strong hold for us. So we are not really able to grow in southern parts of India,

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specifically Tamilnadu, Karnataka because like with the guardrails of 3 lenders down, most of the players, they already have got 3 lender now going for themselves. Unlike for other competitions, for them to come to Bengal. So for us, growth is a little challenging in Karnataka, Tamilnadu with all those political interference as well. So that's a place where we want to grow, but we are finding it tough to go there.

Partha Pratim Sengupta : Rather than geography wise, I can say more -- pointing as a BU wise is that out of the 4,400 views, 3,100 are quite okay. So there, we are focusing the growth already. So it is across geographies on it. And more or less, because there the two states, they had issues in the recent past. Obviously, the growth is a little bit muted those two states.

Abhishek: So on a full year basis, this year, in FY26, what kind of disbursements or, let's say, AUM growth are you targeting? It would still be, I don't know, 10% YoY or -- what are you thinking? How do you see the trajectory?

Vishal Wadhwa: I think it will be somewhere between 5% to 8% of growth for us in this year FY26. And because the first quarter has been muted, and it is, in fact, has gone down. I think the second half of the year will

be better. And you have to accommodate and compensate for the first half of the -growth.

Rajeev Mantri : Yes, what Vishal mentioned of 5% to 8% is for the EEB portfolio.

Abhishek: Yes, EEB portfolio. And overall, then we should be able to target a 10% kind of growth rate for everything put together?

Rajeev Mantri : More than that because our non -EEB is growing at a much faster pace of almost 26%, 27% as we said.

Vishal Wadhwa: Overall 15% to 17% target is the growth target.

Abhishek: Okay. And second question would be on cost of borrowing -- cost of deposits actually. Just on the term deposit re -pricing, can you give some sense of the duration of TD and how fast you expect the deposit rate cuts to start showing up in terms of your overall deposit cost drops.

Partha Pratim Sengupta : So I can say we have started -- we first cut down the cost in the month of April, of both savings and term deposits. The effect of savings is being seen. But some deposits as and when they get matured. But in our case, the maximum resides in the one year bucket end. So you can say max - within next March, I think we will get the full benefit of this rate cut on this term deposit.

Because the maximum almost 60% to 70% resides in the 1 -year bucket...

Rajeev Mantri : So just to supplement what said, so savings rate was reduced by almost 30 to 80 basis points.

And we saw the impact immediately in the first quarter itself, 19 basis points reduction overall on term deposits -- overall, on the cost of deposits. On the term deposits, I think 20 to 30 basis point reduction has happened in multiple buckets. Some we did in April , and further more we did in June. And I think we should see the impact from Q3 onwards.

Moderator: Ladies and gentlemen, we will take that as the last question. I'll now hand the conference over to the management for closing comments.

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Management: Thank you. We would like to thank all of you to join for this call and would hope that you continue to place the trust with the bank. Thank you.

Moderator: Thank you very much. On behalf of Bandhan Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

Ref. No.: BBL/SEC/138/2025-26

November 06, 2025

BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 541153 National Stock Exchange of India Limited
The Listing Department
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai - 400 051
NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub.: Transcript of the Earnings Call on the Unaudited Financial Results for the quarter (Q2) and half-year ended September 30, 2025

In continuation to the letter bearing Ref. No.: BBL/SEC /134/2025-26 dated October 30, 2025 and pursuant to the provisions of Regulation 30 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed, the transcript of the Earnings Call hosted by Bandhan Bank Limited (the 'Bank') on Thursday, October 30, 2025, on the Unaudited Financial Results of the Bank, for the quarter (Q2) and half-year ended September 30, 2025. Further, the same has also been uploaded on the Bank's website and can be accessed at the following link:

https://bandhan.bank.in/sites/default/files/2025-11/Q2_FY26-Transcript_Bandhan-Bank_4.pdf .

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhan.bank.in .

Thanking you.

Yours faithfully,
for Bandhan Bank Limited

Indranil Banerjee
Company Secretary

Encl .: As above

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"Bandhan Bank Limited Q2 FY '26 Earning Conference
Call "

October 30, 2025

MANAGEMENT : M R. PARTHA PRATIM SENGUPTA - MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER ,
BANDHAN BANK LIMITED

MR. RATAN KUMAR KESH - EXECUTIVE DIRECTOR
AND CHIEF OPERATING OFFICER , BANDHAN BANK
LIMITED
MR. RAJINDER KUMAR BABBAR - EXECUTIVE
DIRECTOR AND CHIEF BUSINESS OFFICER , BANDHAN
BANK LIMITED
MR. RAJEEV MANTRI - CHIEF FINANCIAL OFFICER ,
BANDHAN BANK LIMITED
MR. VIKASH MUNDHRA - HEAD (INVESTOR
RELATIONS), BANDHAN BANK LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Bandhan Bank Q2FY '26 Earning Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Mr. Vikash Mundhra – Head of Investor Relations. Thank you and over to you, sir.

Vikash Mundhra: Thank you, Dhanesh. Good evening everyone and a very warm welcome to all of you. It's a pleasure to have you with us today as we discuss Bandhan Bank's 'Business and Financial Performance' for the Quarter and Half Yearly ended September 2025. We apologize for the late start and appreciate your time and continued interest in the Bank. I also hope you all had a joyous festive season and wish you and your family good health, happiness and prosperity in the months ahead. In today's call, we will take you through our business performance, key achievements and challenges during the quarter.

Joining us on the call today are Mr. Partha Pratim Sengupta – Managing Director and Chief Executive Officer, Mr. Ratan Kumar Kesh – Executive Director and Chief Operating Officer, Mr. Rajinder Kumar Babbar – Executive Director and Chief Business Officer, Mr. Rajeev Mantri – Chief Financial Officer, myself, Vikash Mundhra – Head of Investor Relations and other members of our Senior Management Team.

After the Management's remarks, we will be happy to take your questions and provide any additional clarity on the Quarter's Performance and our Outlook.

With that, I would now like to invite our Managing Director and CEO – Mr. Partha Pratim Sengupta, to share his thoughts on the Bank's performance for the quarter. Over to you, sir.

Partha Pratim Sengupta: Thank you, Vikash. Good evening everyone and thank you for joining us today. On behalf of Bandhan Bank, I would like to extend a very warm welcome to all participants on our earnings call for the 2nd Quarter of Financial Year '25-'26. I hope you and your families had a wonderful and fulfilling Diwali. I wish you continued good health and happiness in the festive season ahead.

This quarter's performance reflects a transitional phase for the Bank as we continue to realign our portfolio and operating model in response to the changing environment. The recent 75 basis point repo cut in Q1, which we proactively passed on to our customers from the first day of Q2, had a short-term impact on the margins. However, this is part of the adjustment process that will position us well for sustainable growth ahead. As the repricing of deposits takes place over the

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next few quarters, we expect to see the full benefit of lower funding costs, which will help improve margins and support profitability.

Before delving into the quarter's performance, let me begin with a few initiatives we undertook during the quarter to improvise our products and services with innovative solutions and to better serve our customers. We continue to focus on strengthening our granular liability franchise through innovative and targeted offerings.

We have successfully launched the "Grow CASA, Grow Together" campaign, an exclusive CASA drive aimed at promoting current and savings account growth across segments. This initiative is gaining traction and is already yielding encouraging results. This reinforces our commitment to building strong, long-term relationships with our customers.

We further place emphasis on sourcing new corporate salary accounts by leveraging our revamped salary product offering. This initiative allows us to provide a more seamless and rewarding banking experience to employees of partner companies, while expa

ending our CASA

base in a sustainable manner.

The Bank introduced specialized products for HNI individuals, including the Elite, Elite Plus, and Legacy Savings Account. It is designed to meet the unique needs of our HNI customers. These offerings not only enhance our value proposition, but also deepen relationships with this key customer segment. Through this focused initiative, we are confident of driving CASA growth, enhancing customer engagement and delivering long-term value for all stakeholders. We have made good progress in strengthening our digital and government ecosystem partnerships. I'm pleased to share that Bandhan Bank has successfully integrated with the Central Board of Indirect Taxes and Customs for the collection of customs duties through the corporate internet banking platform. This initiative enhances our role in facilitating seamless digital payments for government collections.

Further, the Bank has also integrated with Khajane-2 payment system, a comprehensive digital platform of the Government of Karnataka. This system enables the state to manage all its financial transactions digitally, including revenue receipts and payments to employees, suppliers, and contractors. Through this integration, Bandhan Bank now becomes part of a unified e-payment gateway that ensures real-time transaction recording, secure processing, and online challan generation for various government dues.

In addition, the Bank is also integrated with the Integrated Financial Management System in the states of Rajasthan and Jharkhand, which allows for efficient registration of bank accounts and real-time reporting of account balances to the respective government departments, further strengthening transparency and efficiency in public finance management. These initiatives reflect our continuous efforts to enhance digital capabilities, deepen relationships with government entities, and support the nation's digital transformation journey.

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On the collections front, we continue to focus on enhancing customer convenience and improving the repayment experience. During the quarter, we introduced unique QR codes for our EEB customers and integrated them with the BBPS ecosystem. In addition, we launched a web-based collection module, enabling our customers to repay EMI across products such as personal loans, auto loans, and two-wheeler loans with greater ease. With these initiatives, our customers now have multiple repayment options through the mBandhan app, retail internet banking, or via over 700 partner apps and web links. This step significantly reduces friction, simplifies the repayment process, and enhances the overall customer experience. We believe these enhancements not only improve convenience for our customers but also strengthen collections efficiency and contribute to the Bank's broader focus on digital innovation and customer centricity.

I now move to the performance of Bandhan Bank for the Q2 Financial Year '26 and the First Half of Financial Year '26:

I would like to candidly acknowledge that our Q2 FY '26 performance was somewhat below than our internal expectations. However, the underlying trends and structural improvements give us confidence for an improvement in the second half. There are a few factors that contributed to the softer Q2 FY '26 performance outcome:

- Firstly, the 75 basis points repo cut impacted around 45% of our advances and the 200 basis points reduction in MCLR affected another 5% of our loan book, which moderated the interest income growth during the quarter. We have partly offset this impact through reducing cost of savings accounts, however, the larger benefit from lower cost of term deposits will come through mainly from Q4 onwards
- Secondly, slippages remained elevated, reflecting the ongoing stress in the EEB segment, which was anticipated to get corrected during t

he quarter, but looks like that it will continue for 1-2 months more

- Thirdly, growth in our EEB portfolio remains subdued, as the full impact of the industry level guardrails is taking longer time to materialize than anticipated and
 - Finally, our advances growth came largely during the end of the quarter, mostly during the last month of the quarter, which made limited contribution to the profit and loss in Q2
- While these factors moderated our near-term performance, we remain confident in the Bank's underlying strength. The initiatives we have undertaken, including enhanced collection, strengthened risk management and disciplined growth strategies are already in motion. We expect these measures to translate into improved growth and profitability in the upcoming quarter.

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On a positive note, there are some encouraging developments during this quarter:

- Firstly, growth in our non-EEB book remains strong, reflecting the resilience and diversification of our loan portfolio. At the same time, the share of our secured assets continues to rise, which strengthens the overall quality of our advances
- We are also seeing renewed momentum in CASA, which is a testament to our focused efforts in building a strong and stable deposit base. In parallel, our reliance on bulk deposits continues to decline, supporting a more granular and sustainable funding profile
- From an operational perspective, our OPEX-to-asset ratio improved during the quarter, highlighting disciplined cost management
- Importantly, in the EEB segment, SMA-1 and SMA-2 balances have declined sequentially, signaling early signs of improvement in asset quality that we expect to see reflected in the coming quarters
- Finally, the Bank's capital and liquidity position remains robust, providing a strong foundation to support future growth and strategic initiatives

Taken together, these developments give us confidence in the resilience, efficiency and long-term growth potential of Bandhan Bank, and we remain optimistic about translating these strengths into improved performance in the quarters ahead. While my colleague and Chief Financial Officer – Mr. Rajeev Mantri, will provide a comprehensive overview of the financials, I would like to take this opportunity to highlight a few key developments and performance indicators from the 2nd Quarter of FY26.

As of September 30, 2025, our gross advances stood at about Rs. 1.40 lakh crores, reflecting a YoY growth of 7%. On the liabilities side, total deposits reached Rs. 1.58 lakh crores, growing by a healthy 11% YoY and, importantly, outpacing the growth in advances. This clearly reflects our strategic emphasis on maintaining a healthy balance sheet that supports sustainable growth. Our retail term deposits continue to show strong momentum, growing by 38% YoY. This growth reflects the increasing trust and engagement of our individual customers and the effectiveness of our distribution network. Our CASA deposits now account for 28% of the total deposit base and the overall share of retail deposits, including CASA and retail term deposits, improved to 71% compared to 68% in the previous quarter. This demonstrates a strong improvement in the granularity and stability of our deposit base, aligning well with our focus on building a sustainable and customer-driven franchise.

We continue to execute our diversification strategy with steady progress. During the quarter, our secured book recorded a YoY growth of 25%, resulting in an improvement in the secured portfolio mix to 55% compared to 47% a year ago.

Our NIM for Q2FY26 stood at 5.8%, reflecting some pressures, mainly due to the impact of the repo rate moderation. That said, margins continue to remain at a healthy level. For H1FY26, NIM was at 6.1%. Credit costs showed a small improvement sequentially, and we remain

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committed to bringing them down further through the year. We also undertook technical write-offs of about Rs. 865 crore during the quarter. Gross and net NPA ratio remained stable QoQ at 5% and 1.4% respectively, while our PCR, including technical write-offs, improved slightly to 87.6%.

For Q2FY26, our net income stood at Rs. 3,135 crore, while operating profit was at Rs. 1,310 crore. The Bank reported a PAT of Rs. 112 crore for the quarter. For H1FY26, ROA and ROE stood at 0.5% and 4% respectively.

Our capital position remains strong. Including Q2FY26 profit the Capital Adequacy Ratio stands at 18.6% and Tier I capital at 17.8%, providing adequate headroom to support future growth. Our branch network expanded to 1,754 branches with the addition of 4 new branches during the quarter.

As the microfinance environment moves towards stability, we remain confident in our ability to leverage the emerging opportunities ahead. Our focus will firmly remain on prudent risk management, disciplined execution, and identifying new avenues of growth — while continuously enhancing operational efficiency to drive sustained performance.

Before I conclude, I would like to reiterate that over the last year we have articulated the Bandhan 2.0 strategy and have taken measures to achieve the same. We have taken steps to transition from a microfinance focussed bank to a full-service commercial bank. The focus of our transformation initiatives has centred around a seamless integrated customer journey and a broad-based presence in various banking segments driven by technology and cost efficiencies. Risk, Compliance and Governance are the pillars on which we are moving ahead. These measures are being taken to achieve long term value creation for our shareholders. However,

during a transition we may witness short term pain but I see green shoots and I am confident that in the long run we will achieve balanced profitable growth with a focus on enhancing shareholder value.

With that, I would now like to invite our Chief Financial Officer, Mr. Rajeev Mantri, to take you through the detailed financial performance for the quarter. Thank you all.

Rajeev Mantri: Thank you, Partha sir. I welcome everyone to the earnings call. We will now move on to the business performance for the quarter. I will walk you through the key financial highlights and provide an overview of how we have performed.

We will start with the advances. As of September 2025, the gross advances stood at Rs. 1.4 lakh crores, reflecting a growth of 7% YoY and on a sequential basis, the growth was healthy at 5%. Our Emerging Entrepreneur Business or EEB portfolio stood at Rs. 51,733 crores as of September 30th, 2025, reflecting a decline of 13% YoY and 2% sequentially. However, if we adjust for the technical write-offs undertaken during the quarter, the portfolio would have remained broadly flat on a sequential basis. This is the result of steps taken to arrest the decline

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in EEB book while ensuring that the portfolio controls and guardrails continue to be implemented to manage elevated sectoral risks. With the operating environment showing some signs of recovery, we are expecting to see gradual growth in the EEB portfolio from Q3 onwards, supported by prudent lending, improvement in collections, and strengthened field discipline. Our non-EEB portfolio continues to deliver strong, broad-based growth. It now accounts for nearly 63% of total advances, up from 60% last quarter and 55% a year ago. The portfolio grew 24% YoY, driven by sustained momentum across both retail assets as well as wholesale banking. Retail assets grew by 66% YoY, led by secured products such as commercial vehicles and equipment loans, auto loans, and gold loans. Wholesale banking also performed well, recording a 27% YoY increase, reflecting strong client

engagement and execution. Overall, these results

highlight the strength of our diversified growth strategy and continued expansion of our high-quality, non-EEB franchise.

Driven by a focus on diversification and enhancing asset quality, we have further strengthened the secured loan portfolio, driven by wholesale banking, housing, and retail. The secured loan book grew 25% YoY and now accounts for 55% of the total advances, reflecting a steady shift towards a more secure and balanced asset base.

From a business mix perspective, our advances remain well-diversified across the various segments. The EEB group lending accounted for 24% of total advances. SBAL stood at 13%, wholesale banking at 29%, housing at 24%, retail assets at 9%. This balanced distribution highlights our conscious effort to reduce concentration and strengthen the portfolio's stability and resilience.

Moving to liabilities: As of September 30th, 2025, our total deposits stood at Rs. 1.58 lakh crore compared to Rs. 1.43 lakh crore a year ago, reflecting a growth of 11% YoY. The deposit growth continues to outpace the expansion in our advances, underscoring our strategic focus on balance sheet resilience and stable funding base. We remain firmly focused on building a granular and stable deposit base, with emphasis on growing our retail deposits.

Our total retail deposits comprising both CASA and retail term deposits grew by 16% YoY.

Within this, term deposits showed strong momentum, recording a robust growth of 38% YoY, reflecting the trust and confidence our customers continue to place in the Bank. The proportion of bulk deposits to total deposits declined to around 29% from 32% a year ago. This downward trend reflects our focus on enhancing stability and granularity of our funding base.

Our CASA deposits stood at Rs. 44,211 crores, reflecting a 6.5% decline YoY. This was primarily due to savings interest rate reduction implemented in Q1, which led to some outflow from savings accounts and some shift towards retail term deposits. However, it has helped us in terms of reducing the cost of funds for savings insurance. During the quarter, we have arrested the decline in savings balances, and savings accounts grew sequentially by 3.2%. Overall, CASA is showing signs of recovery, registering a 5.6% sequential growth.

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Moving to collections and asset quality: The Bank's overall collection efficiency, excluding NPAs, stood at 98.0% for Q2FY26, compared to 97.9% in Q1FY26. Within the EEB portfolio, collection efficiency for the month of September was at 97.5%, and for the full quarter of Q2FY26, it was 97.8%, compared to 97.6% for Q1 FY '26. For additional information on collection efficiency, we have a detailed slide 19 in our investor deck.

On the asset quality front, while headline metrics remained largely stable QoQ, gross slippages

at the overall Bank level increased slightly to Rs.1,590 crores compared to Rs.1,553 crores in the previous quarter, primarily driven by the EEB segment. Slippages in the EEB portfolio were higher at Rs.1,118 crores during the quarter versus Rs.1,089 crores in the preceding quarter, reflecting ongoing stress in the segment. Recoveries and upgrades during the quarter stood at Rs. 332 crores, marginally better versus Rs. 319 crores recorded in Q1FY26, this is at the overall Bank level.

While we observed some higher slippages in the EEB segment, there are signs of improvement in the SMA-1 and SMA-2 books. As of Q2FY26, the SMA-1 book of EEB has improved to Rs. 527 crores compared to Rs. 532 crores in the previous quarter, and the SMA-2 book stands at Rs. 388 crores versus Rs. 484 crores in the last quarter. The increase, however, in the EEB SMA-0 book is largely due to the impact of raising installment demand on holidays. As we had mentioned earlier, when there is a holiday, we actually see some

it of an increase in the SMA-

0 book. If we adjust for this increase in the holiday-related impact, we actually see a sequential improvement in the SMA-0 book as well for EEB. Out of the total EEB SMA-0 book of Rs. 1,582 crores as of the end of Q2FY26 as against Rs. 1,009 crore in Q1FY26 nearly Rs. 650 crores of the increase occurred due to the holiday effect in late September on account of the festive season, and we have already recovered approximately Rs.350 crores during October so far out of this Rs. 650 crores.

Additionally, the Bank undertook technical write-offs amounting to Rs. 865 crores during the quarter, of which write-off in the EEB portfolio was Rs. 799 crores. Consequently, the gross NPA and net NPA ratio at the Bank level were largely stable, QoQ at 5% and 1.4% respectively. Credit costs improved marginally and stand at 3.4% for Q2FY26 versus 3.5% in Q1FY26. The PCR excluding write-offs remained stable, QoQ at 73.7%.

Turning to the quarterly profit loss statement: In Q2FY26, our NII stood at Rs. 2,589 crores, reflecting a YoY moderation of 12%. Our net interest margin came in at 5.8% for Q2FY26, compared to 6.4% in Q1FY26. This movement was mainly on account of the full impact of the 75 basis point repo rate reduction implemented in the current quarter, which had a bearing on our advance yields. In addition, the growing share of secured loans in our portfolio and some continued stress from elevated slippages also influenced the margin trajectory. We have taken proactive steps to mitigate this impact, including a calibrated reduction in the cost of our savings account rates. We expect to see further benefits from lower term deposit costs flowing through from the fourth quarter onwards, which should help support margin improvement going forward.

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Our non-interest income moderated by 10% YoY and 25% QoQ, primarily due to lower treasury gains during the quarter, the last quarter we actually had good treasury gains. We continued to make strong progress in diversifying our revenue base. Income from third-party products grew by a robust 48% YoY, underscoring the success of our cross-sale and customer engagement initiatives.

Operating expenses for Q2FY26 remained largely stable at Rs. 1,825 crores, reflecting our continued focus on disciplined cost management. The OPEX-to-Average Assets ratio stood at 3.8% for the quarter, making a sequential improvement of 9 basis points. Operating profit for the quarter was Rs. 1,310 crores. The Bank reported a net profit of Rs. 112 crores for the quarter, as compared to Rs. 937 crores in Q2FY25 and Rs. 372 crores in Q1FY26.

For the half year FY2026, we had NII and operating profit at Rs. 5,346 crores and Rs. 2,979 crores respectively. The net interest margin, operating expense-to-assets ratio, and credit cost were at 6.1%, 3.8%, and 3.4% respectively. The Bank reported a net profit of Rs. 484 crores in H1FY26, with an annualized ROA of 0.5% and ROE of 4%.

Thank you for your time and listening to all our updates. On behalf of the entire management team, I would like to once again thank all the participants for joining us today. We appreciate your continued interest and support.

With that, we will now open the floor for questions.

Moderator: Thank you so much, sir. We will now begin with the question-and-answer session. The first question comes from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Hello, good evening. I had a couple of questions. Where do you expect the full year and the next year credit costs to settle? I understand that there were holidays, but even so, there is like a 54% increase in SMA-0, which is the sharpest. I know you explained, but even so, where do you see the SMA-0 set and you gave some October number, but where do you see the SMA-0 settling in the third quarter? And also, if you could highlight

on the credit cost? That's my first question.

My second question is that your PPoP margin, right, PPoP-to-assets has really fallen to a low in the 2nd Quarter. And it hardly covers, I mean, there's very little margin now to cover the credit

costs, right? So, how do you strengthen the PPoP margin? Because the book will play out in terms of the change in mix and its impact on margins. So, what are the levers we have to improve the PPoP margin to take care of the volatility in credit cost? And my third question is that in the Bihar election manifestos of opposition parties, debt waiver figures and a lot of soft to self-help groups figures are being talked about. So, how much of that would you expect to rub off to MFI in case these things come through in Bihar? These are my questions. Yes.

Partha Pratim Sengupta: So, first of all, to answer your query on credit costs, so we have a guidance for the next two, three years, where we have said that we should come to around 2.5%. So, this is a transition phase, as we have already said. During this transition phase, the NPAs are going to rise, as you

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have seen that we have done some major accounting changes also. Definitely, for which SMA-0 is one of the condition. We had some effects of the ballooning effects of the accounting system earlier, where actually the overdue were getting ballooned at the end of the EMI schedule, but now we have actually brought it forward. So, that has resulted in some ballooning in NPAs, which is the reason of increasing credit costs. But gradually it is coming down and it will gradually come down. This is the first thing. Second thing is that gross slippages of EEB from the EEB segment. So, these are yet to get arrested. So, till Quarter 2, what was our expectation, it has not happened for definite reasons across the industry. And so, that slippages are now showing some good credence. What Rajeev has recently just said that the SMA-2 figures almost decreased by Rs. 100 crores on a QoQ basis. And the trend is on the similar line. So, we expect that substantial slippages can be arrested. So, with the slippages, if they get arrested, definitely the provision requirement will come down and the credit cost will improve. This is the first thing. So, we are still maintaining our guidance that after 2-3 years, we will be looking at around 2.5% Rajeev Mantri: So, just to further supplement and clarify on the first point, what we have said is by FY '27 exit is where we are expecting a credit cost of 2.5% to 3% for EEB on a stable state basis. On an overall Bank basis, we will be looking at a credit cost of 1.5% to 1.6%. And that is because we are improving our secured mix as we have already seen. We will continue to endeavor towards that. And also we expect that the recovery in the EEB environment comes through over the ensuing quarters.

Partha Pratim Sengupta: So, second part, your SMA-0, as you have already said, that if holidays are there, we cannot help because demands are generated, but people are not there in the field for collection. But Rajeev has already given a trend that almost 350 cr of the amount of SMA-0 in the EEB segment has already been recovered during the first month of this. When ever it is due, we expect that this will also come down, but it will definitely depend on the holiday period. As regarding your PPoP margin, so the effect of the reduced cost of funds, that will come into a balance sheet almost on a large basis. A partial will come in Q3, but a major will come in Q4. And Q1 of next quarter, we will see a substantial impact of this cost of reduction of our interest rates, the moderation of interest rates, and definitely that will also improve our margin. Further, we are also taking steps to increase our other income. So, recently we have also revised some of our service charges and we are taking many more

steps to increase our other income. The treasury operations, which has given us a huge profit in the Q1, obviously because of the increasing rates, it has not happened during this quarter. So, we are also looking if we can make some treasury gains. So, these are the steps we are taking to improve our PPoP margin. And the fourth one is regarding Bihar elections. So, we find that during election manifestos, many political parties do come with debt waiver. But we have also seen that most political parties have realized that this is not a permanent solution and even the state do not have the capacity actually to fulfill this commitment. So, we'll look into it, but I don't see a major problem because Bihar has been one of the good states compared to many other MFIs, at least for Bandhan Bank, the recovery has been quite good.

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Rajeev Mantri: I think just to supplement the PPoP margin, because the full brunt of the repo rate impact came through in this quarter on the advances book. While we have taken action to reduce the savings count rates, which has immediately given some benefits, the reduction in the term deposit rates will take a bit of time depending on when the deposits come for renewal. And that's what we said from Q4, we should start to see. So, effectively, this net interest margin will be sort of the lower point. And from this coming quarter onward, we should start to see some improvement in the net interest margins.

Mahrukh Adajania: How much did you cut your MCLR by, say since April?

Rajeev Mantri: So, roughly 200 basis points.

Mahrukh Adajania: But has anyone cut MCLR so sharply, or you are higher than peers?

Partha Pratim Sengupta: No, we have just moderated the calculation. So, earlier, what was the basis of the parameters of doing MCLR, because we took this opportunity, we are one of the outliers. So, we had an MCLR of almost 11.5% compared to the next one in the line in the queue with around 9.5% or 9.7%.

So, we did a recalculation and we thought that it should be prudent enough that we make the correction at one time, because it may be a requirement going forward. So, that has impacted almost Rs. 5,000 crores of our housing loan.

Mahrukh Adajania: Okay. But as in, change the way you calculate what in MCLR, like cost of funds is a given, right?

Partha Pratim Sengupta: Yes. So, definitely. So, some of the service charges, which we are actually recovering from the customer, so that was the basis for that year. So, that was, since we are recovering it, we have not taken it as the cost of funds.

Rajeev Mantri: I think some of the elements is just broadly aligned with the way the market actually computes it. So, we aligned it with the market.

Mahrukh Adajania: Okay. Thank you. Thanks a lot.

Moderator: Thank you so much. Our next question comes from the line of Abhishek Murarka from HSBC Bank. Please go ahead.

Abhishek Murarka: Hi, good evening, sir. So, I have a follow-up question on the microfinance business. So, in Bihar, has the MFIN stepped in or have you or some of the large lenders, have you all made some representations or at least issued some guidelines so that your field agents etc. can work without any hindrance? Or if customers tell them that it's going to be waived, they have some official document to show saying that right now you have to service your loans. So, just the reaction from the industry and the support that you might be getting or might not be getting from the Bandhan Bank Limited

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government, if you can comment on that? So, that's question one. I'll come back on question two, actually.

Partha Pratim Sengupta: So, Bihar, again, I'm telling you that if you look at our portfolio, the delinquency trend is a very acceptable level, I can say for that. So, 30 dpd industry trend is 5.14% against which our trend is 3.8%. I

if you look at the 90 plus delinquency trend, the industry trend is 3.0%, ours is 2.04%.

If you look at 180 plus delinquency trend, 12.54% is the industry trend and ours is 6.84%. So, we are little bit comfortably placed than what the industry is doing for the day. And this election manifesto, each time, whenever it happens in any state, I think, many of the political parties do come up. But till now, at least no major political party, we have not seen that they'll come with these manifestos. But Vishal, if you want to add.

Vishal Wadhwa: Yes, this is Vishal here. In terms of the Bihar, we are watching it very closely in terms of the impact in the last one month or so. In our portfolio, as such, we have seen regular collection, that means the way it's been happening in the previous quarter. Though we have taken the cognizance in terms of the knowledge which is going around in the political environment out there, but that's one of the things which is always getting highlighted whenever a state election is happening. We are closely tracking. It's been performing as expectation and in fact, in the same manner it was performing in the previous quarter as well. So, I don't think, as of now, we see a challenge that we are cognizant of being keeping a very close eye in terms of how things are progressing there.

Abhishek Murarka: So, some pre-emptive steps have still not been taken or you have not felt the need to take? MFIN has not taken?

Vishal Wadhwa: No, preemptive steps have been taken. We also liaison with MFIN lobby and the directive from them given to all our relationship officers to carry it along and explain that these waivers talk and all is not sustainable and not rightful and that is given and shared with all the ROs which are the relationship officers who travel. In the weekly meetings, they make the customer very much understand whoever comes up with that query. We haven't seen that far so much of customer noise saying that waive our loan amount or we would not like to pay because there is people who are saying, we are going to pay on behalf of us. Those things have really not come up. There have been very small, one or two group meetings in which it has come up and we'll explain. We haven't seen much of a number, difference of connections. In fact, much better than the industry.

Partha Pratim Sengupta: So, even the MFIN has given us, you know, one pager to inform all our customers in terms of during the election time and that's only specific to Bihar. Whenever state elections are there, MFIN has given a common guideline given to all of us in terms of how do we, you know, explain to the customers who are raising this point of political interferences and waivers for the loan.

Abhishek Murarka: Understood. Okay. Thank you for that. The second question is, I see your disbursements in EEB have gone up. And obviously, a couple of states, there is still an increase in SMA 1, 2, etc. And you have also said in your opening remark that stress may continue in EEB for 1 or 3 quarters.

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So, which geography have you been comfortable in lending? That is what I wanted to understand. Where has this disbursement happened?

Rajeev Mantri: Abhishek, just to clarify what MD sir mentioned was, just to probably continue for 1 or 2 more months and thereafter we should see more recovery just to clarify.

Abhishek Murarka: Yes, sure. Okay. But the question still stands. So, where have you found comfort in increasing your disbursements and lending more? So, definitely, I can say the eastern part is doing reasonably well.

Vishal Wadhwa: So, West Bengal, Assam, Bihar, all these states. In the other parts also, we are seeing delinquencies are improving. The collection efficiency has improved. But see, like MD sir spoke about West Bengal, Bihar, Assam continues to be our strength area. And that is where we have

seen

growth also coming in. We have a large existing base. So, that is a renewal every 12 months or 18 months. So, that is where we really, for the good customer of ours, we really focus upon and try to get that renewal. So, West Bengal, Assam, Bihar, in that order, keeps on doing well. We have also seen some traction happening now in parts of Odisha and Madhya Pradesh, though not in that scale of what Eastern India is going around. The places where we are really not able to go because of the guardrails are Tamil Nadu and Karnataka because of the late entrant of us. Otherwise, we see decent renewals coming in and you would have seen by the numbers, disbursement of EEB in last quarter, Quarter on Quarter, has been almost back to the levels of Q2FY25 levels. It is almost there. That is one good trend. That is one confident statement which we get when we see that the disbursements are picking up because the business runs both ways. Disbursement and collection goes hand in hand. So, in September month we crossed 5,000 crores of disbursement.

Abhishek Murarka: Understood. Okay. All right. Thank you, sir. Thank you for the clarification and all the best.

Partha Pratim Sengupta: Thank you.

Moderator: Thank you so much. Our next question comes from the line of Aravind Ravichandran from Sundaram Alternates. Please go ahead.

Aravind Ravichandran: Thank you so much for the opportunity. I was trying to understand, in the housing category also, sequentially NPA has moved up, NPA percentage. Is it a gain because of the holidays or is there something else in the play here? Because growth is also very strong in the housing category, despite the NPA percentage move up sequentially. I could just like to understand what is...?

Rajeev Mantri: Yes, so I think if I could understand, sorry, the audio is still in and out, but your question is around the housing NPA and the SMA, right? As to what is actually driving that?

Aravind Ravichandran: Yes, housing NPA sequentially moved up, despite being higher growth, like having higher growth. I just would like to understand what is happening there.

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Rajeev Mantri: Sure. So, I think, like MD sir had mentioned earlier, there had been some sort of ballooning related sort of NPA recognition, which had happened sometime back. And we do assessment of that on a quarterly basis, which affects some bit of the housing. However, even if the SMA book has slightly gone up and we've seen that the credit cost and the final recovery that comes through are commensurate. And therefore, the net credit cost that comes through is aligned to the industry standards. The little bit of an increase that we've seen coming through the housing pertains to some of the underlying portfolio in the affordable segment, but the Bank is taking efforts to make sure that the recovery comes through within that. So, we are not seeing any kind of a material trend, per se, which is causing a significant risk. But there are basically certain areas and certain sectors or sections within the housing, where we've seen the risk emanating a little bit more. But the Bank is taking actions to make sure that the collection efforts increase on that particular front. But overall, on a net basis, after the recovery, if you look at the credit cost, it's actually quite commensurate with what we see in the industry.

Partha Pratim Sengupta: So, slippages have gone to 2.4%, so that is in the housing loan segment. But at the same time, recovery is around 15%. So, the NPA to the total advances stands at 2.8% during the quarter.

Aravind Ravichandran: Okay. And just one more question. Within the EEB portfolio, Bandhan plus more than three lenders, it has been actually stable for the past few quarters. What is happening there? Are you finding it difficult to run down the portfolio? What is happening there?

Vishal Wadhwa: So, see, we put the

guardrails on April 2nd for FY26, that means it's been six months since the time the guardrail has been put into effect for three lender norm. I think we'll have to wait for two more quarters and gradually it will speed up. Because as of now, you have to compare in the first two quarters, the three lender plus has gone down by 50 bps or 100 bps, 1% it has come down from an 11% to a 9.5%, right? So, this 9.5% now will go at a speedier pace from Quarter 3, Quarter 4 onwards. So, come March, because our loans also run for 12, 18, 24 months. So,

come March '26, you will see this number of 9.5% going down to a 7%-6% is what when we checked out, it will become that way. And below 5, maybe a Q1FY27.

Rajeev Mantri: So, but what we are seeing, obviously 100 bps has come down already in the last two quarters. And you will see the traction really picking up now because whatever has been booked for the last 18 months, it will start maturing now in 12 months and so on and so forth. So, all three lender norms will speed enough compared to what it has been up to. The numbers will keep on going down from there.

Aravind Ravichandran: Understood, sir.

Moderator: Thank you. Our next question comes from the line of Anish Rai from UBS. Please go ahead.

Anish Rai: Hello. Thanks for taking my question. So, I have a question around your net new EEB customer accretion. So, that has been hovering at the same level for quite a while now, I think for the last 2-3 years now. So, I just wanted to check, do you still believe there's an increasing penetration
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story there or you think that the market there has sort of saturated and now it's all going to market share gains? And the related question is, so when you think about growth for the microfinance industry or for the Bank, where do you see that growth coming from? So, how do you see that growth without that increase in customer accretion? So, that is my question. Thank you.

Rajeev Mantri: Sorry, Anish, your question just to understand, is the increase in customers or increase in advances?

Anish Rai: No, net EEB customers, active customers, you disclose it, net EEB active customer number, right?

Rajeev Mantri: Got it.

Vishal Wadhwa: So, you're right that we have stagnated in terms of the new borrowers coming in month on month. But as we see, even today, we keep on adding up 1,30,000 - 1,40,000 customers, on an average and in a quarter we add up to 3,50,000-4,00,000 customers. What we also realize when we go for new customers, there are lots of rejects which have increased in the industry due to delinquency and that's why we are also not able to really work upon in terms of getting the new borrowers because they are being rejected on account of the performance outside Bandhan Bank as well. And that's the industry trend. The good news is that on the renewal side, we have been working very closely with analytics to ensure that the good customers of ours, which have been with us for a longer time, are all getting renewed and all getting rolled for the new loans as well. So, this fraction we will keep on seeing for the next 1 or 2 quarters and once the industry stabilizes and the leverage issue is completely lift off, we will try and get further new customers. Currently, if you see and go by the industry number, around about 23%-24% of the overall industry customers are ineligible to take loans going by the government. I hope I am able to answer the query.

Anish Rai: Yes, thank you, sir.

Moderator: Thank you, sir. Our next question comes from the line of Param Subramanian from Investec. Please go ahead, sir.

Param Subramanian: Good evening. Thanks for taking my question. Firstly, on funding cost. So, quarter-to-quarter, your cost of funds is, as there is not much movement. Why is that the case? Because your CASA ratio is up. We have taken substantial cuts in our saving

s rate as well. So, why is cost of funds

not yet showing improvement? And related to that, how to think about NIMs going into second half and next year? Because I think at the beginning of the cycle, we had called out that because of the mix shift, the Bank would lose 70-80 basis point of NIMs. And it looks like we are already there. So, how to think about NIMS from here on?

Partha Pratim Sengupta: So, the funding cost, what we have already explained that a moderation in the savings Bank has come. So, my funding cost of savings Bank has almost like 200 basis point has come down. But
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the fixed deposits are yet to come. So, we have got almost close to almost 75,000 close of retail term deposits and also fixed deposits, bulk deposits are also there. So, there is the moderation will take place as and when this gets renewed. So, it will take two more actually to...

Param Subramanian: Your CASA ratio is up, quarter-on-quarter and there is a savings cost reduction ...

Partha Pratim Sengupta: Quarter-on-quarter, it is marginally up. Yes, we have 2.8%. It increased from 27.1% to 28%. We are marginally up. But the main thing is that because of the fixed deposits, which were adding a very high rate of interest. So, that needs to get moderated and that will get moderated only at the time of renewal for which we need to wait till Quarter 4. A little bit positive impact will come in Q3, but not much. So, Q4 actually the major impact will come.

Rajeev Mantri: Just to share some numbers, for instance, our savings account, the cost has come down from an

average of 5.52% last year or even in Mar '25, 5.5% to almost 4.2% for this quarter. And in fact, September month was almost down to 4%. So, we have done substantial reduction in savings cost, which will continue to give us benefit going forward as well. The term deposit rate reduction that we have done will take some time to affect because of the renewal date of the TDs coming in largely in Q4. Some will come in Q3, mostly in Q4. Some will come in the first half of next year.

Partha Pratim Sengupta: The second question regarding the NIM, we have already indicated that as we are moving towards more secured books, the NIM would get impacted. It has got further impacted because of the upfronting of the repo cut, which we were not expecting beginning of the year. But again, the moderation definitely will continue. But our guidance is that we should have it around 6%. So, we are working towards it. It is not that EEB will not grow. So, whatever the degrowth in the EEB has taken place, I think it will be arrested. And from Q3 onwards, we will be witnessing the growth. So, that will definitely help us in actually achieving our NIM target. So, currently, we are around 6.1% if we look at the half year. So, already another 10-basis point moderation we have already taken into account. And probably, with the EEB segment going up, we will be able to achieve it.

Rajeev Mantri: Yes, I think just to supplement, the NIMs for the quarter were 5.8%. And what we expect as the renewals for the TDs come through, the margin should improve from these levels. So, we actually expect an upward trajectory from here. And this could be sort of the bottom point, at least during this financial year.

Param Subramanian: Okay. So, from here on, it improves. And even from a mix perspective, right? So, our strategy, we initially highlighted that we want secured in the loan mix of about 55%. I think we are broadly there. Even microfinance, I mean, including the individual loan is 36%-37%. We seem to be already there, right? So, how to think about mix going forward for the next, going into FY '27? Is microfinance going to grow from here? And has it bottomed out in the mix?

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Partha Pratim Sengupta: So, that is our strategy. So, if we grow in micro

finance, our growth in the non-microfinance will be much more at a much higher rate. So, this ratio will be maintained or a little bit, it will dip down.

Rajeev Mantri: Yes. So, I think the secured mix could actually increase further by rather say 2-3 percentage points through the next 6 to 7 quarters. But the degrowth in the EEB book is what we are trying to arrest, so that we can actually start having a moderate bit of a growth. That is where we are trying to get the mix.

Param Subramanian: Okay. So, 55% can move towards something like 52% or broadly, right? Is what you are saying 2-3 percentage points?

Rajeev Mantri: No, what we are saying is 55% could move down further to say 57%-58% over the next 7 quarters. But during that particular period, we will also try and get the growth back into EEB, so the ratio could move between these ranges effectively.

Moderator: Thank you. The next question come from the line of Anand Dama from Emkay Global Financial Service Limited. Please go ahead, sir.

Anand Dama: Sir, thank you for the opportunity. Sir, this MCLR cut that we have done 200 basis point, is that something to do with RBI telling us or is it basically we have done it according to Reddy.

Partha Pratim Sengupta: No, nothing. Let me make it very clear that it has got nothing to do with RBI.

Anand Dama: Okay. So, basically, I am sure that this year's RBI supervision would be nearly over. Any address comments that basically came through in the RBI report?

Partha Pratim Sengupta: I think that we cannot pinpoint that. All banks do have a report. But I would say that the major regulatory issues which were there have been already addressed. And where technology dependence is there, these are on the process of getting addressed. So, that much I can say. So, the major regulatory issues what was there, we have already addressed those things. But definitely, whenever you are in any banking operations, there will be some observations from the regulator. We will address as and when required.

Anand Dama: Just to confirm, basically, we will not have any further shocks in terms of any PSL classification or anything that would come from RBI.

Rajeev Mantri: No, nothing as such we have received in the supervisory report.

Anand Dama: So, secondly, on Bihar, I think it's the opposition manifesto which has talked about some kind of waivers and so on. The ruling party hasn't. But is there any difficulty in terms of approaching the customer in terms of collections now, given that the elections are around or we are able to reach to the customer, conduct center meetings and so on?

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Partha Pratim Sengupta: As of now, we are cognizant of the issues raised by the opposition. However, we haven't seen any material change in our collections as for today as well, till date. But we are keeping a close watch. And it's been a part of the business of us now. Whenever there's a state election, these things have been spoken about and slowly it settles down and stabilizes. We haven't seen any disruption as of now. So, customer visits are happening, book center meetings are happening in a normal way.

Anand Dama: Sure, sir. That's very helpful, sir. Thanks a lot.

Moderator: Thank you, sir. Our next question comes from the line of Hardik Shah from ICICI Securities. Please go ahead.

Hardik Shah: Hi, sir. Good evening. Sir, if you can quantify the MFI slippages in this quarter. And sir, any qualitative reason why the situation did not pan out the way it should have been? Because other banks, all banks which have MFI segment, they have seen 20%, 30%, 40% decline in slippages. So, is this a geographical thing which is a bit of an adverse thing for us? Or why is it that the slippages seem to be elevated or not improved significantly versus others?

Rajeev Mantri: So, maybe I'll answer both. So, firstly, on the number, the sl

ippages for the EEB, which is Group

Loan Service as well both, was Rs. 1,118 crores. This was the gross slippage. And the net slippage was 984 crores. The gross slippage increased marginally from 1,089 to 1,118 during the quarter. On your second question, I think, look, from our perspective, the Bank had already been following the guardrails to a large extent. If you look at it, for us, the Bandhan Plus 2 portfolio was almost close to 90%. And the overleveraging portfolio portion of the EEB was only around 10%. So, that also has improved further down to 9.5%. However, the industry number used to be much larger. And what we see from the Bureau report, the industry almost a year back was 19%. And over the period, they have tried to come down. So, you will probably see the reduction more in the industry because they're coming from a position of a much higher delinquencies to a lower delinquency. From our standpoint, our delinquency levels were lower, and we have been doing better than the industry. However, at the same time, we are trying to put in efforts to make sure that our collection rate and recovery efforts go up, and also that we have lower slippages come through, which is what we are expecting sometime in Q3 onwards for the recovery to come through.

Vishal Wadhwa: Quickly I will just supplement in terms of what you spoke about the industry, I'll give you the figures, which is reported by the Bureau end of September, 180 plus delinquency, which is typically at an industry level is at 15.26% and we are at 7% at a 180 level. At a 90 to 180 dpd, industry is at 3.27% and we are at 2.08%. So, comparatively, both 90 plus and 180 plus, we are far, far superior compared to the industry. So, even if they have said slippages have reduced, maybe for this quarter, they have already been at a very high end of 180 and 90 already in the previous quarter. The current quarter, if I stand in point, if I see in the month of September, there's a large difference between both 90 plus and 180 plus. So, I'm not sure about whether you're getting the figures of slippages of the industry overall improving by 20 basis points.

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Maybe some other banks, because they have a very small amount of this EEB book. So, maybe they must have percentage-wise have shown a better improvement compared to us, because we have a large base. So, on this large base, the percentage improvement is difficult to predict.

Hardik Shah: Okay. Sure. And secondly, sir, this 650 crores of SMA-0, which was because of bunched up holidays, that you have managed to recover 350 crores of them. Ideally, it should have been even much more, right? I mean, is that the understanding or the 650 crores of bunched up holiday, of course, the holiday season is over and then 2H for October should be a decent active month. You have only managed to recover 350 crores. Is that what, I mean, this is what you said, right? That you have managed to recover 350 crores. You have managed to regularize Rs. 350 crores out of 650 crores bunched up, right?

Vishal Wadhwa: Let me explain this holiday demand for your understanding. What happened was, because we have got a predominantly 53,000 crore of our portfolio in EEB and September 29th and 30th being holidays, there is an impact of holiday demand in which we collected 92% of our customers. 92% of the customers on the days of 29th and 30th we were able to collect. 8% of the customers, which was because we have weekly installment, we were not able to collect. And the following week, we are able to collect 95% of the remaining 8% of the customers. But what happens is, because of the 8% of the customers, that totals up to close to Rs. 650 odd crores of the principal outstanding, which moves to 1 DPD, 1 to 7 DPD or 7 to 15 DPDs. If there are two Monday holidays, like in this month of October, there have been three holid

ays on Monday, which is

being a Monday weekly installment, but we have to take advance, we take 92%-93%, 7%-8% are flown to the next weekly cycle and which we collect again in the next weekly cycle. So

whatever flows like this Rs. 650 crores, which had happened earlier and specifically on the last day of the month, we are able to collect 92%-93% in the advance, 7%-8% in the following week. And that is a proof of the testament that when you see SMA-1 and 2, there is no increment, even from April to September or October, but SMA-0 gets elevated temporarily for a week primarily and slowly, slowly it keeps on coming down week by week. So as I speak, this approx. 1,500 crores which is reported here as SMA 0 would have been 1,200 crores odd 3-4 days back. So this number will slowly come down to a below 1,000 crores, which was there in Quarter 2 and so on and so forth in the next one month, because there are no more holidays in November and December and nothing coming at the end of the month. The last day of a holiday in the last day of the month becomes a bigger problem because we don't have time to collect for that particular one. And September 29th, 30th, 1st and 2nd were holidays. So they were continuous holidays for that period. But like what Rajeev explained, bulk of it has already got collected in October and whatever is still that one week pending will further get collected in November. So I don't see a risk in SMA-0 formation, that risk is very temporary for 2-3 weeks and that is stabilized. This particular month, because of 3 Monday holiday, it is taking maybe 1 week or 2 weeks more. Come November and I think that PAR 1 to 30 will stabilize back to the normal number of June quarter. I hope I made everybody clear on this point. Because it is a temporary blip because of the last day being a holiday in a month.

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Hardik Shah: Sir, I just wanted to check this Wholesale Banking ABG book and erstwhile SEL book, what is the reason for the rise in GNPA there? Thank you.

Rajeev Mantri: You are talking about the erstwhile SEL, which is ABG book, the increase in NPA? Is that the question?

Hardik Shah: Yes.

Vishal Wadhwa: Okay. See, the SEL erstwhile book, the denominator impact is there. We have gone a little slow in terms of the growth in SEL and we are planning to change our policies and making it far more robust. For that reason, there has been an impact of denominator growth in SEL. Otherwise, the slippage pattern of ABG has been on the similar numbers month-on-month, the way it was there also in the previous quarters or so. But because of the denominator coming down in the growth, we are trying to make it in a more robust manner. That is why you will see that impact of the NPA is elevated and the percentage is going higher.

Hardik Shah: Sir, I was referring to absolute number only, Rs. 730 crores of GNPA has become Rs. 870 crores on a quarter-to-quarter basis in wholesale banking. And the GNPA in wholesale banking, Rs. 730 crores has become Rs. 870 crores.

Rajeev Mantri: Yes, the wholesale banking book includes the ABG portfolio. I think if you look at the wholesale banking NPA levels, excluding the ABG, it is quite low, almost like 0.5% or 0.8%. But ABG has a slightly higher NPA primarily because the book actually has been degrowing and the denominator effect, like Vishal mentioned, is affecting the NPA percentage. But there are certain underlying risks, which the team is actually looking at in terms of improving the collections. It has been an unsecured portfolio, which actually has had some bit of an NPA level, but the team is focused in terms of making sure that the collections come through within that.

Hardik Shah: Okay, so this is unsecured business banking, right? I mean, what we see at other Bank is, business banking.

Rajeev Mantri: That is correct.

Hardik Shah: And this is not

a LAP, right? This is business banking, unsecured working.

Partha Pratim Sengupta: Not a LAP.

Rajeev Mantri: It is unsecured.

Moderator: Thank you. The next question comes from the line of Vatsal Parag Shah from Knightstone Capital Management. Please go ahead.

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Vatsal Parag Shah: Thanks for taking my question. So my question is regarding MFI. So we are seeing that Madhya Pradesh and Bihar and Maharashtra also have some difficulty in collections from some other players. So are you seeing any stress there?

Vishal Wadhwa: So like I said, Bihar is doing reasonably well for us. For us, like I said, Tamil Nadu, Karnataka is a little stressed. Maharashtra is doing reasonably okay for us as far as we are concerned, though I see there is an industry difference from our portfolio compared to the industry portfolio.

Industry doesn't do that well. For us, Gujarat is a little, compared to the industry, a little cause of concern, but not that much to worry because our portfolio in Gujarat and Southern states are much lower if you have to compare. So we are keeping ourselves abreast in terms of and

watching Gujarat portfolio more qualitatively. Maharashtra is still holding for us the way it was earlier. I hope the question was answered.

Vatsal Parag Shah: Yes. So my next question was more forward-looking in nature. So for H2, we were banking on the growth being higher in MFI and the asset quality improving. But next year in Q4, West Bengal and Assam, both will have their elections. So just wanted to understand historically in the past 2-3 election cycles for West Bengal and Assam, what has been the trend and disbursement in asset quality? Do they significantly deteriorate or we can Bank on H2 being significantly better than H1 despite the election month being dead?

Partha Pratim Sengupta: In fact, five years back when the election took place, the portfolio quality was much better. There were no issues at all for them. In West Bengal, there is no election, no political party gives a campaign that no labor required there. I don't think that's going to happen in any way. But Assam also, there was post-election that has come up earlier. But I don't think in Bengal specifically, anything of this has been even spoken at this point of time. But like I said, this business is such that there is a political infringement and we are aware of how to manage it even now because we have been doing it for a long time across the industry. And like I said, this business is also, microfinance has been H2 is far superior than H1 in terms of both disbursement, growth, and stability in terms of quality of the book as well. So, we are optimistic that Quarter 3-Quarter 4 will have better trends in terms of both growth and quality of the asset book.

Rajeev Mantri: And also, I think because of the various guardrails and the communication, borrowers are also well aware now of the need for a discipline in terms of repayments.

Vatsal Parag Shah: Okay, got it. And lastly, have you taken any price hikes in group loan?

Partha Pratim Sengupta: No, we have not increased any price.

Vatsal Parag Shah: Okay, got it. Thank you.

Rajeev Mantri: Thank you.

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Moderator: Thank you. Our next question comes from the line of Aravind Ravichandran from Sundaram Alternates. Please go ahead.

Aravind Ravichandran: I have this question, like, because we have seen different players, because of the risk-based pricing in MFI, they have inched up the yields, like 75 basis points, 100 basis points, different lenders have done different things. But based on the past several quarters, they felt like there is a need to raise yields. Don't you see any need like that in raising yields for JLG notes, MFI notes? That is my first question.

Vishal Wadhwa: We are not looking at moving any risk-based pricing, b

ecause the group concept is cohesive. So, it's difficult to implement risk-based pricing in a group in many ways. So, we want to continue the way it is in terms of ensuring that we get the right quality book rather than looking at a risk-based pricing, because the group concept is very cohesive when we form a group, and it is very difficult to implement on the ground that we have different risk-based pricing and explain in a particular group. And so, we have been keeping the way in terms of keeping a flat rate at a group level. And we haven't increased the prices or yields in the recent past.

Rajeev Mantri: Yes, I think there is no plan to hike the rates in the MFI.

Rajinder Kumar Babbar: The rural market, basically, is a very sensitive market, because one customer is getting a particular rate, another is getting another rate, then there is basically a disconnect. So, most of them, they want the similar rate. If they have taken a loan of Rs. 50,000, in the fixed installment, I am paying so much amount to the Bank.

Partha Pratim Sengupta: So, if you look at the risk profile of this customer, the risk profile is also the same. It is very similar, except that some are paying on time and some are paying with some delay or some are not paying for the day. But if you look at the risk profile for anything, whether on the basis of income, or whether the basis of the schemes, the unstructured information, the risk profile almost is very similar in respect of this particular segment of customers.

Aravind Ravichandran: I was trying to understand, branch addition has been particularly slow in the last few quarters. So, if we want to get back the growth in the subsequent years, is this enough? Are we going to significantly accelerate the branch expansion rather than investments? I understand that you mentioned that we need to make investments.

Partha Pratim Sengupta: So, we have already a plan for branch expansion during the next one year. So, we are just going ahead with that plan only. But our motto is not that we would grow very aggressively in branch expansion. Rather, we are focusing on the digital strength capability of the Bank. But definitely, geographies where our presence is very less. So, we are focusing now on the south. We are also focusing a little bit on the north. But definitely, much lesser focus on the east.

Aravind Ravichandran: Understood. Thank you.

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Moderator: Thank you, sir. And this question comes from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Thank you for giving me one more chance at asking questions. I just had one clarification that ECL will be implemented now. So, what would be your overall SMA pool, because that will determine the stage 2 provisions, right? In terms of even other loans. Obviously, you have been transparent enough and you are disclosing the EEB pool regularly, which is very helpful. But what is the total SMA pool including non-EEB? Like say for 0, 1, and 2?

Partha Pratim Sengupta: You want the figures as of September 30th or what you want?

Mahrukh Adajania: No, September 30, the total SMA.

Rajeev Mantri: Are you asking for the SMA as per the current books or SMA as per IndAS new guidelines?

Mahrukh Adajania: You can give either. I mean, you can give both.

Rajeev Mantri: No. So, look, we are assessing and evaluating. I think the draft guidelines have come through.

We are looking at what exactly it would mean for the Bank. I think at this stage, that process is still on. So, currently, I think whatever we have in terms of the DPD books, in terms of the SMA 1, 2, etc., we've already included in the investor deck for EEB. So, I think you will be able to see the details there. But the assessment for the new guidelines of ECL is still under process. So, we will not be able to have the details of that.

Mahrukh Adajania: Sur

e. But IndGAAP, would you be able to share the total SMA pool under IndGAAP? Including non-EEB?

Rajeev Mantri: Sorry, Marukh, we will not have the figures for IndAS right now. Not for the ECL as per the new guidelines.

Mahrukh Adajania: Okay. IND GAAP also you won't have?

Partha Pratim Sengupta: Yes, we can share it later. We can engage subsequently and then have a conversation.

Mahrukh Adajania: All right. Thank you so much. Thanks.

Rajeev Mantri: Yes, we will connect with you.

Mahrukh Adajania: Thank you.

Moderator: Thank you. In the interest of the time, that was the last question. I now hand the conference over to the management for the closing comments. Thank you.

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Rajeev Mantri: Thank you everyone for joining for the investor call and for patiently listening to the various updates as well as for asking the various questions. And thank you for reposing the trust in the Bank. Thank you so much.

Moderator: Thank you, sir. On behalf of Bandhan Bank that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2026

Ref. No.: BBL/SEC/ 201/2025 -26

January 28, 2026

BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 541153 National Stock Exchange of India Limited
The Listing Department
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai - 400 051
NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub.: Transcript of the Earnings Call on the Unaudited Financial Results for the quarter (Q 3) and nine months ended December 31, 2025

In continuation to the letter bearing Ref. No.: BBL/SEC/ 198/2025 -26 dated January 22, 2026 and pursuant to the provisions of Regulation 30 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed, the transcript of the Earnings Call hosted by Bandhan Bank Limited (the 'Bank') on Thursday, January 22, 2026, on the Unaudited Financial Results of the Bank, for the quarter (Q 3) and nine months ended December 31, 2025. Further, the same has also been uploaded on the Bank's website and can be accessed at the following link:

<https://bandhan.bank.in/sites/default/files/2026-01/Bandhan-Bank-Q3FY26-Earnings-Call-Transcript.pdf> .

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhan.bank.in.

Thanking you.

Yours faithfully,
for Bandhan Bank Limited

Indranil Banerjee
Company Secretary

Encl.: As above
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"Bandhan Bank Limited
Q3FY26 Earnings Conference Call"
January 22, 2026

MANAGEMENT : MR. PARTHA PRATIM SENGUPTA – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER–BANDHAN BANK LIMITED
M R. RATAN KUMAR KESH – EXECUTIVE DIRECTOR AND CHIEF
OPERATING OFFICER – BANDHAN BANK LIMITED
M R. RAJINDER KUMAR BABBAR – EXECUTIVE DIRECTOR AND
CHIEF BUSINESS OFFICER – BANDHAN BANK LIMITED
M R. RAJEEV MANTRI – CHIEF FINANCIAL OFFICER –
BANDHAN BANK LIMITED
M R. VIKASH MUNDHRA – HEAD OF INVESTOR RELATIONS –

Moderator: Ladies and gentlemen, good day, and welcome to the Bandhan Bank Limited Q3 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Mundhra, Head of Investor Relations team.
Thank you, and over to you, sir.

Vikash Mundhra: Thank you, Sagar. Good evening, everyone and a warm welcome. It's a great pleasure to have you with us as we review Bandhan Bank's business and financial performance for the quarter and nine months ended December 2025. We truly appreciate your time, your continued support and your participation on today's call. I hope the year has begun on a positive note for you and your families and I wish all of you a healthy, successful and fulfilling 2026.

Joining me today are Mr. Partha Pratim Sengupta, MD and CEO; Mr. Ratan Kumar Kesh, Executive Director and Chief Operating Officer; Mr. Rajinder Kumar Babbar, Executive Director and Chief Business Officer; Mr. Rajeev Mantri, Chief Financial Officer and I'm Vikash Mundhra, Head of Investor Relations, along with our senior management team. We will take you through the key business trends, achievements and challenges during the quarter, followed by a Q&A session after the management's remarks.

With that, I invite our MD and CEO, Mr. Partha Pratim Sengupta, to share his perspective on the quarter's performance. Over to you, sir.

Partha Pratim Sengupta: Thank you, Vikash. Good evening and thank you for joining us today. On behalf of Bandhan Bank, I am pleased to extend a very warm welcome to all participants on our earnings call for the third quarter of FY26. I hope you and your families had a wonderful start to the new year, and I wish you continued good health, prosperity and success in the months ahead.

This quarter was marked by strengthening across our core businesses. In line with our strategic focus on quality growth, we saw steady momentum in advances, improvement in the EEB book, and further strengthening of the secured book. On the liabilities side, our continued push toward granularity resulted in stronger retail mobilisation and a calibrated reduction in high-cost bulk deposits. Margins improved sequentially as the cost of funds eased, and asset quality trends moved in the right direction with lower stress formation and reduced NPAs. While these are positive outcomes, we remain sharply focused on accelerating CASA and improving asset quality further.

Before I move into the financial and operational performance for the quarter, let me begin by highlighting a few key initiatives we undertook during this period. These initiatives reflect our continued focus on enhancing our products and services through innovation and strengthening our ability to serve customers more effectively.

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During the quarter, aligned with our digital transformation agenda, we made strong progress. We enhanced the Bandhan Corporate Internet Banking platform with a better user experience, stronger security, and access through partners like BillDesk and Cashfree. We also implemented real-time transaction monitoring to proactively identify and mitigate risks for our clients. In Merchant Acquiring and Payments, we continued to scale our capabilities. We onboarded Razorpay as a payment gateway partner, supporting key sectors such as Government, utilities, and education. Our PoS terminals now integrate directly with customers' ERP systems, improving efficiency and reducing manual reconciliation. Additionally, we launched our In-App Collection Solution, enabli

ng mobile-based payment acceptance without physical devices. Overall, these upgrades strengthen our digital ecosystem and position us well to support the evolving needs of our corporate and institutional clients

Let me now walk you through some of the key initiatives undertaken during the quarter to strengthen our control framework and enhance our product offerings within the EEB group loan portfolio.

Starting with control enhancements, we focused on improving transparency, accuracy, and customer communication. First, we introduced real-time SMS acknowledgements for cash collections made during group meetings through our tablet-based system. This ensures

customers receive immediate confirmation of their payments, reinforcing trust and transparency. Second, we launched a real-time digital dashboard for our Operations Executives. This enables more effective monitoring and reconciliation of transactions conducted by our Relationship Officers during group meetings, significantly improving timeliness and accuracy. Third, we initiated pilot testing of Bluetooth-enabled portable printers to issue instant printed receipts at the point of collection. This further enhances clarity of communication and builds greater confidence among customers.

On the product enhancement side, our efforts were centered on offering greater flexibility and convenience to customers. We introduced 18-month and 36-month tenure options in group loan, providing customers with more choice to match their repayment schedules to their cash-flow cycles. Additionally, we have expanded repayment flexibility by offering bi-weekly and monthly repayment frequency options, reducing repayment stress and enabling better financial planning for customers.

Overall, these initiatives underscore our continued commitment to strengthening controls, elevating customer experience, and expanding flexibility across our product suite.

Let me now take a moment to highlight two significant developments during the quarter that had a notable impact on our financials. The first relates to the portfolio sale of NPAs and written-off accounts to ARCs, and the second pertains to the impact of the newly notified labour codes.

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As part of our ongoing effort to strengthen the balance sheet, we executed the sale of NPAs and written-off accounts of unsecured EEB and ABG portfolio to ARCs during the quarter. We sold Rs 3,707 crores of written-off portfolio, which was realized at a valuation of roughly 9%. Out of the total Security Receipts (SRs) issued for this portfolio, our share stood at about 62%. On the cash side, we received Rs 126 crores, and this inflow has been recorded under 'Other Income'. In addition to this, we also sold Rs 3,165 crores of NPAs, unsecured loan in EEB and ABG book, at a valuation of around 18%. Our share of SRs for this pool was approximately 47%. The transaction generated Rs 303 crores of cash for the Bank, and this has been used to offset our provisions under the provisions line item in the P&L. Together, these actions reflect our continued focus on strengthening the balance sheet while ensuring disciplined resolution of stressed assets.

The second key development relates to the new labour codes. On 21st Nov 2025, the Government of India formally notified the four Labour Codes. The Bank has undertaken a detailed assessment of their impact, wherever applicable, particularly with respect to the revised definition of wages. As a result of this assessment, we have created an incremental provision of Rs 120 crores towards gratuity during the quarter. This provision, which primarily arises from the change in wage definition, has been accounted for under employee cost in the P&L.

I now move to the performance of Bandhan Bank for Q3FY26 and the Nine Month FY26. The quarter demonstrated several underlying strengths across our core businesses. Our advance

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continued to show healthy momentum, with underlying growth remaining strong even after accounting for the recent NPA sale. The EEB portfolio has stabilised, reversing the earlier trend of degrowth, and our secured book continues to strengthen, improving the secured mix further. On the liabilities side, deposit granularity improved meaningfully, supported by strong retail deposit mobilisation, even as we deliberately pared down high-cost bulk deposits to improve the quality of our liability profile. Margins also showed an encouraging upward turn, aided by a sustained reduction in the cost of funds and improving deposit mix. Asset quality trends were constructive, with lower slippages QoQ, better early-stage indicators, and improved NPAs following the ARC sale.

In terms of areas we are sharpening further, CASA growth remains soft industry-wide, but we are intensifying efforts to strengthen customer engagement and enhance product propositions. Operating expenses remain well-managed and broadly in line with our guidance, despite certain regulatory-driven one-offs. And while slippage has improved, we continue to remain focused on further strengthening recoveries, reducing incremental stress, and moving steadily toward our medium-term credit cost aspirations. Overall, the quarter demonstrates improving fundamentals and continued balance-sheet resilience.

While my colleague and Chief Financial Officer, Mr. Rajeev Mantri, will provide a comprehensive overview of the financials, I would like to take this opportunity to highlight a few performance indicators from the third quarter of FY26.

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■ As of 31st Dec, 2025, our gross advances stood at about Rs 1.45 lakh crores, reflecting healthy growth of 10% YoY. On the liabilities side, deposits reached Rs 1.57 lakh crores, growing faster than advances on YoY basis — a reflection of our strategic focus on maintaining a balanced and sustainable franchise

■ Retail term deposits continued their strong momentum, growing by over 36% YoY, underscoring the increasing trust of our customers and the strength of branch network. CASA now stands at 27% of total deposits, and the overall retail mix — including CASA and retail term deposits — improved further to 72%, signalling continued strengthening of deposit granularity and stability

■ Aligned with our diversification agenda, our secured book, at 57% of overall advances, continued to gain share within the overall portfolio, supported by steady growth across secured products. This shift reinforces the improving risk profile and balance within our advances mix

■ Our NIM for the quarter at 5.9% remained healthy showing sequential improvement as the benefit of lower cost of funds flowed through. For the nine-month period as well, NIMs remained largely stable at 6.0%. Credit costs showed a small improvement sequentially, and we remain committed to bringing them down further through the year. Gross and Net NPA ratios improved significantly at 3.3% and 1.0%, while our PCR incl. technical w-offs improved slightly to 84.3%

■ For Q3FY26, our Net Total Income stood at Rs 3,379 crores, while Operating Profit was Rs 1,445 crores. The Bank reported a PAT of Rs 206 crores for the quarter

■ For 9MFY26, RoA and RoE stood at 0.5% and 4%, respectively

■ Our capital position remains robust. Including 9MFY26 profit, the Capital Adequacy Ratio stands at 17.8% and Tier I capital at 17.0%, providing ample headroom to support future growth

■ We also continued to expand our distribution footprint, taking the branch network to 1,831 branches, with 20 new branches added during the quarter and the conversion of 57 housing centres into full-fledged banking branches. This expansion enhances our reach and strengthens our ability to serve customers more effectively

To conclude, this has been a quarter of steady progress and strengthening fundamentals for Bandhan Bank.

We continue to execute with discipline across our strategic priorities — driving quality growth, deepening our retail franchise, enhancing our digital capabilities, and reinforcing our risk and control frameworks. While there is more work ahead, the trajectory is encouraging, and we remain fully committed to building a stronger, more resilient, and more diversified Bank. I would like to thank our customers, employees, shareholders, and partners for their continued trust and support.

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With that, I would now like to invite our Chief Financial Officer, Mr. Rajeev Mantri, to take you through the detailed financial performance for the quarter.

Rajeev Mantri: Thank you, Mr. Sengupta, and welcome all to the earnings call. We will now move on to the business performance for the quarter. I'll walk you through the key financial highlights and provide an overview of how we have performed. Let me start with advances performance, where the trends this quarter reaffirm the progress, we are making in reshaping the balance sheet.

As of 31st December 2025, Gross Advances stood at Rs 1.45 lakh crores, representing 10% YoY growth and on a sequential basis, growth was healthy at 4%. Importantly, if we adjust for the NPA sale of Rs 3,165 crores during the quarter, our underlying advances growth would have been higher, at 12% YoY and 6% QoQ indicating sustained business momentum beneath the reported numbers.

The EEB book stood at Rs 50,076 crores, showing a 11% YoY and 3% sequential decline. However, when normalised for the NPA sale to ARC of Rs 2,759 crores undertaken during the quarter, the portfolio would have recorded a growth of 2% QoQ. Operational trends on the ground, including improved collections, supported by increased demand, and strengthened field controls, reinforce confidence that the de-growth phase in EEB book is behind and the portfolio is stabilising with a more constructive trajectory going ahead.

Our non-EEB portfolio continues to demonstrate strong, broad-based growth at 25% YoY driven by sustained momentum across both Retail Assets and Wholesale Banking, now

accounts for nearly 65% of total advances, up from 63% in the previous quarter and 58% a year ago. Retail Assets grew by 57% YoY, led by secured segments such as CV & CE, auto loans, and gold loans. Wholesale Banking also performed very well, growing 32% YoY (excl. ABG & PTC – growth is 43% YoY), supported by deeper client engagement and effective execution. These trends validate the strength of our diversification strategy.

On portfolio diversification, we further strengthened our secured loan book across Wholesale Banking, Housing, and Retail Assets. The secured book grew 27% YoY and now accounts for 57% of total advances. The shift towards secured lending remains a key strategic lever for enhancing asset quality and improving the long-term risk profile. In terms of segmental composition, the portfolio is now more balanced. The EEB group lending accounts for 22% of total advances, SBAL at 12%, Wholesale Banking at 31%, Housing at 23%, and Retail loans at nearly 10%. This mix reflects conscious de-concentration efforts and a calibrated rebalancing towards more secured, stable and diversified asset pools.

Let me now move to our deposit's performance. As of December 31, 2025, our total deposits stood at Rs 1.57 lakh crores, compared to Rs 1.41 lakh crores a year ago — reflecting a growth of 11% YoY. Importantly, deposit growth on YoY basis, continues to run ahead of advances growth, consistent with our focus on funding stability and balance-sheet resilience. On a

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sequential basis, deposits moderated marginally by around 1%, largely due to the planned run-off in bulk deposits.

Bulk deposits declined by 6% QoQ, and their share in total deposits reduced further to about 28%, compared with 29% in the p

revious quarter and 31% a year earlier. This steady decline is intentional and reflects our ongoing commitment to reduce reliance on high-cost, less stable funding sources and improve the durability of our liability base.

Our efforts to deepen a granular, retail-driven deposit profile remain on track. Retail deposits, comprising both CASA and Retail Term Deposits, grew by 17% YoY. Within this, Retail Term Deposits maintained strong momentum, growing 36% YoY, which underscores the continued trust and engagement of our customer franchise.

CASA deposits stood at Rs 42,730 crores, showing a 4% YoY decline. This was primarily the result of the savings rate reductions undertaken in Q1 and subsequently in Q2 and Q3. The lower rates led to an outflow of certain high-value, rate-sensitive balances that were earlier costing upwards of 6%. It is also important to note that the pressure on CASA is not unique to us. The industry as a whole has been witnessing similar challenges, with most banks reporting softness in CASA ratios due to the interest-rate environment and shifting customer behaviour. The positive development, however, is that core, granular savings deposits continue to gain strong traction. These balances are more stable, less sensitive to pricing and at lower cost, and their growth indicates that the underlying strength of our CASA franchise remains intact. As customer engagement deepens, branches get leveraged and our granular deposit strategy continues to build traction, we expect the quality of our liability base to further improve over the coming quarters.

Let me now take you through the asset-quality trends, where we continue to see strengthening across key indicators. Starting with collections, our overall collection efficiency, excluding NPAs, improved to 98.1% in the month of Dec'25, compared with 97.8% in Sept'25. Within the EEB portfolio, full-quarter collection efficiency for Q3 stood at 98.2%, and for the month of December specifically, it was 98%, up from 97.5% in September. These improvements reflect the sustained recovery efforts on the ground. Additional details are available on Slide 20 of our investor deck.

On slippages, the improvement is visible and broad-based. Bank-wide gross slippages declined to Rs 1,314 crores in Q3FY26 from Rs 1,590 crores in the preceding quarter. The largest contribution to this improvement came from the EEB segment, where slippages moderated to Rs 942 crores, compared with Rs 1,118 crores in Q2FY26. Recoveries and upgrades, at the bank level, amounted to Rs 351 crores, slightly higher than Rs 332 crores in the previous quarter. Better recoveries coupled with lower slippages, indicates stabilising portfolio behaviour and better resolution throughput.

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We are also seeing encouraging signs in the early-delinquency buckets. In the EEB portfolio, the combined 0–90 DPD pool (SMA0, SMA1, SMA2) reduced to Rs 2,310 crores, or 4.6% of EEB

advances, from Rs 2,497 crores, or 4.8%, in the prior quarter. The most meaningful improvement came in the SMA0 bucket, which declined from Rs 1,582 crores to Rs 1,328 crores. This movement indicates easing forward flows and supports our expectation of further improvement over the coming quarters. Detailed disclosures are available in Slide 21 of our deck.

In addition, during the quarter, we completed the sale of Rs 3,165 crores of NPAs, primarily from the EEB and ABG portfolios, to ARC. Following this sale, our Gross NPA ratio improved sharply to 3.3%, and Net NPA declined to 1%. Credit cost for the quarter moderated slightly to 3.3%, compared with 3.4% in Q2FY26.

A point worth highlighting is around provisioning coverage. While the reported PCR stands at 70.8%, when we include the provisions against the Security Receipts, the effective PCR is 74.2%, broadly unchanged sequentially. This reflects a stable provisioning position even after

the NPA

sale. Additionally, our PCR incl. technical write-off stands at 84.3%.

Let me now move to the earnings performance for the quarter. Starting with Net Interest Income, NII for Q3FY26 came in at Rs 2,688 crores. While this reflects a YoY moderation, but on a sequential basis it improved 3.8%. NIM for the quarter improved to 5.9%, compared with 5.8% in Q2, supported by a nearly 20-bps reduction in the cost of deposits. This improvement more than offset the natural yield compression arising from the rising share of secured lending in the portfolio — a conscious shift that strengthens the risk profile and enhances earnings quality over time.

Looking at non-interest income, the reported number shows a 38% YoY decline but a 27% improvement QoQ. However, normalising for one-off items, core non-interest income grew 32% YoY. Importantly, income from third-party distribution grew a strong 35% YoY, highlighting deeper branch level penetration and better cross-sell productivity. We also saw a healthy recovery in processing fees, supported by improved disbursement activity in the EEB portfolio. Operating expenses for the quarter were Rs 1,934 crores, rising 6% sequentially. This increase was largely due to the Rs 120 crores provision for gratuity following the implementation of the new labour codes. On a YoY basis, opex growth was contained at 2%, helped by the absence of one-time ESOP related costs that were present in the base quarter. Despite the regulatory-driven one-offs, our opex-to-average-assets ratio remained well-managed at 3.9%, only marginally higher than the 3.8% in Q2 — reflecting continued discipline on cost control. As a result, operating profit for the quarter stood at Rs 1,445 crores.

Net profit for Q3FY26 was Rs 206 crores, compared with Rs 426 crores a year ago and Rs 112 crores in the previous quarter. Profitability ratios for Q3 — RoA at 0.4% and RoE at 3% — reflect the combined impact of one-off items and the cost of reducing NPAs measures undertaken during the quarter.

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Briefly turning to the nine-month performance. NII for 9MFY26 stood at Rs 8,034 crores, supported by the continued expansion of the secured book and stable margin performance. Operating profit for the nine-month period stood at Rs 4,424 crores, reflecting resilience in core earnings.

NIM, opex-to-assets, and credit cost for 9MFY26 were 6.0%, 3.8%, and 3.4%, respectively. Net profit for the nine months was Rs 689 crores, resulting in an annualised RoA of 0.5% and RoE of 4%.

Taken together, these results reflect steady progress, on the Bank's strategic priorities through improving business growth, sustainable product mix and better asset quality - actions that strengthen the franchise for the long term. Thank you for your time and for listening patiently to our updates. On behalf of the entire management team, we truly appreciate your continued interest and support. With that, we would now be happy to take your questions.

Moderator: Thank you very much. We will now begin with the question-and-answer session. Our first question comes from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Sir, I wanted to check if you can specify the EEB slippages during the quarter and the recoveries, if any, in the movement of NPA...for EEB only?

Partha Pratim Sengupta: So, during the quarter, EEB slippages has been to the tune of Rs 942 crores. There has been a significant improvement — In Q1, it was Rs 1,089 crores; Q2, it was Rs 1,118 crores. So almost Rs 170 crores down from what we have seen in the previous quarter.

Rajeev Mantri: And the recoveries were Rs 113 crores. So, the net slippage was Rs 829 crores for EEB.

Jai Mundhra: Sure. And sir, is there any restatement of SMA 0 of last quarter? Because it looks like there is some restatement. Is it because of ARC sale or there is something else also?

Partha Pratim Sengupta:

No, SMA 0 is largely unaffected with the ARC sale. So, there has been also a good improvement.

You're talking of the EEB segment?

Jai Mundhra: Yes, sir. The EEB, SMA 0, which is last time 4.9%, as per third quarter presentation, seems to have changed a little bit?

Vikash Mundhra: Yes. So, Jai, overall, there at total level there is no change in the SMA 0. But yes, on a state-wise, there were some changes in % terms.

Rajeev Mantri: I think you are referring to the previous investor deck to now. And I think, as Vikash clarified, maybe for some of the states, there is some reclassification, but the overall SMA 0 number is the same.

Partha Pratim Sengupta: Correct. Yes.

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Jai Mundhra: Sure. And sir, now, last three quarters, MFI slippages have been declining. And this quarter, the disbursements have also picked up on QoQ, YoY basis both. And what is your assessment?

Other banks have seen a material improvement in the reported asset quality. What would be your assessment in the near term, or maybe 1 or 2 quarters, on EEB asset quality?

Partha Pratim Sengupta: So there -- we are finding a lot many positive trends in the EEB segment. Our disbursements are going up. As, it has been presented by Rajeev, we have seen that QoQ also disbursements have gone up. And number two is that the slippages are also coming down. So going forward, we are expecting that, this will further improve because when we look at the vintage book and the delinquency book in terms of the vintage, we find that almost last 1 year, the slippages from the recent disbursements has been very, very low, and so if that trend continues, then we will have a much, much better and healthier book in this segment in the coming quarters.

Jai Mundhra: So, the improving trajectory...

Vishal Wadhwa: Vishal this side. We've also got a better 99.6% regular collection in the last 2 months. We are seeing a lot of green shoots in the last 2 months.

Jai Mundhra: Right. So, ex bucket collection efficiency is now 99.6%, right? Is that what you meant, Vishal?

Vishal Wadhwa: Yes, for the month of November and December. It has improved significantly from the month of October.

Jai Mundhra: Okay. And sir, any comment on the credit cost? How should we build the credit cost? Right now, it is a bit elevated. You have done the ARC transaction also and have kept a little impact on the PCR, but how should one look at credit cost going ahead?

Partha Pratim Sengupta: So, while the guidance is difficult to give at this stage, but we can see that it would substantially improve. Even in Q4 also, we are expecting an improvement because the loan loss provisioning, we are expecting much lower than what we have done this time.

So, with the trend that what EEB is showing and the performance of other business, it's like in wholesale banking, we have almost very lower number of slippages and retail also. So, we will be able to contain, I can say that the credit cost would improve. Our guidance is at the end of FY27, we are still hopeful that we will probably be achieving 1.6%-1.7% of credit cost.

Rajeev Mantri: Yes. We've given a guidance of 1.6% to 1.7% as of the end of FY27. So, we are moving steadily towards that particular guidance.

Jai Mundhra: Yes. It's 1.6%, 1.7% for overall and around 2.5% for EEB, right? That was the guidance given. That is broadly more or less intact, right?

Rajeev Mantri: 1.6% to 1.7% overall and 2.5% to 3% for EEB.

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Jai Mundhra: Okay. Last question, sir, if I may ask, is the treatment of this ARC transaction, so just to -- I mean, my understanding is, correct me if I'm wrong, that you had 2 tranches, one is written-off portfolio, Rs 3,700 crores. You sold it for Rs 332 crores. And you got, let's say, 62% -- you invested 62% in the SR portfolio. So, around Rs 130 crores you got in cash, right? And that is because it

was written off, it has moved to other income?

Rajeev Mantri: Yes, it's Rs 126 crores to be precise.

Jai Mundhra: Correct. Okay. And the transaction, we -- where you had not provided -- which was not written off, you received Rs 300 crores, but -- and what happens to that Rs 300 crores?

Partha Pratim Sengupta: Rs 303 crores is just cash what we have received, and it has actually brought down our NPA figures. So, it was just appropriated against the outstanding and the balance amount of, is in the SR, where the ARC has taken a higher share at 53% and 47% is us.

Rajeev Mantri: Yes. Just to specify, I think Rs 3,165 crores of NPA sale, we got a value of 18% that amounts to a deal value of Rs 570 crores. We got the cash from the ARC of Rs 303 crores, which represents 53.25%, and our share, Bandhan Bank share, was Rs 266 crores, which is 46.7%.

Moderator: Your next question comes from the line of MB Mahesh from Kotak Securities. The line for Mr. MB Mahesh has been dropped from the queue. We'll move on to the next question. The next question comes from the line of Piran Engineer from CLSA.

Piran Engineer: Congrats on the quarter. Just before getting to my questions, can you just once again explain the ARC details? You got Rs 570 crores from that sale, which is 18%. Then the cash out of it, you said, was Rs 303 crores, but then you said Bandhan Bank share was Rs 256 crores?

Rajeev Mantri: So maybe I'll explain Piran, Rajeev here. So, there were two pools that we had sold. One was the NPA pool, which amounted to Rs 3,165 crores. The value we got was 18%, which is Rs 570 crores. The cash component of that was Rs 303 crores, representing around 53% paid by the ARC. And Bandhan Bank's investment was Rs 266 crores, representing around 47%.

Piran Engineer: Okay. So, Rs 266 crores is in the SR that you got?

Partha Pratim Sengupta: Yes.

Rajeev Mantri: Yes. Rs 266 crores is in the SR. That's correct. And similarly, we had the second pool, which is the write-off pool of about Rs 3,707 crores, which was sold to Phoenix. And for that, we got a deal value of about 9%. The deal value was Rs 332 crores. The cash that we received was Rs 126 crores, representing around 38% and our investment, which is Bandhan Bank's investment, was 62% amounting to Rs 206 crores.

Piran Engineer: Got it. Okay. That explains this ARC. Just quickly on mortgages for the last few quarters, now growth has been slowing down, NPAs are going up. What are we doing to sort of reverse this?

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Partha Pratim Sengupta: Yes. So, the first thing what we have done, and we are gradually on the process of stabilization and if you can look at it, it was on-boarding, underwriting and also the operations were done by the same person and especially in the affordable segment, the risk was increasing. So, we have changed the system. Now, it is a completely different set of people doing the on-boarding, and underwriting is independent and then finally, the operations who just look into the entire thing before the disbursement of the loan. So, this one effect, I would say that it will definitely improve the quality factors of the housing finance segment. This is number one.

Number two is that we are also streamlining our underwriting process. And soon we will be coming with the new business rules, and it will be more or less rules-driven rather than doing a lot many, I would say, on a manual basis underwriting. The third is that the dependency on the personal details -- I would say that now we are more on the structured way of information, doing -- trying to get the information rather than depending on personal data or personal hearing or more on the basis of their other salaried incomes backed by bank statements, backed by other, I would say, income tax returns, GST returns, etc. And the fourth is that our continuous effort in increasing our share in the salaried segment. So, if you can lo

ok at it at

present, we are almost 56% in the salaried pool housing loan. So, these are some of the steps taken and eventually, you see a lot many of these NPAs are from the legacy books and the one most important thing what we have done, is that earlier, although we have acquired the GRUH Finance, we have not actually make a true merger in the sense that they were allowed to maintain their own process, procedures and keep their identities in the way what they have been doing before. So that major change has already taken place as you have seen their 57 of the housing finance centers have now been completely converted into branches. This is one. And number two, in the other centers also, we are gradually making them a banking unit. So, similarly where they can do the normal banking activities, and a lot of churning among the staff, between the GRUH Finance earlier staff and our new Bandhan Bank employee staff, are also taking place. So, all these steps, we are quite hopeful that it will improve the quality of the advances in the future.

Piran Engineer: Got it. Sir, but -- I mean, all these steps like moving from a different process to now a different process, that would impact growth, but NPAs have just been going up every quarter?

Partha Pratim Sengupta: That is what I'm saying. These NPAs are mainly because of the underwriting issues also. So earlier, the same person was doing the on-boarding and underwriting. So that has now been changed. So obviously, once the new independent underwriter comes and assesses the thing, the quality improves.

Piran Engineer: Okay. Fair enough. Second question, just on margins. How do we like foresee margins for the next four quarters?

Partha Pratim Sengupta: Difficult to comment at this stage, but definitely, I can say some of the green shoots are there. You see the ARC sale that we have made, and for which in order to maintain our PCR, we have to do a lot much of provisions, additional provisions. We don't expect such number of large provisions, which will improve our profit. Number two is the cost of funds, as we have been --

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it is steadily declining and in the coming quarter, what Rajeev has said that most of the fixed deposits would be matured, and they will be placed in the new and lower interest rate buckets. So that will improve my cost of funds further. And consequentially, the NIM. So NIM today is at 5.9%, which is definitely one of the best in the industry, but we hope that we will continue to maintain at this rate, so 6% on for the rest.

Operating expenses, we have been continuing more or less at the same pace what we have been doing earlier. A little bit cost has enhanced in the field of technology, which is required. On the slippages front for which we have to make a large amount of provisions, with the EEB segment giving some green shoots, which is happening. So, slippages will come down. We also expect slippages reducing from the housing loan segment. The other two segments are quite okay. So, considering this trend, while a number guidance cannot be given, but we are extremely hopeful that the coming quarters will be good for the bank.

Rajeev Mantri: And I think just to add supplementary, what Mr. Sengupta mentioned, on the net interest margin, look, last quarter, we did see the impact of the repo rate reduction, which impacted and reduced our net interest margin. We have seen the trajectory reverse from 5.8% to 5.9% in this quarter, and that is a result of some of the cost of funds coming down.

` We expect this cost of funds improvement to continue over the next two to three quarters and the NIM trajectory it will improve from. So, there are about 4 components. One is the cost of funds where we are confident because of the term deposits coming for renewal in Q4 as well as in Q1 and Q2 that we should see anywhere between a 35 basis points to a 50 basis points improvement

t in the NIMs because of this.

At the same time, as you are aware, there has been a further repo rate reduction in December, which will come into effect from 1st of January, which will create an adverse impact of about 11 basis points on our net interest margins because the repo rate affects about 45% of our advances portfolio. Apart from these two, as the slippages we expect to come down, there should be lesser interest reversals, which should also benefit the margins.

And fourthly, as we expect some further granularity of the deposits and CASA improvement, that will create an improvement. So, all of these factors have led to the net interest margin definitely improving from the current levels. We are confident that in Q2, we saw a bottom of the NIMs, at least for this financial year, and therefore, some further improvement should be expected from these levels.

Piran Engineer: Okay. And just my last question is what are the yields in our commercial banking and retail loan books? And have we hiked yields in microfinance like some of our competitors?

Rajeev Mantri: So, I think for our wholesale banking book, it's just a shade below 9% as the gross yields. And overall blended for the secured book would be somewhere around 10%, across the 3 portfolios.

Partha Pratim Sengupta: The total yield on advances is 13.33% and the EEB book continues to be at around 21%-22%
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Vishal Wadhwa: We have not increased the rates as of now for the EEB. We are evaluating at this current stage.

Piran Engineer: Got it. Okay. That's it from my end. Thank you and wish you all the best.

Moderator: Thank you. Your next question comes from the line of Pankaj Agrawal from Prudence Investment Advisors. Please go ahead.

Pankaj Agrawal: Good evening, sir. Thank you for giving me an opportunity. Before asking questions, I would like to bring your attention to some figures. Post-IPO 2018, the bank has made provisions of more than Rs 36,000 crores in provisions and contingencies. And against that, bank has recovered around Rs 7,000 - 8,000-odd crores. And credit cost has been elevated post-IPO more than 3%. So, my other like friends have asked the question about NPAs and all, and you have answered categorically. But I want to be looking because shareholders have been in continuous pain, and they have lost around 50% of their net worth, right? So how do you -- my only question is like how the bank is going to have robust risk management system and getting back to its original right to getting profitability so that shareholders could be rewarded?

Partha Pratim Sengupta: Right. So, you see, definitely, there has been a dip in the value of the shareholders' investment because you see there are two, three events you have to just look into it. So, we evaluated from a microfinance institution. And when we went for the IPO, our main assets were microfinances. These microfinance loans were giving a very high returns and at that time, the delinquencies were also less, but ultimately, what we realized is that this particular segment is vulnerable to many risks and one of them is definitely some climatic or something epidemic, and we have seen what has happened in corona. So almost 70% of our books were as microfinance went into stress. So, this was a learning lesson for the bank.

And then, we gradually thought that, yes, okay, we have to work as a universal bank and cannot put all our eggs in one basket and rather distribute it in a balanced way between the unsecured and the secured segment. Now, this transition is going on that you need to appreciate. While making these transitions on the one hand, we need to provide for the slippages that has happened mostly in the microfinance segment, which apart from this corona-related risk, there were other risks like the political, at some of the states we have witnessed. So, corrective stakes have been taken, as you have said,

from the risk point of view is that we are now distributing our assets and secularly growing our assets. So, microfinance segment at one point in this bank was more than 80%, has now come significantly to around 35%. And the unsecured book is also 43%. So that is one risk robust measures we have to take -- we have taken already. Number two is that current transition phase, we have already indicated to our investors right from when I took over the charge that there will be a dip in profit and profitability because as we go for more secured books, definitely, the returns would be less. But nevertheless, this is required for a universal bank to create confidence among the depositors and the investors. Now, I can say that we have seen the bottom in the quarter ending September'25 when our profits went to a dip of Rs 112 crores. I can say that now going on forward with this balanced

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book of position, along with the lot many risk mitigation measures that we have taken it, I can share that we are now having a wholesale banking group share of almost 31% and in this segment, let me tell you that almost 85% of the total corporate credits are A and above and 25% are AA and above for that year. So, this is the quality we are bringing in the advance. The return will take some time.

Again, I'm telling you that we are also concerned about the shareholders losing the wealth. But definitely, I can say that we have taken steps to go on -- move on in the right trajectory. A lot of initiatives we have taken right from -- in the digital front. So, we have shifted a lot from microfinance focus to more of a universal bank. We are gradually entering into other segments where the scope of other income will be there and the profitability would also improve. So, I would request you to just wait for a little bit more time. Definitely, Bandhan Bank, we are all expecting will give improved results.

Pankaj Agrawal: Thank you very much, sir. And we expect that legacy or not legacy because people move once their time has come or they got a better opportunity elsewhere. But I think the NPA has been or like constant tapping from where the water is leaking around the banking system. And I think the banking -- the RBI and the bank itself are very cognizant of that, and they will take care of because these NPA remaining every month -- every quarter, there is a slippage. I hope this will be contained. Thank you very much, sir.

Partha Pratim Sengupta: Absolutely. And that is why you see we -- because we were piled up with so many of legacy NPAs that we took a decision to take a cleansing of the thing, and we have done the ARC sale. It has definitely -- I can say that it has shrink our profit. Today, if I had not done with the NPA sale and have kept the NPA at around 5%, I probably could have given you a much better profit. But we have decided the other way, cleansing the books and maintaining a healthy book right now. So today, if you see -- just a quarter ago, GNPA's were at 5% - 5.1%. And today, we are at 3.3%. Our aim is to maintain that. As you rightly said, we have also said that we will definitely give our best to contain the slippages and prevent further NPAs and definitely also improve the ratio further.

Pankaj Agrawal: Thank you, sir. Thank you very much, sir.

Moderator: Thank you very much. Our next question comes from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Hi, good evening and thanks for the opportunity. Sir a couple of questions. One is on the collection efficiency. If you look at like we have reported marginal improvement across all the geographies, barring West Bengal, where it is like a very minor uptick. And if I correlate it to the SMA 1, then that number has gone up sharply in West Bengal from -- to 1.4%. So how do you look at the situation there? What percentage of the MFI book now is in Bengal? And

any procedural tightening or underwriting like kind of changes we are doing in anticipation to the upcoming Bengal elections? If you can give some color around all of this?

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Partha Pratim Sengupta: So, first of all, let me address your underwriting changes. So, we are making a completely paradigm shift in our underwriting process. The first is that we are moving from a localized-based understanding to a centralized-based understanding. We are putting business rules into our system so that hardly any discretion or discrimination is there in giving the right borrower the right amount and the right product. So, this will soon come. Also, we are revamping the entire thing of this family tree, double credits and all these things. So, all these things are taken care of. A lot of changes are going to happen in the underwriting segment in this EEB process. So -- and the second part of your question, you are saying that...

Rajeev Mantri: I think your question was on the collection efficiency in the SMA 1. Yes. So, I think, yes, collection efficiency, we have seen an improvement.

Vishal Wadhwa: So, collection efficiency, we have seen improvement everywhere. Like I said in the month of November, December, we clocked 99.6% on regular. On the West Bengal side, in particular, like I said, we have started in the last quarter call as well, holiday repayments, and we had 5 holidays in the month of October, which led to an SMA 0 increase or regular OTR coming down from 99.5% to 99.1% for the month of October.

But again, when there are no holidays in the month of November, December, our regular collections are coming at 99.5% plus. So that blip has only come primarily because of the number of holidays we had in the month of October. Otherwise, if you see our SMA 1, 2 have been contained overall and the only blip is coming from West Bengal in terms of the holiday repayment. No stress as such in terms of -- there are a lot of green shoots on the overall collection efficiency across pan-India.

Partha Pratim Sengupta: So, I would just reiterate, so we have also explained earlier also that even 1 year back, we were not raising any demand on holidays, so that we have amended. And now, even if it is a holiday, we would raise demands. But there are no employees in the field to collect that amount. So obviously, it falls into the bucket of SMA 0. If you can look in the current month also, so from tomorrow, 23rd, 24th, 25th, 26th, there will be continuous 4 days holidays. In these four days, demands will be raised, but people will not be available to collect the funds. So obviously, my DPD book will go up.

But I can say that West Bengal is one of the best states in terms of performance. We also classify our all due in the microfinance branches into 4 categories. And only 2 branches qualify for -- comes under the underperformer for that year. Rest all are doing well. It is one of the -- still, I would say, West Bengal, Assam, Bihar, these are some of the states which are doing extremely good in terms of collection. And we have seen in Bihar, during the election period also, my collection efficiency was almost at the same level.

Rajeev Mantri: Also, Nitin, one more point to add is that since we have done the ARC sale, the denominator has also come down. Therefore, if you look at from an amount perspective, I think the SMA 1 and 2 are at similar levels, but the percentages could be looking like going up slightly more.

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Nitin Aggarwal: Okay, sure. And West Bengal now is what proportion of total MFI?

Partha Pratim Sengupta: 42%.

Nitin Aggarwal: 42%. Okay.

Vishal Wadhwa: 42%.

Nitin Aggarwal: Okay. Sir, the other question that I have is around the employee intensity. So, if I look like since March '24, the MFI portfolio has come down by 20%. But our employee -- total employee count remains aro

und a very -- moves in a very narrow range. So, should it not come down in context to how the MFI business has come down in terms of the portfolio mix and in absolute quantum? And can this be a lever that you can use to control cost because cost ratios are only inching up every year?

Partha Pratim Sengupta: I do agree what you have said is also what we have made an internal deliberation, and also, yes, that it's okay. But the question is that you see the -- EEB AUM has come down today compared to a year ago, but we are still optimistic that it will go up. So suddenly, we can't take hard measures and asking that employees to just leave. This particular segment, the people often hovers around the various MFIs and the various NBFCs who are in this microfinance lending. So, for them, it would not matter that much, but it would matter a lot for us. So that is one thing. Number two, we have already done some rationalization by putting a lot many of our business, I would say that, what we called as, RO that -- who are just responsible for booking business, we have placed them in the collection zone. So, we are strengthening our collection and done some bit of restructuring of our employees.

Vishal Wadhwa: In addition, if I would just supplement the answer, see, overall, our book size, if I include the NPA write-off, which we also keep on collecting and the numbers keep on adding up to our financials, that number remains larger than what it was maybe a year back also. So, we are still

collecting on NPA, and our rate of recoveries are going higher each quarter.

So overall, if I see the book, right from 0 to NPA plus up to write-off, that number has been growing. So, if you consider all of that, and in terms of -- we are very closely tracking our employee productivity. So, efficiency productivities are tracked, and that has shown an upside in the last two quarters rather than compared to what it is because the overall the disbursements are coming up now in the last quarter as well as our collection efficiencies are also improving. Rajeev Mantri: And I think within the overall headcount, we have also made sure that we invest in talent for the secured business, which is growing very fast. So, while you will see efficiencies in the EEB segment, we are actually seeing an increase in the secured to make sure that the accelerated growth happens there.

Nitin Aggarwal: Got it. Got it. And last question is on the...

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Moderator: Sorry to interrupt, Nitin, sir. May we request you to return to the queue for any follow-up questions, please?

Nitin Aggarwal: Sure. Thank you so much.

Moderator: Thank you. Our next question comes from the line of MB Mahesh from Kotak Securities. Please go ahead.

MB Mahesh: I just had one question. This pertains to the exits that one is seeing on the ground at your bank. You've seen a few exits at the vigilance levels and the audit executive. If you could just kind of give us a clarity as to what's happening there?

Partha Pratim Sengupta: Let me tell you, there is no other issues and it was absolutely because of his family residing in Bombay, and also, he has got some other more, I would say, compulsions for that year. So he came up very clearly to me and stated that in normal circumstances, actually, he would not have opted for his resignation. But actual circumstances in his personal life has almost forced him to take this decision. So, there is no issue, no issue with the management, no issue with the regulator. Now, I can say that there's nothing as such that has come. It is just because of his personal requirements, he has quit this, that's all.

MB Mahesh: And sir, just one, is the team then settled now or is there a risk of any further exits at your end because we had one with the housing side losing?

Partha Pratim Sengupta: Housing -- as I have told you that it was more or less a given decision. So that was -- that is

completely different. As of now, we have no indication of any senior executives leaving us. More or less, the team is stable. But as you know that this market is open to all. So, anyone getting a very good opportunity and for that year, we have to live up with it. It happens in all banks.

MB Mahesh: Perfect. Okay, sir. Done. Thank you.

Moderator: Thank you. Your next question comes from the line of Anish Rai from UBS. Please go ahead.

Anish Rai: Hello, sir. Good evening all. So just one question. So, did we make any additional provisions for the NPA sale we had? So, the reason I asked that question is generally, our provisions to our slippage ratio overdraft?

Partha Pratim Sengupta: Obviously, we have to maintain a certain level of PCR. So, our PCR along with these SRs, where we have invested, is around 74%. So, if you have to maintain this -- so as per our IRAC norms, we require a much lesser provision. Our standard book, we have provided almost 62%, whereas the IRAC norm says 25% maximum for unsecured, 15% for the secured.

Our D1 book also, we have provided almost 78%, and D2 onwards, almost 100%. So, our provisions are much more accelerated than what we are required. In addition, we have

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provided for the standard assets at 1% of our EEB book. So definitely, this ARC sale has almost to the close of Rs 528 crores of -- provisions were required.

Rajeev Mantri: I think just to supplement, with the ARC sale, the PCR would have come somewhere between 50% to 55%. And therefore, we have taken additional provision to make sure that we maintain the PCR at a healthy level and do not have a higher open risk, right? So, our net NPAs are at 1%, which is even below the last quarter of 1.4%.

Anish Rai: Okay. So probably a related question. So, in the NPA sale, so what would have been the coverage for this NPA which was sold? I mean, can you disclose that?

Vikash Mundhra: 100%.

Rajeev Mantri: Yes, this was 100% provided, what we have sold. But as 100%, provided portfolio gets sold off, the PCR would naturally come down, right? And therefore, we have to...

Anish Rai: Understood. Thanks.

Moderator: Thank you. Your next question comes from the line of Anand Dama from Emkay Global. Please go ahead.

Anand Dama: Sir, the labor code impact that we have given is about Rs 120 crores, mainly towards gratuity. Is there any more provision to be made towards leave encashment or pension or provision fund, which possibly would come in fourth quarter? And if yes, if you could?

Rajeev Mantri: Yes, I can answer that. Rajeev here. So, we have assessed our leave encashment is already structured in a way which does not require a further provision to be done. Therefore, the -- based on the current law that came through, I think gratuity provision was the key one that we had to assess. And based on the actual valuation, we've taken Rs 120 crores impact on the financials.

Yes, whilst the law has come, I think there are certain rules which have yet to be announced by various states, etcetera, so we are awaiting those to come through. As they come through, we'll do a further assessment of any further items, which could be having implications, and then, accordingly, come back to the investors.

Anand Dama: Okay. Any ballpark impact that you feel that could be there?

Rajeev Mantri: As of now, we can't quantify because the rules are not out, right? So we don't know.

Anand Dama: Sure. Sure. And sir, recently, we saw in some of the banks, there was RBI supervision, and there they had qualification related to their PSL classification. Many years back, even Bandhan had similar incidents. How about this year, whether the RBI supervision has been completed? Are there any qualification or we have got a clean report on the PSL front?

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Partha Pratim Sengupta: So, this year, the RBI supervision has

been completed. We don't have any -- I would say, any remarkable qualification because we are very prudent in classifying the PSL and taking steps.

So, nothing material, I would say, has been pointed out.

Rajeev Mantri: Yes. As of now, there has been no divergence on the PSL that RBI has pointed out.

Anand Dama: Sure, sir. That's great. And sir, if you can just give the credit cost guidance for FY26 and FY27?

Rajeev Mantri: So, the guidance that we have given is for the exit of FY27, where we have said that the credit cost, we expect to reach around 1.6% to 1.7%. So that is the target for the last quarter of FY27.

We are not providing any guidance for the financial year '26 or financial year '27.

Anand Dama: Okay. That's very helpful, sir. Thanks a lot.

Moderator: Thank you. Your next question comes from the line of Ankit Bihani from Nomura. Please go ahead.

Ankit Bihani: Yes. Hi, am I audible?

Partha Pratim Sengupta: Yes, Ankit.

Ankit Bihani: Thank you for the opportunity. So, I wanted to ask, you mentioned a few levers that would lead to margin improvement going ahead. So are we factoring in given that the mix change that we have, the growth has been largely led by your lower-yielding wholesale book. So, has that been considered? And should we see MFI growing in line with the overall loan book growth?

Partha Pratim Sengupta: So now we have come to a very balanced position, I can say. In fact, we were thinking to achieve this at the end of FY27. But in fact, we have pre-achieved it. We have accelerated. The mix is now absolutely balanced, and we would prefer that we would continue with the same ratio. So this much I can say for the day. So, there will be a broad-based growth. In fact, in this quarter also, if you take away the ARC sale effect, the EEB book has grown by Rs 1,100 crores. So, it is almost 2% QoQ and that trend is continuing and this quarter also, you will see a growth. So, it will -- today, this balance we want to maintain, so 35%, almost 40% will be unsecured and 60% will be secured. This is what the balance what we are planning it.

Rajeev Mantri: Just to supplement, right now, the non-EEB book growth is around 25%, and the EEB as of now is a negative 10%. Of course, as MD sir mentioned, we are dialing up the growth in EEB, but this will take a bit of transition time so that we are able to reach a higher level of growth. But we do expect, and we are expecting, sequential improvement every quarter.

Ankit Bihani: Okay. So -- but the proportion of EEB will come down, right, for at least next few quarters?

Partha Pratim Sengupta: More or less on the same line, so it will not be very substantial.

Rajeev Mantri: The pace of change in secured mix will be lower than what we have seen so far.

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Ankit Bihani: Okay, sure. And the second question is on the deposit growth front. So how do we see the landscape evolving now? Should we see deposit growth pick up for you in coming quarters?

And what would be a loan growth guidance against that?

Partha Pratim Sengupta: So let me tell you one thing. If you look at our balance sheet, we have been quite an outlier in giving interest rates in respect of our deposits on the banking segment. In many of the pockets, we were almost 100 - 150 basis points higher. So that was giving a negative impact to our balance sheet and the profit and loss and especially when we were making a transition towards the more secured books.

So, the moderation was necessary, and we have moderated the rates. My first plus point is that my retail deposits are growing. At one point of time, it was -- a year back, it was 66%, 67%, and now, it is 72% of total deposits. So, this is the first thing. Number two is that we are able to cut down the bulk deposits, which were very costlier. The bulk deposits, which was around 45%-48% even a year ago, I can say, is now at 38% of term deposits. A substantial reduct

ion has
been made.

The third is that my CA is growing, almost, of course, not a very big quantum, but definitely, average CA this quarter also has gone -- have been growing positive. My only worry is now in the SA segment, definitely where we have lost Rs 4,000 crores during the quarter, but that is also, again, because of a high interest rate, a lot of institutions used to keep savings bank deposits with us. With the moderation of the rates, we have lost those chunky deposits of around Rs 18,000 crores, but a large extent of this has been replenished by my retail core deposits for the day, and that is today around Rs 14,000 crores. So, while still maybe we are a deficit in CASA by what we have been there a year back, we were around 31%, our effort is that we should soon reach that number, 31%. We are working on that. We are -- that's why a lot many products we are bringing. We are also revamping our retail Internet banking. We will soon find a completely revamped mobile banking for Bandhan Bank, and that app, I hope you will like it, if you are a customer of our bank. It is very seamless. We have already done it for our corporate Internet banking customers who have appreciated the steps that we have taken. A lot many other initiatives, also digital in the digital field and also in the other customer journey fields, we are taking it. I can tell you that today, even we have done a lot of customer security for the day.

We are receiving appreciation letters from various state governments, central government, including the Ministry of Home Affairs regarding containing our mule accounts, regarding taking absolute protection for the cyber security. So, a lot much of many customer confidences we are trying to give in for the year so that Bandhan can be the prime savings and account for our customers, and we are working on it. Maybe one, two quarters needed, but definitely, we will be achieving that. That's our target.

Rajeev Mantri: Also, I think just to reiterate our overall guidance that we have given is a 15% to 17% CAGR on advances and deposit growth to be higher than that. This is over the next 2 to 3 years. So, from the current level, we will be working towards meeting those guidance levels.

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Ankit Bihani: Okay, sure. Thank you.

Moderator: Thank you. Your next follow-up question comes from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Sir, in the opening remarks, you mentioned that you have done some product tweaks. Now, the collection has been bimonthly and even monthly. And if I heard correctly, you have elongated the product repayment lifetime also. Can you please elaborate, sir? And having the option of monthly, bimonthly, weekly, would it -- I mean, is it specific to certain states, or within the same state, people may have different choice? And could it not create further confusion? Or how do you think about it?

Vishal Wadhwa: So, we have now started from this month itself doing the pilot from December month. Fortnightly and monthly repayment for easy loans, primarily for group loans. Individual loans of SBL, we always had monthly repayments. Because of holiday and flexible repayments given to all our customers, we said that let's move towards fortnightly, like many of the other financiers are.

There are the advantages to move towards fortnightly simply because the customers also like flexible repayment mechanism at their end. And secondly, also, it takes care of the holiday repayments. So, these are the 2 things we started from the month of January, and this will also keep us in good stead in terms of our collection efficiency going forward.

Jai Mundhra: Sure. So, customer, there is no longer any weekly repayment, right? It is either fortnightly or monthly.

Vishal Wadhwa: No, it could be weekly as well. The choice is given to the customer to continue with the weekly. And in a homo

geneous group, we also look at moving customers from a weekly to fortnightly at the time of renewal. So slowly over a period of time, the shift will move from weekly to fortnightly for many of our customers. This whole transition of movement may take more than a year also, but the journey has started now. And with weekly homogeneous groups, will typically move from a weekly to fortnightly at the time of renewal.

Jai Mundhra: Okay. And what about the elongation?

Partha Pratim Sengupta: We have now introduced many more, I would say, digital collection systems. So first of all, the QR code has been given to the customers, number one. Number two, we have introduced also the Bharat Bill Payment System through which the customers can also pay. So, we have introduced the Vymo collection system by which these are getting tracked also.

But there are several measures taken by which the customers need not come to the banking units also and nor it is required for my people also going to the customer. So even a soft call will actually ensure recovery also. So based on that and also to increase the productivity of our people, because now what is happening every week if a person goes to visit a particular customer, it is taking a lot of his executive time, which probably is not required if the collection

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efficiency is there and now today with the CIBIL score coming with the customers, fund is going up. So, repayments are natural also in many ways. So that is why we thought that to increase the productivity and to give more time to our people to focus on delinquent accounts, on the SMA accounts for recovery and all these things, this step has been taken.

So, we have already started this project from January onwards. But definitely, it will take a year long time because till November onwards, all loans were in the weekly payments. So unless those are repaid or phased out for that year, it will take. But over a period of time, definitely, it will increase the productivity and it will also increase the quality.

Rajinder Babbar: Yes. And in addition to that, Rajinder Babbar here, at least related to the previous question where there was a question, there is a 20% reduction in the business, but the manpower reduction is 10%. So, we are overall looking at that. For EEB business, staff has to handle a minimum number of accounts and in our case, collections are on a weekly basis. In another NBFC, basically it's on monthly basis. So definitely, our staff is moving 4x in the market and that is the ultimate focus how we can increase the productivity, reduce the cost. So, we are slowly, slowly shifting to the 15 days. So automatically, the number of accounts handled by the staff will be scattered in a normal manner. That is the ultimate purpose to achieve the maximum productivity.

Rajeev Mantri: And during this transition also, we'll make sure that the focus on having center meeting discipline continues, so nothing changes on that front.

Vishal Wadhwa: See, even with the QR code digital payments coming in, the center meeting discipline remains the core of the business, simply because even if the payment is made, we get all our customers to come in and the good discipline continues.

Jai Mundhra: Right. And anything on the elongation of the tenure? I mean, in the opening remarks, I think I heard something on that effect?

Vishal Wadhwa: Yes. So, we had tenure of 12 and 24 months. Now, we are doing a flexible tenure extensions of 18 and it goes up to 36 months as well for the highest ticket size. But typically, they move from a 12 to 18 months and it's all basis...

Partha Pratim Sengupta: So that may not put much pressure on the customer. So, suppose we shift from a weekly basis to a fortnightly basis, automatically, the repayment schedule is doubled for that. That may put a pressure. So that's why we have elongated a little bit, 18 months. It will not p

ut much pressure
on the customer in making the repayment.

Jai Mundhra: Right. So now 12 months become 18 months and 24 months, at the option of the customer, can become 36 months?

Vishal Wadhwa: 12 months, 18 months, 24, 36 months – many options are there depending on the ticket size, the options are given to the customer.

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Rajinder Babbar: Similarly, the weekly payment, the fortnightly payment is given. So similarly, the weekly and the fortnightly payment option.

Jai Mundhra: Right. So hopefully, it will reduce to the -- I mean, it will help the -- smoothen at least the repayment capability. Okay. So -- and lastly, sir, there were news reports on -- news reports of West Bengal getting into election, some immigrants getting thrown or I mean, getting a bit of disturbance in terms of some -- yes.

Partha Pratim Sengupta: I can give one simple statistic. So, the districts where these have been reported, our collection efficiency has not been affected. So, we are still doing more than 99% collection in those areas on regular loans.

Vishal Wadhwa: And we keep a close watch on a daily basis.

Partha Pratim Sengupta: And we keep a watch. So, it has not yet affected in any way. News, we also come and read in the newspapers, but no way it affects.

Jai Mundhra: Great, sir. Thank you and all the very best.

Moderator: Thank you. Ladies and gentlemen, I would now like to hand the conference over to the management for closing comments.

Rajeev Mantri: I'd like to thank all the investors and everyone who has joined on the call. Thank you for continuing to repose your trust with the bank. Thank you, everyone.

Partha Pratim Sengupta: Thank you.

Moderator: Thank you. On behalf of Bandhan Bank Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

(no extractable text — likely a scanned image PDF)

Call: Jul 2026

Ref. No.: BBL/SEC/ 107/2026-27

July 27, 2026

BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 541153 National Stock Exchange of India Limited
The Listing Department
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai - 400 051
NSE Symbol: BANDHANBNK

Dear Sir/Madam,

Sub.: Transcript of the Earnings Call on the Unaudited Financial Results for the quarter (Q 1) ended June 30, 2026

In continuation to the letter bearing Ref. No.: BBL/SEC/ 101/2026-27 dated July 21, 2026 and pursuant to the provisions of Regulation 30 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed, the transcript of the Earnings Call hosted by Bandhan Bank Limited (the ' Bank ') on Tuesday, July 21, 2026, on the Unaudited Financial Results of the Bank, for the quarter (Q 1) ended June 30, 2026. Further, the same has also been uploaded on the Bank's website and can be accessed at the following link:

https://bandhan.bank.in/sites/default/files/2026-07/Bandhan-Bank-Q1FY27-Earnings-Call-Transcript_0.pdf

You are requested to take note of the above.

This disclosure is being simultaneously uploaded at the Bank's website, www.bandhan.bank.in.

Thank you.

Yours faithfully,
for Bandhan Bank Limited

Indranil Banerjee
Company Secretary

Encl.: As above
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"Bandhan Bank Limited
Q1FY27 Earnings Conference Call "
July 21, 2026

MANAGEMENT : MR. PARTHA PRATIM SENGUPTA – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER –BANDHAN BANK LIMITED
MR. RAJINDER KUMAR BABBAR – EXECUTIVE DIRECTOR AND
CHIEF BUSINESS OFFICER – BANDHAN BANK LIMITED
MR. RATAN KUMAR KESH – EXECUTIVE DIRECTOR AND CHIEF
OPERATING OFFICER – BANDHAN BANK LIMITED
MR. RAJEEV MANTRI – CHIEF FINANCIAL OFFICER –
BANDHAN BANK LIMITED
MR. VIKASH MUNDHRA – HEAD OF INVESTOR RELATIONS –
BANDHAN BANK LIMITED

Mod erator: Ladies and gentlemen, good day and welcome to the Bandhan Bank Limited Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Shoul d you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Vikash Mundhra, Head of Investor Relations, for opening remarks. Thank you, and over to you.

Vikash Mundhra : Thank you, Ryan. Good evening, everyone and a warm welcome to all the participants. It's a pleasure to have you with us today as we discuss Bandhan Bank's business and financial performance for the quarter ending June 2026. We sincerely appreciate your tim e and participation.

Today, we will take this opportunity to provide insights into our operational activities, achievements, challenges , as well as offer perspective on market conditions, strategic initiatives and any notable changes in our business environment. To walk you through these details, we are joined by

- Mr. Partha Pratim Sengu pta, Managing Director and CEO ;
- Mr. Rajinder Kumar Babbar, Executive Director and Chief Business Officer ;
- Mr. Ratan Kumar Kesh, Executive Director and Chief Operating Officer ;
- Mr. Rajeev M antri, Chief Financial Officer ;
- Myself Vikash Mundhra, Head of Investor Relations and our senior management team at Bandhan Bank.

We are happy to answer any questions to provide additional clarity on the current quarter's performance and our outlook moving forward. Now I would like to invite our Managing Director and CEO, Mr. Partha Pratim Sengupta , to brief you all on our bank performance. Over to you, sir.

Partha Pratim Sengupta : Thank you, Vikash. Good evening, everyone. We are delighted to connect with you today to discuss our Q1 FY27 performance. The quarter was marked by a continued focus on balance sheet quality, business resilience and execution. While seasonal and external factors remained at play, we made meaningful progress across several strategic priorities and strengthened the foundation for sustainable growth. We will take you through the key highlights of the quarter and our outlook ahead.

Traditionally, the first quarter has been the softest quarter for our business, characterized by seasonal moderation in growth and pressure on asset quality metrics. However, I am pleased to share that in Q1 FY27, we demonstrated significantly better resilience compared to the previous years.

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Despite the seasonal headwinds that typically characterize the first quarter, our focused efforts over the last few years to strengthen the franchise and sharpen execution across business segments have helped materially reduce their impact this quarter. On the asset side, although the E EB portfolio witnessed its usual seasonal decline, the moderation was considerably lower than what we have experienced in most of the prior first quarters. Most importantly, healthy growth in our secured non -EEB portfolio enabled us to deliver overall robust advance growth during the quarter - increasing diversification and enhancing the resilience of our loan book. On the liability side, reported growth was influenced by our conscious decision to sequentially reduce high -cost bulk deposits. This strategic recalibration is aimed at improving the quality and granularity of our deposit franchise and to reduce cost of funds. Encouragingly, growth in retail term deposits as well as CASA continued to remain strong, reinforcing our confidence in the underlying strength of our liability franchise.

Our profitability performance also underscores the resilience of our business mode

I. Despite

several headwinds from elevated funding costs, margin performance remained broadly stable during the quarter compared to our earlier expectation of a modest improv ement. From an asset quality standpoint, performance during the quarter was satisfactory, particularly when viewed in the context of the seasonal trends typically observed in Q1.

Looking ahead, our focus continues on strengthening granular deposits, growing CASA, enhancing customer engagement and improving operational efficiency and asset quality. The quarter reflects the resilience of our franchise and the benefits of our disciplined execution. We remain confident in our ability to deliver sustainable, profitable growth while continuing

to strengthen the balance sheet.

While my colleague and CFO, Mr. Rajeev Mantri, will shortly walk you through the financials in detail, I would like to highlight a few key performance indicators from the first quarter of FY 27. Our balance sheet continued to grow steadily during the quarter. Gross advances stood at INR 1.56 lakh crores, registering a healthy 16% YoY growth, while deposits reached INR 1.65 lakh crores. The growth in deposits Y oY was driven by strong momentum in retail deposits and CASA, reflecting our continued emphasis on improving the quality, granularity and sustainability of our liability portfolio. The strength of our deposit portfolio was particularly visible in the retail segment. Retail deposits grew by over 15% Y oY despite a challenging base, underscoring customer confidence in the bank and the effectiveness of our distribution network. CASA ratio improved sequentially to 29.4%, taking the share of retail deposits, including the CASA and retail term deposits to 74% of the overall deposits, further enhancing the stability of our funding profile.

Portfolio optimization remains a key area of focus. We continue to increase the share of secured lending in the overall book, supported by strong growth across secured businesses over the past year. Our profitability performance reflected the resilience of the franchise despite significant headwinds from elevated funding costs, margins remained stable at 6.2%

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during the quarter compared with our earlier expectation of a modest improvement. At the same time, credit costs continued to trend downward, while asset quality remained healthy. Gross NPA at 3.1%, net NPA at 0.9% and provision coverage at 86%, including the technical write-offs.

The quarter also witnessed a healthy improvement in earnings. Net total income for Q1 FY27 stood at INR 3,524 crores and operating profit at INR 1,358 crores. Profit after tax came in at INR 502 crores, representing a strong Y oY growth of 35%.

Our capital position continues to be a key strength. Capital adequacy ratio, including profits improved further to 18.2% with Tier 1 capital at 17.5%, providing significant capacity to support future business growth while maintaining a prudent capital buffer.

Let me briefly touch upon the operating environment and our outlook.

While our internal execution remains firmly on track, the external environment has become increasingly uncertain over the last few months. Ongoing geopolitical developments, particularly in the Middle East, a less predictable monsoon pattern, elevated funding costs and rising technology-related costs are factors that warrant close monitoring. These developments have the potential to influence customer sentiment, operating costs and overall profitability across the sector.

Among these factors, the impact of higher funding costs despite no increase in the repo rate is already visible and has started flowing. At the same time, technology-related expenditures have also risen due to supply chain constraints on account of the ongoing war in the Middle East. Further, given the uncertain environment, we are cautious to grow our high-yielding

EEB

book. We expect these pressures to persist for the next few quarters. The impact of the other factors is not yet evident in our operating performance, but the remain areas that we are monitoring closely given the uncertainty around the eventual outcome.

Against this backdrop, the journey towards our stated aspiration of delivering an ROA of 1.6% to 1.8% by exit of Q4 FY27 has become more challenging than it appeared earlier. I would like to reiterate that this is because of the external factors that we are confronting now. While our medium-term strategic objective remains unchanged and we continue to work towards achieving the guided level of ROA. The prevailing external environment may influence the pace at which we get there. Consequently, we think that the realization of this aspiration could extend beyond the time line we had originally envisaged.

As far as our guidance of end of Q4FY27 is concerned, the eventual ROA outcome will be influenced to a meaningful extent by how these external factors evolved over the coming quarters. While some of these headwinds, particularly the elevated funding costs and higher technology-related expenses have already started impacting the profitability, the impact of the other variables, especially the energy envisaged energy crisis that may be vulnerable to the -- many of the sectors of the economy is still evolving and remains difficult to assess at this stage.

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Based on this visibility available, we believe an ROA in the range of 1.2% to 1.4% of the exit of

Q4FY27 would be probable. I again repeat that this is on account of the external factors that is affecting the economy of the country. Mainly the factors are due to the energy crisis because of the continuous Middle East war and also the unpredictable monsoon.

At the same time, we remain focused on improving this trajectory through disciplined execution across the business. As the operating environment evolves, we will continue to adapt proactively and leverage all available levers within our control to enhance profitability. I think that the investors would also appreciate that we have addressed our internal lacuna or gaps, whatever is there in respect of the asset quality.

The growth in advances to a large extent, and the Q1 figures reflect that we are sequentially improving even in the EEB segment from quarter-to-quarter. Our commitment remains unchanged to build a stronger and more resilient franchise while creating sustainable long-term value for all stakeholders. With that, I would now like to hand over the call to our Chief Financial Officer, Rajeev Mantri, who will take you through the financial performance in greater detail. After that, we will be happy to take your questions. Thank you.

Rajeev Mantri : Thank you, Mr. Sengupta. Let me begin with our lending franchise, where the quarter's performance reflects the continued progress we are making in building a more diversified, resilient and sustainable loan book. For advances, as of 30th June 2026, the gross advances stood at INR 1.56 lakh crores, representing a healthy 16% growth YoY and a 1% sequential increase. This growth was driven primarily by non-EEB businesses, which continue to see strong customer traction and provide greater balance to the overall portfolio.

The EEB portfolio stood at INR 52,641 crores, while the book witnessed the customary seasonal moderation typically seen in the first quarter, the extent of the decline was significantly lower than what we have experienced in the most previous years.

Our diversification strategy continues to deliver encouraging results. The non-EEB portfolio grew by 27% YoY and now contributes 2/3 of the overall loan book, underscoring the transformation of our business mix over the last few years. Growth within the secured businesses remained particularly strong.

Retail assets recorded 45% YoY ex

pansion, led by products such as commercial vehicles, construction equipment, auto loans and gold loans. Wholesale Banking also maintained strong momentum, growing 38% YoY, supported by deeper customer relationships and disciplined portfolio expansion. As a result, the secured portfolio increased by 27% YoY and now constitutes 57% of total advances.

Importantly, the advances portfolio today is significantly more diversified than it was a few years ago. EEB group lending accounts for 23% of advances, SBAL at 11%, wholesale banking at 33%, housing finance at 22% and retail and other loans at 11%. This diversified mix provides multiple growth engines while strengthening the overall quality and stability of the portfolio.

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Turning to the liability side of the balance sheet. Our focus continues to be on building a more granular, stable and cost-efficient funding franchise. As of 30th June 2026, the total deposits stood at INR 1.65 lakh crores, a growth of 7% YoY. While overall deposit growth was moderate during the quarter, this was largely a consequence of our deliberate strategy to reduce reliance on bulk deposits and improve the quality of our funding base. Bulk deposits declined by 13% YoY, resulting in their share reducing to 26% of total deposits compared to 32% a year ago. This represents a significant shift towards a more granular and sustainable liability profile. It is also worth noting that the quality of our bulk deposit book remains strong with nearly 86% of these bulk deposits being noncallable in nature. This provides greater predictability to our funding profile and reduces potential volatility for liquidity management purposes.

More importantly, the underlying strength of the retail franchise continues to be encouraging. Retail deposits comprising CASA and retail term deposits grew by 16% YoY, significantly outpacing the overall deposit growth and demonstrating the increasing depth of our customer relationships. Within this, CASA balances rose to INR 48,479 crores, delivering a healthy 16% YoY growth, and this growth was broad-based across both savings and current accounts, resulting in a sequential improvement in the CASA ratio to 29.4%.

Let me now turn to collections and asset quality. At an overall bank level, the collection efficiency, excluding NPAs, remained healthy at 98.9% in June 2026. Within the EEB portfolio, collection performance was impacted by the usual seasonality associated with the first quarter, including a concentration of holidays during the month of April. Despite these temporary factors, the collection efficiency for EEB for the month of June 2026 stood at 98.5%. This is collection efficiency ex NPA. And this is largely comparable to 98.6% recorded in the month of March 2026, indicating stability in the underlying collection trend. Additional details on this are available on Slide 22 of the investor presentation.

Moving to asset quality flows. The gross slippages for the quarter stood at INR 1,079 crores, broadly stable compared to INR 1,028 crores in the previous quarter. This is at the bank level. Encouraging slippages within the E EB portfolio improved sequentially to INR 604 crores, down from INR 690 crores in Q4 FY26, reflecting the benefits of our continued focus on customer engagement, monitoring and collections.

On early delinquency indicators, the 0 to 90 DPD pool in the EEB segment increased to 3.5% from 3.1% in the previous quarter. This was driven primarily by a temporary increase in the SMA 0 bucket following holiday -related disruptions during the month of April. We view this movement largely as seasonal in nature and we'll continue to monitor it closely. We have provided further details in Slide 23 of the investor deck.

During the quarter, we also undertook proactive balance sheet actions to reduce our NPA book, including the sale of INR 291 crores of housing

NPA loans to an ARC and a technical write -off

of INR 597 crores, further strengthening the quality of the reported portfolio. Consequently, our headline asset quality metrics improved further. Gross NPA reduced to 3.1%, while net NPA remained contained at 0.9%. Provisioning coverage also remained robust. The reported PCR

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stood at 71.1%. And if we include the security receipt related provisions, the PCR stood at 74.3%.

Let me now go through the financial performance for the quarter. Despite a challenging operating environment that Partha sir talked about and the continued pressure from the elevated funding costs, the bank delivered a steady financial performance during the quarter. The benefits of balance sheet growth, portfolio diversification and improving asset quality are increasingly becoming visible across the various earning metrics. Starting with net interest income. The NII for Q1 FY27 stood at INR 2,921 crores, registering a growth of 6% YoY and 5% sequentially. This performance was supported by healthy growth in advances and a stable margin profile at 6.2% despite the funding cost headwinds witnessed during the quarter.

Moving to non -interest income. The performance needs to be viewed in context of a high base in the corresponding quarter last year, which included treasury gains of nearly INR 250 crores in Q1 FY26 compared with a relatively modest contribution this quarter in Q1 FY27. Adjusting for the treasury income, the growth in non -interest income would have been 22% YoY during this quarter.

Encouragingly, the underlying trends across fee -based businesses remain strong. Third -party distribution income recorded a robust 47% YoY growth, reflecting improved customer penetration and stronger cross -sell capabilities across our branch network. The processing fee income also witnessed a healthy recovery aided by higher business volumes and improved disbursement activity across key lending segments, particularly notable within the E EB portfolio.

On the cost front, the operating expenses for the quarter were INR 2,166 crores higher by 19% YoY. This increase was largely attributable to increase in the IT costs as a result of the continued investment in technology that the bank is doing and also annual employee -related expenses, including salary revisions and performance -related payouts. In addition to this, there was a INR 61 crores of additional one time gratuity provision due to the changes in the salary structure driven by the new wage code. This is a one -timer during this particular quarter, and we don't expect this to be repeated. As a result, the operating profit for the quarter stood at INR 1,358 crores.

Importantly, the moderation in credit cost helped support the overall profitability trajectory. Credit cost continued its downward trajectory and moderated to 1.8% in this quarter compared to 2.0% in the previous quarter, which is Q4 FY26. And importantly, the credit cost of EEB portfolio during Q1 FY27 came down to 3.3%, which is very close to the guidance that we have provided.

Consequently, profit after tax for Q1 FY27 stood at INR 502 crores, registering a strong 35% growth over the corresponding quarter last year. Return metrics also remained healthy with return on assets at 1.0% and return on equity at 7.7%.

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To summarize, Q1 FY27 was a quarter of steady progress despite a challenging operating environment. We delivered healthy business growth, further improved the quality of both our asset and liability franchise, maintained stable margin despite funding cost pressures and

continue to strengthen asset quality and capital adequacy. While certain external uncertainties remain, the underlying fundamentals of the business continue to move in the right direction, giving us confidence in the resilience of our franchise and a

bility to create long-term value.

With that, I will now hand it back to the moderator, and we would be happy to take your questions.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question and answer session. We take the first question from the line of Sameer Bhise from Dymon Asia. Please go ahead.

Sameer Bhise : Sir, my quick question is on the guidance that you have indicated. So broadly, we have done reasonably well in a difficult quarter, which was marked by, say, tight funding cost. You had elections in West Bengal, which is the largest state. When we look at this aspirational target, which was earlier 1.6% plus ROA, what kind of conservatism is built here?

Does it also involve some bit of risk on asset quality or it is purely due to tighter funding, which may result into the NIM improvement, which we were expecting that may not come? How should one think of this? And secondly, if liquidity were to improve, RBI and generally, the sector is betting on FCNR deposits, kind of improving the liquidity and funding rates, could it probably offset some of these pressures? So just wanted your thoughts there. Yes, that's from my side?

Partha Pratim Sengupta : So let me first answer your question that I have very clearly stated in my speech that the revision guidance on RoA is on account of the external factors and no internal factors, I would say, has any impact on revising the guidance. As you have seen that our credit cost is sequentially coming down, which was one of the worrying factors for us, before. We are gradually coming out from the same. Even in this quarter also, we have made it further improved the credit cost from 2.0% to 1.8%. And I am quite hopeful that going forward also, the credit cost would further come down.

The two areas where we are a little bit concerned because of the West Asia crisis is, as we have seen that the impact on the entire economy regarding energy crisis. And number two is that you see the resultant, which is just leading to some durable liquidity in the entire system and for which there is a pressure of interest in the market, although the repo rate has not gone up. And we are finding that banks have started increasing the rates and the deposits, and we cannot also go away from the competition. So the NIM, what we had expected earlier may get somewhat of impact because of the rising cost of funds for that year. This is the major area. Apart from that, the West Asia crisis, we have seen that there is an impact on the technological costs. Most of the vendors and especially as you see that they are all multinational vendors for that year, they are -- they have increased their costs.

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So whether it is the capital cost on the various infrastructure machines or otherwise or on the operating cost, they have all increased it. We all know that the availability of chips, etc all these are impacting the Indian economy for that matter. And as you have seen that my tech cost has gone, I would say, high by 65% YoY. While our focus remains on investment in technology, but as we remain focused in the investments, we also cannot, at the same time, avoid the cost. So, these are the two factors mainly because of the external environment. We feel that it may impact our ROA. We want to be very transparent and clear to our investors.

That is why we said that, we take a call that whatever we are seeing in the economy, because I can also see that the effect of the reduced cost of funds on account of the reduction in repo rate that has happened and the benefit of which we have got till Q1 may not be available Q2 onwards because already the savings bank costs, the cost of funds have increased by around 20 - 25 basis points. So considering all the impact of these external factors, we thought that we need to be transparent to our investors. We have done well. This

is the first quarter. I can say

we started with an ROA of 1%. We are definitely working it on how to improve the ROA further, but we thought that we should be clear to our investors.

Rajeev Mantri : I think just to supplement as Partha sir had mentioned earlier, that for the medium term, our aspiration is continue to look at achieving the earlier guidance that we have given. It is the external factors impacting this particular financial year and which is what we are monitoring.

Sameer Bhise : So mainly on the opex side as well as margin. Just quickly, what kind of portfolio growth do we build as of today in the EEB book? And secondly, if you could provide the slippages breakup across segments? I think that's all from my side?

Partha Pratim Sengupta : So I think one question you have asked on liquidity. So liquidity for the bank remains comfortable. I can say even with a CD ratio of 94%, we maintained a LCR of 140%, which is quite comfortable for the bank. As regarding FCNRB, we have mobilized INR 30 crores. This is

one information I just want to give you. And regarding your second question about the -- you have asked about the slippages?

Rajeev Mantri : NIM outlook.

Partha Pratim Sengupta : So this quarter also, despite challenges, we could maintain the NIM at 6.20%. But as I have told you that going forward, there may be some increase in the cost of the funds & cost of the deposits. So that may moderately affect our NIM, but definitely we are working on it. The portfolio mix, the strategy remains the same. We'll go to one-third that is 33% to 35% of EEB book and 65% non-EEB book. In this quarter also, you have seen that in the non-EEB segment, we have grown by 27% YoY. Our EEB has marginally come down, but the moderation has been much, much lower compared to the previous quarters. So, the strategy remains the same - 40% unsecured and 60% secured.

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Rajeev Mantri : I think your other question was on the breakup of the slippages. The slippages total for the bank were at INR 1,079 crores during the quarter, out of which for EEB was INR 604 crores and the remainder was for non-EEB businesses.

Moderator: We take the next question from the line of Piran Engineer from CLSA.

Piran Engineer : Congrats on the quarter in a turbulent quarter. My first question is, have we started hiking yields in microfinance like our competitors? And if so, by how much?

Rajeev Mantri : Not in this quarter.

Partha Pratim Sengupta : So, it is same as of the last year. We have not hiked anything during the quarter.

Piran Engineer : Okay. So -- or in the last two, three quarters, we have not hiked. It's same as last year. Are we planning to?

Partha Pratim Sengupta : Q4 -- last year, Q4 FY26, because of the higher provisions, we have hiked a little bit, but I said that there is no plans for hiking, and we have not hiked after then.

Piran Engineer : And sir, how much was that?

Partha Pratim Sengupta : It was 100 basis points.

Piran Engineer : Okay. And by last year, you mean March '26 quarter, right, not March '25 just to be clear?

Partha Pratim Sengupta : It is March '26 quarter. From February, we have hiked. We hiked in the month of February.

Piran Engineer : Sir, sorry, your voice was not audible, or maybe it's my network?

Partha Pratim Sengupta : I'm saying that February. February, we have hiked it.

Piran Engineer: Okay in Feb 2026.

Rajeev Mantri : 1% hike which is happening from February.

Piran Engineer : Okay. Understood. Sir, secondly, just in this quarter, retail growth and even our mortgages slowed down, something to -- like retail was typically growing double-digits QoQ, and it's almost flat and even mortgage book has slightly declined. Like what is the reason for both? Are we just taking a cautious stance due to this whole macro geopolitical environment?

Partha Pratim Sengupta : Somewhat,

yes. I can say that a little bit cautious growth. In the housing segment, as you can see for that year, we have done a revamping, completely revamping of our structure. We have segregated the 3 verticals. So definitely, there have been some teething problems, which we were busy in addressing for that year. So, it has affected the housing finance growth.

Rajeev Mantri : On the retail front, Piran, there is one product, which is the OD against the term deposits. That is the only product where there is some sort of a decline, which is anyway not part of the

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strategic focus. The rest of the book, if we exclude that, actually has grown sequentially by a healthy 5%.

Rajeev Mantri : So I think that momentum continues, especially in the products -- secured products such as CV/CE, auto loans and gold loans. I think that focus is there.

Partha Pratim Sengupta : So, growth has been reduced from double-digit to single digit.

Piran Engineer : Understood. And sir, just lastly on -- so I understand you cut guidance on ROA due to macro headwinds. But today, our ROA is 1% if I adjust for the INR60 crores gratuity provision, which is one-time, it will become 1.1%. Now 1.1% becoming 1.4%, what really is the trajectory because NIM is unlikely to improve, if I understood correctly. And credit costs also, we are at 1.8%, which was our guided range earlier, 1.7%, 1.8%. So then where does the improvement come from here? Like which segments or which line items will drive that?

Rajeev Mantri : I think two factors, Piran. One is we do expect further uptake in the other income to come through. So, we do expect 10 to 20 basis points improvement to come through other income.

And the second is we expect further continued improvement to come through, albeit

marginally on the credit cost .

The secured mix is improving slightly further through the year. At the same time, I think the improvement that we have seen in the portfolio quality should continue. And as the book rises, we should be able to see the improvement on that front as well. So I think both the credit cost and the other income would be the key deltas.

In the earlier guidance, we were expecting some further improvement in NIMs to come through. That is what is definitely getting challenged now because of the external factors, as Partha sir had talked about. And therefore, over there, we are not building a ny further upside. I think it will be a great achievement for the bank to hold on to the NIMs that we have achieved during this particular quarter. So I think those are the 3 key factors to call out.

Partha Pratim Sengupta : Other income, yes, definitely. So almost 20 basis from there. And also, as Rajeev has rightly said that we are working still on the credit cost, it may actually take little bit pruned now.

Piran Engineer : Got it, sir. But even though we've hiked our microfinance yields, we are still not confident the NIM can expand. Because it's 35% of portfolio?

Partha Pratim Sengupta : Yes. So the focus, unlike last year was on the quality rather than go with only with the top line numbers and then have large number of NPAs later on . So, we have actually done a lot of revamping in our microfinance segment. Completely, I can say a new model has been put into place with a lot of guardrails and also new credit underwriting system. So that is actually enhancing our quality of the books for th e day, I can say. But yes, the growth will gradually come. We have -- whatever -- I can say that we have retarded the deceleration. So we have stopped the deceleration that was taking place now. Hence, going forward, the growth will come. But definitely, as I've told you th at we have our strategy that we will keep the EEB book

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maximum at 35%. We -- from our experience, what we have gathered, we will not just run after

this particularly book because it is giving a very high yield. So we need to be very well calibrated, see that the quality of asset, rather focusing more on the health of the book than going aggressively. So a very modest growth is envisaged, which maximum can go up to 33% - 34% EEB share , what we are aiming for it. Definitely, we'll try to grow in that segment.

Rajeev Mantri : So in summary, while the rate has gone up, the volume impact is not coming through be cause the EEB book, as we have mentioned, we are still cautious in terms of growth based on the external factors and the risk that continues in the operating environment. As that risk comes down and our operating environment improves, I think definitely, we can look at MFI growth there.

Piran Engineer : Got it. And if I may just squeeze in one last question. Sorry, I'm taking too much of the time here. But on PSLC, I think last time 40% of our MFI book was PSL compliant, if I remember correctly, how much has that number inched up to?

Partha Pratim Sengupta : 40% -- it is also today it is 40% only. I think Surajit , our EEB Head can give a gu idance.

Surajit Roy Choudhury: So presently, we continue to be at around 40%. However, we intend to dial that up. And I think we post this quarter, we will be comfortably placed in terms of PSL.

Moderator: We take the next question from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra : I have a couple of questions. First is, sir, SMA -0 has increased a little bit. Of course, there are holiday things which impact our collection in SMA -0. But apart from that, was there any other reason? And what -- how should one look at the SMA -0 trajectory in the near term?

Partha Pratim Sengupta : SMA -0, again, you have rightly predicted. It is mostly in the month of April. There were two effects, I can say. One is definitely the election effect of West Bengal. This is one. And number two, the holidays. And consecutively, 3 business days were holidays. so that has impacted our SMA -0 book, while some of them have been repaid also. But the thing is that the total quantum is yet to be repaid. So even though the repayment has happened, the book continued to remain in SMA -0. It has not slipped to SMA -1. If you can look at it that my SMA -1 actually, there is a less slippage, which clearl y indicates that from SMA -0, the forward rolling has been arrested, but it remained into the SMA -0 book. So there is no other reason for this. May and June, as Rajeev has already said, the collection efficiency has been quite robust. It has almost 99% for the day, and it continues to be at that trend.

Jai Mundhra : Right. But -- and sir, what is the outlook going ahead? Because the vintage chart shows clear improvement in the newer vintage, right? Even the older vintage are doing reasonably well. right? So apart from the holiday thing, is there any other thing which is creating a little bit, I let's say, delay in collections?

Partha Pratim Sengupta : Yes, Surajit will answer . Yes.

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Surajit Roy Choudhury : No, I'll take that question. See, as MD sir mentioned, if you look at the stable book in SMA -0, that's holding. So what happens because of holidays, EMI remains miss. However, it continues to start paying. And we have also put in a very strong delinquency management measures. So that is -- so the forward slippage is not happening. So now we are working on making it back. To answer your question, we are very confident that the slippages will not go further and it will stay where it is. Moreover, we will try to recover from there. So it is only on holiday impact, nothing beyond that.

Jai Mundhra : Right. So sir, if I...

Rajeev Mantri : Yes. I think the vintage chart you're referring to is in Page 24 of the investor deck, and I think you're right, it clearly shows the improvement coming through in the recent vintages.

Suraj

it Roy Choudhury : Correct.

Jai Mundhra : And even the older vintage are getting plateaued, right? So these things are not seem to be deteriorating ?

Surajit Roy Choudhury : Correct.

Partha Pratim Sengupta : Yes.

Jai Mundhra : Okay. So sir, in that sense, the credit cost, we have a decent, let us say, scope, right, in the sense that if the slippage s were to plateau here or maybe?

Partha Pratim Sengupta : That's what Rajeev has just told that we are expecting an improvement in the credit cost.

Jai Mundhra : Right. So then I am a little bit confused, sir, on the guidance cut that if the stable or E EB mix of the business is more or less stable and E EB grows more or less in line with the overall loan growth, that actually should support the NIM, right? Even if it is coming at a higher funding cost of 6%, 7%?

Partha Pratim Sengupta : Our non -EEB book has grown by 27% YoY and our -- internally, the strategy is that our E EB book will be nearly 33% of total loan book . So, if I can say that even if we grow at whatever rate for that year, the E EB book will be contained at 33% of that. And here, the major challenge what we are facing is, again, the cost of funds because we have arrived at this NIM with the expectation that the last year, the reduction in the repo rate, it was not immediately benefited us because as you know that the term deposits were getting matured with a lag .

We got a benefit in Q4 of last year. We got a benefit in Q1 of this year. But what we are seeing is that already the competition is increasing the interest rates, even bigger stable banks are also increasing the interest rates in the fixed deposits for that. And we also need to increase in some segments also and probably we need to increase further that we have to just look into it whatever the credit demand is there.

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So, for NIM , the advantage of getting the full benefit will not be available for the full financial year, what we had envisaged earlier. And the E EB book, there will be a calibrated growth. So definitely, what the growth that will happen in Q4 of the financial year when the E EB book grows the most, we will not get the benefit of interest for the entire financial year for that year. So considering all these factors and apart from what Rajeev has said for the year that the escalation in the opex cost. So opex cost, we had envisaged that it should be 4.2% of total assets . But already, we have reached 4.3% in Q1. And this is going to continue because almost all the vendors, if you look even on the other consumer items also , the cost has increased and especially the tech cost, the cost of the hardware, the cost of the servers. Even the operational cost, whether it is cloud or AMC charges or others also have increased substantially. So , the effect of all these factors and we have to invest in technology and we have decided that we would continue to invest our technology .

So, these are the two areas where we feel that we may get an impact. While our strategy is very clear, and we are working on it, if these external environment or these external factors do not -- I would say that -- this do get addressed in quicker terms , then yes, probably our guidance, what we have given earlier may hold good. But this is -- again, I've told you that we wanted to be very clear and transparent to our investors.

Jai Mundhra : I think just to break out, we had mentioned the advances growth.

Moderator: Sir, I would request you to please join back the queue for follow-up questions.

Jai Mundhra : Sorry, can you hear me?

Moderator: We take the next question from the line of Anand Dama from Nuvama Asset Management.

Please go ahead.

Anand Dama : Sir, what kind of credit growth that we are expecting for the full year should be 15% to 16%? Because if we are seeing a margin -- even if you are expecting some margin pressure, should

we sacrifice a bit on the growth front, if yes? And what kind of tech cost that we have? So there are some banks who have talked about tech cost as a percentage of overall opex. If you can talk about that, what is that for us now? And what is that we expect going forward? Which is what you've been talking about that, that possibly could go up and could lead to some kind of pressures on the ROA?

Rajeev Mantri : Yes. So I'll take that. On the credit growth, what we had guided was for the full year FY 27, we were looking at a 14% growth rate, within which EEB, we were looking at between a 5% to 10% growth and non-EEB would be 20% plus. As you've seen in the first quarter, we have seen non-EEB growing at 27%, overall growth at 16%. So we are definitely in line with the guidance, in fact, doing slightly better.

The challenge that we see right now is EEB, which for first quarter has remained flat compared to the last year. And this is where we will try and see how exactly we can step up the growth

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as the external environment improves further and our growth, which continues to happen in a calibrated manner. So I think that's on the credit growth. On the IT cost, I think we have now gone up to roughly around 8% of the total cost.

Partha Pratim Sengupta : Right now, and including the depreciation, it is around 9.5%.

Management : Total opex:

Partha Pratim Sengupta : Total opex. The industry benchmark for the mature banks, they remain in the range of 10%.

Given that we still have a lot of IT investment to make, we will try and remain within the range of 10%. But as it starts delivering value, we will slowly bring it down to 8%.

Rajeev Mantri : And this percentage of IT cost to opex has been growing up in the last 2 years.

Partha Pratim Sengupta : Yes. Previously, we are at 5-6%.

Anand Dama : That is still higher for other banks, but sir, you talked about cost of funds going up. Is it not possible for you to pass it on to the customers, barring I think, EEB, I think even in EEB, you have a scope to increase the yields and basically try and protect your margins?

Partha Pratim Sengupta : So that's the balancing, we are working on it. I can say, because you see that our corporate book has reasonably grown by 38% and some of the best names in the industry are now banking with Bandhan Bank. Now definitely, when you are a part of consortium or when you are participating in a multiple banking, my interest rate or eventually the cost of funds cannot be entirely passed on to those customers for it is quite competitive.

But you need to be there because your credit quality improves. I would say the risks are much lower. So definitely, some good books we need to build in for the day. Yes, as Rajeev has said and yes that our range in the EEB book, what we are expecting to grow between 5% to 10%. So definitely, if the environment is good, the environment is beneficial to us. We will probably look at 10%. Otherwise, if vulnerability is being noticed, we'll definitely have to contain the growth and some cost.

Moderator: We take the next question from the line of Ankit Bihani from Nomura.

Ankit Bihani : So my question is on the guidance again. So this was just last quarter's guidance. So we have lowered our ROA guidance of 40 bps. So okay, I can understand that 20 bps could be explained through margins that there could be funding cost pressure. But what explains the other 20 bps? And apart from that, if we see that the system liquidity in generally, the commentary that it should improve. Given there would be FCNR-related flows. So that should support your funding conditions. So why do you still expect funding cost to remain under pressure? So are we assuming that this kind of environment sustains?

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And when we had given the guidance, then also the macro

environment was not very healthy.

Your crude was north of \$100. Your CD rates were also higher. So I just want to understand what has changed now that wasn't there during our 4Q con call towards April end? That's my question?

Partha Pratim Sengupta : So let me tell you that this guidance was originally given, I think, sometime in December of '24 when I took over the charge. And at that time, EEB definitely was doing much, much better. If you remember, our balance sheet in Q1, Bandhan Bank of that FY25, in Q1 and Q2, we posted a very, very healthy profit based on the EEB segment. Q3 onwards, everything went upside down for that.

And we were hoping that, yes, we would be recovering at the earliest, but the recovery actually came mid of November 2025 last year for that year. But still after that, we were expecting that,

yes, okay, that the industry growth will taking place. But if you look at the entire industry trend, the growth that has not been witnessed in the past financial year, the growth is yet to come. So I would say it is still growing. But yes, what we have witnessed is that our credit quality has improved in this EEB segment. So, after that, this West Asia crisis came, we were hoping that this crisis would end. And with the treaty being signed, probably there are all signs of positive features in the economy of the world and the economy of the country. But unfortunately, that has not happened. And the greatest impact is the energy crisis and which the sector which gets most affected through this energy crisis is definitely the microfin sector for the day. We all know that. So we -- while we want to grow, we are very watchful and we do not want to suddenly jump very aggressively what we have did in the past and then burnt our fingers. The guidance has been clearly given right from day 1, and we are continuing with the guidance. This is one fact. The cost of funds at that point of time, you see RBI reduced the repo rate. We all expected that the cost of deposits would come down, but eventually, we can see that even bigger banks have increased the deposit rates recently. We all know the durable liquidity in the country, which is almost requiring INR 2.5 lakh crore or INR 2.5 trillion is just moving in the range of INR 1 trillion. So there is a pressure in the market as regarding the interest rate. And consequently, there is a pressure for the giving the deposit -- increasing the deposit rates also. Also we have to take into factor that the savings pattern of the Indian household has also changed. So considering all these factors, the NIM, what we had expected during that time is impacted because of these external factors. Whatever the economy say that the treaty was signed that even though the treaty is signed today, the actual impact will be felt 2, 3 months later for the day. So that is the real picture on the ground, and we have to accept that the cost of funds will be under pressure. What we have envisaged that we'll get the benefit of the cost of funds throughout the year, we probably -- we have got the benefit in Q1. Q2, we have to see whether we will get because my savings bank cost of funds have already gone up by almost 20 basis points QoQ. So -- it is just the market forces, I can say and apart from that, the tech costs, you see the investments we have already planned, and we do not want to go back. We need

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products, we need processes. We need a very strong pillars also like strong LOS. So maybe we have to wait for some time when we can leverage from these investments.

Rajeev Mantri : And just to translate into the numbers from what Partha sir said, the breakup of the 40 basis points is roughly around 30 basis points stretch that we see on NIMs and roughly around 10 basis points stretch we see on the opex. Primarily due to the fact that as we had guided earlier that our

NIMs will continue to increase from the 5.8% level in Q2 to 5.9% in Q3, which we clearly saw and improved to 6.2%. We had a line of sight towards -- we wanted to go towards a 6.5% by the end of Q4 FY27. But given the fact that the cost of funds in the industry has gone up due to these particular external factors, that's where our revised guidance is to see how exactly we can maintain. But as opportunities come, we'll try and see how we can improve the NIM as well.

So that's the key difference of about 30 basis points. And as the tech costs have gone up due to, again, the supply chain constraints, our guidance was that our opex to asset ratio would be around 4.2%, but we've already seen that it's hovering around 4.3%. So I think those are the two key factors which are leading to this reduction. But as we said, there are absolutely no efforts that we are putting of efforts that we are putting in terms of making sure that we continue to work towards the part that we need to focus on.

Ankit Bihani : Okay. And my second question is on the credit cost front. So we have done well on that front. But now as you have highlighted that the energy crisis, the impact would be much higher for the microfinance segment. So if this continues from here?

Partha Pratim Sengupta : Let me give you a clarity. So the question is that till now the country is managing very well, I can say. But the question is that definitely, there is a rationalization. If you look at the availability of commercial gas cylinders, it is definitely the flow is not the same as that period. So there has been rationalization till now, I think the country has been quite managing well. But the question is that, yes, it will lead to escalation of cost and this segment cannot pass on. So the question is that we may not expect delinquency, but at the same time, we cannot be over aggressive.

Rajeev Mantri : And therefore, our credit cost guidance of 1.6% to 1.8%, that continues to remain. So we are not changing that.

Moderator: We take the next question from the line of Digant Haria from Green edge Wealth.

Digant Haria : Only one question. So in the last 3 -4 years, we have built our secured book quite fast. We have diversified. And that has led to very high opex, like our operating expenses have reached almost INR 2,200 crores a quarter kind of run rate, but our incomes have not kept pace. So my question

here is that now have we -- are we satisfied that we have enough secured assets?
And can we work on efficiency? Like we have too much of DSA sourcing. We pay too high commissions to the DSAs. We use a lot of collection agencies we pay a lot of money to them.
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Because the whole secured book is probably 0% ROA for us. So is there any cost efficiency or the operating efficiency, which can kick in? Like are we making any efforts there? Because I don't even see our CASA improving because the opex has gone towards branch technology and this new product?

Partha Pratim Sengupta : So let me tell you very clearly, whatever you have said, we are taking steps in all these areas. We are aware that to start the business, we have to depend a lot on DS As till we come to a level when we develop our own marketing expertise. And now we are in that state. You see that is why I have said that we are investing in LOS.

For example, once I connect the LOS once I get a strong LOS, I can make all my branches as the sales point of retail and the housing assets for that year. So definitely, the DSA cost would come out, come down and the sourcing will be done mostly by my branches. Even my strength of 4,400 BUs, that also we are having a plan that at least the BUs situated in the metro centers and the urban centers.

Whether they can also be gradually made a sales point for these products. But I need a strong LOS for that. That's what I'm saying that investments are going up. We c

annot stop on that.

The leveraging from these investments will not happen right now. You see whatever the operating costs you have sold, the major part was definitely the employee cost, which we have rationalized to a large extent for that year.

And the tech cost at that time was mainly on account of the CBS. So you have to understand that this bank has started CBS only 3 years back. We were delayed, but we have started. And the last 2 -3 years, the major cost of the tech side was on the CBS. Now we are having the major side on the LOS and also definitely side -by-side, some work is also going on the CRS.

So leveraging from the LOS investments and to have a completely tech -driven or digital -driven products, which are gradually coming. We have already started three , four products, as you know, that the Legacy has come, the Elite has come, the Elite+ has come. We have revamped our new corporate salary packages.

The credit card, we are just waiting to be launched. able to launch probably in this quarter or that year. So all these products are also we are putting and coming in place and it requires investments, the initial investment. So the tech cost has been there for the bank to grow . But yes, the leveraging of these costs will definitely come in the future.

Rajeev Mantri : And I think on the point on efficiencies, we are working on efficiencies within the secured book also. Not all the secured book comes from DSAs. I think we are trying to use multiple channels. One of the key initiative in the bank is really driving cross -sell to drive the growth of secured assets through the use of our branches. And I think that is -- that will be one of the key areas, which will create more operating efficiencies.

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Rajinder Kumar Babbar : Yes. We have a clear plan, right, how we reduce our dependency on the DSA move to the branch channel. We started the branch channel activation last year. So earlier, we were doing a INR 200 crores a month. In the last quarter, we have already done more than INR 900 crores of assets from the branch channel. So that is our focus to activate each and every branch, whatever. And simultaneously working on the BU also, we are able to promote all this as a sourcing center. So definitely, the dependency on the other channel will reduce.

Partha Pratim Sengupta : Absolutely. We are working on all these areas.

Digant Haria : Yes. Sir, just for as investors, I would think that if all these initiatives work, the cost to income should come down from, say, current 62% level. So where do you see this glide path for next 2, 3 years? Like does it come down to 55% over 2, 3 years?

Partha Pratim Sengupta : At least for the next 1 year, probably it will be remain at the same level because till we reach a certain level of business. But yes, then it will come coming down. So I think we were expecting that it should taper down from the FY28 .

Rajeev Mantri : So actually, the guidance we have given is on opex to asset ratio of around 4.2%. Right now, it's recovering to 4.3%. We'll try and put in efforts to bring it down. And we had guided that after 2 years of investments, which is beyond FY 28, we should start to see further efficiencies to come through. So these are still investment years for us. As MD sir has talked about, the

tech investments are the key investments that we are doing. And as these tech investments are completed, we start seeing the returns coming from there, then we can start seeing the tapering down of opex to assets.

Moderator: We take the next question from the line of M B Mahesh from Kotak Securities.

MB Mahesh: Just one clarification. If you go to the segments like wholesale banking. If you were to just kind of look at the margins of that particular product, how different would it be as compared to the overall margin for the business?

Rajeev Mantri : Sorry, Mahesh, could you

repeat that?

Partha Pratim Sengupta : Wholesale banking.

MB Mahesh: See, you're building this wholesale banking book, which is kind of growing at about 35%, 40%.

Just trying to understand why are you growing this business given margins are inherently dilutive to what you're carrying?

Partha Pratim Sengupta : I think the fundamental thing is that the wholesale banking book, we are doing the vanilla advance, but that is not our goal. We want to have a wallet share in the corporates. So the entry is through the advances. So right now, definitely, the ROA is less because I have to lend all these big corporates or I would say, the better corporates where the risk is much, much lower for that year at very competitive rates.

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But that is not our purpose. So that's why we are now looking into the other areas. For example, we have just now entered into the forex. Only in the last quarter, we have entered into the forex business. And I think Satish can give the statistics how many -- from to where we have reached.

Satish Kumar : Mahesh, Satish here, you are able to hear me? You able to hear me?

MB Mahesh: Yes, I can hear you.

Satish Kumar : So I can only tell you that the book we are building in wholesale banking, it is not being thrown at a very cheap rates. The rates we are doing is quite comparable to the industry average. In fact, it is better than the industry average, the data which we have. I think we are working on multiple aspects in generating more other income kind of thing. And FX is one part. And earlier, we did not have the whole suite of products, which we have most of them now, which are generating not only flows through us, but building other income in terms of fee income and forex income.

Partha Pratim Sengupta : So let me tell you that the purpose of entering into this business is to create the wallet share of this company on that is to get other income. So we -- till now, we did not have the products.

So we were doing only vanilla advances. Now we have issuing doing the cash management. So all these things are being done now.

MB Mahesh: Perfect. So, the question I'm asking -- Okay. The point I'm trying to drive is, given the fact that you yourself kind of allude to the fact that margins are under pressure, between stabilizing margins versus growing this particular book, the trade-off essentially is how much of NII can I generate out of this business versus losing margins or keeping margins out there by not growing that business. Just trying to understand what are you -- why are you kind of prioritizing this growth when there is pressure on margins in the business for this year?

Partha Pratim Sengupta : So let me tell you the pressure is on the NII, I do admit. But our aim is to whatever to offset this loss in the interest compared to the other business through the other income. So where we did not have the capability till now, now we are gradually entering into that segment. So the purpose is that I can get other income only by -- through wholesale banking compared to any other vertical. The other income on account of LCs, other income on finance, the other income on account of forex, the other income.

MB Mahesh: Sorry, just to interrupt there, the problem that we are trying to solve is the reduction in margin appears to be a little bit higher than what we had anticipated. So just trying to check as to whether giving up a bit of growth solves that problem, which we are all trying to solve here.

That's the idea that we are trying to solve here or do you feel that growing is more important?

That's all we are asking here?

Partha Pratim Sengupta : No. Again, I'm telling you for that the growth is again dependent on many factors. The first is that your capability to grow by garnering or mobilization of deposits. But yes, whatever the

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growth that we are planning, we have already started that I have very clearly said that we will grow -- we will maintain our share of 35% in the E EB segment and 65% in the non -EEB segment. We have said that 40% will be in the unsecured segment, 60% in the secured segment, keeping these ratios in mind for that year, we are planning our growth. So it is not that we are very aggressively going. If you look at our balance sheet, we are trying to maintain a very secular growth across all these verticals.

Rajeev Mantri : I think if I can just add a couple of points, Mahesh. One is, as you know, whilst microfinance or EEB gives a higher rate, higher return, we have seen the amount of volatility that it exercises because of the external sort of vulnerabilities, which are there, right? And therefore, as a strategy, the bank is working towards a higher secured mix, which is what we have done over the last 2 to 3 years.

And I think that consistency is what is key, why exactly the secured book has grown, including for wholesale banking because it provides a stable set of revenues to come through. But your point is right. We want to augment those revenues to other income by creating these capabilities which basically allows us to be able to generate not just a stable set of NIM, but also a stable set of other income.

The pace of growth is what we will calibrate. As we are hovering closer to the target aspiration of the secured mix, the ability of the bank is to be able to start growing the unsecured a bit more to be able to balance out between the secured and unsecured mix. But at this stage, I think we still have a bit more growth that's coming through the secured. And we already talked about E EB, which is currently flat, which we want to actually increase to between a 5% to 10% growth. So I think those are the factors which are contributing.

Rajendra Kumar Babbar : Just one more point. Basically, the corporate sector, the margin may be less, but definitely come with a full ecosystem, right? It comes with the corporate salary, it comes with the vendor payment. If there's a full ecosystem is there. Our plan is to cover the full ecosystem so that if we are able to get income from all the sites.

MB Mahesh: Just one question on this IT cost, you had absolutely no headroom to push back these costs for a couple of quarters, is it?

Partha Pratim Sengupta : So as I explained that given that last 3 years, we have invested on multiple other technology front in terms of building some of the new products for wholesale, retail, housing and also improving our governance standard in terms of getting some of these product monitoring and other tools. As you invest in technology, each year, the running cost goes up and all.

Also with volume, we got to make investment on scalability and all of that. And given this whole energy shortage, the chip prices, etc, all of those costs are going up. That is at one level. So you need to have DCDR, automated DR capabilities, and those costs are also going up.

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So I don't see that costs slowing down at this point in time, but the pace at which it has grown over the last 3 years, that pace may be tapered down slowly. And after 18 months or so, we should see the outcome of all of this coming in the form of productivity gains. So that clearly is how we see this.

Rajeev Mantri : And also to supplement, I think as we said that we want to generate the higher other income for which capabilities are very, very important. I think the pace of IT, if at all, we will not postpone these other people to be able to get these investments or the capabilities in at the earliest so that we can start seeing the benefit of that. And I think, therefore, the focus on making sure that we actually invest in IT, in technology to be able to generate the returns on that at the earliest.

Moderator: We take t

he next question from the line of Rahul Kumar from Vaikarya Investment Management.

Rahul Kumar : Just one question. On the Slide 23, the collection efficiency, which is shown as for June lower than the quarter average. So which means that the collection has actually deteriorated over the quarters. So can you help us understand the same?

Rajeev Mantri : No, I think I can explain that. I think what happens is during the quarter, we also get a recovery of the in -quarter slippages, which actually come through. And therefore, the collection efficiency for the quarter will look slightly higher compared to just for the month because it doesn't capture the through -the-quarter recovery . So I think it's just a technical difference, nothing else. And therefore, like -to-like comparison for a month versus for a quarter is important.

Rahul Kumar : Okay. Okay. The second question, is there any one -off items in the net interest income or the other income for this quarter?

Partha Pratim Sengupta : Nothing in the income side. In the expense side, there is a INR 61 crores gratuity provision because of the New Wage Act.

Moderator: We take the next question from the line of Nitin Aggarwal from Motilal Oswal Financial Services Limited.

Nitin Aggarwal : Sir, I have a few questions. One is on the retail asset, again, wherein you talked about that OD was one product where we saw a decline, but gold loans is also another segment where we have reported a decline, wherein the industry is going very well. So anything like which has driven this?

Partha Pratim Sengupta : Yes. Okay. So my retail asset head is addressing

Hirak Joshi : Hi Nitin, Hirak this side. As far as gold loan is concerned, we implemented the new circular of RBI, and we developed the system. As you know, the entire circular was 180 -degree change.

So that has impacted our initial sourcing in the month of April until mid-May. Now we are back

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to normal sourcing . So this quarter onwards, we'll take it up on gold. As far as the growth, which was talked about, the Q1, the double -digit growth. Even Q1 last year, it was single -digit growth. So Q1 typically is as we guided, like it is a softer quarter for us. But Q2 onwards, it will be similar to previous quarters

Nitin Aggarwal : Okay. Got that. And secondly, while we are like watching out the overall external macro environment and guiding for a slower growth in MFI. But if I look at the recoveries and upgrades this quarter, they are better than the fourth quarter. In fact, they are better than the most of the quarters of FY 26. So what has driven this? And where is the disconnect in terms of the outlook that we are seeing and talking about and this quarter recovery and upgrade number?

So anything to call out this?

Rajeev Mantri : Yes, I can clarify that. Actually, we had done -- as I had mentioned, we had done an ARC sale of the housing finance portfolio amounting to roughly INR 290 crores. And in response to that, as part of the deal, we have actually got roughly INR 120 crores of cash recovery, which has come through. So the recovery numbers does include INR 120 crores of ARC -related recovery that we have got.

Partha Pratim Sengupta : So again, let me just reiterate we have actually indicated an improvement in the credit cost. So I don't think that the recoveries will actually slow down, rather it will continue at the same pace or even better for the day. What we are envisaging is that probably the cost of funds that there has been increasing that cost of funds for that year. So that's why they prepare and apart from that is the tech cost. So credit costs will continue to improve and definitely, the recovery is also.

Nitin Aggarwal : Right. Sir, but when you talk about the MFI growth at, say, a relatively moderate pace, do you look at Bandhan growing slower than the industry? I mean what I want to ask is like i

s there

still a conscious decision to further reduce the MFI mix from where it is? Or are we letting it flow as per how we are seeing the macro environment moving?

Partha Pratim Sengupta : So let me tell you that we are the leader, and we will be the leader. So this is number one. Number two is that, again, I'm telling there's no concern -- growth or there will not be an aggressive growth at the same time. We will definitely look at the situation. And as Rajeev has already indicated that we have a bandwidth of around 5% to 10%. So the question is that we will grow. Definitely, if the situation improves, we may grow up to 10% also. So there is no such that we will curtail it. But yes, overall, my book will remain 33% of the total exposure.

Moderator: Ladies and gentlemen, we take that as the last question and conclude the question -and-answer session. I now hand the conference over to the management for their closing comments.

Rajeev Mantri : I'd like to thank all our investors and all stakeholders who have joined the call for continued trust in the bank, and thank you.

Partha Pratim Sengupta : Thank you.

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Moderator: Thank you. On behalf of Bandhan Bank Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.